

An Introduction to Accounting

KUTUSH CATUSH

An Introduction to Accounting

Kutush Catush

An introductory study of accounting records, principles,
transactions, statements, adjustments, partnerships, and companies.

A Victorian-style accounting text

To the Reader

This book develops accounting from the first record of a business transaction through the preparation of statements and the treatment of partnerships and companies.

The side column carries short reminders and definitions. Bold terms mark important vocabulary when first introduced. Figures are restrained engravings, intended to serve the explanation as well as the period character of the book.

Chapter openings begin on right-hand pages. The contents records chapters and their principal sub-chapters so that the structure of the book can be followed at a glance.

Contents

Chapter I	Business and Its Activities	9
	A Tea Seller's Tin Box	
	1.1 What a Business Is For	
	1.2 Three Kinds of Business: Service, Merchandising, Manufacturing	
	1.3 Paying Now and Paying Later: Cash and 'On Account'	
	1.4 Who Owns the Business: Sole Trader, Partnership, Company	
	1.5 Organisations That Do Not Seek Profit	
	Worked Case: Four Businesses, One Idea	
Chapter II	Accounting and Its Users	25
	Salma's Notebook	
	2.1 Keeping Records: From the Household to the Business	
	2.2 What Accounting Is, and Why It Is Called the Language of Business	
	2.3 The Branches of Accounting	
	2.4 Who Uses Accounting Information, and for What	
	2.5 What Accounting Is Trying to Achieve: the Objectives of Accounting	
	Worked Case: One Set of Records, Three Readers	
Chapter III	The Rules Behind the Records	41
	3.1 Why Shared Rules Are Needed	
	3.2 The Basic Concepts: Entity, Money Measurement, Cost and Going Concern	
	3.3 Accounting Periods: Fiscal Year, Calendar Year and Interim Periods	
	3.4 Accounting Standards and Generally Accepted Principles	
	The Worked Case: Mitali's First Week	
Chapter IV	The Accounting Equation and Transactions	55
	4.1 Things Owned and Things Owed: Assets, Liabilities and Owner's Equity	
	4.2 The Accounting Equation	
	4.3 What Counts as a Transaction	
	4.4 Revenue, Expenses and Drawings: How Equity Changes	
	4.5 Analysing Transactions Step by Step: The Summary of Transactions	
	The Worked Case: Whose Money Is in the Drawer?	

Contents — continued

Chapter V	The Financial Statements	75
5.1	The reports an owner needs: the types of financial statement	
5.2	The income statement	
5.3	The statement of owner's equity	
5.4	The balance sheet	
5.5	How the statements connect	
Chapter VI	Accounts, Debits and Credits	87
6.1	The Account and Its Parts	
6.2	The Six Kinds of Account	
6.3	Debit and Credit: Two Words with One Job	
6.4	The Double-Entry System	
6.5	Normal Balances and the Equation Check	
6.6	The Chart of Accounts	
	Worked Case: The Bakery's January in Two Accounts	
Chapter VII	The Journal and the Ledger	105
7.1	The Accounting Cycle in Outline	
7.2	The Journal: the Book of First Record	
7.3	Journalising the Month	
7.4	The Ledger and Posting	
7.5	Using T-Accounts to Analyse Activity and Find Balances	
7.6	Journal and Ledger Compared	
	Worked Case: Posting Mitali Bakery's January	
Chapter VIII	The Trial Balance	123
8.1	Testing the books: what a trial balance is and is not	
8.2	Preparing a trial balance	
8.3	When the totals differ: finding the error	
8.4	Errors a trial balance cannot reveal, and how to correct them	
8.5	Trial balance and balance sheet compared	

Contents — continued

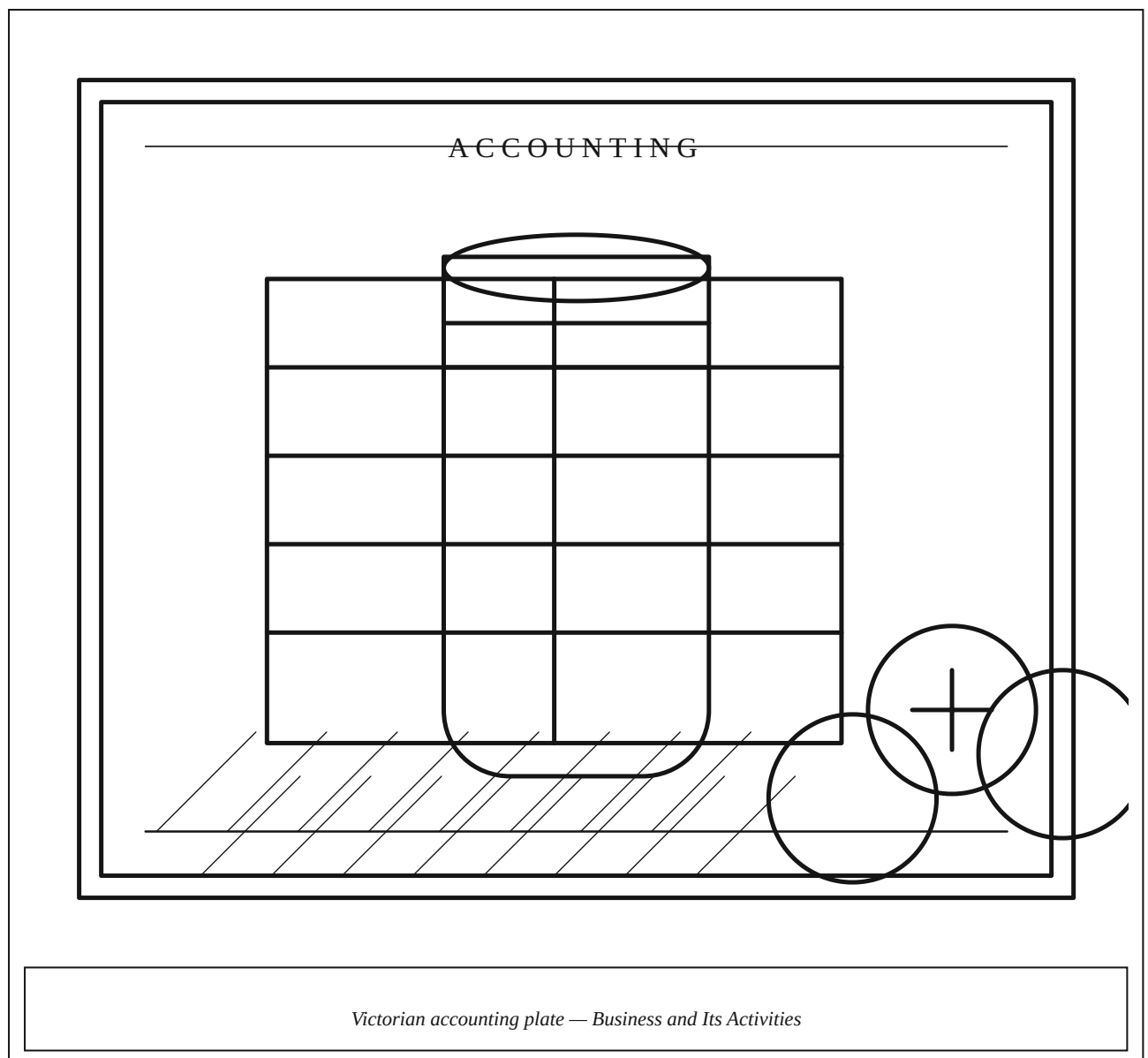
Chapter IX	Adjusting the Accounts	135
9.1	The puzzle of rent paid in advance: cash basis and accrual basis	
9.2	Why adjustments are needed: revenue recognition and matching	
9.3	Deferrals: prepaid expenses and unearned revenue	
9.4	Accruals: accrued expenses and accrued revenue	
9.5	Depreciation and supplies used: estimates at period end	
9.6	Recording the adjusting entries and the adjusted trial balance	
Chapter X	Plant Assets and Depreciation	147
10.1	Plant assets and what they cost	
10.2	The puzzle of the wearing oven: why depreciation is charged	
10.3	Cost, residual value and useful life	
10.4	The straight-line method and its entries	
10.5	Other methods: units of production, sum of the years' digits, declining balance	
10.6	Selling or scrapping a plant asset	
	The worked case: choosing a method for the oven	
Chapter XI	The Worksheet	163
11.1	The puzzle of the busy accountant: why a working paper	
11.2	The ten columns explained	
11.3	Building the worksheet step by step	
11.4	From the worksheet to the statements and entries	
11.5	Common slips and checks	
	The worksheet in the case file	
Chapter XII	Closing the Books	181
	The Puzzle of the Second Month	
12.1	The Financial Statements from the Worksheet	
12.2	Temporary and Permanent Accounts: Why Books Are Closed	
12.3	Closing Entries Step by Step	
12.4	The Post-Closing Trial Balance	
12.5	Reversing Entries (Advanced)	
12.6	The Whole Accounting Cycle	

Contents — continued

Chapter XIV	Inventory	193
14.1	What inventory is, and its kinds	
14.2	Why inventory is kept, and the cost of too little or too much	
14.3	Counting and costing inventory	
14.4	The cost flow methods: specific identification, FIFO, LIFO, weighted average	
14.5	Comparing the methods: effect on profit and tax	
	Worked case: Mitali Bakery in March	
	A second inventory calculation: falling prices	
Chapter XV	Special Journals	205
15.1	The puzzle of the crowded journal: why special journals	
15.2	Subsidiary ledgers and control accounts	
15.3	The purchases journal	
15.4	The sales journal	
15.5	The cash book: receipts, payments and the bank column	
15.6	Posting from special journals; what the general journal still records	
	Worked case: Mitali Bakery in April	
	A fuller April posting illustration	
Chapter XVI	The Bank Reconciliation	217
16.1	The puzzle of two balances	
16.2	Reading a bank statement: debit and credit memos	
16.3	Why the two records differ	
16.4	Preparing the reconciliation statement	
16.5	Entries after the reconciliation	
16.6	Why businesses reconcile: control	
Chapter XVII	Accounting for Organisations That Do Not Seek Profit	225
17.1	Organisations that serve members and causes	
17.2	The receipts and payments account	
17.3	The income and expenditure account	
17.4	Subscriptions, entrance fees and special items	
17.5	The balance sheet and the accumulated fund	
17.6	Comparing the accounts of different organisations	

Contents — continued

Chapter XVIII	The Partnership	233
	Two people, one set of books	
	18.1 Two people, one business: the nature of partnership	
	18.2 The partnership deed	
	18.3 Capital and current accounts: forming the partnership	
	18.4 Sharing profit and loss: ratio, interest, salary	
	18.5 The financial statements of a partnership	
	Worked case: Mitali and Rafiq	
Chapter XIX	Changes in a Partnership: Admission and Liquidation	241
	When the partnership changes	
	19.1 Why partnerships change	
	19.2 Admitting a partner who buys an existing partner's interest	
	19.3 Admitting a partner who invests in the firm	
	19.4 What liquidation means, and why partnerships end	
	19.5 The steps of liquidation: realise assets, pay debts, share the cash	
	19.6 Gains, losses and the capital deficiency: the cash distribution schedule	
	Worked case: Nasrin joins the bakery	
Chapter XX	The Company and Its Shares	249
	20.1 What a company is: separate entity and limited liability	
	20.2 Share capital and the kinds of share	
	20.3 Issuing shares for cash	
	20.4 Issuing shares for land or other assets	
	20.5 Treasury shares: buying back and reselling	
	20.6 Reading a company's equity section	
	Worked case: Mitali Bakery becomes a company	



CHAPTER I

Business and Its Activities

Why does anyone open a shop, and who answers if it fails?



Every day we buy bread, ride in buses and visit clinics, and behind each purchase stands a business. This chapter explains what a business is for, which kinds exist, how they are owned, and why anyone keeps records of them.

A TEA SELLER'S TIN BOX

A tea seller's single day raises three questions that this whole chapter will answer.

By evening the box holds Tk 900, and the question is how much better off Jamal is.

Three questions arise: what the stall is for, how to judge the day, and who answers if the day goes badly.

The chapter answers these questions in order, and the answers explain why anyone keeps records.

Nobody can make everything that they need, so people depend on one another.

When each person does one task well and exchanges the result, everyone has more.

A need can be met by exchange, where each side gives something and receives something.

Every morning at six, a man named Jamal pushes a wooden cart to a corner near a bus stand in Dhaka. On the cart are a kettle, a gas cylinder, forty glass cups and a tin box. This morning the box holds Tk 400, and all of it is his own money. He walks to the market and spends Tk 300 on tea leaves, milk and sugar. He spends Tk 100 on gas. The tin box is now empty.

During the day, bus passengers and shop workers buy 60 cups of tea at Tk 15 each. That evening Jamal tips the box onto a cloth and counts Tk 900. He smiles, and then he stops. He remembers that the box held Tk 400 when the day began, and that the tea leaves, the milk, the sugar and the gas are all used up. Is he Tk 900 better off tonight? Is he better off by some other amount? And what would the answer be if rain had kept the buyers away, so that only 20 cups were sold?

Jamal's day raises three questions. The first is about purpose: why does a stall like his exist at all, and who needs it? The second is about measurement: how can he tell whether the day went well or badly? The third is about responsibility: if the day goes very badly and he owes money that he cannot pay, who must find that money? Would the answer change if Jamal had a partner, or if fifty people owned the stall together?

This chapter answers these questions one at a time. Section 1.1 explains what a business is for and how its day is measured. Section 1.2 shows the three kinds of business. Section 1.3 explains what happens when payment comes later. Section 1.4 shows who can own a business. Section 1.5 describes organisations that do not aim to earn a gain. By the end, you will see why the owner of even the smallest stall needs a record of what happened each day. Chapter 2 then shows how that record becomes accounting.

1.1 WHAT A BUSINESS IS FOR

Begin with your own week. You eat rice and vegetables, travel by bus or rickshaw, charge a phone and perhaps visit a doctor. You made almost none of these things yourself. Someone else grew the rice, someone built the bus, and someone trained for years to become a doctor. No person can do all of this work alone. For that reason, people have always depended on one another, and the way they do so is the starting point of every business.

Why do people not make everything for themselves? Imagine a village where every family grows its own rice, weaves its own cloth and builds its own boat. Each family would be poor at some of these tasks, and it would lose time changing from one task to the next. Now suppose that one family weaves, another grows rice and a third builds boats. Each becomes skilled and works faster. The families then exchange what they make, and every family ends with more than before. A business is the organised form of this idea.

A need is something a person must have or strongly wants, such as food, clothing, transport or medical care. Most needs are met by *exchange*: one person gives something and receives something in return. A farmer gives rice and receives money. A passenger gives money and receives a bus ride. Each side gains something that it values more than what it gave. If either side expected to lose, the exchange would not take place.

What is exchanged falls into two groups. The first group is **goods**, which means physical things that you can touch and carry, such as bread, chairs, shirts or phones. A loaf of bread is a good, and so is a bag of rice.

The second group is **service**, which means work done for someone that is not a physical thing. A barber cuts hair, a driver carries passengers, and a doctor gives advice. After a haircut, you have no object to carry home, only the result of the work. Many exchanges combine both groups. A tailor sells cloth, which is a good, and stitches it, which is a service.

Now we can name the idea of this chapter. A **business** is an organisation that sells goods or services in order to earn money. Jamal's tea stall is a business, because he sells tea, which is a good, to people who want it. A large hospital, a garment factory and a corner shop are also businesses. They differ greatly in size, but each one makes exchanges with other people in order to earn money.

Three kinds of person appear around every business, and this book uses a single word for each one. We define them in turn, beginning with the person who buys what the business sells.

A **customer** is a person or business that buys goods or services. The bus passengers who buy Jamal's tea are his customers. Some people say *client*, especially for a service. This book uses *customer* for every case.

A **supplier** is a person or business that sells goods or services to another business. The market trader who sells Jamal his milk is a supplier. Notice that the same trader is a customer of the dairy farmer. A person or business can be a supplier in one exchange and a customer in the next.

An **owner** is the person who owns a business, takes its risks and receives what is left over when the work is done. Jamal owns his stall. Nobody else shares in its results. Later in this chapter we shall see that a business can have one owner, several owners, or thousands.

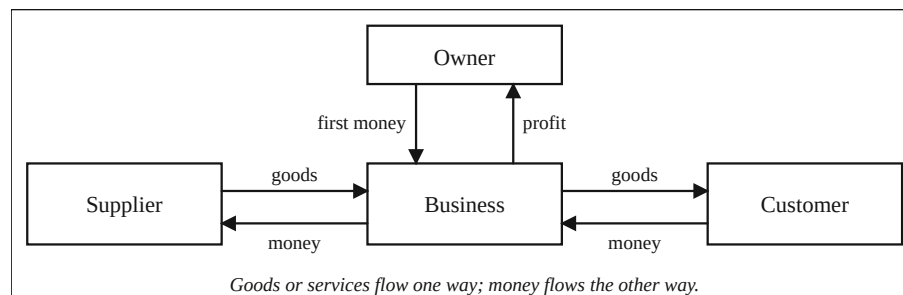


FIG. 1. The business and the people it exchanges with: suppliers, customers and its owner

Read the figure from left to right. Goods and services flow from the supplier to the business, and money flows back to the supplier. Then goods and services flow from the business to the customer, and money flows back to the business. The owner stands above, giving the business its first money and receiving its profit. Each person sees the business differently. The customer asks, "Is the price fair?" The supplier asks, "Will I be paid?" The owner asks, "Is anything left for me?" A good business must answer all three questions.

Return to the cart. Jamal did not receive his Tk 900 for nothing. Before he sold a single cup, he spent money on leaves, milk, sugar and gas. These amounts are called costs: the money spent to run the business. A business can earn money

What is exchanged falls into two groups: goods and services.

Goods. Physical things that a business sells, such as bread or chairs.

A service is work done for someone that leaves no object.

Service. Work done for a customer that is not a physical thing, such as repair or delivery.

A business is an organisation that sells goods or services to earn money.

GO SLOWLY HERE.

Business. An organisation that sells goods or services to earn money.

Every business has people on three sides: the buyer, the seller to it, and the person who owns it.

A customer is the person or business that buys.

Customer. A person or business that buys goods or services.

A supplier sells to the business, and may also be a customer.

Supplier. A person or business that sells goods or services to another business.

The owner takes the risk and receives what is left.

Owner. The person who owns a business, takes its risks and receives its profit.

The figure shows the business at the centre of three kinds of exchange.

The same business looks different from the customer's seat, the supplier's seat and the owner's seat.

Before the money is counted, the business must pay its suppliers and other bills.

Profit is earnings minus costs, so Jamal's profit is Tk 500.

Profit. The money left when a business takes its costs away from what it earned.

If costs are larger than earnings, the result is a loss.

Loss. The amount by which a business's costs are more than what it earned.

A business is judged by its profit, not by the cash that happens to be in the box.

Profit is also the reward for risk, because a business may lose money as well as earn it.

A customer pays more than the materials cost because the business adds something the customer values.

Earnings are not the same as profit, and profit is not the same as cash.

The same method of measurement works for a business of any size, with the same three steps.

only after it has spent some. This is why Jamal's box, which held Tk 900 in the evening, does not show how well he did.

The answer lies in the idea of **profit**, which means the money left when a business takes its costs away from what it earned. Some people say *net income* or *earnings*; this book uses *profit*. Jamal earned Tk 900 from 60 cups. He spent Tk 300 on materials and Tk 100 on gas, a total of Tk 400. His profit is Tk 900 minus Tk 400, which is Tk 500.

Suppose that the rain kept customers away and only 20 cups were sold. Jamal would earn 20 times Tk 15, which is Tk 300. His costs are still Tk 400, because he bought the leaves, milk, sugar and gas before he knew how many cups he would sell. Now Tk 300 minus Tk 400 gives a negative number. A **loss** means the amount by which a business's costs are more than what it earned. Here the loss is Tk 100.

IN SHORT

Profit is what a business earns minus what it spends to earn it. When the sum is negative, the result is a loss. Jamal's good day gave a profit of Tk 500, and his rainy day gave a loss of Tk 100.

Compare the two measures. The box held Tk 900 on the good evening, and the profit was Tk 500. The two numbers differ because Tk 400 of the box's contents was Jamal's own money, which he had put in that morning. Profit measures only what the day added. This difference between *money in the box* and *profit* is the most important idea in the chapter, because the whole of accounting exists to measure profit correctly.

Why should the owner receive the profit? The reason is risk. Before the first cup is sold, Jamal has already spent his own money. If nobody comes, he loses it. The customers pay their money only when they receive goods, and the suppliers are paid on their agreed date, but the owner has no promise of anything. Profit is the reward for accepting this risk, and for the work of organising the business. A business that never earns a profit cannot reward its owner, and it will not last.

Why will a customer pay Tk 15 for a cup of tea when the leaves, milk, sugar and gas cost Jamal less than that? The reason is that Jamal adds something. He boils the tea, mixes it, pours it into a clean cup and stands at a place where people are thirsty. The customer values these things, and pays for them. In the same way, a phone seller adds convenience, and a barber adds skill. A business that adds nothing that anyone values will find no customers, and its owner will make a loss.

Three words are easily mixed up, so keep them apart. *Earnings* are the money a business gains from its sales. *Profit* is what remains after the costs are taken from earnings. *Cash* is the money actually in the box or the bank. On Jamal's good day, earnings were Tk 900, profit was Tk 500 and cash in the box at night was Tk 900, because his own morning Tk 400 had been spent and then replaced by sales. In a later chapter, we shall find days when these three numbers all differ.

The method never changes with size. First, add up what the business earned. Second, add up what it spent to earn it. Third, take the second total away from the first. A shop with a hundred staff does the same three steps as Jamal. Only the numbers, and the number of items to add, become larger.

Our simple sum has limits. Jamal's own work is worth something, yet we did not subtract it. His kettle and cups wear out over time, yet we did not count that loss either. These items are real, and accounting has rules to deal with them. Chapters 9 and 10 explain how. For now, remember that the sum in this section is a first step.

The simple sum leaves some things out, which later chapters will add.

A WORKED EXAMPLE: JAMAL'S WEEK

One day teaches the method, and a week tests it. In the table that follows, each row is one day. The columns show the cups sold, the money earned, the money spent, and the result, which is the profit or the loss. We read each row in the same way: earned minus spent. After the last row, we add the column of results to find the profit for the week.

A week of sales shows the profit method repeated six times and then added.

JAMAL'S TEA STALL, MONDAY TO SATURDAY (AMOUNTS IN TAKA)

DAY	CUPS SOLD	EARNED	SPENT	RESULT
Monday	60	900	400	500
Tuesday	60	900	400	500
Wednesday	50	750	400	350
Thursday	60	900	400	500
Friday (rain)	20	300	400	-100
Saturday	70	1,050	400	650

Given. Each cup sells for Tk 15, and the daily spending is Tk 400. The cups sold each day are in the table. *Find.* The profit for the week. *Formula.* In words: profit equals total earned minus total spent. In symbols: $P = E - S$, where P is profit, E is the total earned and S is the total spent. *Steps.* The cups sold are $60 + 60 + 50 + 60 + 20 + 70 = 320$. The total earned is $320 \times \text{Tk } 15 = \text{Tk } 4,800$. The total spent is $6 \times \text{Tk } 400 = \text{Tk } 2,400$. So $P = \text{Tk } 4,800 - \text{Tk } 2,400$.

The example is set out in the standard order: given, find, formula, steps, answer and check.

Answer. Jamal's profit for the week is Tk 2,400. *Check.* Add the daily results instead: $500 + 500 + 350 + 500 - 100 + 650$. The first two give 1,000, the third gives 1,350, the fourth gives 1,850, Friday's loss reduces it to 1,750, and Saturday gives 2,400. Both methods agree. Notice that one bad day did not turn the week into a loss, because the good days were larger. A common slip is to forget the minus sign on a loss day, which gives a total that is too high by Tk 200.

The answer is checked by adding the daily results, which must give the same total.

WHY A BUSINESS NEEDS A RECORD

Jamal can remember one day. He knows what he bought, what he sold and what is in the box. But suppose he keeps the stall for a whole month. He now has thirty days of buying and selling to remember. Was Tuesday's profit better than Friday's? Did the price of milk rise during the month? Did he pay the gas seller twice or not at all? No memory can answer such questions with certainty.

Memory is enough for one day, but not for a month.

A *record* is a written note of something that happened, kept so that it can be checked later. Chapter 2 defines it properly. Here we need only the idea. If Jamal writes down each day's purchases and sales, he can add them at the end of the month and learn his profit. He can compare weeks. He can show the milk trader what he paid. If he ever wants a loan, he can show a bank officer what the stall earns. Writing turns memory into evidence.

A written record answers questions that memory cannot, and others can check it.

This need for a record is the reason for the rest of the book. As businesses grow, their records must grow too. Mitali's bakery will need to record cash, debts, the oven, the supplies, the wages and the rent. Chapter 2 explains how

Every later chapter of this book shows one way of keeping and using such a record.

A short test of profit and loss.

The section closes with a short recap and a test of what you have learned.

Businesses can be sorted by what they do with the things they sell.

The first kind sells work, not objects.

Service business. A business that earns money by doing work for customers, such as a clinic.

The second kind buys finished goods and sells them again.

Merchandising business. A business that buys finished goods and sells them again, such as a shop.

The third kind makes goods from materials.

Manufacturing business. A business that makes goods from materials and then sells them, such as a bakery.

A tea stall is a small manufacturing business, which shows that size does not decide the kind.

A small sum for each kind shows what each earns and what each spends.

The next table sets the three kinds of business side by side.

such records became the subject of accounting. The remaining chapters teach you how to keep them, one idea at a time.

Pause and check. A baker spends Tk 700 on flour and gas, and sells loaves for Tk 1,000. What is the profit? What would the result be if she had sold loaves for Tk 600?

Before moving on. Exchange meets needs. A business sells goods or services to customers, buys from suppliers, and belongs to an owner. Profit is earnings minus costs, and a loss is the reverse. *You should now be able to say:* "A business earns profit when what it earns is more than what it spends."



1.2 THREE KINDS OF BUSINESS: SERVICE, MERCHANDISING, MANUFACTURING

Walk along any busy street in Dhaka and you will pass a clinic, a shop selling mobile phones, a bakery and a garment factory. All four are businesses, yet each one does something different. Sorting them into kinds helps us to see what each one earns and what each one spends. It also prepares us for later chapters, where the records of each kind differ.

A **service business** earns money by doing work for its customers. A clinic, a barber, a driving school and a private tutor are service businesses. The customer leaves with a result, such as better health or a new skill, and not with a new object. A service business spends money mainly on people's time and on the place where the work is done.

A **merchandising business** buys finished goods and sells them again. The shop selling mobile phones is an example. The owner does not make a single phone. She buys phones from a supplier, keeps them in the shop, and sells each one at a higher price. Her earnings are the selling prices, and her main cost is the price paid to the supplier. Some people say *trading business* for the same idea.

A **manufacturing business** makes goods from materials and then sells them. A garment factory turns cloth and thread into shirts. A bakery turns flour, sugar and water into bread. The business buys materials, spends money on labour and machines to change them, and sells the new product. Its records are the richest of the three kinds, because the cost of the product has several parts.

Size does not decide the kind. Return to Jamal. He buys tea leaves, milk and sugar, and he turns them into cups of tea by boiling and mixing. He changes materials into a new product, so his stall is a very small manufacturing business. A large supermarket that never changes the goods it sells is a merchandising business. A tiny repair stall is a service business. Always ask what the business does with what it sells.

Let us give each kind a small sum. A private tutor charges Tk 500 an hour and teaches 20 hours in a month. She earns Tk 10,000. She spends Tk 1,500 on bus fares and printed pages, so her profit is Tk 8,500. A phone seller buys a phone for Tk 12,000 and sells it for Tk 14,000. The difference is Tk 2,000, from which she must still pay rent and wages. A baker spends Tk 20 on flour, sugar and gas for each loaf and sells it for Tk 35, leaving Tk 15 before other costs. Notice that only the manufacturer's Tk 20 includes the cost of changing materials into goods.

The table that follows has one row for each kind of business. For each row, it states what the business

does, what it sells, and an example. Read it one row at a time, and compare the rows.

THE THREE KINDS OF BUSINESS COMPARED

KIND	WHAT IT DOES	WHAT IT SELLS	EXAMPLE
Service	Does work for customers	The work itself	A clinic
Merchandising	Buys finished goods and resells them	The same goods	A phone shop
Manufacturing	Changes materials into new goods	The new goods	A bakery

Read the table one row at a time. The row for service says that the business does work and sells that work. The row for merchandising says that the goods leave the business in the same form in which they arrived. The row for manufacturing says that the goods leave in a new form. Each row ends with an example you can picture.

A single shirt can pass through all three kinds. A garment factory makes it from cloth, so the factory is a manufacturing business. A wholesaler, which is a merchandising business that buys large numbers of goods and sells them to shops, buys it from the factory. A shop buys it from the wholesaler and sells it to you, another merchandising business. A tailor who shortens the sleeves for a fee is a service business. The shirt, therefore, links four businesses, each one a customer of the one before it.

Real businesses often mix two kinds. A pharmacy sells medicines that it bought finished, which is merchandising, and it also gives advice, which is service. A restaurant makes meals from materials and also gives table service. When a business mixes kinds, we describe it by the kind that brings in most of its earnings, and we note the other kind when it matters. This book does the same.

The table puts the three kinds side by side so that you can compare one row at a time.

One product often passes through all three kinds of business before it reaches you.

Many real businesses mix two kinds, so the best question is what most of the money comes from.

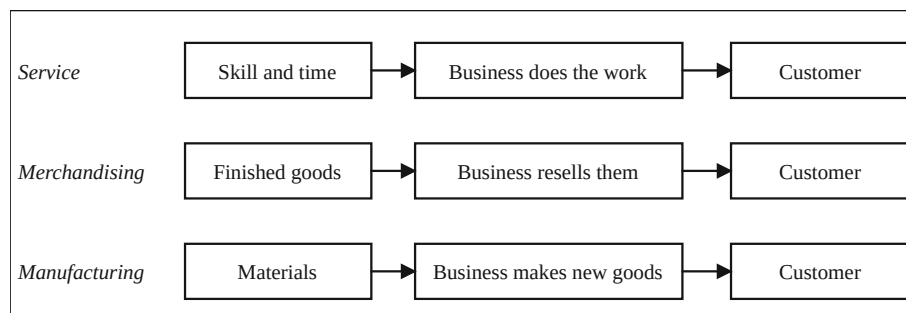


FIG. 2. The flow from materials to customer in each of the three kinds of business

The customer and the owner see a business from different seats. A customer who buys a loaf sees bread on a shelf and a price on a label. The owner sees flour, an oven, workers' wages and the gas bill. She must know the cost of each part, because she sets the price from them. This is why manufacturing businesses keep the most detailed records. Chapter 14 returns to the goods that a merchandising or manufacturing business holds, and Chapter 13 shows how a merchandising business records them.

The figure shows the three kinds as three paths. Each starts with a supplier on the left and ends with a customer on the right. In the service path, the business adds only its work. In the merchandising path, the goods arrive finished and leave unchanged. In the manufacturing path, the goods arrive as materials and leave as a new product. You will meet this figure again in Chapters 13 and 14, where the kinds of business shape the records.

A customer sees only the product, but the owner sees how it was made.

The figure shows three paths from a supplier to a customer, one for each kind of business.

GO SLOWLY HERE.

This book follows one business throughout: a bakery that its owner starts on 1 January 2026.

Sorting a business by kind helps you predict what its records will contain.

A short test of the three kinds of business.

The section ends with a recap of the three kinds.

From now on, this book follows one business, a bakery in Dhaka. Its owner, Mitali Rahman, makes and sells bread, cakes and catering orders. Because she makes her goods from flour, sugar and packaging, her bakery is a manufacturing business. In Chapter 13 she will add a counter that sells bottled drinks bought from a supplier, and then her business will mix two kinds. The bakery is *illustrative*, which means that it is invented to teach, and no real company is meant.

Why does the kind matter? The kind tells you what the business earns and what it must spend. A service business has few materials to buy. A merchandising business must always hold goods to sell. A manufacturing business must hold materials and finished goods. As you learn accounting, the kind of business explains why some records exist in one business and not in another.

Pause and check. Name the kind of business for each of these: a tailor who makes shirts from cloth that the tailor buys; a pharmacy selling only packaged medicines; a taxi driver.

Before moving on. A service business sells work. A merchandising business buys finished goods and resells them. A manufacturing business changes materials into new goods. Size does not decide the kind, and many businesses mix two kinds. *You should now be able to say:* "A bakery is a manufacturing business, because it makes what it sells."



1.3 PAYING NOW AND PAYING LATER: CASH AND 'ON ACCOUNT'

People can pay at once or later, and the choice changes what a business must record.

Cash is money that can be used at once.

Cash. Money in coins, notes or a bank account that can be used at once.

GO SLOWLY HERE.

Buying on account means paying later.

On account. Bought or sold now, with payment to be made later.

A debt is money owed to someone else.

Debt. Money that a person or business must repay to someone else.

Selling on account does not mean that the seller distrusts or trusts the buyer without limit.

Think about the last time you bought a snack and paid at once. Now think about a neighbour who buys groceries and says, "I shall pay you at the end of the month." Both buyers receive their goods on the same day, yet the second buyer still owes money after leaving the shop. This difference may look small, but it changes how a business must keep its records.

The first way is payment in **cash**, which means money in coins, notes, or a bank account that can be used at once. Jamal receives cash when a passenger hands him Tk 15. In a bank account, the money counts as cash because the owner can spend it. When a customer pays in cash, the exchange is complete on the day: the goods leave and the money arrives.

The second way is to buy or sell **on account**, which means that the goods or services are given now and payment is made later. Some people say *on credit*; this book uses *on account*. When the milk trader says to Jamal, "Take the milk today and pay me on Friday," Jamal has bought milk on account. The milk has changed hands, but no money has.

When something is bought on account, a **debt** is created. A debt is money that a person or business must repay to someone else. On the day Jamal takes the milk, he owes the trader. The trader is owed that same amount. Both sides have one debt, and they see it from opposite sides: one owes, the other is owed.

Buying on account is a normal habit of trade, and it does not mean that the buyer is poor. Large and respected businesses buy on account every day. The seller does, however, take a risk. If the buyer never pays, the seller has given away goods for nothing. A careful seller therefore sells on account only to buyers it knows, and it records each debt so that it can ask for payment on the due date. This risk is one reason why records of debts are important.

Look again at the example, because the two sides are the key. Jamal owes Tk 200 to the milk trader. The milk trader is owed Tk 200 by Jamal. In Chapter 4, the amount that Jamal owes will be called *accounts payable*, and the amount that the trader is owed will be called *accounts receivable*. For now, remember these plain pictures: "money we owe" and "money owed to us".

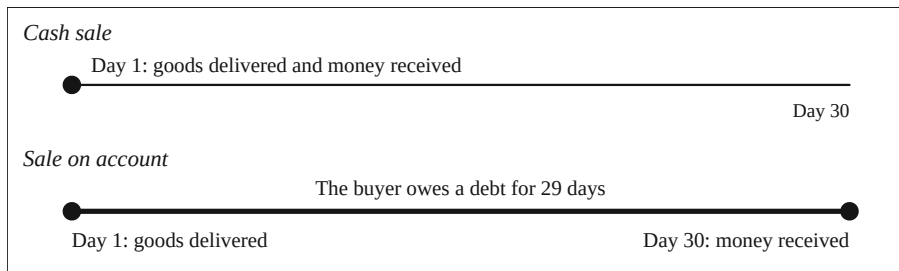


FIG. 3. The same sale made for cash and on account, shown on a line of days

Read the figure from left to right. On day 1 the goods are delivered. In the upper line, a cash sale, the money arrives on day 1 as well, so no gap appears. In the lower line, a sale on account, the money arrives on day 30. During those 29 days between, a debt exists. The size of this gap is what every business must watch.

Notice that cash does not mean only coins and notes. A customer who pays by bank transfer or by a mobile phone payment service also pays in cash in this book, because the money reaches the seller's account and can be spent at once. What matters is whether the payment arrives on the day of the exchange. If it does, we call it cash. If it is promised for a later day, we call it *on account*.

Why would a business sell on account? Because customers may prefer it, and a customer who is allowed to pay later may buy more. A school ordering cakes for a festival may need a month to pay. If the seller refuses, the school may buy from another seller. Selling on account therefore helps to win customers. Yet it makes the seller wait. In the meantime, the seller must still pay staff and suppliers.

Buying on account has the same two sides. It helps the buyer, who receives goods before paying and can sell them first. It also creates a debt that must be paid, usually by a fixed date. A business that cannot pay its debts on time may lose its suppliers' trust. For this reason, a careful owner always knows how much the business owes and when each debt is due.

Here we reach the first reason why businesses keep records. A cash sale is complete on the day, and memory may be enough. But a sale on account leaves a debt that lasts for weeks. Jamal may have ten customers who owe him a little. If he forgets one, he loses money. If he forgets what he owes the milk trader, he risks an argument. A written record protects both sides.

Here is a small example. Jamal takes milk on account from the trader on five days, Monday to Friday, at Tk 200 each day. On Monday evening he owes Tk 200. On Tuesday he owes Tk 400, and on each later day the amount grows by Tk 200. On Friday he owes Tk 1,000. When he pays the whole amount on Friday, the debt falls to nothing. At each moment, the written record would show how much he owed, and nobody could argue about it.

One more point prevents a common error. A sale on account is still a sale. The bakery that delivers cakes to the school on 15 January has made a sale on 15 January, even though the school pays in February. What changes is only the form in which the seller holds the reward: not cash yet, but a promise of cash. Chapter 9 returns to this idea in detail.

The same event is a debt from one side and a claim from the other side.

The figure shows that a sale on account has a gap between delivery and payment.

Payments by bank or by mobile phone also count as cash, because the money can be used at once.

Sales on account help customers but make the seller wait for money.

Buying on account helps the buyer but creates a debt that must be paid.

Writing every debt down is the first reason a business needs records.

A small example with sums shows how a debt grows from day to day.

A sale on account counts as a sale when the goods are delivered, not when the cash arrives.

A customer may also pay before receiving goods, which is a third way that this book notes.

A short test of cash, on account and debt.

The section closes with a recap of cash, on account and debt.

A third pattern exists. A customer may pay first and receive the goods later. A family may pay Tk 500 as a deposit when they order a wedding cake for next month. The baker holds the money, but she still owes the cake. She owes goods, not money. Chapter 9 explains how a business records such payments in advance. The three patterns are therefore: pay at once, pay later, and pay first.

Pause and check. On Monday a florist hands over flowers and the buyer says, "I shall pay on Friday." Is this a cash sale? Who owes money, and to whom?

Before moving on. Cash is money that can be used at once. On account means goods or services are given now and paid for later. A debt is money one side owes and the other side is owed. *You should now be able to say:* "When I buy on account, I owe a debt until I pay."



1.4 WHO OWNS THE BUSINESS: SOLE TRADER, PARTNERSHIP, COMPANY

The law offers three main ways to own a business, and each way answers the question of who is responsible.

The sole trader has one owner who answers for all debts.

Sole trader. A business owned and run by one person, who is personally responsible for its debts.

A sole trader keeps all the profit but also bears all the losses.

Return to the third question from Jamal's day. If a business owes more than it can pay, who must find the money? The answer depends on how the business is owned. In most countries, including Bangladesh, three forms of ownership are common. We shall meet each one in turn and then compare them. Chapters 17 to 20 develop them in detail, so here we need only the outline.

The first form is the **sole trader**. A sole trader is a business owned and run by one person, who is personally responsible for its debts. Some people say *sole proprietor*. Jamal's stall and Mitali's bakery are sole traders. The name does not mean that the owner works alone; Mitali may employ twenty bakers. It means that she is the only owner.

The sole trader has three clear advantages. She can start with little formality, she makes every decision herself, and she keeps all the profit. But there are costs. If the bakery owes more than it holds, those who are owed money may ask Mitali to pay from her own savings, because in law she and her bakery are one. Her responsibility has no upper limit, and her only source of money is her own savings and what she can borrow.

The second form is the **partnership**. A partnership is a business owned by two or more people who agree to share its profit. Imagine that Jamal and his cousin join to run three stalls. One can cook better and the other can sell better. Together they bring more money and more skill than either could alone. They agree how to divide profit and, ideally, they write the agreement down.

The strength of a partnership is that it pools money and skills. Its weakness is shared responsibility. If one partner makes a bad promise to a supplier, all partners may have to pay. Partners may also disagree about decisions or about how to share profit. For this reason, careful partners write an agreement before they begin. Chapter 18 explains what that agreement contains and how profit is shared.

The third form is the **company**. A company is a business that the law treats as separate from its owners, who hold shares. Some people say *corporation*. A share is one of the equal parts into which ownership is divided; Chapter 20 explains shares fully. Because the law sees the company as a separate person, the company, not its owners, owes the debts.

A partnership has two or more owners who share profit.

Partnership. A business owned by two or more people who agree to share its profit.

A partnership pools money and skills, but partners answer for each other's decisions.

A company is separate from its owners in law.

Company. A business that the law treats as separate from its owners, who hold shares.

This separation has an important effect. Suppose fifty people each pay Tk 10,000 for shares in a bakery company. If the company fails, each person may lose the Tk 10,000 but nothing more; those who are owed money cannot demand more from the shareholders' savings. Because the risk is limited, many people are willing to put in money, and a company can gather large sums. Chapter 20 calls this *limited liability* and explains it carefully.

Many people think that *company* only means a large business. That is not correct. A company can be tiny, with two owners and a single shop. A partnership can be large, with hundreds of partners. A sole trader can employ many workers. Size describes how big a business is; form describes who owns it and who answers for its debts. Keep the two ideas apart.

The forms also differ in two practical ways. The first is permanence. A sole trader's business is tied to one person; if she stops, the business stops. A partnership may end when a partner leaves, unless the partners have agreed otherwise. A company continues even when its shareholders change, because the company is separate from them. The second is paperwork. The law of Bangladesh asks a company to register and to keep proper records, and it asks more of a company than of a sole trader.²

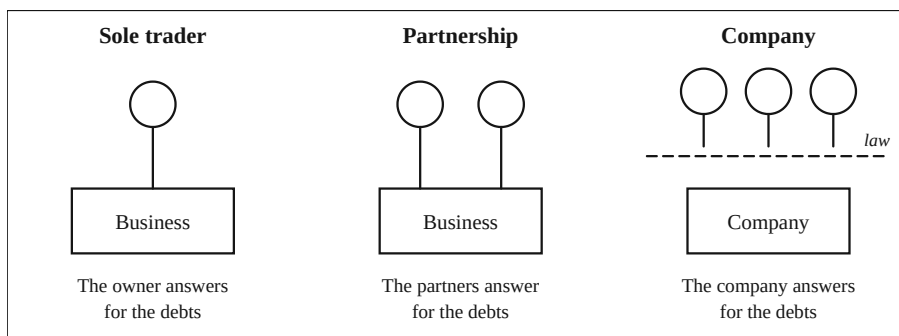


FIG. 4. The three forms of ownership drawn as owners standing behind the business

The figure shows the three forms as pictures. For the sole trader, one person stands behind the business and is joined to it. For the partnership, two or more people stand behind it, and each is joined to it. For the company, a line separates the owners from the business, and the debts stay on the business's side of the line.

The table that follows compares the three forms of ownership on four features: the number of owners, who answers for debts, how the law sees the business, and how it raises money. Choose one feature, and read across the three forms.

GO SLOWLY HERE.

A company can raise money from many people because each owner risks only the money paid for shares.

The size of a business is a different question from its form of ownership.

A business also differs by how long it lasts and how much paperwork it needs.

The figure shows how many owners stand behind each form and where the debts fall.

The next table compares the three forms on four features.

² The rules for registering a company and keeping its records are set by Bangladesh law; Chapter 20 names them.

THE THREE FORMS OF OWNERSHIP COMPARED

FEATURE	SOLE TRADER	PARTNERSHIP	COMPANY
Owners	One	Two or more	Shareholders, few or many
Who answers for debts	The owner, personally	The partners, personally	The company itself
Law's view	Owner and business are one	Partners and firm are one	The company is a separate person
Raising money	Own savings and loans	Savings of all partners	Sale of shares

The table lets you compare the forms by choosing one feature and reading across the row.

Each form also gives the owners' share of the business a different name in the records.

The same bakery would look different under each form, though the ovens and the bread would not change.

Four questions help an owner to choose a form.

The right form depends on what the owners want: simplicity, shared skill, or the ability to raise large sums.

A short test of who answers for debts.

The section closes with a recap of the three forms.

To read the table, choose one feature and read across. For debts, the first two forms leave the owners responsible, while the third form places the debts on the company. For raising money, the company is strongest, because it can invite many people to buy shares. The sole trader is simplest and the company is the most complex. No form is best for everyone; the right form depends on the owner's wishes.

The forms matter to accounting for one more reason. In each form, the owners' claim on the business has a different name. For a sole trader this book says *owner's equity*, for a partnership *partners' capital*, and for a company *shareholders' equity*. The ideas are similar, but the records differ. Chapter 4 explains owner's equity, Chapter 18 explains partners' capital, and Chapter 20 explains shareholders' equity.

Imagine Mitali's bakery under each form. As a sole trader, she decides everything and holds every risk. If she took a partner, such as a baker who brings skill, the two would decide together and share profit. If she changed the business into a company, the bakery would own its ovens and owe its debts in its own name, and Mitali would hold shares. In all three cases the bread is the same. What changes is who owns the business and who answers for its debts. Chapters 18 to 20 will follow the bakery through these changes.

How can an owner choose in practice? Four questions help. First, how much money is needed, and who can supply it? A large sum may call for many owners. Second, how much risk is the owner willing to hold personally? If the answer is very little, a company limits the risk. Third, who will make decisions? A sole trader decides alone, and partners must agree. Fourth, how much paperwork can the owner manage? A sole trader has least, and a company has most. No answer is right for every owner, and the owners may later change their choice.

How should an owner choose? Consider three people. Sultana wants to open a small tailoring shop with her savings and decide everything herself; the sole trader suits her. Two brothers want to combine different skills and divide profit, and a partnership suits them. A group of fifty neighbours wants to invest in a food business without risking their homes; a company suits them. Notice that each choice trades something for something else.

Pause and check. Which of the three forms makes the owners personally responsible for the debts? Which form places the debts on the business itself?

Before moving on. A sole trader has one owner who answers for all debts. A partnership has two or more owners who share profit and answer for debts. A company is a separate person in law, owned by shareholders who risk only their shares. *You should now be able to say:* "The form of ownership decides who must pay the debts."



1.5 ORGANISATIONS THAT DO NOT SEEK PROFIT

Not every organisation tries to make a profit. A village football club exists so that its members can play. A charity may feed hungry families. A neighbourhood association may maintain a shared lane. These groups all deal with money, yet they exist for a different purpose from a business. Their money is a tool for their cause, not the goal.

We call such a group a **non-trading organisation**, which means an organisation that does not exist to earn profit, such as a club or charity. Some people say *non-profit organisation*. Such an organisation may still sell things, for example tickets to a match, but selling is not its purpose. If it ends a year with more money than it spent, that amount is not a profit to share among members. It stays to support the cause.

Non-trading organisations need records for the same reasons as businesses. Members who pay fees want to know how the money was used. People who give donations want to be sure that the gifts reach the cause. The law may also require records. Chapter 17 shows how clubs and charities keep their accounts, and why the words *surplus* and *deficit* replace *profit* and *loss* there.

How does a non-trading organisation obtain its money? Often it charges its members a regular fee. It may receive gifts from people who support the cause. It may also earn something from small sales, such as tickets or food at a meeting. The money is spent on the cause: the football, the meals for hungry families, or the repair of a shared lane. A school canteen run by parents is a useful mixed case. It sells food, which looks like trade, but any money left goes back to the school.

Before moving on. A non-trading organisation serves members or a cause, and it keeps records so that those who give money can see how it was used. *You should now be able to say:* "A club earns money, but its purpose is not profit."



Such an organisation answers to several groups. Members want to know that their fees were used fairly. Donors want to know that gifts reached the cause. The government may ask for reports if the organisation has special legal standing. Because so many people trust it, an organisation of this kind often needs more careful records than a small business. Chapter 17 will show that its accounts use different names, but the ideas are the same as those of this book.

A last point links this section to the rest of the chapter. Whenever many people give money to an organisation, whether as fees or as gifts, they trust it. A record is how that trust is kept. This is true of a stall, a company and a club. Records are therefore not a matter for profit-seeking businesses alone.

WORKED CASE: FOUR BUSINESSES, ONE IDEA

This worked case applies the chapter to four businesses, moving from a familiar case to a new setting and then to a combined case.

Situation. First, Jamal's tea stall, which we know well. Second, Mitali Rahman's bakery. Third, a small garment factory near Dhaka, owned by three sisters, which sells shirts to a buyer in another country and pays for cloth a

Some organisations exist to serve members or a cause, not to earn profit.

A non-trading organisation exists for its members or cause.

Non-trading organisation. An organisation that does not exist to earn profit, such as a club or charity.

These organisations still need records, because members and donors want to know how money was used.

Such organisations are paid for by their members, by donors and sometimes by sales.

The recap of this short section.

A non-trading organisation may also deal with the government, members and donors, each of whom needs a report.

Whenever other people give money to an organisation, they have a right to see the record.

The worked case applies the whole chapter to four businesses of rising difficulty.

The case states four businesses and the questions to ask of each.

The case file records the bakery's kind, owner and start date.

Each business is judged in turn, starting with the familiar stall.

The garment factory is a new setting that combines manufacturing, on account dealing and shared ownership.

The last case mixes two kinds of business, so it is described by the kind that earns most.

The case shows that kind, payment and ownership are three separate questions.

The garment factory case shows that missing facts must be named, not guessed.

The conclusion and check confirm that each answer follows from the definitions.

The summary restates the chapter's main ideas in a few lines.

month after it arrives. Fourth, the bakery again, after it adds a counter that sells bottled drinks bought from a supplier. *Question.* For each business: what kind is it, how do its customers pay, and what form of ownership does it have?

Case file, illustrative. Business: a bakery in Dhaka that makes and sells bread, cakes and catering orders. Owner: Mitali Rahman, who owns and runs it as a sole trader. Start date: 1 January 2026. Kind of business: manufacturing. No figures are recorded yet.

Reasoning. The tea stall changes materials into tea, so it is a manufacturing business. Its customers pay cash on the spot, and Jamal is a sole trader. The bakery also changes materials into goods, so it too is manufacturing. Most customers pay in cash at the counter, but a school may buy catering on account. Mitali is the only owner, so the form is sole trader.

The garment factory changes cloth and thread into shirts, so it is a manufacturing business. It buys cloth on account, which creates a debt to the cloth supplier, and it sells shirts to its buyer, who may also pay later. Three sisters own it. If they run it together and share profit, it is a partnership. If they have formed a company, the law treats the factory as a separate person. The facts given do not settle the form, so we must say what we would need to know.

The bakery with a drinks counter is a mixed case. It still makes bread and cakes, which is manufacturing. The counter buys finished bottles and resells them, which is merchandising. Cash sales over the counter are paid at once, while the school's order creates a debt owed to the bakery. Because baking brings in most of the money, we call the business manufacturing and note the merchandising part.

The four answers also show that the questions are independent. A business of any kind may be owned in any form, and may take cash or sell on account. The bakery's kind does not tell us its owner's form, and its owner's form does not tell us how its customers pay. Whenever you meet a new business, ask the three questions one by one, and do not let the answer to one decide the others.

Notice what we did with the garment factory. The facts did not say whether the sisters formed a partnership or a company, so we did not guess. We said what extra fact would settle the answer: whether the law treats the factory as a separate person, and whether the sisters answer personally for its debts. A good answer in accounting names its missing facts. Guessing can lead to a wrong record, and a wrong record misleads every person who reads it.

Conclusion. The tea stall: manufacturing, cash, sole trader. The bakery: manufacturing, cash and on account, sole trader. The garment factory: manufacturing, on account both ways, form unknown until the owners tell us. The bakery with drinks: manufacturing with a merchandising part, cash and on account, sole trader. *Check.* Each answer uses one definition from this chapter, and each shows that kind, payment and ownership are three separate questions.



SUMMARY

A business sells goods or services to earn money, so it deals with customers, suppliers and an owner. Profit is what is left when costs are taken from earnings, and a loss is the opposite. Businesses are service, merchandising or manufacturing, and many mix kinds. Payment may be in cash or on account; the second leaves a debt. Ownership may be sole trader, partnership or company, and the

form decides who answers for debts. Non-trading organisations serve a cause. All need records.

THINK IT THROUGH

Classify each of the following by kind: a roadside fruit seller who buys fruit and resells it; a private tutoring centre; a factory making biscuits; a tailor who sews to order; a bakery that also resells drinks; a village football club. For the club, say why it does not seek profit. Then say which form of ownership suits each of three people: someone who wants to start alone with small savings; two brothers who want to share skill and profit; fifty neighbours who want to invest without risking their homes. Give a reason for each choice.

The task is to classify six small enterprises and to choose a form of ownership.

WHERE PEOPLE GO WRONG

"The money in the box is the profit." The box also holds the owner's own money. Profit is earnings minus costs. "A company is a large business." A company is a form of ownership, and it can be tiny. "A sale on account is not yet a sale." The sale is made on delivery, and only the money is delayed. "A bakery is a shop, so it is merchandising." A bakery makes its goods, so it is manufacturing. "A non-trading organisation handles no money." It handles money, but its aim is its cause, not profit.

Five common mistakes about this chapter are stated and corrected here.



"If the owner works in the business, the work costs nothing." The owner's work has value, even when no wage is paid, and later chapters explain how accounting treats it. "A business exists only to earn money for its owner." Profit rewards the owner, but a business also meets customers' needs and gives work to staff and suppliers. A business that ignores its customers will soon lose its profit.

Two more mistakes concern the owner's own work and the purpose of the business.

IN HISTORY: THE MUSLIN OF DHAKA

For several centuries, the cotton cloth called muslin made Dhaka famous. When Dhaka became the Mughal capital of Bengal, its muslin received the patronage of emperors and nobles and attracted buyers from distant lands.¹ The cloth was made by weavers, but it reached its buyers through merchants and through agents known as *dalals* and *paikars*, as well as through the buyers' own officials. Here is the whole chain of this chapter: those who make, those who sell onward, and those who pay.

Dhaka's muslin trade shows weavers, middlemen and buyers working together long before modern shops.

Estimates record that in 1747 the cotton goods exported from Dhaka, chiefly fine muslin, were valued at 28 and a half lakh rupees, where one lakh is 100,000. After 1757, the industry declined. By the end of the eighteenth century, exports had fallen to about half the 1747 figure, and by the middle of the nineteenth century to less than ten lakh rupees. Historians name the loss of patronage and, above all, to the cheap cloth that machines in England could produce.

The numbers of the trade show how large it was and how it ended.

Notice also how many parties the muslin trade involved. A weaver might sell to an agent, who sold to a merchant, who sold to a buyer in a distant market. At every link, one party owed money to another, or was owed it. The trade could work only if each party could trust the others to pay. Trust of this kind is easier when there is a written record that both sides accept.

The muslin trade also shows how many parties each needed a record of what they owed.

¹ This account follows the entry on muslin in Banglapedia, the national encyclopedia of Bangladesh.

The lesson is that a business, however famous, cannot ignore its customers and its costs.

The lesson fits this chapter. A business lives by exchange with customers, and it fails when the customers go or when a cheaper maker takes them. Weavers, middlemen and buyers each needed to know what they owed and what was owed to them. Every trader who dealt across such a chain was a business owner who needed a record of debts and earnings. Chapter 2 explains how those records grew into accounting.

The first review question asks you to tell the three kinds of business apart.

The second question tests the idea of profit with fresh numbers.

The third question tests the meaning of a debt.

The fourth question asks you to compare the forms of ownership.

The fifth question asks about organisations that do not seek profit.

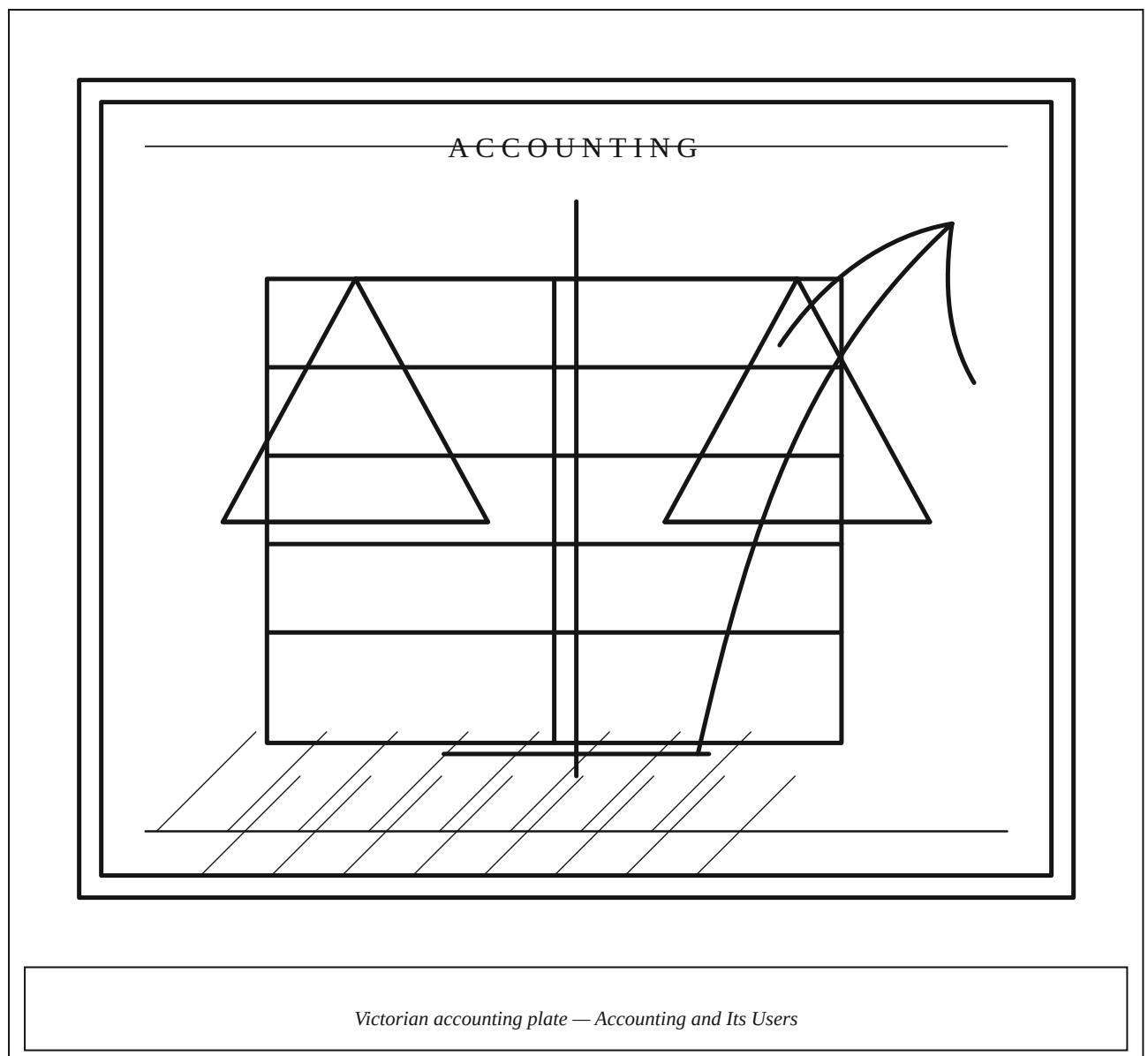
The sixth question asks you to place a business that mixes two kinds.

The seventh question asks you to say why a record is needed.

The eighth question asks you to separate the owner's form from the size of a business.

REVIEW QUESTIONS

1. Give a new example of a service business, a merchandising business and a manufacturing business, and say why each belongs where you put it.
2. A seller of cold drinks spends Tk 500 on bottles and ice and earns Tk 800 from sales. State the profit. If sales had been Tk 450, state the result.
3. Explain what it means to buy on account. Who owes money, and who is owed?
4. Compare the sole trader, the partnership and the company on three points: owners, responsibility for debts, and raising money.
5. Explain why a charity keeps records even though it does not seek profit.
6. A pharmacy sells packaged medicines and also gives advice on how to use them. Which two kinds of business does it combine? Which kind would you name it, and why?
7. Jamal keeps the stall for a month. Give two reasons why a written record helps him more than his memory.
8. A student says, "A company is always a large business." Explain why the student is wrong, and give an example.



CHAPTER II

Accounting and Its Users

Who reads the numbers, and what do they want to know?



A household keeps a note of its money, and so does every business.

This chapter shows how keeping a record grew into accounting, what accounting does, which branches it has, and who depends on the information that it gives.

A family notices that its money disappears each month and cannot say where it went.

Salma starts a notebook, and after a month she can answer the question.

Salma's problem is also the problem of every business, but larger and shared by many people.

The chapter answers the questions in order: what to record, what accounting is, which branches exist, and who reads the results.

A record is a written note of something that happened, kept so that it can be checked later.

Record. A written note of something that happened, kept so that it can be checked later.

A household record serves four purposes: it shows where money goes, it helps planning, it settles arguments, and it reminds us of debts.

GO SLOWLY HERE.

A good record answers four questions about each event: when, what, how much and with whom.

SALMA'S NOTEBOOK

Salma and her husband earn Tk 40,000 a month between them. In March, Tk 9,000 was left at the end of the month, and they were pleased. In April, only Tk 3,000 was left. They looked at each other and asked the same question: where did the other Tk 6,000 go? Neither could answer. Salma remembered a school fee, a visit to a doctor and a large electricity bill, but she could not say how much each one cost. The money had left, and no trace remained.

In May, Salma bought a small notebook. On the left page she wrote each amount that came in, with the date and its source. On the right page she wrote each amount that went out, with the date and its purpose. At the end of May she added each page. The right page showed that the electricity bill was Tk 5,500, almost double that of March, because the family had used a fan all night. She now knew where the money went, and she could plan a change.

Think about what Salma's notebook did. It did not create money. It only recorded facts: what came in, what went out, when and why. Yet that small act gave her knowledge and control. A business has Salma's problem in a much larger form. Mitali's bakery will receive money from hundreds of customers and pay it to many suppliers and workers. Strangers will also want to read her notes: a banker, an officer of the government who checks the tax that her business must pay (section 2.3 explains tax), and a supplier. This chapter asks what her notes must contain, and for whom.

Section 2.1 explains why records matter, starting with the household. Section 2.2 defines accounting and explains why it is called the language of business. Section 2.3 describes its branches. Section 2.4 names the people who use accounting information and shows what each one wants to know. Section 2.5 states the aims of accounting. Chapter 1 gave you the words *business*, *owner*, *customer*, *supplier*, *cash* and *on account*, and we shall use them freely.

2.1 KEEPING RECORDS: FROM THE HOUSEHOLD TO THE BUSINESS

Salma's notebook is an example of a **record**. A record is a written note of something that happened, kept so that it can be checked later. A record has three features. It states a fact, such as "paid Tk 5,500 for electricity". It gives the date. And it is written, so that it lasts longer than a person's memory. Without the third feature, a note is only a thought.

Why did Salma's record help her? It served four purposes. First, it showed where the money went. Second, it helped her to plan: once she saw the electricity cost, she could change her habits. Third, it settled arguments: if her husband said that the doctor's fee was Tk 1,000 and she remembered Tk 1,500, the page would decide. Fourth, it kept track of debts: if a neighbour borrowed Tk 500, the notebook remembered it when both people forgot.

A good record answers four questions about each event. When did it happen? What happened? How much money was involved? With whom did the exchange take place? Salma's note "Tuesday: paid electricity Tk 5,500 to the power company" answers all four. A note such as "bills Tk 9,000" answers only one. If any answer is missing, a later reader may not be able to use the note. Businesses add a fifth question: was it paid in cash or on account?

One month of Salma's notes can be read as a page of sums. In the table that follows, each row is one kind of spending, with its total for May. At the foot of the page, she compares what came in with what went out. This is the question that she could not answer in April.

SALMA'S PAGE FOR MAY (AMOUNTS IN TAKA)

ITEM	CAME IN	WENT OUT
Pay from work	40,000	
Rent		12,000
Food		14,000
Electricity		5,500
School		3,000
Doctor		1,500
Other		1,000
Total	40,000	37,000

Given. The table above. *Find.* The money left at the end of May. *Formula.* In words: money left equals money that came in minus money that went out. *Steps.* Money out: 12,000 + 14,000 = 26,000; add 5,500 to give 31,500; add 3,000 to give 34,500; add 1,500 to give 36,000; add 1,000 to give 37,000. Money left: 40,000 – 37,000 = 3,000. *Answer.* Tk 3,000 is left. *Check.* Add the money left to the money that went out: 3,000 + 37,000 = 40,000, which is the money that came in.

Notice how simple Salma's task was. She was the only writer, and she wrote only a few events each day. Her only reader was her family. She did not need rules, because everyone in the house understood her notes. If she wrote "milk" on one day and "dairy" on another, nobody would be confused. The household record therefore needed few rules, because its writer and its readers were the same people.

A month of Salma's notes can be read as a page of sums, which shows how a record answers her first question.

The page shows Tk 3,000 left, and the sum is checked by adding in the other direction.

A household record is small, written by one person, and read by a few.

A household page		A business page			
What	Amount	What	Amount	How paid	By
Electricity	5,500	Bread sold	300	Cash	Asha
School	3,000	Cake sold	800	Cash	Asha
Doctor	1,500	Catering	1,500	On account	Rafiq
One writer, few lines		Several writers, more columns			

FIG. 5. A household's page of notes beside a business's page of notes, showing how the same idea grows

Read the figure from the left side to the right side. The left page is Salma's: a few lines, one writer, and simple words. The right page is a business's: many lines, several people writing, and columns that show whether an amount is cash or on account. The right page also shows who paid and who must pay. Everything on the left page is still there, but much more has been added, because more people need to understand it.

A business needs records for the same four purposes. Mitali needs to know where the bakery's money goes and where it comes from. She needs to plan, for example how much flour to buy next week. She needs to settle arguments, for

The figure compares a household page with a business page and shows what is added as the number of events grows.

A business needs records for the same four purposes, but on a larger scale and for more people.

A business differs from a household in the number of events, the number of people involved, and the strangers who read the records.

Writing a record also protects honest people, because it shows what really happened.

A record is useful only if it is honest, so the people who write it must be trusted and their work must be checkable.

Records need not be on paper: a phone, a computer or a notebook can all hold them.

A short test of what a good record contains.

The recap states what a record is and why a business needs one.

example with a customer who says that he paid for a cake in cash. And she needs to track debts, for example the amount that a school still owes her. The purposes are the same as Salma's; only the size has changed.

Three differences separate a business from a household. The first is volume: a bakery may record a hundred small sales in a day. The second is the number of people: several workers may handle money, so an error by one affects the whole. The third is the readers: people outside the business, who do not know the owner, may need to trust her notes. Strangers will accept a record only if it follows rules that they know. This leads to accounting.

A record also protects people who are honest. If a worker is accused of taking Tk 2,000 from the till, a clear record of the day's sales and receipts may show that the money was never missing. If a supplier says that a bill was not paid, the owner's record may show the date of payment. A record is therefore not an insult to those involved. It gives each side a fair test of what really happened.

A record has value only if it is honest. A page can be written falsely as easily as truthfully. For this reason, businesses ask that the person who writes a record can be identified, and that another person can check it against evidence such as a receipt. Salma has no such need, because she trusts herself. But a business that holds money for many people must be able to show that its records are true, and Chapter 7 shows how a written receipt supports each entry.

A record may be kept in many ways. Salma used a paper notebook, but a phone or a computer can hold the same notes. The material does not change the idea. What matters is that each fact is written in plain words, with a date, so that someone can check it later. Modern businesses use computers for most records, yet the principles in this book apply to every kind of record, whether on paper or on a screen.

Pause and check. Salma writes only "bills Tk 9,000" in her notebook. Why is this note not a good record? What two things should she add?

Before moving on. A record is a written note of a fact, with a date, that can be checked later. Households and businesses keep records to see where money goes, to plan, to settle arguments and to remember debts. A business needs more rules, because more people write and read its records. *You should now be able to say:* "A record turns a fact into evidence."



2.2 WHAT ACCOUNTING IS, AND WHY IT IS CALLED THE LANGUAGE OF BUSINESS

Three different readers can read the same page of a business's records and understand it in the same way.

Accounting is the process of recording, sorting and reporting the money facts of an organisation.

Accounting. The process of recording, sorting and reporting the money facts of an organisation.

Imagine that Mitali has written a page about her bakery's year. A banker reads it, and so does a tax officer, and so does a supplier of flour. They have never met, and they have different aims. Yet all three understand that page in the same way. They agree on what is owned, what is owed, what was earned and what was spent. This shared understanding is the achievement of accounting, and it is the subject of this section.

We now define the word. **Accounting** is the process of recording, sorting and reporting the money facts of an organisation. It has three parts. *Recording* means writing down each event, as Salma did. *Sorting* means placing like items together: all the money spent on flour in one group and all the money spent on rent in another. *Reporting* means summarising the groups into a short statement that a reader can use.

Follow the three parts for the bakery. In a week, Mitali's bakery makes two hundred small sales and buys flour five times. Recording writes down all of these events. Sorting places the sales together and the flour purchases together. Reporting then states one sum for sales and one for flour. A reader who sees only two numbers does not need to read two hundred and five lines. This is how accounting turns many events into a few useful facts.

The facts that accounting produces are called **accounting information**. Accounting information means facts about money, such as what a business owns, owes, earns and spends. For example, "the bakery owns an oven" and "the bakery owes the supplier for flour" are both accounting information. Some people say *financial information*. Information is useful only if a reader can understand it and trust it. Chapter 3 shows how accounting protects trust.

Many people use the words *accounting* and *bookkeeping* as if they meant the same thing. They do not. **Bookkeeping** is the part of accounting that records events in an orderly way. It is the daily work of writing each event in the right place. Accounting includes bookkeeping, and it also includes sorting, reporting and explaining what the figures mean. A bookkeeper keeps the diary of the business; an accountant uses the diary to write the year's report.

The difference is one of scope, and not of importance. Bookkeeping must be accurate, because errors in the daily record spread into the reports. Accounting needs the same accuracy and also judgement. For example, an accountant must decide how to report a debt that a customer may never pay. In a small business, one person may do both jobs. In a large one, many bookkeepers record events, and a few accountants study the results.¹

IN SHORT

Bookkeeping records. Accounting records, sorts, reports and explains.
Accounting information is the result that readers use.

Let us follow one Monday in a small bakery, to see all three parts at work. The baker makes three sales. She sells bread for Tk 300, paid in cash. She sells a cake for Tk 800, also paid in cash. And she delivers a catering order to a school for Tk 1,500, to be paid later, so this one is on account. The table that follows records the three events, one per row.

A BAKER'S MONDAY: THE THREE EVENTS RECORDED (AMOUNTS IN TAKA)

EVENT	AMOUNT	HOW PAID
Bread sold	300	Cash
Cake sold	800	Cash
Catering for a school	1,500	On account

Recording is the table above: each event on its own row. *Sorting* places like items together. The two cash sales form one group, worth $300 + 800 = \text{Tk } 1,100$. The sale on account forms another group, worth Tk 1,500. *Reporting* then states the result in a few lines: sales for the day were Tk 2,600, of which Tk 1,100 was received in cash and Tk 1,500 is still owed by the school. *Check*. $1,100 + 1,500 = 2,600$, which equals $300 + 800 + 1,500$. A reader of the report knows

Accounting turns many small events into a few clear reports.

Accounting information. Facts about money, such as what a business owns, owes, earns and spends.

GO SLOWLY HERE.

Accounting information means facts about money that readers can use.

Bookkeeping is the part of accounting that records events in an orderly way.

Bookkeeping. The part of accounting that records transactions in an orderly way.

The two jobs differ in skill and in purpose, though one person may do both in a small business.

Following one day of a baker's sales shows the three parts of accounting in order.

Sorting places the cash sales together and the sale on account apart, and reporting states one total for each.

¹ In some countries the word *accountant* is protected by law, and only a person who has passed professional examinations may use it. Bangladesh has professional bodies for accountants; later chapters name them where it matters.

Accounting information is useful only when readers can understand it, when it bears on their choice, and when they trust it.

Accounting is often called the language of business, because it gives people common words for facts about money.

The comparison with language is useful because it explains why accounting needs shared rules.

A language must also be learned, and accounting is no exception, which is the purpose of this book.

The comparison also has limits: accounting says only what can be measured in money.

A short test of recording, sorting and reporting.

The recap states what accounting is and why it is a language.

Accounting has four main branches, each serving a different purpose.

two useful facts at once: how much was sold, and how much is still to be collected.

What makes accounting information good? Three qualities matter at this early stage. It must be understandable, so that a reader trained in the language can follow it. It must be relevant, so that it bears on the choice the reader must make. And it must be trustworthy, so that the reader believes it. A report that is clear but wrong is harmful. A report that is true but unreadable is useless. Chapter 3 describes the rules that protect these qualities.

Accounting is often called the *language of business*. A language is a set of agreed words that lets people share ideas. If a Bangladeshi and a Chinese trader speak no language in common, they cannot discuss a sale. But if both read the same words for money facts, such as *profit* and *debt*, they can discuss the business even without a spoken language in common. Accounting provides such shared words and shared rules for the money facts of every business.

Why is the comparison useful? Because a language works only when everyone uses a word in the same way. If one baker uses *profit* to mean the money in the till and another uses it to mean earnings minus costs, they will misunderstand each other. Accounting fixes the meaning of such words. When a banker reads "profit Tk 127,000", she knows exactly what the figure means, however far she is from the bakery. This agreement lets strangers trust one another.

A language must also be learned. A person who has never heard English cannot read an English page, however clear it is. In the same way, a person who has never studied accounting finds a page of figures difficult. This is not a fault in the reader. The words and rules of accounting must be taught, one at a time, and this book teaches them in order. By Chapter 12 you will read a business's reports as easily as a letter.

The comparison has limits. A spoken language can describe feelings, beauty and ideas. Accounting can describe only facts that have a money value. It can say that the bakery owns an oven worth a certain amount. It cannot say that the bakery's bread is delicious, or that its workers are kind. These facts matter, but they lie outside accounting. Chapter 3 calls this the *money measurement* rule. A reader who forgets the limit may think the reports tell the whole story, when they tell only part of it.

Pause and check. Salma lists her month's spending, groups it into food, bills and school, and states a total for each group. Which parts of accounting did she perform: recording, sorting, reporting?

Before moving on. Accounting records, sorts and reports the money facts of an organisation. Bookkeeping is the recording part. Accounting information is the result. Accounting is called the language of business because it gives strangers common words and rules. *You should now be able to say:* "Accounting is a language for money facts, and it must be learned."



2.3 THE BRANCHES OF ACCOUNTING

A large business has many questions about money, and no single report can answer them all. For this reason, accounting has grown into several branches. Each branch gathers the same basic facts but arranges them for a different purpose. This section describes four branches and then explains a fifth activity that

is related but different. We shall use the bakery to show how each one would work.

The first branch is **financial accounting**. It is the branch that reports a business's results to people outside it. These people include banks, suppliers and the tax office. Financial accounting produces the statements that you will learn in Chapter 5: the income statement and the balance sheet. It follows fixed rules, so that every outside reader can understand it. Most of this book teaches financial accounting.

The second branch is **management accounting**. It is the branch that gives managers the information they need to run the business. Unlike financial accounting, it follows no fixed rules from outside, because it serves only the people inside the business. A baker might ask: which cake earns most for each hour of work? A report from management accounting can answer that question. It can also look forward as well as back.

One tool of management accounting is the **budget**. A budget is a plan that shows the money a business expects to earn and spend. For example, Mitali might write in December that she expects to sell more bread in January and will need to buy more flour. Later she can compare the plan with what really happened. If the two differ, she asks why.

The third branch is **cost accounting**. It is the branch that measures what it costs to make a product or perform a service. How much does one loaf cost the bakery? The answer includes flour, sugar, gas, the baker's time and part of the oven's wear. A baker who does not know this cost may sell the loaf at a price that loses money. Cost accounting is most important for manufacturing businesses, as Chapter 1 explained.

Before the fourth branch, we need one more word. **Tax** is money that the government requires people and businesses to pay. The government uses taxes to build roads, run schools and pay many other costs. A business may pay tax on its profit, on its sales and on other items. The amount depends on the rules of the country.

The fourth branch is **tax accounting**. It is the branch that works out the tax a business must pay. It follows the tax law, which may differ from the rules of financial accounting. A tax accountant asks: which income is taxed, and which costs may be subtracted? Mitali's profit as shown in her reports may differ from the profit on which the law asks her to pay tax. Chapter 14 returns to this point.

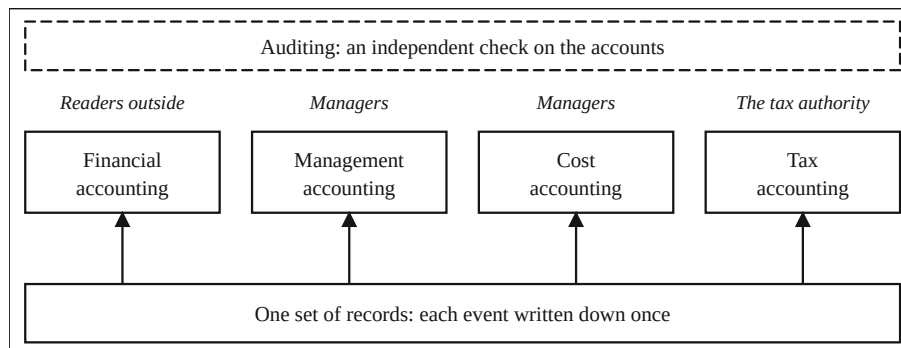


FIG. 6. The four branches of accounting and the people each one serves

Read the figure from the bottom to the top. At the base is a single set of records, where all events are written. From this base, four branches grow upward. Each branch takes the same facts and arranges them for a different purpose. Financial accounting reports to outsiders. Management accounting helps managers. Cost

Financial accounting reports the business's results to readers outside it.

Financial accounting. The branch that reports a business's results to people outside it.

Management accounting gives managers the information they need to run the business.

Management accounting. The branch that gives managers the information they need to run the business.

A budget is a plan of expected earnings and spending, and management accounting prepares it.

Budget. A plan that shows the money a business expects to earn and spend.

Cost accounting measures what it costs to make a product or perform a service.

Cost accounting. The branch that measures what it costs to make a product or perform a service.

Tax is money that the government requires from people and businesses.

Tax. Money that the government requires people and businesses to pay.

Tax accounting works out the tax a business must pay.

Tax accounting. The branch that works out the tax a business must pay.

The figure shows the four branches growing from the same set of records, each serving different readers.

The next table gathers the four branches in one place, so that you can compare them.

accounting measures the cost of making things. Tax accounting works out the tax. The figure shows why one set of records can serve many purposes.

The table that follows has one row for each branch. It has four columns: the name of the branch, the question that it answers, its main reader, and an example from the bakery. Read it one row at a time.

THE FOUR BRANCHES COMPARED

BRANCH	QUESTION IT ANSWERS	MAIN READER	BAKERY EXAMPLE
Financial	How did the business do, and what does it own and owe?	Outsiders	Year-end statements
Management	What should we do next?	Managers	A budget for January
Cost	What does one product cost?	Managers	The cost of one loaf
Tax	How much tax is due?	Tax authority	The tax on the year's profit

The table lets you match each branch to the question it answers.

We introduced the table in words first, so now we read it by rows. In the first row, the question is about the whole business and the reader is outside it. In the second row, the question looks forward, and the reader is a manager. The third row asks about one product. The fourth row concerns the law. Notice that every branch needs accurate records, which is why bookkeeping lies at the foundation of all four.

Auditing is an independent check that the accounts are fair and correct.

Auditing. An independent check that a business's accounts are fair and correct.

Related to these branches, but different, is **auditing**. Auditing is an independent check that a business's accounts are fair and correct. An auditor is a person outside the business who examines its records and reports whether they can be trusted. The check matters because outside readers cannot see the business's books for themselves. Auditing is not a fifth way of preparing accounts. It is a way of testing the accounts that others have prepared.

Each branch makes its own kind of report, and the reports differ in form.

The branches also differ in the reports they make. Financial accounting makes a few formal statements at fixed times, usually once a year. Management accounting makes many informal reports, as often as the managers ask: daily, weekly or monthly. Cost accounting makes cost sheets for each product. Tax accounting makes the returns that the law requires. A bakery owner may read a daily sales note, a weekly budget check and a yearly set of statements, and each one comes from a different branch.

Tax accounting and financial accounting may report different profits, because tax law has its own rules.

It may surprise you that two reports of the same year can show different profits. The tax law has its own rules about which costs may be subtracted and in which year. Financial accounting follows the rules of accounting. When the rules differ, the profit for tax may differ from the profit in the financial statements. Neither report is dishonest. They answer different questions, and each follows the rules of its own purpose.

One person may work in several branches, and small businesses often use none of the specialist names.

In practice, the branches overlap. A small bakery has no separate cost department; the owner does cost accounting in her head and in a notebook. A bookkeeper may also prepare the tax return. The names tell us what kind of question is being asked, and not necessarily who answers it. This book teaches financial accounting in detail because every other branch builds on it.

A reader should always ask which branch produced a report, because each branch follows different rules.

Why does it matter which branch produced a figure? Because the branches follow different rules and serve different readers. A profit figure prepared for the tax office may differ from one prepared for the bank. Neither is wrong; each is

prepared for its own purpose. A careful reader asks first: for whom, and for what purpose, was this report made? That question prevents many misunderstandings.

Before moving on. Financial accounting reports to outsiders. Management accounting helps managers, and uses budgets. Cost accounting measures the cost of products. Tax accounting works out the tax due. Auditing is an independent check on accounts. *You should now be able to say:* "The branches use the same records for different purposes."



2.4 WHO USES ACCOUNTING INFORMATION, AND FOR WHAT

The people who read accounting information are called **users**. A user is a person who reads accounting information to help make a decision. A **decision** is a choice between two or more actions, such as whether to lend money. Two examples show the link. A banker reads the bakery's reports before deciding whether to lend. A supplier reads them before deciding whether to deliver flour on account. The information serves the choice.

Users fall into two groups. An **internal user** is a user inside the business, such as the owner or a manager. An **external user** is a user outside the business, such as a bank or the tax office. The two groups need different information. Internal users need detail, to run the business from day to day. External users need a clear summary prepared by fixed rules, because they cannot see inside the business.

Consider the users of the bakery one by one, starting inside. The first is Mitali, the owner. She decides what to bake, what price to charge, how much flour to buy and whether to hire another baker. She also decides how much to take out of the business for her own use and whether to expand. Her question is always the same: how is my business doing, and what should I do next?

The bakery's staff are also users. A worker wants to know whether the bakery is healthy enough to pay wages and to keep her job. A worker may also ask for a share of a good year's profit. Some staff, such as a manager, use detailed reports to run a section. Others use only a short summary. Whether staff are called internal or external depends on the business; in this book, we count them as internal.

Turning to outside users, we meet the creditors. A **creditor** is a person or business to whom money is owed. A supplier who delivers flour on account is a creditor, because the bakery owes the supplier. A bank that lends money is also a creditor. Both ask the same question: will the business pay me, and when? They study how much the business owns, how much it owes, and whether it earns enough.

Another outside user is the **investor**. An investor is a person who puts money into a business hoping to receive a return. A friend who puts money into the bakery in exchange for a share of its profit is an investor. So is a person who buys shares in a large company. Investors ask: is the business earning enough profit, and is my money safe? In a company, the investors are its owners, so they read the reports closely.

The recap lists the four branches and auditing.

Many different people read accounting information, and each wants to know something different.

User. A person who reads accounting information to help make a decision.

Decision. A choice between two or more actions, such as whether to lend money.

Users fall into two groups according to whether they work inside or outside the business.

Internal user. A user inside the business, such as the owner or a manager.

External user. A user outside the business, such as a bank or the tax office.

The owner is the first internal user, deciding how to run the business and whether to continue.

Employees are also internal users, because their pay and jobs depend on the business.

Outside the business, suppliers and lenders are creditors, who want to know whether they will be paid.

Creditor. A person or business to whom money is owed.

Investors and owners who are not managers want to know whether their money earns a good return.

Investor. A person who puts money into a business hoping to receive a return.

The tax authority is an outside user that checks whether the business has paid the right amount of tax.

Customers, and sometimes the public, also use the information to judge whether a business will last.

The tax authority is another outside user. It asks whether the business has reported its earnings fairly, and whether it has paid the right amount of tax. It cannot visit every business each day, so it relies on the accounts. For this reason, the law of most countries requires businesses to keep records. A business that keeps poor records may have to pay more tax than it owes, or may be fined.

Customers are a further group of outside users. A customer who pays in advance for a wedding cake, or who relies on a bakery for regular supplies, wants to know that the business will survive. A school that signs a long order may check that the bakery is sound. The public also takes an interest in large businesses, because their success affects jobs, prices and the country's economy.

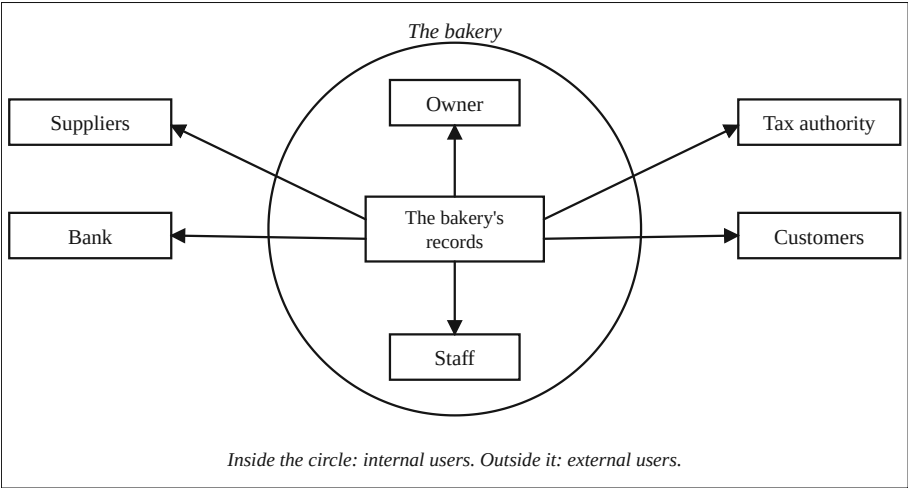


FIG. 7. The bakery in the centre, with internal users inside the circle and external users outside it

The figure places the bakery's users inside and outside a circle that stands for the business.

The figure draws a circle that stands for the bakery. Inside the circle stand the internal users: the owner and the staff. Outside it stand the external users: suppliers, a bank, the tax authority and customers. Lines run from the bakery's records, in the centre, to each user. Notice that the same records serve everyone, though each user takes a different piece of information from them.

The next table pairs each user with one typical decision.

The table that follows lists six users of the bakery's information. For each user, it states whether the user is inside or outside the business, and one decision that the user might make with the help of the records.

USERS OF ACCOUNTING INFORMATION AND WHAT EACH ONE DECIDES		
USER	INSIDE OR OUTSIDE	A TYPICAL DECISION
Owner	Inside	Whether to expand or to hire
Staff	Inside	Whether the job is secure
Supplier	Outside	Whether to deliver goods on account
Bank	Outside	Whether to lend, and how much
Tax authority	Outside	Whether the tax paid is correct
Customer	Outside	Whether the business will last

The table links each user to one typical decision, so you can match users to choices.

To read the table, choose a user and read across. For the owner, the decision is about growth. For the supplier, it is about trust: will I be paid? For the bank, the decision is about lending, which depends on the same trust but over a longer time. Each decision asks a different question, but all of them use facts about what the business owns, owes, earns and spends. This explains why one set of records can serve everyone.

Think about what happens when a user has no information. A supplier who knows nothing about a bakery must either refuse credit, and lose a customer, or give credit blindly, and risk losing the goods. A bank that knows nothing must refuse to lend. A worker who does not know whether the business is healthy cannot plan for the future. Information reduces such guessing. This is why users ask for records, and why a business that cannot show them finds it harder to win trust.

Users should also know the limits of accounting information. First, it describes what has already happened, so it cannot promise what will happen next. Second, it counts only facts with a money value. Third, some figures are estimates, such as how long an oven will last. A user who treats every figure as perfect may be misled. A careful user reads the information together with other facts, such as the state of the market and the skill of the people who run the business.

An important point of honesty follows. The bakery's owner may be tempted to show a high profit to the bank, so that it will lend, and a low profit to the tax authority, so that she pays less tax. This is wrong, and in most countries it is a crime. Accounting may arrange the *same* facts differently for different users, but it must never report *different* facts to different users. Trust in accounting rests on this rule.

One person may also belong to several groups. Mitali is the owner of the bakery. She also manages it, and she works in the kitchen. As owner she asks whether the business makes a profit. As manager she asks which products to make. As worker she asks whether the wages are paid. A small business often has an owner who is all three, and the owner then reads the same records in three different ways.

The users' needs overlap, yet the emphasis differs. A supplier cares most about debts and about speed of payment. A bank cares about earnings over many years, because it will be repaid over many years. The tax authority cares about the earnings of one year. The owner wants every kind of fact. A well-kept record holds all the facts, and reports can then be arranged for each user.

Pause and check. A baker is deciding whether to buy a second oven. Is she an internal or an external user? Which facts would she want?

Before moving on. A user reads accounting information to make a decision. Internal users, such as the owner and staff, work in the business. External users, such as creditors, investors, the tax authority and customers, are outside it. *You should now be able to say:* "Different users make different decisions from the same records."



2.5 WHAT ACCOUNTING IS TRYING TO ACHIEVE: THE OBJECTIVES OF ACCOUNTING

Why does accounting exist at all? We can answer by drawing together what we have learned. Accounting has four main aims. They are to record, to report, to support decisions and to show accountability. Each one answers a need that we have already met. In this section, we study the four aims in order and show how each one helps the people who read accounting information.

The first aim is to record. This is the work of bookkeeping, which writes down each event so that no important fact is lost. Salma's notebook served this aim. Without a record, the other three aims cannot be met, because there is

A user without information must guess, and guessing leads to costly mistakes.

Accounting information shows the past, in money, with some estimates, so users must read it with care.

The same facts must reach every user, even though the arrangement of the report differs.

A person can belong to more than one group of users, as the owner of a small business does.

The facts that different users want overlap, but the emphasis differs.

A short test of internal and external users.

The recap lists the users and the two groups.

Accounting has four aims, and each one answers a need of the users.

The first aim is to record, so that no important fact is lost.

The second aim is to report, which means to summarise the records for readers.

The third aim is to support decisions, by giving users the facts they need before they choose.

The fourth aim is accountability, which means being able to explain how you used what others trusted you with.

The four aims depend on each other, and failing one weakens the rest.

A week at the bakery shows the four aims working one after another.

The aims explain why accounting follows rules, which Chapter 3 describes.

The recap of the four aims.

The worked case shows that one set of records can serve a lender, a tax officer and a supplier.

nothing to report or to use. For this reason, accurate recording is the foundation of everything in accounting.

The second aim is to report. Reporting means summarising the records into statements that readers can understand. Few people have time to read every event. Mitali's banker wants one page, not two hundred. The reports must be short, clear and prepared by agreed rules. Chapter 5 shows the first of these reports.

The third aim is to support decisions. Every user in section 2.4 makes a choice, and the choice is better if the facts are good. A supplier who knows that a business pays late may ask for cash instead. A banker who sees steady profit may agree to lend. In each case, accounting does not make the decision; it supplies the facts, and the user decides. This is why accuracy and fairness matter so much.

The fourth aim is to show accountability. Accountability means being able to explain how you used what others trusted you with. If a bank lends money, the owner must show how she used it. If investors give money to a company, its managers must show what they did with it. If members pay fees to a club, the committee must show how the fees were spent. Accounting provides the evidence for such explanations.

The four aims depend on each other. If recording is careless, reports will be wrong. If reports are unclear, users will make poor decisions. And if the information is not honest, there is no real accountability. The aims therefore work as a chain, in which each link supports the next. A weakness in one link is a weakness in all. This is why accountants take great care with accuracy, with clarity and with honesty.

A week at the bakery shows the four aims in order. On Monday to Saturday, the bookkeeper records each sale, each purchase and each payment; this meets the aim to record. On Sunday, the accountant sorts the week's records and writes a short report of sales, spending and debts; this meets the aim to report. On the next Monday, Mitali reads the report and decides to buy more flour; this meets the aim to support decisions. At the end of the year, she shows the bank how she used its loan; this meets the aim of accountability.

The aims also explain why accounting follows rules. A report that serves outside users must be trusted by people who cannot check it for themselves. Trust needs shared rules about what to record and how to report it. Without such rules, two accountants might produce different reports from the same facts, and users could not rely on either. Chapter 3 describes these rules and shows why they exist.

Before moving on. Accounting aims to record events, to report them, to support users' decisions and to show accountability. Each aim relies on the one before it. *You should now be able to say: "Accounting records facts, reports them, helps decisions and shows accountability."*



WORKED CASE: ONE SET OF RECORDS, THREE READERS

This worked case follows the descriptive ladder of the chapter. We have met a household's notebook and the bakery's records. Now we place the bakery in front of a lender and then in front of three users at once.

Case file, illustrative. Users of the bakery's information: the owner, Mitali Rahman; the bakery's staff; its suppliers; a bank, which will matter later in the book; the tax authority; and its customers. No figures are recorded yet.

Situation. Suppose that, some time after the bakery opens, three people each ask Mitali for facts. A bank officer is thinking about lending to the bakery. A tax officer is checking the bakery's year. A flour supplier is deciding whether to deliver on account. *Question.* What facts does each person ask for, and can one set of records give them all?

Reasoning. The bank officer asks what the bakery owns and what it owes, and whether its earnings are large enough to repay a loan. The tax officer asks what the bakery earned and what it spent in the year, because tax depends on the difference. The supplier asks how much the bakery owes the supplier now, and whether it pays on time. Each reader asks a different question, but each question is about the same events: sales, purchases, debts and payments.

The records hold each event once. Because the events are sorted into groups, such as sales, flour, wages and debts, Mitali can arrange them for each reader. For the bank she shows what the bakery owns and owes. For the tax officer she shows earnings and spending. For the supplier she shows the debt to that supplier. *Conclusion.* One set of records serves all three, because the facts are recorded once and then reported in different forms.

Check. We test the answer by asking whether each reader's question matches a fact that the records hold. The bank's question needs facts about owning and owing, which the records hold. The tax officer's question needs earnings and spending, which the records hold. The supplier's question needs a debt and a date of payment, which the records hold. Every question is answered. If any fact were missing, the records would be incomplete.



SUMMARY

A record is a written note of a fact, kept so that it can be checked. Households and businesses keep records to see where money goes, to plan, to settle arguments and to track debts. Accounting records, sorts and reports the money facts of an organisation; bookkeeping is its recording part. Accounting is called the language of business because it gives strangers common words, but it can say only what has a money value. Its branches are financial, management, cost and tax accounting, with auditing as an independent check. Users, internal and external, read the same records to make different decisions. Accounting aims to record, to report, to support decisions and to show accountability.

THINK IT THROUGH

A small shop has been trading for three years. Its owner is thinking about a larger shop. A bank is asked to lend for it. A tax officer is checking the third year's return. State, for each of the three people, the main question that person will ask of the shop's records. Then say which facts in the records would answer each question. Finally, explain why the shop's owner should keep one careful set of records, rather than three different sets. Add one more point: the owner is tempted to show the bank a high profit and the tax officer a low profit. Say why this is wrong, and what the owner may do instead.

The case file lists the bakery's users of information.

The situation sets out three people who each ask Mitali for facts, and the question to answer.

The reasoning takes each reader in turn and finds the facts that they need.

One set of records can serve all three, because accounting records each event once and reports it in different ways.

The check confirms that each reader's question can be answered from a fact in the records.

The summary restates the chapter's main ideas in a few lines.

The task is to say what a lender, an owner and a tax officer each need from the same business.

Five common mistakes about accounting are stated and corrected here.

A merchant of the fourteenth century left behind records that still teach us how trade was kept.

Centuries later, a surprising find proved how much he had written.

The lesson is that records outlast their writers and can be read by strangers long afterwards.

The one source for this chapter's history is a biography built from the archive itself.

The first review question asks you to define accounting and bookkeeping in your own words.

WHERE PEOPLE GO WRONG

"Accounting and bookkeeping are the same." Bookkeeping is the recording part; accounting also sorts, reports and explains. "Accounting is only for large businesses." Salma's notebook is a small form of the same idea, and every business needs it. "Accounting information is only for the owner." Banks, suppliers, the tax authority and others also depend on it. "Accounting tells the whole truth about a business." It reports only what can be measured in money. "An audit is the same as accounting." An audit is an independent check on accounts that others prepared. "Accounting information is always exact." Some figures, such as the life of an oven, are estimates, and the information describes only the past. "Different users should receive different facts." They may receive the same facts arranged in different ways, but never different facts.



IN HISTORY: FRANCESCO DATINI AND HIS ACCOUNT BOOKS

Francesco Datini was a merchant who lived in Prato, a town near Florence in Italy, from about 1335 until his death in 1410. He traded across great distances and had businesses in several cities, among them Pisa, Genoa and Barcelona. A merchant with businesses in many places could not watch them all. He had to rely on written records, so that partners far away could see what had been bought, sold and owed.

In 1870, workers altering the house where Datini had lived found sacks of papers in a disused stairwell. They held about 150,000 letters, more than 500 account books and ledgers, and hundreds of deeds of partnership and insurance policies.² Few merchants of the period left so complete a record. Historians have used it to study how medieval trade worked, and the Italian writer Iris Origo built her book *The Merchant of Prato* from it.

The lesson matches this chapter. Datini wrote for readers in other cities and for the future, and strangers can still read his records six centuries later. They show a merchant's business, step by step. They also show why records matter: a record carries facts across distance and across time, to people who were not there. That is the purpose that accounting still serves, in every bakery and every bank.

SOURCES

Origo, I. (1957). *The Merchant of Prato: Francesco di Marco Datini*. London: Jonathan Cape. A readable biography based on the archive that was found in 1870. It shows how a merchant's letters and account books give a picture of his business and his daily life.

REVIEW QUESTIONS

1. Define accounting and bookkeeping in your own words. Explain how they differ, using an example from a business that you know.

² The figures follow the entry on Datini in *Encyclopaedia Britannica*. Counts of Datini's papers vary slightly between sources, so they are given as approximate.

2. In what ways is accounting like a language? Give one way in which the comparison does not hold.

3. Name the four branches of accounting. For each one, say what question it answers and who reads its results.

4. A supplier, a bank and a tax officer each read the records of the same business. State a decision that each one makes with the help of those records.

5. Explain the difference between an internal user and an external user. Give two examples of each for a bakery.

6. State the four aims of accounting. Explain how failing to meet one aim weakens the others.

7. A club's treasurer collects fees from members. Explain what accountability means in this case and what evidence the treasurer should hold.

8. Explain what an auditor does and why a bank might ask for audited accounts.

The second question asks about the language of business.

The third question tests the four branches.

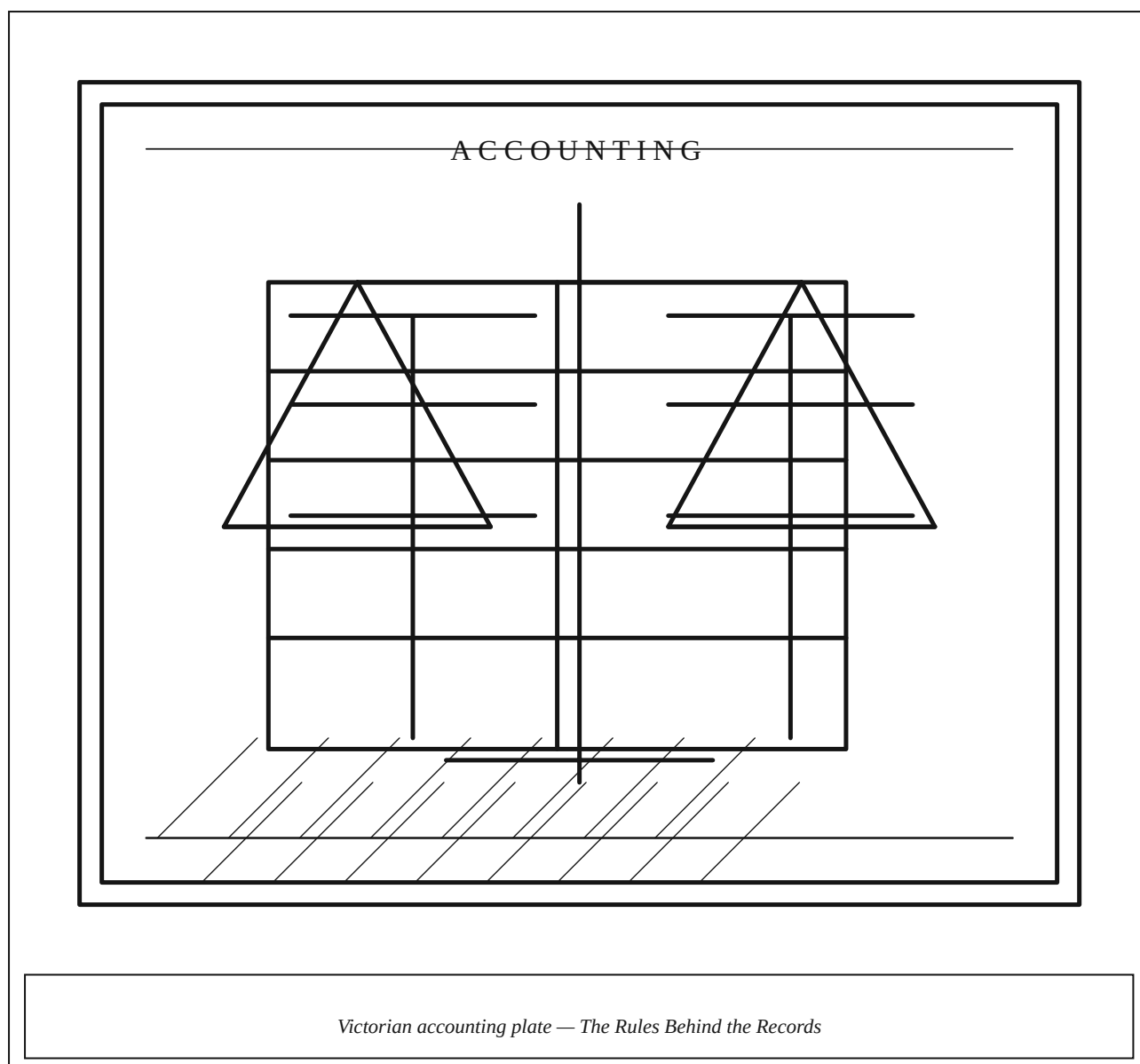
The fourth question asks you to match users to decisions.

The fifth question separates internal from external users.

The sixth question asks you to state the aims of accounting.

The seventh question tests the idea of accountability.

The eighth question tests what auditing does.



CHAPTER III

The Rules Behind the Records

Why do two honest bakers report two different results?



This chapter shows why accountants follow shared rules. It teaches the basic concepts of entity, money measurement, cost and going concern, the idea of the accounting period, and the standards that let one business be compared with another.

Two identical bakeries give two different answers to one question.

A bank officer asks for the profit and receives two numbers.

The difference comes from one payment that only one baker counted.

A second question about one oven gives three answers.

A third difficulty is that each baker reports a different stretch of time.

The officer's trouble is the trouble of every reader of accounts, and shared rules are the cure.

This chapter relies on the words of Chapters 1 and 2.

A kilogram must mean the same weight at every market stall.

GO SLOWLY HERE.

Accounting information also needs a shared unit before anyone can trust it.

Two bakers, Karim and Salma, open shops on the same street on the same day. Their shops are alike in every way that matters. Each baker sells bread worth Tk 60,000 in the first month. Each buys flour, sugar and fuel worth Tk 25,000, and each pays helpers Tk 15,000. Both bakers are honest, and both can add and subtract.

At the end of the month a bank officer asks each baker the same question: how much profit did you make? Karim answers Tk 20,000. Salma answers Tk 15,000. The officer is puzzled, because the two shops seem to be the same. Which baker has the better shop?

The officer asks Salma to explain. She says that during the month she took Tk 5,000 from the shop's cash drawer to buy rice and vegetables for her family, and that she counted this money as a cost of the shop. Karim paid for his family's food from his own pocket and left it out of the shop's results. Neither baker made an error of arithmetic. They disagreed about what belongs to the shop.

The officer then asks a second question: what is your oven worth? Each baker bought the same oven for Tk 100,000 on the first day. Karim says it is worth Tk 70,000, because a dealer offered him that sum on the last day of the month. Salma says Tk 100,000, because that is the price she paid. A third baker, on the next street, says Tk 130,000, because his oven bakes so well that he could not replace it for less. There are three answers for one kind of oven.

A third difficulty follows. One baker reports results for the busy week before a festival. Another reports results for the whole year so far. A third reports results since the shop opened. The officer cannot compare a week with a year, and cannot trust any figure without knowing how it was counted.

The officer's trouble is the trouble of every person who reads accounts. A number has meaning only when everyone who produces it follows the same rules about what to include, how to measure it and which period to cover. This chapter teaches those rules. It begins with the reason rules are needed, then teaches four basic concepts and the idea of the accounting period, and ends with the standards in which the rules are written down.

You will need the following earlier ideas: from Chapter 1, business, owner, profit and cash; from Chapter 2, accounting information and its users. No new arithmetic is needed. This chapter has no figures for the running bakery yet; they begin in Chapter 4.

3.1 WHY SHARED RULES ARE NEEDED

Begin with a market. A buyer of rice wishes to compare the price at two stalls. This is possible only because a kilogram means the same weight at both. The law and long custom fix the unit. If each seller used a private stone as a weight, no buyer could compare prices, and every buyer would have to check every stall. Trust in the market rests on a shared unit.

Accounting information is in the same position. Chapter 2 showed that owners, lenders and tax officers read the same records for different decisions. None of them can watch every payment in every business. Each must trust the figures on the page, and each wishes to compare one business with another, or one year with another. That trust and that comparison are possible only if the people who prepare the figures follow the same rules.

The basic rules of accounting are called concepts. An **accounting concept** means a basic rule that tells accountants how to record and report. For example, the rule that a business is kept apart from the private affairs of its owner is an accounting concept. Some books call such rules *principles*. This book uses one word, *concept*, for the basic rules, and keeps the word *standard* for the detailed written rules of section 3.4.

Rules do three jobs. First, they say what is included in the records and what is left out. Second, they say how an included item is measured, so that the same event always receives the same amount. Third, they say for which stretch of time the results are reported. The two bakers of the opening puzzle differed on all three jobs: Salma included a private payment, the three bakers measured the oven in three ways, and the reporting periods were different.

One might ask why each business should not choose its own way of counting, since the owner knows the business best. There are three reasons against it. The first is trust: a lender cannot check how every borrower counts, and so would trust none. The second is comparison: a buyer, an investor or a tax officer must set one business beside another. The third is fairness: people outside the business, who cannot see inside it, must be protected from figures that flatter the owner.

Owners gain from shared rules as well. An owner who counts in the same way every month can see whether the shop is improving. An owner who changes the method each month cannot tell whether a better result comes from better trading or from a different way of counting. From the owner's seat, then, shared rules are also a tool for honest self-knowledge.

Consider how three users depend on the rules. The bank officer relies on them to judge whether a loan will be repaid. The tax officer relies on them to find the profit on which tax is due. The owner relies on them to decide whether to hire another helper or to buy a second oven. If the rules differed from business to business, each user would need a different method of reading every set of records, and few would take the trouble. Shared rules save every reader this labour.

There are limits to what rules can do. Accounting rules are agreements made by people, not laws of nature, and different countries have agreed on somewhat different rules. The rules also change over time as business changes. Finally, rules leave room for judgement: two honest accountants may still estimate the same item differently within the rules. Shared rules reduce disagreement, but they do not abolish it.

Return to the first difference of the opening puzzle and apply a rule. *Given*. Each baker sold bread for Tk 60,000, bought flour, sugar and fuel for Tk 25,000, and paid helpers Tk 15,000. Salma also took Tk 5,000 from the cash drawer for her family. *Find*. The profit of each shop under one shared rule. *Formula*. In words: profit equals earnings less costs, and only costs of the business count as costs. In symbols: $P = E - C$.

Steps. Earnings are Tk 60,000. Costs of the business are $25,000 + 15,000 =$ Tk 40,000. The family's rice is not a cost of the business. So $P = 60,000 - 40,000 =$ Tk 20,000. *Answer*. Both shops made a profit of Tk 20,000, and Salma's figure of Tk 15,000 was wrong under the shared rule. *Check*. The two shops are alike in every way that matters, so their profits should be equal. Both are Tk 20,000, so the check agrees.

Pause and check. In the opening puzzle, name the three ways in which the bakers' figures were not comparable. (The answer is at the back of the book.)

An accounting concept is a basic rule that tells accountants how to record and report.

Accounting concept. A basic rule that tells accountants how to record and report.

Rules answer three questions: what to record, how to measure it, and for which period.

Why not let each business choose its own way of counting?

Owners gain too, because shared rules let them compare their own months and years.

Three users rely on the same rules for three different purposes.

Rules reduce disagreement but cannot remove judgement.

A short calculation shows that one shared rule gives both bakers the same profit.

The steps, answer and check complete the calculation.

Pause and check: name the three differences between the bakers.

A short recap of section 3.1 for the reader.

Four basic concepts answer the questions raised by the puzzle.

Two purses: your own, and one that you manage for a class picnic.

GO SLOWLY HERE.

A business needs the same separation between its money and its owner's money.

Business entity concept. The rule that a business is kept apart from the private affairs of its owner.

Money crosses the line only when the owner puts money in or takes money out.

Before moving on. Rules are needed so that accounting figures can be trusted and compared. A basic rule is called an accounting concept. Rules say what to record, how to measure it and for which period. Rules reduce disagreement; they do not remove judgement. *You should now be able to say:* "Without shared rules, two honest businesses could report different results for the same facts."

3.2 THE BASIC CONCEPTS: ENTITY, MONEY MEASUREMENT, COST AND GOING CONCERN

Four basic concepts answer the questions of the opening puzzle. The business entity concept answers what belongs to the shop. The money measurement concept answers what can be recorded at all. The cost concept answers how an item is measured. The going concern concept answers how long the business is expected to last. We take them one at a time, each with a bridge from daily life, an example, the rule and its limits.

THE BUSINESS ENTITY

Suppose a class chooses you to hold the money for a picnic. You keep it in a separate purse. When you buy a bus ticket for yourself, you pay from your own purse, never from the picnic purse. The class can then see exactly what the picnic received and spent. If your own spending were mixed with the picnic money, nobody could tell what the picnic really cost.

A business needs the same separation. The **business entity concept** means the rule that a business is kept apart from the private affairs of its owner. The books record only what happens to the business. The rice that Salma bought for her family is a private matter of the owner, so it does not belong in the shop's records. With this rule, Karim and Salma would both report Tk 20,000.

The line between owner and business is crossed in only two ways. The owner may put money or other things into the business, and the owner may take money or goods out for private use. Both movements are recorded as dealings between the owner and the business. Chapter 4 teaches how. In the opening puzzle, Salma should have recorded the Tk 5,000 as money withdrawn by the owner, not as a cost of the shop.

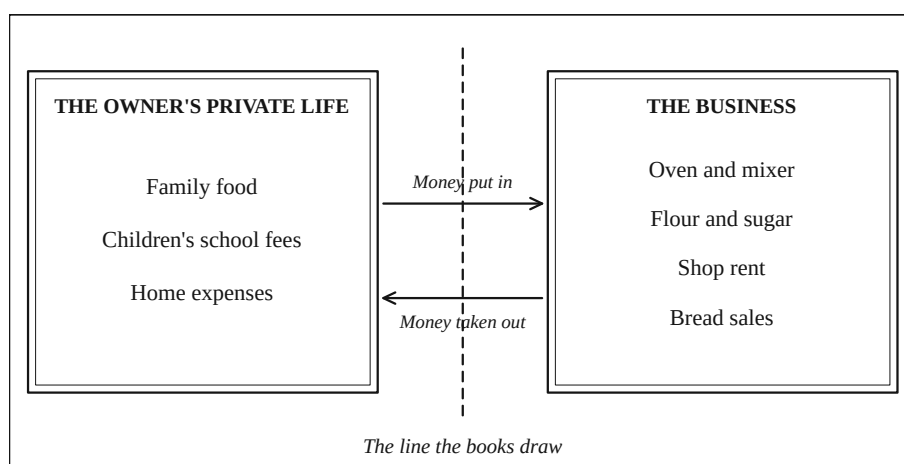


FIG. 8. The business entity concept: the books of the business record only what is inside the line; money crosses the line only when the owner puts it in or takes it out.

One question helps to apply the entity concept: whose affair is this?

In practice, an owner can apply the entity concept by asking one question about each payment: whose affair is this? If the payment buys something for the shop, the shop pays. If it buys something for the family, the owner pays from private

money. Suppose Mitali buys a bag of rice. If the rice will be baked into the shop's bread, the bag is a cost of the shop. If the rice will be cooked at home, it is a private matter. The same bag of rice can be either, and only its use decides. Honest owners keep the two uses apart even when the sums are small, because small habits become large errors.

There is an important exception to explain. In law, a sole trader and the business are one person, so the owner is personally responsible for the business's debts (Chapter 1). The law does not separate them. Accounting does, because users of the records need to judge the business alone. A company, by contrast, is a separate person in law as well as in the books (Chapter 20).

The two sides of the line also have different readers. A lender wishes to know whether the business alone can repay a loan, and a tangle of private spending would hide the answer. The owner's family, for its part, may prefer that the shop's records do not describe the household's private spending. The business entity concept serves both: it keeps the shop's figures clean and the household's affairs private.

MONEY MEASUREMENT

Consider what a baker owns. There is an oven, a stock of flour, a cash drawer, a good location, a loyal group of customers, and a head baker whose bread is famous. All of these have value to the shop. Yet only some can be written as a number of taka that everyone would accept. A record is useful for adding and comparing only when all its items are measured in one unit.

The rule is called the **money measurement concept**. It means that only facts that can be shown in money are recorded. The oven, the flour and the cash have prices, so they are recorded. The fame of the head baker has no price that two honest people would agree on, so it is not recorded, however valuable it may be. The accounts are therefore a record of money facts, not of everything that matters to a business.

Users should remember what the money records leave out. A bank may lend more willingly to a bakery with famous bread and loyal customers than to a bakery whose records look the same but whose bread is poor. The records do not show the difference, so a careful lender asks about it separately. Accounts are an important source of facts, but not the only one. Some businesses add written explanations to their accounts for this reason (Chapter 5).

The rule has limits. Money is not a fixed measure like a kilogram: when prices rise, one taka buys less than before, and the records of earlier years use taka of different buying power. Accounts usually ignore this change and treat every taka alike. Users must remember the limit when they compare figures from distant years. The events that the records do hold are called transactions, and Chapter 4 teaches them.

COST

Return to the three answers about the oven: Tk 70,000, Tk 100,000 and Tk 130,000. Two are opinions, and the third is a fact. The price paid, Tk 100,000, appears on the seller's invoice and in the buyer's payment, and anyone may check it. The dealer's offer and the third baker's pride are views that may change tomorrow. Accountants prefer the fact.

A sole trader is one person in law, yet the books still treat the business as separate.

A lender wants the business judged alone, and a family may want private life left private.

You can add taka to taka, but you cannot add taka to friendliness.

GO SLOWLY HERE.

The money measurement concept records only facts that can be shown in money.

Money measurement concept.
The rule that only facts that can be shown in money are recorded.

What the money records leave out can still matter, and careful users ask about it separately.

Money itself changes in value, which is a limit of the rule.

A price list in a shop is a fact; an opinion about worth is not.

GO SLOWLY HERE.

In accounting, cost means the amount paid to get something.

Cost. In daily life, the price you pay. In accounting, the amount paid to get something, kept as its value in the books.

A small example shows that cost stays fixed while opinions change.

Some readers ask why current value does not replace cost, and the answer weighs trust against usefulness.

Cost is checkable, so it supports trust.

The bakery's oven and mixer will be recorded at the price paid.

A baker who plans to open tomorrow and next year buys differently from one who plans to close.

GO SLOWLY HERE.

The going concern concept assumes the business will continue.

Going concern concept. The rule that a business is expected to continue for the foreseeable future.

The concept is dropped when closure is expected.

The going concern concept is an assumption, not a promise.

The rule is the cost concept. In accounting, **cost** means the amount paid to get something; it is the value of the item to the business at the time of purchase. Because the amount is not changed later to follow opinions, it is also called *historical cost*. By this rule, both Karim and Salma record the oven at Tk 100,000, whatever a dealer might offer.

Take a small case. A shop buys a table for Tk 8,000. A year later a buyer offers Tk 6,500 for it, and a year after that another buyer offers Tk 9,000. What amount does the cost concept record for the table? It records Tk 8,000, the amount paid, and it does not change with either offer. The records of the shop therefore do not rise and fall with every opinion. Users can see what the shop paid, and they can form their own view of what the table is worth today.

Some readers ask why accountants do not record the current value instead. Current value is more useful, since it tells what the item would bring today. But it is harder to measure and easier to bend. Two honest accountants may disagree about a value, but they cannot disagree about the price on an invoice. Accountants have therefore chosen trust first. The standards allow current value in a few cases where it can be measured reliably, and these cases are outside this chapter.

The strength of cost is that it can be checked against a document, so two accountants reach the same figure. Its weakness is that cost may differ from what the item could be sold for today. For a long-lived item such as an oven, later chapters show how the cost is spread over the years in which the oven is used (Chapters 9 and 10). The standards also allow other measures in a few cases, which are outside this chapter.

Case file, illustrative. Mitali Rahman's bakery (Chapter 1) will buy an oven and a mixer in January 2026 (Chapter 4). Under the cost concept, the books of the bakery will record the oven and the mixer at the price that Mitali pays, and not at any later offer from a dealer. No figures are fixed yet.

GOING CONCERN

Ask two bakers what their ovens are worth. The first expects to bake bread for ten more years. The second must close the shop next week and will sell the oven at once. The second baker's answer should be lower, because a quick sale rarely gives a fair price. The expected future of the business changes the sensible answer.

Accountants make a simple assumption about the future. The **going concern concept** means the rule that a business is expected to continue for the foreseeable future. Under it, the oven is kept in the books at cost and used up over its working years, not valued at a quick-sale price. The assumption also lets the accounts treat a bill due next month as an ordinary matter of the business.

There is an exception. If the owner plans to close the business, or if the business cannot pay its debts and closure is likely, the assumption is no longer fair. The accounts must then be prepared in a different way, with items measured by what they would bring in a sale. Users should always ask whether the accounts assume a going concern, because the answer changes the meaning of every figure.

The school canteen at the end of this section shows the exception at work. Notice a more general point: the going concern concept is an assumption, not a promise. It is made so that accounts can be prepared in a sensible way, and it is dropped the moment it ceases to be fair. Auditors, who check accounts independently (Chapter 2), always consider whether the assumption is reasonable.

FURTHER CONCEPTS, IN ONE LINE EACH

Four further ideas are named here so that the reader can recognise them. They are previewed in one line each, with a pointer to the place where they are taught. Do not try to master them now.

The **dual aspect concept** means the rule that every transaction has two sides. When a baker buys an oven for cash, the oven increases and the cash decreases. Chapter 4 uses this idea in the accounting equation, and Chapter 6 develops it into the system of double entry.

Two further ideas concern timing. The *accrual* idea says that earning and spending are recorded when they happen, not only when cash moves. The *matching* idea says that a cost is reported in the same period as the earnings it helped to produce. Chapter 9 teaches both. A fifth idea, which concerns using the same method from year to year, is taught in section 3.4.

Here is a small example of the timing ideas, to be taught properly in Chapter 9. The bakery pays its helpers on the fifth of each month for work done in the month before. In January the helpers work for the whole month, but the pay arrives in February. If the bakery counted only the cash paid, January would look cheaper than it was, and February would look dearer. The two timing ideas place each cost in the month of the work. Do not try to master this now; recognise only that cash and cost may fall in different months.

The next two ideas concern care and importance. **Prudence** means taking care not to overstate what the business owns or earns, and not to understate what it owes or may lose. For example, if the baker is unsure that a customer will pay, the baker should not count that payment as certain. Prudence guards users against figures that are too hopeful.

Materiality means that an item is material if leaving it out or getting it wrong could change a user's decision. The cost of one broom for the bakery is too small to change any decision, so it may be handled in the quickest way. The cost of a new oven would change decisions, so it must be recorded with care. Materiality is a matter of judgement, and it depends on the size of the business.

Prudence and materiality differ from the other concepts in one way: neither gives a fixed answer. How careful is careful enough? How large is large enough to matter? Accountants answer with judgement, guided by the standards of section 3.4 and by the needs of the users of the particular accounts. A student should not expect a formula here.

IN SHORT: THE BASIC CONCEPTS

The business entity concept keeps the business apart from its owner. The money measurement concept records only what can be shown in money. The cost concept records an item at the amount paid. The going concern concept assumes the business will continue. Four further ideas, dual aspect, accrual and matching, prudence and materiality, are named here and taught later.

Case file, illustrative. Mitali's bakery follows the four basic concepts from its first day. Its books hold only the bakery's affairs, not those of her household. They hold only facts that can be shown in taka. They record each item at the price paid. They assume that the bakery will continue. No figures are fixed yet.

Now apply the concepts in a new setting, a canteen that a school lets a caterer run. The canteen's takings and costs are kept apart from the caterer's other

Four more concepts are named here and taught later.

The dual aspect concept says every transaction has two sides.

Dual aspect concept. The rule that every transaction has two sides, which is why the accounting equation always balances.

Accrual and matching ask that costs be reported in the period that earned the revenue.

A small example shows why timing matters, before the idea is taught.

Prudence asks for care in counting profit and assets.

Prudence. Taking care not to overstate assets or profit, and not to understate liabilities or losses.

Materiality allows small items to be treated simply.

Materiality. An item is material if leaving it out or getting it wrong could change a user's decision.

Prudence and materiality both call for judgement, which standards help to guide.

The bakery's books will follow all four basic concepts from the first day.

A school canteen shows the same concepts in a new setting.

A recap of section 3.2 for the reader.

A baker cannot wait fifty years to learn whether the shop does well.

GO SLOWLY HERE.

An accounting period is a fixed length of time for which results are reported.

Accounting period. A fixed length of time, such as a month or a year, for which results are reported.

The usual period is one year, and a business may choose which twelve months.

Fiscal year. A twelve-month accounting period that a business chooses, which may start in any month.

Calendar year. The twelve months from 1 January to 31 December.

An interim period is shorter than a year and sits inside it.

Interim period. A period shorter than a year, such as a month or quarter, reported inside the year.

businesses (entity). The happiness of the pupils who eat there is valuable but is not recorded (money measurement). A table bought for Tk 8,000 is recorded at Tk 8,000 (cost). If the school has told the caterer that the contract ends in two months, the going concern assumption fails for this canteen, and the accounts must say so.

Before moving on. The business entity concept keeps the business apart from its owner. The money measurement concept records only facts that can be shown in money. The cost concept records an item at the amount paid. The going concern concept assumes that the business will continue. *You should now be able to say:* "The oven is recorded at what was paid for it, in the books of the business, in taka, because the business is expected to continue."

3.3 ACCOUNTING PERIODS: FISCAL YEAR, CALENDAR YEAR AND INTERIM PERIODS

How long must a baker wait to know whether the bakery is doing well? If the baker waited until the shop closed for ever, perhaps after fifty years, the answer would arrive too late to help. Every school knows the remedy. It does not wait until a pupil leaves to report progress; it reports at the end of each term. Business uses the same remedy and cuts its long life into equal stretches of time.

Such a stretch of time is called an accounting period. An **accounting period** means a fixed length of time, such as a month or a year, for which results are reported. For example, the bakery may report the results of January, and then the results of February. Three groups need the periods. The owner wants early signs of trouble. The lender wants to see the trend. The tax authority asks for results at regular dates.

The main period of most businesses is twelve months. A **fiscal year**, also called a financial year, means a twelve-month accounting period that a business chooses, and it may start in any month. A **calendar year** means the twelve months from 1 January to 31 December. In Bangladesh the government's own financial year runs from 1 July to 30 June.¹ A business often chooses a year-end that falls in a quiet season, when counting is easier. Tax law may set its own rules on the year used for tax; this book does not teach tax law.

Within the year there may be shorter periods. An **interim period** means a period shorter than a year, such as a month or a quarter of three months, reported inside the year. A business may report each month for its own use and still produce one full report at the end of the year. The results of the interim periods, added together, give the results of the year.

¹ The government's financial year is the period of the national budget. A business may use a different year for its own accounts, but tax rules should be checked before a year-end is chosen.

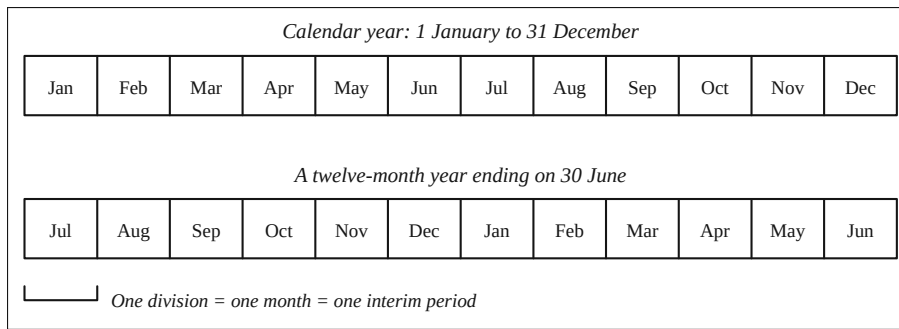


FIG. 9. Two ways to cut the year: a calendar year and a year ending on 30 June, each divided into twelve monthly interim periods.

Read the figure from left to right. The upper bar shows a calendar year. The lower bar shows a year that begins on 1 July. Each small division is one month, which is an interim period. The two bars both hold twelve months, and so both are fiscal years, though only the upper one is a calendar year. The result of either bar is the result of its twelve months added together.

The cutting of time creates a difficulty that students often find confusing. Business is a continuous flow, and the cut falls in the middle of events. Rent paid in December may cover January. Wages earned in the last days of the month may be paid in the next month. Chapter 9 teaches how such items are placed in the right period. For now, remember that the choice of period is a convenience and not a fact of nature.

Suppose a small shop earns a profit of Tk 10,000 in the first month, Tk 12,000 in the second and Tk 8,000 in the third. *Given.* Three monthly profits. *Find.* The profit for the quarter, which is an interim period of three months. *Steps.* $10,000 + 12,000 + 8,000 = 30,000$. *Answer.* The profit for the quarter is Tk 30,000. *Check.* The average month is Tk 10,000, and three months at that average give Tk 30,000, the same answer.

Several reasons guide the choice of a year-end. A business may choose the end of a quiet season, since there is less trading to count. It may choose a date that matches the year of its main lender, or of owners who live abroad. It may choose a date that suits the busy season of its accountants. Whatever the reason, the choice should then be kept, because changing the year-end makes one period shorter or longer than the others and so spoils comparison.

Finally, periods must be treated in the same way each time. A month should be compared with a month, and a year with a year. A business that reports for four weeks in one period and five weeks in the next period gives its users a comparison that is not fair. Section 3.4 returns to this need for sameness.

Case file, illustrative. Mitali's bakery keeps its books on the calendar year, from 1 January to 31 December. For learning, its results are reported month by month. The first period of the bakery is the month from 1 January 2026 to 31 January 2026, and Chapters 4 to 12 follow this month. No figures are fixed yet.

Before moving on. An accounting period is a fixed length of time for which results are reported. A fiscal year is any twelve months that the business chooses; a calendar year runs from 1 January to 31 December. An interim period is shorter than a year. *You should now be able to say:* "The bakery's year is the calendar year, and its monthly reports are interim periods."

The figure shows twelve months in two different year frames.

Cutting time into periods creates a new problem for events that cross the cut.

A short calculation shows that interim results add up to the result of a longer period.

Choosing a year-end is a practical decision, and it should then be kept.

Using the same length of period each time allows fair comparison.

The bakery's year is the calendar year, reported month by month.

A recap of section 3.3 for the reader.

3.4 ACCOUNTING STANDARDS AND GENERALLY ACCEPTED PRINCIPLES

The basic concepts are broad, and many questions remain after them.

An accounting standard is a written rule from an official body.

Accounting standard. A written rule, issued by an official body, on how to record and report an item.

A short calculation shows a standard at work on the cost of an oven.

GAAP is the whole body of rules and practices that accountants in a country follow.

GAAP. Generally accepted accounting principles: the set of rules and practices that accountants in a country agree to follow.

Concepts, standards and law are three layers, each narrower than the last.

Three qualities explain what the rules protect: reliability, comparability and consistency.

Reliable information can be trusted to be accurate and free of bias.

Reliability. Information is reliable when users can trust it to be accurate and free of bias.

Comparable information lets users set one business or year beside another.

Comparability. Information is comparable when users can compare one business, or one year, with another.

The basic concepts are broad rules, and a broad rule leaves many questions. How should a loan from a relative be shown? At what point is a sale complete? Which costs belong in the price of an oven: the invoice amount only, or also the cost of bringing it to the shop and installing it? If each accountant answered such questions alone, the problem of the opening puzzle would return at a smaller scale.

To give one answer to each such question, official bodies write detailed rules. An **accounting standard** means a written rule, issued by an official body, on how to record and report an item. For example, a standard may state that the cost of an oven includes the invoice price, the cost of delivery and the cost of installing it. Standards turn a broad concept into a clear instruction that every accountant can follow.

Suppose that a standard says the cost of an oven includes the invoice price, the cost of delivery and the cost of installation, but not a fine for paying late. *Given.* For a different oven: invoice price Tk 100,000; delivery Tk 3,000; installation Tk 2,000; late-payment fine Tk 500. *Find.* The cost at which the oven is recorded. *Steps.* $100,000 + 3,000 + 2,000 = 105,000$. The fine is left out. *Answer.* The oven is recorded at Tk 105,000. *Check.* Every accountant who follows the same standard reaches Tk 105,000, which is the purpose of the standard.

Concepts, standards, laws and long custom together form one body of rules. **GAAP**, short for generally accepted accounting principles, means the set of rules and practices that accountants in a country agree to follow. The word *accepted* shows that the profession and the regulators broadly agree. When a business says that its accounts follow GAAP, it says that they follow this shared body of rules.

It helps to see the three layers of rules together. Concepts are the broadest: they apply to every business. Standards are narrower and more detailed, and each deals with one kind of item. Law is the layer of compulsion. It may require businesses to follow the standards, and it adds rules of its own, such as the duty to keep records and to file tax returns. A business must satisfy all three layers, and where they conflict, the law decides.

Standards and concepts protect three qualities of accounting information. Each quality supports the trust that users place in the figures. We take them in turn, and then show how the rules, together, produce trust.

Reliability means that information is reliable when users can trust it to be accurate and free of bias. A figure that rests on an invoice is more reliable than a figure that rests on the owner's hope. The cost concept supports reliability, because cost can be checked. Prudence also supports reliability, because it guards against figures that are too hopeful.

Comparability means that information is comparable when users can compare one business, or one year, with another. A lender who studies two bakeries needs both to count in the same way. Standards supply this sameness across businesses. Without it, the bank officer of the opening puzzle could not say which baker did better.

Consistency means using the same accounting method from one period to the next. A baker who counts the oven in one way in January should count it in the same way in February, unless there is a good reason to change. Then any change in the results comes from the business and not from the method. Chapters 10 and 14 show two places where a business chooses a method and must keep it.

Now the support for trust can be stated in a chain. Standards make the same event receive the same treatment, which makes information reliable and comparable. Consistency makes it comparable across time. Users who know that these rules were followed can rely on the figures without checking every payment themselves. The rules are therefore not paperwork for its own sake: they are the reason a stranger may trust a set of accounts.

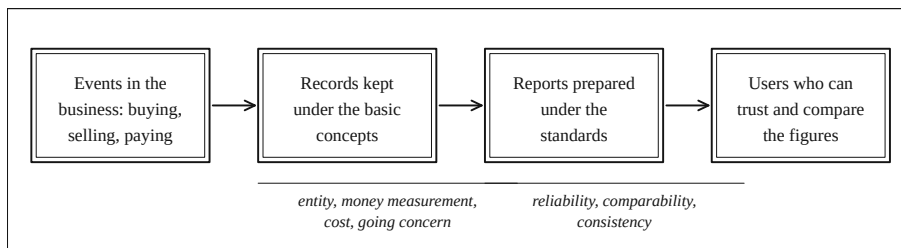


FIG. 10. How rules support trust: events in the business are recorded under the basic concepts, reported under the standards, and then read by users who can trust and compare the figures.

An auditor, introduced in Chapter 2, is an independent person who checks that accounts are fair and correct. The standards give the auditor a measuring stick: the auditor asks whether the accounts follow the concepts and the standards. A statement by an auditor that the accounts follow the rules gives users added confidence, especially lenders and investors who cannot examine the books themselves.

Standards are written by official bodies, and many countries use the same ones. **IFRS** means International Financial Reporting Standards: accounting standards issued by an international board and used in many countries. The board that issues them sits in London and is called the International Accounting Standards Board. The history of the board is told at the end of this chapter.

In Bangladesh the professional body of accountants, the Institute of Chartered Accountants of Bangladesh, adopted the international standards for use in the country under the name Bangladesh Financial Reporting Standards. Later, the Financial Reporting Act 2015 created the Financial Reporting Council, which is given the task of issuing financial reporting standards in line with the international ones for public interest entities, such as large and listed companies.² This book teaches the ideas that all these standards share, and it names the rules of Bangladesh where they matter.

Which businesses must follow the full standards depends on the law, on the size of the business and on its kind. A large company that offers shares to the public must follow them closely. A small sole trader, such as a neighbourhood bakery, is guided more by the tax rules and by the wishes of the bank. The ideas of this book, however, are the same at every size, and a student who knows them can read the accounts of any business.

Consistency means using the same method from one period to the next.

Consistency. Using the same accounting method from one period to the next.

Together, standards make accounts reliable, comparable and consistent, and so worthy of trust.

Auditors check that accounts follow the rules, which gives users added confidence.

International standards are written by one board and used in many countries.

IFRS. International Financial Reporting Standards: accounting standards issued by an international board and used in many countries.

Bangladesh uses the international standards through its own institute and its own council.

Which businesses must follow the full standards depends on law, size and kind of business.

² The detailed status of each standard in Bangladesh has changed over time and may change again. A reader who must prepare accounts for a real business should read the current rules of the Financial Reporting Council.

Standards have limits: they need judgement, they change, and they cannot stop dishonesty.

Standards change, so a reader should always ask which version applies.

Once a method is chosen, the bakery keeps to it.

Pause and check on consistency.

A recap of section 3.4 for the reader.

The worked case applies entity, money measurement, cost and period to a bakery owner's papers.

The question asks where each paper belongs.

Reasoning first uses the entity and money measurement tests.

Cost fixes the amount of each item; the period fixes the time.

Standards also have limits that a careful reader should know. They require judgement, because no rule can foresee every case. They change, as business changes, so the current version must always be checked. Tax rules may differ from accounting rules, so one set of records may serve two purposes with two answers. And no standard can prevent a person who wishes to deceive; Chapter 8 shows one reason why records that agree may still be wrong.

Standards are revised from time to time. A treatment that was allowed ten years ago may be forbidden now, and a new standard may bring a new treatment. For this reason, accounts state which standards they follow, and a reader who compares figures across many years should check whether the rules changed in between.

Case file, illustrative. Once Mitali chooses a way of treating an item in the bakery's books, she keeps to it from month to month. Chapters 10 and 14 return to this when she chooses methods for the oven and for goods held for sale.

Pause and check. A baker records the cost of the oven in one way in January and in a different way in February. Which of the three qualities is weakened, and why? (The answer is at the back of the book.)

Before moving on. An accounting standard is a written rule from an official body. GAAP is the whole body of rules that accountants in a country follow. Standards protect reliability, comparability and consistency, and so support trust. IFRS are international standards, used in Bangladesh through its institute and its council. *You should now be able to say:* "Standards are necessary because without them two honest accountants could treat the same event in two ways, and users could not trust or compare the accounts."

THE WORKED CASE: MITALI'S FIRST WEEK

Case file, illustrative. *Situation.* In her first week of trading, Mitali Rahman collects a pile of papers on her desk: the invoice for the oven and the mixer; a bill for flour and sugar; the shop's rent; her son's school fees; a dealer's message offering to buy the oven for less than she paid; a hotel that says it may order catering next month; the loyalty of her first customers; and the takings from her first bread sales. No figures are fixed yet. This is a question of what belongs in the books.

Question. Which of these items belong in the books of the bakery, and how is each to be measured? For which period are they reported?

Reasoning. First apply the entity test: does the item concern the bakery, or Mitali's private life? The school fees are private, so they stay out. Next apply the money measurement test: can the item be shown in money that two people would accept? The loyalty of the customers and the hotel's possible order cannot, so they stay out. The oven, the mixer, the flour, the rent and the bread sales pass both tests.

Then apply the cost concept. The oven and the mixer are recorded at the price on the invoice, and the dealer's message is ignored. Last, apply the period: all the items belong to the first accounting period, the month of January 2026, because the bakery reports month by month on the calendar year. The going concern concept tells Mitali that she may treat the oven as an item to be used over several years.

MITALI'S FIRST WEEK: WHERE EACH ITEM BELONGS

ITEM	IN THE BAKERY'S BOOKS?	CONCEPT THAT DECIDES
Invoice for oven and mixer	Yes, at the price paid	Cost
Bill for flour and sugar	Yes	Entity; cost
Rent of the shop	Yes	Entity
Her son's school fees	No: private	Business entity
Dealer's offer for the oven	No	Cost
Hotel's possible order	No: no money event yet	Money measurement
Loyalty of first customers	No: no money figure	Money measurement
Takings from bread sales	Yes	Entity; money measurement

Read the table one row at a time. The first column names an item. The second column gives the decision. The third column names the concept that decides it. Every row of the table can be justified by one of the four basic concepts.

Conclusion. Five of the eight items enter the bakery's books, each at its checkable amount, for the month of January 2026. Three stay out, two because no reliable money figure exists and one because it is private. *Check.* Repeat the test on one item, the school fees. They concern Mitali's household, not the bakery, so the entity concept excludes them. The check agrees with the table.

The table is read row by row: the item, the decision, the reason.

The conclusion and the check complete the case.

SUMMARY

Accounting needs shared rules so that figures can be trusted and compared. The basic concepts are the business entity concept, the money measurement concept, the cost concept and the going concern concept. Further concepts, dual aspect, accrual and matching, prudence and materiality, are taught in later chapters. Results are reported for accounting periods: the fiscal year, the calendar year and shorter interim periods. Accounting standards turn broad concepts into detailed written rules. GAAP is the body of rules that accountants in a country follow. Reliability, comparability and consistency are what the rules protect. IFRS are international standards, and Bangladesh applies them through its institute and its council.

The summary gathers the whole chapter in a few lines.

THINK IT THROUGH

Nila runs a small tailoring shop. In one month she sells garments for Tk 40,000. She pays Tk 8,000 for cloth and Tk 12,000 to a helper. From the shop's cash she also pays Tk 3,000 for her own mobile telephone bill. She bought her sewing machine for Tk 30,000, and a dealer now offers Tk 22,000 for it. She has told her landlord that she will leave the shop next month. (a) Which payments belong in the shop's books, and which do not? (b) What is the shop's profit for the month under the entity concept? (c) At what amount is the sewing machine recorded, and why? (d) Is the going concern assumption fair for this shop? Give your reasons. (The answers are at the back of the book.)

A tailor who mixes private and shop spending tests the concepts.

WHERE PEOPLE GO WRONG

Error: "Cost means what the item is worth today." Cost means the amount paid at the time of purchase. Today's worth is a different figure, and the cost concept does not change the books to follow it.

Cost is not the same as what something is worth today.

A valuable item is not always a recorded item.

The entity concept is not limited to companies.

A standard is not the same as a law, and a calendar year is not the only year.

The international board began in 1973 as a committee and became a board in 2001.

Bangladesh added its own law in 2015.

Question on why rules are needed.

Question on the entity concept.

Question on money measurement and cost.

Question on going concern.

Question on periods.

Question on standards and trust.

Question on qualities.

Question on the Bangladesh framework.

Error: *"If something is valuable it must appear in the accounts."* The money measurement concept records only what can be shown in money. A famous head baker is valuable but has no checkable price, so the books do not hold it.

Error: *"The business entity concept applies only to companies."* It applies to every business, including a sole trader, whose books are kept apart from the owner's household even though the law sees one person.

Error: *"A standard is the same as a law, and the year must be the calendar year."* Standards are rules from official bodies; a country's law may require a business to follow them, but the two are not the same thing. A business may choose any twelve months as its fiscal year.

IN HISTORY

In June 1973, accountancy bodies from several countries founded the International Accounting Standards Committee, with the aim of reducing the differences between national ways of reporting. It issued a series of standards between 1973 and 2001. On 1 April 2001 it was replaced by the International Accounting Standards Board, which issues the standards now called International Financial Reporting Standards.³ Before this work, a company's reports in one country could not easily be compared with those of a company in another.

In Bangladesh the Parliament passed the Financial Reporting Act in September 2015. It created the Financial Reporting Council to regulate financial reporting and auditing for public interest entities and to issue standards in line with the international ones. Before that time the country's professional institute had been the main body adopting standards. The law shows that a rule written by accountants may later be backed by the state.

REVIEW QUESTIONS

1. Explain why two honest businesses might report different results from the same facts, and how shared rules remove the difficulty.

2. State the business entity concept. Why does it apply to a sole trader, although the law sees the owner and the business as one person?

3. Explain the money measurement concept and the cost concept, with one example of each from a bakery.

4. What does the going concern concept assume? When does the assumption fail?

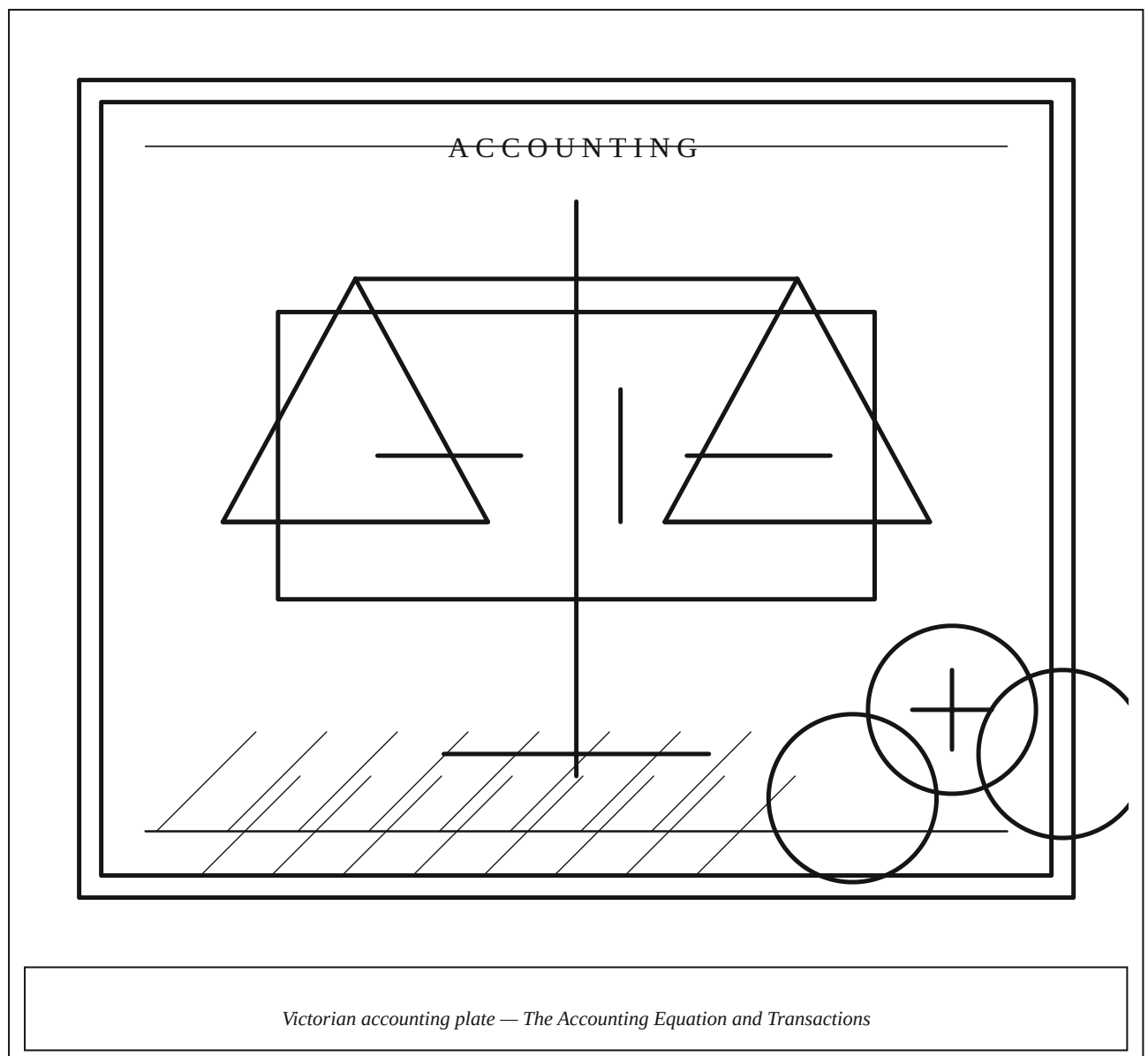
5. Distinguish a fiscal year, a calendar year and an interim period. Why does a business need accounting periods?

6. What is an accounting standard? Explain why standards are necessary and how they support trust in accounting information.

7. Define reliability, comparability and consistency, and give one example of each.

8. Name the body that issues international accounting standards, and describe how those standards reach businesses in Bangladesh.

³ The older standards issued by the committee are labelled IAS, and the newer ones issued by the board are labelled IFRS. The whole set is commonly called IFRS.



CHAPTER IV

The Accounting Equation and Transactions

Whose money is in the cash drawer?



This chapter teaches what a business owns, what it owes, and what is left for its owner. It builds the accounting equation, shows what counts as a transaction, and follows the first month of the bakery as each event keeps the equation in balance.

At the end of her first month, Mitali counts her cash and asks whether she is richer or poorer.

The shop is full of useful things that the cash once bought.

Not all the cash is free, because some of it is already promised to others.

Three questions about one month have three connected answers.

This chapter relies on ideas from Chapters 1 and 3.

A student's bicycle, purse and small debt show the whole idea in miniature.

GO SLOWLY HERE.

An asset is something of value that a business owns and expects to use to earn money.

Asset. Something of value that a business owns and expects to use to earn money.

Two kinds of asset appear at once in the bakery: equipment and supplies.

Equipment. Tools and machines, such as an oven, that a business uses for several years.

Supplies. Small items, such as flour or packaging, that a business keeps to use up soon.

Some valuable things are not assets of the business, for three reasons.

Pause and check on assets.

On 30 January 2026, after the last payment of her first month, Mitali Rahman counts the cash in the bakery's drawer and bank account. She finds Tk 400,000. Four weeks earlier she placed Tk 500,000 of her own savings in the shop. For a moment she believes that she is poorer by Tk 100,000.

Then she looks around the shop. There is a new oven and a new mixer. There are sacks of flour and sugar in the store. Rent has been paid for three months. Bread and cakes have been sold, and a school has been served. The cash is lower than at the start, yet the shop holds many useful things that the cash became.

A second thought troubles her. Not all the Tk 400,000 is hers to spend. She still owes the supplier of the oven. A customer has paid in advance for cakes that she has not yet delivered. And a school still owes her money for a catering order. Money has moved in several directions, and some of it belongs to other people.

So three questions arise. How much does the bakery own? How much does it owe? And how much of the bakery truly belongs to Mitali? The three answers are different numbers, yet they are tied together by one rule that never fails. This chapter teaches that rule, and then uses it to follow every event of the month.

You will need the following earlier ideas: from Chapter 1, business, owner, cash, on account and debt; from Chapter 3, the money measurement concept and the business entity concept. The arithmetic is only addition and subtraction. The chapter is slow in sections 4.1, 4.2 and 4.4, because it contains absolute firsts.

4.1 THINGS OWNED AND THINGS OWED: ASSETS, LIABILITIES AND OWNER'S EQUITY

Begin with a student. Rina owns a bicycle that is worth Tk 12,000, and she has Tk 3,000 in her purse. She also owes her brother Tk 5,000, which she borrowed last month. How much of what she holds is truly hers? She owns Tk 15,000 in all. She owes Tk 5,000. So Tk 10,000 is hers. Everything in this chapter is this small example made larger and made exact.

The first word is *asset*. An **asset** means something of value that a business owns and expects to use to earn money. For example, the cash in the drawer is an asset, and so is the oven. Two earlier rules apply. By the business entity concept, the thing must belong to the business, not to the owner's household. By the money measurement concept, it must have a price that people would accept.

The bakery will hold several kinds of asset. Cash is one. Money that a customer will pay later is another, and we shall name it in section 4.2. **Equipment** means tools and machines, such as an oven, that a business uses for several years. **Supplies** means small items, such as flour or packaging, that a business keeps to use up soon. The difference lies in the time of use: an oven lasts years, but flour lasts days.

There are limits to the word. A thing is not an asset of the business if it cannot be shown in money. The skill of the head baker is valuable, but no price can be agreed, so it is not an asset in the books. A thing is not an asset if the business does not own it: a shop that is rented belongs to the landlord. And a thing is not an asset if it belongs to the owner privately, such as Mitali's motorbike used only for family journeys.

Pause and check. Which of the following are assets of the bakery: the oven; Mitali's family motorbike; the cash in the drawer; the head baker's skill; flour in the store? (The answer is at the back of the book.)

Before moving on. An asset is something of value that the business owns and expects to use to earn money. Equipment lasts several years; supplies are used up soon. Things that cannot be shown in money, that the business does not own, or that belong to the owner privately, are not assets of the business. *You should now be able to say:* "An asset is a thing of value that the business owns."

Return to Rina. The Tk 5,000 that she owes her brother is not hers. It is a claim that her brother holds on what she has. If she sold her bicycle tomorrow, she would first repay him. A business has such claims too, and they are the second kind of item in the accounts.

A **liability** means an amount that a business owes to someone outside the business. It is a debt of the business, settled later by giving money, goods or service. For example, the bakery owes its supplier for the oven, and the supplier can demand payment. A bank loan would also be a liability. Notice the words *outside the business*: the owner is not an outsider, as the next idea shows.

Not every liability is a sum of money owed to a supplier. Suppose a customer pays the bakery in advance for six cakes to be delivered later. The bakery has received the cash, but it has not yet done the work. It now owes the customer six cakes. This duty to deliver is a liability, and it will end when the cakes are delivered. Chapter 9 teaches this case in full; here the reader only needs to see that a debt can be paid in goods.

There is an important limit. A liability exists only when a duty already exists because of something that has happened. A plan to buy flour next week creates no liability today, because nothing has been bought. Wages that workers have not yet earned are not owed. The test is whether, on this date, someone outside the business can rightly demand money, goods or service.

Pause and check. On 1 March the bakery orders flour that will arrive on 10 March. On 10 March the flour arrives and is not yet paid. On which date does the bakery owe money to the supplier? (The answer is at the back of the book.)

Before moving on. A liability is an amount that the business owes to someone outside it. It may be settled by money, goods or service. It exists only when a duty already exists because of an event that has happened. *You should now be able to say:* "A liability is a debt of the business to an outsider."

Now return to the question that Rina answered: how much is truly hers? She had Tk 15,000 of things and owed Tk 5,000, so Tk 10,000 was hers. That share has a name in business. It is the owner's claim on what the business holds, after the claims of outsiders are met.

Owner's equity means the owner's claim on the business: what is left after liabilities are taken from assets. For Rina, it is Tk 15,000 less Tk 5,000, which is Tk 10,000. The same idea is sometimes called *net assets*. This book uses one name, owner's equity, for a sole trader. Partners and shareholders have their own names for the same idea, and the book will introduce them in Chapters 18 and 20.

A recap of the first idea: assets.

Rina's debt to her brother is the second idea: something owed.

GO SLOWLY HERE.

A liability is an amount a business owes to someone outside the business.

Liability. An amount that a business owes to someone outside the business.

A liability may also be a promise to deliver goods or service, not only to pay money.

A liability needs a present duty, not just a plan.

Pause and check on liabilities.

A recap of the second idea: liabilities.

The part that is left for the owner is the third idea.

GO SLOWLY HERE.

Owner's equity is the owner's claim: assets less liabilities.

Owner's equity. The owner's claim on the business: what is left after liabilities are taken from assets.

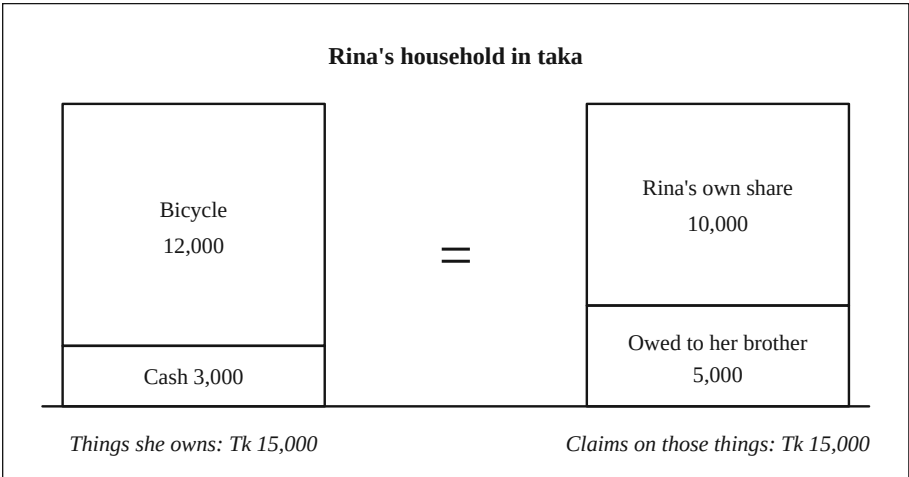


FIG. 11. Rina's household: what she owns on one side, and the claims on those things on the other. The two sides are equal.

The figure shows two bars of equal height, owned and owed plus owned by Rina.

Owner's equity can fall to zero or below zero.

Different users watch different parts: the lender watches liabilities, and the owner watches equity.

A table of items lets the reader practise the three words.

Read the figure from left to right. The left bar shows the things that Rina owns, from the bottom: cash of Tk 3,000 and a bicycle of Tk 12,000. The right bar shows who has a claim on those same things: her brother for Tk 5,000, and Rina herself for Tk 10,000. The two bars have the same height, Tk 15,000. They must, because every taka of a thing is claimed by someone.

Owner's equity is not always a positive number. If Rina's bicycle were damaged and fell in value to Tk 1,000, her things would be worth Tk 4,000 against a debt of Tk 5,000. Her equity would be minus Tk 1,000: she would owe more than she holds. For a business, such a result means that the owner has no claim left and that the outsiders may not be paid in full.

The idea looks different from different seats. A lender asks whether the assets are large enough to repay the liabilities, and so watches the gap between them. A supplier asks the same. The owner asks how much of the business is truly hers, and so watches owner's equity. One set of figures answers both people, but each reads a different part of it.

Practise the three words on a mixed list. The table below names eight items of the bakery. Decide for each whether it is an asset, a liability or part of owner's equity, and then read the reason in the last column.

ASSET, LIABILITY OR OWNER'S EQUITY? ITEMS OF THE BAKERY

ITEM	KIND	REASON
Cash in the bank	Asset	Owned; has a money value
The oven	Asset (equipment)	Owned; used for several years
Sacks of flour in the store	Asset (supplies)	Owned; used up soon
Money that a school owes the bakery	Asset	The bakery expects to receive it
Money that the bakery owes the oven supplier	Liability	A present duty to an outsider
Cake deliveries owed to a customer who paid in advance	Liability	A duty to deliver, because payment came first
Mitali's savings invested in the shop	Owner's equity	The owner's own claim
The head baker's skill	None of the three	Cannot be shown in money; not owned

Two rows deserve comment. Money that a school owes the bakery is an asset, because the bakery expects to receive it; section 4.2 gives it a name. The head baker's skill appears under none of the three words, in line with the money measurement concept. The other rows follow directly from the definitions.

Every later chapter of this book builds on these three words. The reports of Chapter 5 list assets, liabilities and owner's equity on one date. The accounts of Chapter 6 are kept separately for each kind. A mistake in these first definitions spreads through everything that follows, so it is wise to go slowly here and to test yourself with the questions marked *Pause and check*.

Case file, illustrative. Before any event has happened, the bakery owns nothing, owes nothing and so has no owner's equity. Its first event is on 1 January 2026, and it is studied in section 4.2.

Pause and check. Rina owns things worth Tk 20,000 and owes Tk 8,000. What is her equity? A second person owns things worth Tk 50,000 and owes Tk 60,000. What is that person's equity, and what does the result mean? (The answers are at the back of the book.)

Before moving on. Assets are what a business owns, liabilities are what it owes to outsiders, and owner's equity is what is left for the owner. Equity equals assets less liabilities. *You should now be able to say:* "The owner's equity of a business is the value of what it owns, less what it owes to outsiders."

4.2 THE ACCOUNTING EQUATION

Rina's story already holds the main rule of this subject. What she owned, Tk 15,000, was equal to what she owed, Tk 5,000, together with what was left for her, Tk 10,000. Say it in words: what is owned equals what is owed plus what is the owner's. A business is the same, only larger, and the rule is written in a short form.

The **accounting equation** means the rule that assets always equal liabilities plus owner's equity. In words: Assets = Liabilities + Owner's equity. In symbols: $A = L + OE$, where A stands for assets, L for liabilities and OE for owner's equity. For Rina, it reads Tk 15,000 = Tk 5,000 + Tk 10,000. The left side lists what the business has. The right side lists who has claims on it.

Two rows of the table need a second look.

The three words are the foundation of every later chapter.

Before its first event, the bakery has no assets, liabilities or equity.

Pause and check on owner's equity.

A recap of section 4.1 for the reader.

The bicycle story already contains the main rule of this subject.

GO SLOWLY HERE.

The accounting equation says that assets equal liabilities plus owner's equity.

Accounting equation. The rule that assets always equal liabilities plus owner's equity.

The equation balances because every asset has someone's claim behind it.

Why does the equation always balance? Every asset in a business came from somewhere. Either an outsider supplied it, and so holds a claim, which is a liability. Or the owner supplied it, or earned it for the owner, and so holds a claim, which is equity. There is no third source. If every asset has one of these two kinds of claim, the claims added together must equal the assets. This is the dual aspect concept of Chapter 3: the same value is seen from two sides.

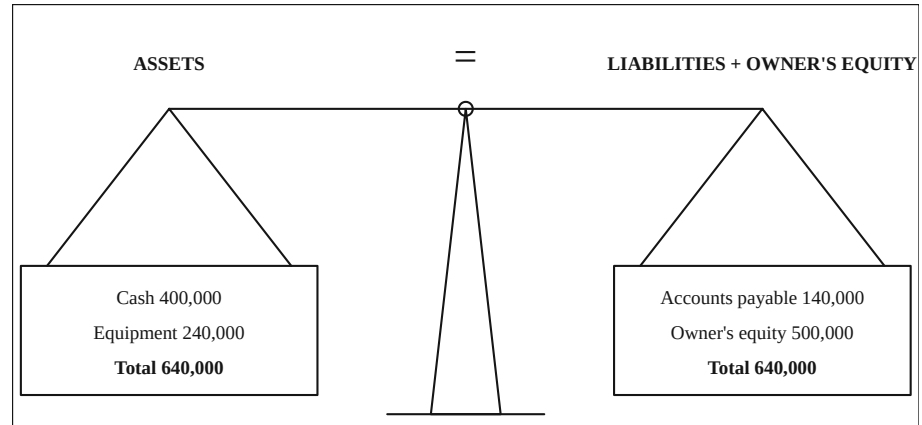


FIG. 12. The accounting equation shown as a balance: the bakery after its first two events. The assets on one side equal the claims on the other.

The figure is read as a balance with two pans, one for what the bakery has and one for the claims.

Read the figure as a balance. The left pan holds the assets of the bakery after its first two events: cash of Tk 400,000 and equipment of Tk 240,000, a total of Tk 640,000. The right pan holds the claims: Tk 140,000 owed to the supplier and Tk 500,000 that belongs to Mitali, also a total of Tk 640,000. The beam stays level because the two totals are equal.

The equation can be rearranged to find any one part.

The equation can be rearranged. If assets and liabilities are known, owner's equity is found by taking liabilities from assets: $OE = A - L$. If assets and equity are known, liabilities are $A - OE$. Rina's equity was found in this way. The rearranged forms are the same rule; they are written differently to answer different questions.

A short calculation applies the rearranged form to the bakery on 2 January.

Given. On 2 January, after the second event, the bakery has assets of Tk 640,000 and liabilities of Tk 140,000. **Find.** Owner's equity. **Formula.** In words: owner's equity equals assets less liabilities. In symbols: $OE = A - L$. **Steps.** $OE = 640,000 - 140,000 = 500,000$. **Answer.** Owner's equity is Tk 500,000. **Check.** This equals the amount that Mitali contributed, and nothing has yet been earned or spent, so the answer is reasonable.

Owner and lender read the two sides of the equation for different purposes.

The two sides of the equation answer different questions for different readers. A lender reads the left side to see what could be sold to repay a debt, and the liabilities on the right to see how much is due. An owner reads the equity to see what is truly hers. Because the sides must be equal, a larger liability means a smaller equity for the same assets. Borrowing more does not make the owner richer.

A company calls the owners' claim stockholders' equity.

Stockholders' equity. The owners' claim in a company; the same idea as owner's equity.

In a company, the same idea has a different name. **Stockholders' equity**, also called shareholders' equity, means the owners' claim in a company; it is the same idea as owner's equity. The equation is unchanged. Chapter 20 gives the full treatment.

Now we begin to use the equation. An owner who puts money or assets into a business is said to **invest** them. The amount invested is called **capital**. In this book, capital means only what the owner has contributed. The whole of the owner's claim, which also includes profit that is kept and is reduced by withdrawals, is owner's equity.¹

Each event that has money value and changes the items of the equation is called a **transaction**. For example, the owner investing cash is a transaction, and so is buying an oven. Section 4.3 examines what counts as one and what does not. For now, the rule is that after each transaction, the equation must still balance. We try the rule on a very small business.

Habib opens a tea stall. The first example uses four transactions and round figures, so that only the method must be learned. *Given.* (1) Habib invests Tk 10,000 in cash. (2) He buys a kettle and a stove for Tk 4,000 cash. (3) He buys tea leaves and sugar worth Tk 1,000 on account from a supplier. (4) He pays Tk 600 of that debt in cash. *Find.* The total of assets, of liabilities and of owner's equity after each transaction, and whether the equation holds.

Formula. In words: Assets equal Liabilities plus Owner's equity. In symbols: $A = L + OE$. *Steps.* We take each transaction in turn, name the items that change, and write the new totals.

Transaction 1. Cash, an asset, rises by Tk 10,000. Nobody outside the business has a claim, so no liability appears. The claim belongs to Habib, so owner's equity rises by Tk 10,000. Totals: $A = 10,000$; $L = 0$; $OE = 10,000$.

Transaction 2. Cash falls by Tk 4,000 and equipment rises by Tk 4,000. One asset has replaced another. The total of assets does not change, and nothing on the right side changes. Totals: $A = 10,000$; $L = 0$; $OE = 10,000$.

Transaction 3. Supplies, an asset, rise by Tk 1,000. Habib has paid nothing yet, so his debt to the supplier rises by Tk 1,000. This debt has a name. **Accounts payable** means money that the business owes to suppliers for goods or services bought on account. Totals: $A = 11,000$; $L = 1,000$; $OE = 10,000$.

Transaction 4. Habib pays Tk 600 in cash. Cash falls by Tk 600, and accounts payable falls by Tk 600, leaving Tk 400 owed. Totals: $A = 10,400$; $L = 400$; $OE = 10,000$.

HABIB'S TEA STALL: TOTALS AFTER EACH TRANSACTION (IN TAKA)

AFTER	EVENT	ASSETS	LIABILITIES	OWNER'S EQUITY
1	Habib invests cash	10,000	0	10,000
2	Buys kettle and stove for cash	10,000	0	10,000
3	Buys tea leaves and sugar on account	11,000	1,000	10,000
4	Pays Tk 600 of the debt	10,400	400	10,000

Read the table one row at a time. The first column gives the number of the transaction. The next column names the event. The last three columns give the totals

¹ Some books use the word capital for the whole owner's claim as well. The two meanings agree on the day the owner invests, and differ only after the business earns or the owner withdraws. This book keeps two words for two ideas.

Owners put money in and the amount is called capital.

Invest. To put money or assets into a business.

Capital. In daily life, money or wealth in general. In accounting, money or assets that the owner puts into the business to start or grow it.

A transaction is an event with money value that changes the business.

Transaction. An event that has money value and changes a business's assets, liabilities, or equity.

Habib's tea stall is the first example, with four events and round numbers.

The formula is the equation, applied after every event.

Transaction 1: cash and owner's equity both rise by Tk 10,000.

Transaction 2: one asset replaces another, so totals do not change.

Transaction 3: supplies and the debt to the supplier rise together.

Accounts payable. Money that the business owes to suppliers for goods or services bought on account.

Transaction 4: paying part of the debt lowers cash and the debt together.

The table shows four rows, each with the totals after one event.

of the equation after that event. In every row, the assets equal the liabilities plus the owner's equity. *Answer.* The equation holds after every transaction, and Habib's equity stays at Tk 10,000 because nothing yet has earned or reduced it. *Check.* After transaction 4, cash is Tk 5,400, equipment Tk 4,000 and supplies Tk 1,000. These sum to Tk 10,400, which equals Tk 400 plus Tk 10,000.

Now the bakery: the first four transactions of January 2026.

Now the bakery. The case file lists thirteen transactions for January 2026, and this section follows the first six. *Transaction 1, on 1 January:* Mitali invests Tk 500,000 in cash. Cash rises by Tk 500,000 and owner's equity rises by Tk 500,000. *Transaction 2, on 2 January:* she buys an oven and a mixer for Tk 240,000, paying Tk 100,000 in cash and owing Tk 140,000 on account. Equipment rises by Tk 240,000, cash falls by Tk 100,000, and accounts payable rises by Tk 140,000. Assets rise by Tk 140,000 net, and liabilities rise by Tk 140,000.

Transactions 3 and 4 each replace cash by another asset.

Transaction 3, on 3 January: she pays Tk 45,000 in cash for three months' rent in advance, January to March. She has paid for the right to use the shop for a time that has not yet come, and we record this right as an asset named Prepaid Rent. Chapter 9 explains why. Cash falls by Tk 45,000, and Prepaid Rent rises by Tk 45,000. *Transaction 4, on 5 January:* she buys baking supplies for Tk 30,000 cash. Cash falls by Tk 30,000, and supplies rise by Tk 30,000. In both, one asset has replaced another, and the totals do not change.

Transactions 5 and 6 are earnings, which raise owner's equity.

GO SLOWLY HERE.

Accounts receivable. Money that customers owe to the business for goods or services sold on account.

Transaction 5, on 10 January: the bakery sells baked goods for Tk 90,000 in cash. Cash rises by Tk 90,000, and nobody outside the business has a claim, so no liability appears. The new value belongs to the owner, so owner's equity rises by Tk 90,000. *Transaction 6, on 15 January:* a school orders catering worth Tk 40,000, to be paid later. The school now owes the bakery this money, and we call it **accounts receivable**: money that customers owe to the business for goods or services sold on account. Accounts receivable rises by Tk 40,000, and owner's equity rises by Tk 40,000. Section 4.4 teaches this kind of change in full.

MITALI'S BAKERY: TOTALS AFTER EACH OF THE FIRST SIX TRANSACTIONS (IN TAKA)

AFTER	EVENT	ASSETS	LIABILITIES	OWNER'S EQUITY
1	Owner invests cash	500,000	0	500,000
2	Oven and mixer: part cash, part on account	640,000	140,000	500,000
3	Rent paid for three months	640,000	140,000	500,000
4	Baking supplies for cash	640,000	140,000	500,000
5	Sells baked goods for cash	730,000	140,000	590,000
6	Catering for a school, on account	770,000	140,000	630,000

The table is read the same way as Habib's: totals after each row.

Read this table as you read Habib's. After row 2, the assets are Tk 640,000: cash of Tk 400,000 and equipment of Tk 240,000. These are matched by Tk 140,000 owed to the supplier and Tk 500,000 owed to the owner. After row 6, the assets are Tk 770,000, and $770,000 = 140,000 + 630,000$. *Check.* After every row the two sides are equal. The equation held for each transaction, not only at the end.

After six transactions the bakery has Tk 770,000 of assets.

Case file, illustrative. Transactions 1 to 6 of January 2026 are recorded as above. After transaction 6, on 15 January, the bakery has assets of Tk 770,000, liabilities of Tk 140,000 and owner's equity of Tk 630,000. Transactions 7 to 13 follow in sections 4.4 and 4.5.

IN SHORT: THE ACCOUNTING EQUATION

Assets = Liabilities + Owner's equity. What the business has is equal to the claims on it: the claims of outsiders, which are liabilities, and the claim of the owner, which is owner's equity. After every transaction, the two sides are still equal.

There are limits that careful students must keep in mind. First, the equation holds after each single transaction, not only at the end of a month. Second, the equation can balance even when an amount is wrong. If Mitali wrote Tk 54,000 in place of Tk 45,000 on both sides of an entry, the two sides would remain equal and the mistake would not be seen. Chapter 8 returns to this limit. Third, the equation holds only when both effects of an event are recorded. An event recorded on one side only breaks the equation, and that break is how many mistakes are found.

Pause and check. Assets are Tk 90,000 and liabilities are Tk 35,000. What is owner's equity? The owner then invests another Tk 10,000 in cash. What are the new totals of assets, liabilities and owner's equity? (The answers are at the back of the book.)

Before moving on. The accounting equation is Assets = Liabilities + Owner's equity. It balances because every asset has either an outsider's claim or the owner's claim behind it. An event that has money value and changes the items is a transaction, and after each transaction the equation must still hold. *You should now be able to say:* "After every transaction, what the business has still equals what is claimed on it."

The equation holds after every event, yet it can still hold when a figure is wrong.

Pause and check on the equation.

A recap of section 4.2 for the reader.

4.3 WHAT COUNTS AS A TRANSACTION

Before the bakery opens, a neighbour tells Mitali: "I shall buy bread from you every morning." Mitali is pleased. Does the accounting equation of the bakery change at that moment? It does not. No money has moved, no bread has been handed over, and nothing owned or owed has changed. The promise is useful news, but it is not yet an event that the books record. Section 4.2 gave the word *transaction*; this section shows which events qualify.

An event is recorded as a transaction when it passes four tests. First, it concerns the business, and not the private life of the owner (the business entity concept). Second, it has a money value that people would accept (the money measurement concept). Third, it changes at least one item of the accounting equation: an asset, a liability or owner's equity. Fourth, it can be supported by evidence, such as an invoice or a receipt. Chapter 7 names these papers and shows how they are used.

A neighbour's promise to buy bread each morning does not change the bakery's accounts.

Four tests decide whether an event is recorded.

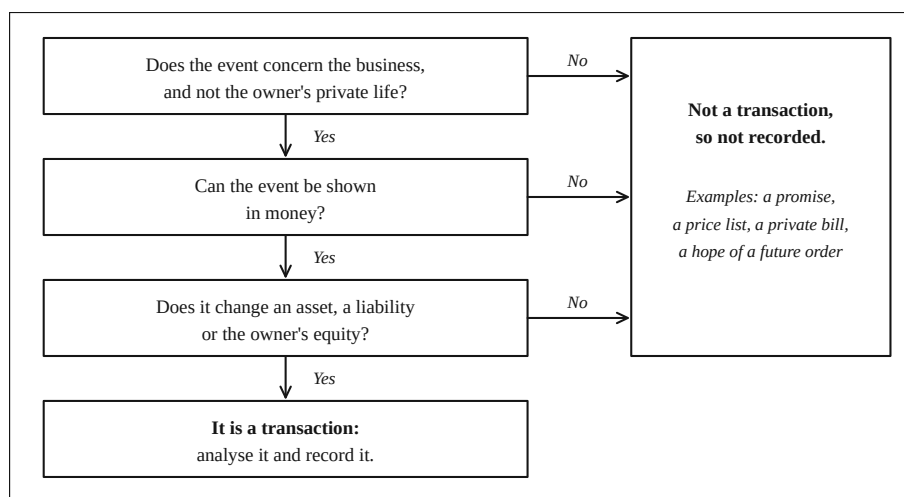


FIG. 13. *The test for a transaction: an event is recorded only if it passes all three questions in turn.*

The figure turns the first three tests into three questions asked in order.

Evidence protects both the owner and the users of the records.

The main business events are transactions, and a table shows some that are not.

Read the figure from the top. The event first meets a question about the business and the owner. If the answer is no, the event leaves the diagram to the right and is not recorded. If the answer is yes, it passes down to the next question, and then to the third. Only an event that passes all three is a transaction, and it goes forward to analysis and recording. The fourth test, evidence, is checked when the event is recorded.

The fourth test, evidence, matters more than it first seems. A record without a document can be questioned by anyone, including a tax officer or a lender, and it cannot be defended. A supplier's invoice, a receipt for cash paid, or a bank record shows that the event happened and gives its amount. This is the cost concept at work again: the amount comes from a checkable fact. Keeping the papers also helps the owner to find and correct mistakes later.

Most of the ordinary events of a business are transactions: the owner invests, the business buys equipment or supplies, buys on account, pays a debt, sells for cash or on account, receives payment from a customer, pays wages and bills. In the bakery, all thirteen events of January 2026 are transactions. Other events are not. The next table shows a mixture, so that the tests can be practised. Read each row, decide, and then read the reason.

TRANSACTION OR NOT? SOME EVENTS OF A BAKERY

EVENT	TRANSACTION?	REASON
Mitali invests cash in the bakery	Yes	Changes assets and owner's equity
A neighbour promises to buy bread each morning	No	Nothing owned or owed has changed
The bakery buys flour on account	Yes	Supplies and accounts payable both rise
A dealer's price list for ovens rises	No	The bakery's own oven is kept at cost
The bakery signs an agreement to hire a baker next month	No	No work has been done and nothing is owed yet
Mitali pays her son's school fees from her own money	No	A private event; not the business
A customer pays cash for bread	Yes	Cash and owner's equity both rise
The bakery pays its electricity bill	Yes	Cash and owner's equity both fall

Each row of the table follows one pattern. The first column names the event. The second gives the decision. The third gives the reason in terms of the tests above. Notice that a promise or an agreement, however important, is not a transaction until something is done or something is owed. The agreement to hire a baker becomes part of the accounts only when the baker works and wages become due.

Three more cases show the tests. A customer returns to say that she liked the cakes: this is not a transaction, since nothing has moved and no money is involved. In some later month the oven breaks, and a repair costing Tk 2,000 is paid in cash: this is a transaction, since cash falls and owner's equity falls. Mitali buys a gift for a friend from her own money: this is not a transaction of the bakery, since it is private. In each case, ask the questions of the figure in order.

There is another point of view. One event may be a transaction for two businesses at the same time. When the bakery buys flour on account, the bakery records supplies and accounts payable. The flour seller records a sale and accounts receivable. Each business records only its own side, because the business entity concept keeps each business apart. The same invoice is therefore recorded twice, in two sets of books.

Timing needs care. A promise today may become a transaction tomorrow, when the bread is delivered or the money is paid. The question of exactly when to record an event that spreads across several days is important, and Chapter 9 gives a full answer. In this chapter the thirteen events are recorded on the day the money or the goods change hands.

Case file, illustrative. On the day before the shop opens, a neighbour promises to buy bread each morning. The bakery's accounts do not change. On 10 January 2026 the bakery sells baked goods for Tk 90,000 in cash. This is a transaction: cash and owner's equity both rise by Tk 90,000.

Before moving on. A transaction is an event that concerns the business, has money value, changes at least one item of the accounting equation, and can be supported by evidence. A promise or an agreement is not a transaction until something is done or owed. *You should now be able to say: "An event is*

The table is read row by row: the event, the decision, then the reason.

Three further events show the tests on borderline cases.

Both sides of a sale are transactions, but each business records its own side.

An event may become a transaction later, when something is done or owed.

A promise is ignored; a cash sale is recorded.

A recap of section 4.3 for the reader.

recorded only if it changes what the business owns, owes or is owed to the owner, and can be shown in money."

4.4 REVENUE, EXPENSES AND DRAWINGS: HOW EQUITY CHANGES

Takings in the cash drawer raise the question: whose is the new value?

GO SLOWLY HERE.

Think of a market stall holder at the end of the day.

Revenue is money earned from selling goods or performing services.

Revenue. Money earned by a business from selling goods or performing services.

Revenue is earned when the work is done, not only when cash arrives.

A receipt of cash in advance is not yet revenue.

Pause and check on revenue.

An expense is a cost that a business uses up to earn revenue.

Expense. A cost that a business uses up in order to earn revenue.

GO SLOWLY HERE.

Not every payment is an expense: buying an asset or paying a debt is different.

Look again at transaction 5. The bakery sold bread for Tk 90,000 in cash. Cash, an asset, rose by Tk 90,000. Nobody outside the business has a claim on that new value, so no liability appeared. Whose, then, is it? The accounting equation gives the answer. If assets rise and liabilities do not, owner's equity must rise by the same amount. The earnings belong to the owner.

Picture a stall holder who counts the takings at the end of the day. She takes away the cost of the goods she sold and the small costs of the day. What remains is her gain. If the day was good, her share in the stall has grown; if it was bad, her share has fallen. Business does the same, but it keeps careful names for each part, and this section teaches three of them.

Revenue means money earned by a business from selling goods or performing services. The sale of bread for Tk 90,000 is revenue, and so is the catering for the school. Business English also uses the words *sales* and *income* for this idea. This book uses *revenue* throughout, and from Chapter 13, where a business buys goods to resell, it uses *sales* for the selling price of those goods. Revenue increases owner's equity.

Revenue is not the same as cash received. On 15 January the bakery catered for a school, billed on account, for Tk 40,000. The school has not paid, but the bakery has done the work and the school owes the money. The bakery has earned revenue. Owner's equity rises by Tk 40,000, and accounts receivable, an asset, rises by the same amount.

The opposite case also exists. On 22 January a customer pays the bakery Tk 12,000 in advance for six weekly cake deliveries. Cash has arrived, yet the bakery has not done the work. It owes the customer six cakes, so the Tk 12,000 is a liability and not revenue. It becomes revenue only as the cakes are delivered. Chapter 9 follows the idea in detail. For now, remember: cash and revenue are different things.

Pause and check. A baker receives Tk 5,000 in cash today for bread sold today, and Tk 3,000 in cash today for cakes to be delivered next week. How much revenue does the baker earn today? (The answer is at the back of the book.)

Now the other side of earning. **Expense** means a cost that a business uses up in order to earn revenue. Wages paid to a helper are an expense, because the helper's work helped to earn revenue. So is the electricity bill. An expense decreases owner's equity. When the bakery pays Tk 6,000 for electricity on 25 January, cash falls by Tk 6,000, and owner's equity falls by Tk 6,000.

Careful readers must not confuse payment with expense. When the bakery paid Tk 240,000 for an oven and a mixer, it bought assets, and it is still the owner of the same value; the cash changed into equipment. When the bakery pays a supplier part of what it owes, it reduces a liability and reduces cash; its equity is not touched. The cost of an oven or of flour becomes an expense only as it is used up in earning revenue. Chapter 9 shows how.

Drawings means cash or goods that the owner withdraws from the business for personal use. They are also called withdrawals. On 30 January 2026, Mitali withdraws Tk 20,000 in cash. Cash falls by Tk 20,000, and owner's equity falls by Tk 20,000. Salma's family rice, in the opening puzzle of Chapter 3, was a drawing and not a cost of her shop.

Why are drawings not an expense? An expense is used up to earn revenue. Drawings do not help to earn anything; they merely transfer part of the owner's claim from the business to the owner's household. The two have the same effect on owner's equity, a fall, but different reasons. Keeping them apart lets the owner see both what the business cost to run and how much she took from it.

We can now write the equation in a longer form that shows what changes owner's equity. Owner's equity equals capital, plus revenue, less expenses, less drawings. The full equation is Assets = Liabilities + Capital + Revenue – Expenses – Drawings. Capital and revenue raise owner's equity. Expenses and drawings lower it. The figure below shows the five parts in order.

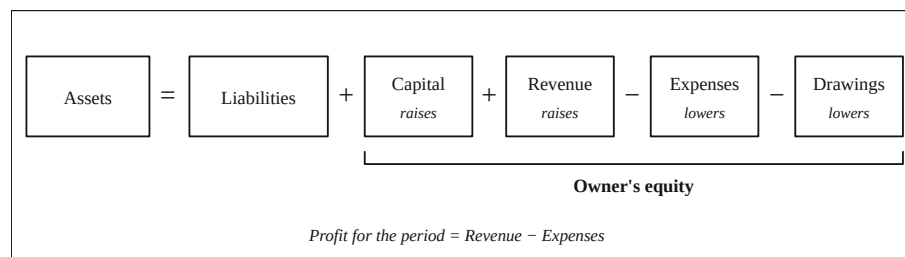


FIG. 14. The expanded equation: the owner's equity side is made of capital, revenue, expenses and drawings, and each part either raises or lowers it.

Read the figure from the left. The two sides of the equals sign are the same two sides as before. The right side is now divided: liabilities, and then four parts that together make owner's equity. The words *raises* and *lowers* show the direction in which each part moves owner's equity. The line below the figure gives the profit of the period: revenue less expenses.

We can now say exactly what profit is. Chapter 1 introduced the word, and we can now state it with precision: profit for a period is revenue less expenses for the same period. If the result is negative, there is a loss. Profit increases owner's equity, and loss decreases it. Drawings are not part of the calculation of profit. Chapter 5 builds the reports that show profit.

Given. Shop A has revenue of Tk 25,000 and expenses of Tk 18,000. Shop B has revenue of Tk 12,000 and expenses of Tk 15,000. **Find.** The result of each shop. **Formula.** In words: profit equals revenue less expenses. In symbols: $P = R - E$. **Steps.** Shop A: $25,000 - 18,000 = 7,000$. Shop B: $12,000 - 15,000 = -3,000$. **Answer.** Shop A has a profit of Tk 7,000. Shop B has a loss of Tk 3,000. **Check.** Shop B's expenses are larger than its revenue, so a negative result, a loss, is expected.

Different readers see different things in the same expenses. The owner sees wages and electricity as costs to control. The lender sees the same costs as claims that must be met before money is left to repay a loan. The employee sees wages as income. One word, *expense*, therefore looks different from each seat, but the amount is the same for all.

Sometimes a cost is used up before the cash is paid, as when helpers work for a week and are paid in the next week. The expense belongs to the week of the work, even though the cash moves later. The opposite case, a cost paid before it is used, as with rent paid in advance, is also met in Chapter 9. In this chapter, the

Drawings are the owner's withdrawals for private use, and they reduce equity.

Drawings. Cash or goods that the owner withdraws from the business for personal use.

Drawings are not an expense, because they do not help to earn revenue.

The expanded equation shows owner's equity as capital plus revenue, less expenses and drawings.

The figure shows how each part raises or lowers owner's equity.

Profit is revenue less expenses; a negative result is a loss.

A short calculation shows profit for one shop and loss for another.

A lender reads expenses differently from an owner, though both read the same figures.

An expense may be used up before it is paid, which a later chapter teaches.

thirteen transactions of January are plain enough that cash and expense fall on the same day.

HOW OWNER'S EQUITY CHANGED IN JANUARY 2026: THE SEVEN TRANSACTIONS THAT AFFECTED IT (IN TAKA)

NO.	EVENT	CAPITAL	REVENUE	EXPENSES	DRAWINGS	OWNER'S EQUITY AFTER
1	Owner invests cash	500,000				500,000
5	Cash sales		90,000			590,000
6	Catering on account		40,000			630,000
10	Electricity paid			6,000		624,000
11	Cash sales		70,000			694,000
12	Wages paid			36,000		658,000
13	Owner withdraws cash				20,000	638,000
	Totals	500,000	200,000	42,000	20,000	638,000

The table lists only the events that changed owner's equity.

Four more transactions change owner's equity, giving profit of Tk 158,000.

A recap of section 4.4 for the reader.

GO SLOWLY HERE.

Pause and check on equity.

Read the table as a record of the owner's claim. Only seven of the thirteen transactions are listed, because the other six did not change owner's equity: they changed assets and liabilities only. The last column gives the running total of owner's equity. The bottom row gives the totals of each kind of change. *Check.* Capital 500,000, plus revenue 200,000, less expenses 42,000, less drawings 20,000, gives 638,000, the same as the last row.

Case file, illustrative. Four more transactions of January 2026 change owner's equity. On 25 January the bakery pays Tk 6,000 for electricity, an expense. On 28 January it sells baked goods for Tk 70,000 in cash, which is revenue. On 28 January it pays wages of Tk 36,000, an expense. On 30 January Mitali withdraws Tk 20,000, which is drawings. For the month, revenue is Tk 200,000 and expenses are Tk 42,000, so profit is Tk 158,000.

Before moving on. Revenue is money earned and raises owner's equity. An expense is a cost used up to earn revenue and lowers owner's equity. Drawings are the owner's private withdrawals and lower owner's equity, but they are not an expense. Profit is revenue less expenses. Buying an asset, paying a debt and receiving cash in advance do not change owner's equity. *You should now be able to say:* "Revenue raises the owner's claim; expenses and drawings lower it."

Pause and check. A shop has capital of Tk 40,000, revenue of Tk 25,000, expenses of Tk 18,000 and drawings of Tk 4,000. What is its profit? What is its owner's equity? (The answers are at the back of the book.)

4.5 ANALYSING TRANSACTIONS STEP BY STEP: THE SUMMARY OF TRANSACTIONS

A fixed routine of four questions turns any event into numbers.

Transaction analysis. Finding which items a transaction changes, and by how much.

Sections 4.2 to 4.4 analysed transactions one at a time, in prose. Accountants use a fixed routine for the same task, so that no step is forgotten. **Transaction analysis** means finding which items a transaction changes, and by how much. The routine has four questions. After the fourth, the event is fully recorded in the summary of transactions, a table of running totals.

The four questions are these. First, what happened, and is it a transaction (section 4.3)? Second, which items change, and is each an asset, a liability or part of owner's equity? Third, by how much does each change, and in which direction, up or down? Fourth, does the equation $\text{Assets} = \text{Liabilities} + \text{Owner's equity}$ still hold? Always name at least two items in the second question, because every transaction has two sides. If only one item seems to change, a second one has been forgotten.

Most transactions fall into a few patterns. The next table shows five of them, each with an example from this chapter. Learn to recognise the pattern first; the amounts follow. Other patterns exist, such as an expense that is owed and not yet paid, and Chapter 9 teaches them.

FIVE USUAL PATTERNS OF CHANGE IN THE ACCOUNTING EQUATION

PATTERN	EXAMPLE	EFFECT
One asset rises, another falls	Rent paid in advance; supplies bought for cash	Assets unchanged in total
An asset rises, a liability rises	Equipment bought on account	Assets and liabilities both rise
An asset rises, owner's equity rises	Owner invests; revenue earned	Assets and equity both rise
An asset falls, a liability falls	Part of a debt paid	Assets and liabilities both fall
An asset falls, owner's equity falls	Expense paid; owner withdraws cash	Assets and equity both fall

Read each row from the left. The first column names the pattern, the second gives an example, and the third states the effect on the equation. In every row, the effect keeps both sides equal. This is why the equation never fails: each pattern changes both sides by the same amount, or changes one side only in a way that cancels itself.

Three transactions of January have not yet been analysed, because they did not change owner's equity in the way that sections 4.2 and 4.4 described. *Transaction 7, on 18 January:* the school pays Tk 25,000 of the Tk 40,000 that it owes. Cash rises by Tk 25,000, and accounts receivable falls by Tk 25,000. This is the first pattern, one asset replacing another. No revenue is earned, because the revenue was recorded on 15 January when the work was done.

Transaction 8, on 20 January: the bakery pays the equipment supplier Tk 60,000 of the Tk 140,000 that it owes. Cash falls by Tk 60,000, and accounts payable falls by Tk 60,000. This is the fourth pattern. It is not an expense, because paying a debt only settles an earlier purchase. *Transaction 9, on 22 January:* a customer pays Tk 12,000 in advance for six weekly cake deliveries at Tk 2,000 each, starting on 29 January. Cash rises by Tk 12,000, and a liability named Unearned Revenue rises by Tk 12,000. This is the second pattern. The liability is the bakery's duty to deliver six cakes.

Transactions 10 to 13 were analysed in section 4.4. Transaction 10 is an expense of Tk 6,000 paid in cash. Transaction 11 is a cash sale of Tk 70,000. Transaction 12 is wages of Tk 36,000 paid in cash. Transaction 13 is a withdrawal of Tk 20,000 by the owner. Each follows one of the patterns of the table. We can now assemble all thirteen in the summary of transactions.

The summary of transactions shows the totals of each item after every transaction. Because there are many items, it is shown in two tables. The first table

The four questions are listed in order: what, which, how much, still balanced.

A table of patterns shows the five usual ways in which items move together.

The table is read by pattern first, and then by example.

Transactions 7 to 9 are the three that remain to be analysed.

Transaction 8 pays part of a debt; transaction 9 receives cash in advance.

The remaining four transactions, 10 to 13, were analysed in section 4.4.

The summary of transactions is shown in two tables: one for assets and one for claims.

shows the assets, in five columns, and their total. The second table shows the claims: the two liabilities, then owner's equity. Read the rows of the first table to learn where the money is; read the second to learn who has claims on it.

SUMMARY OF TRANSACTIONS, JANUARY 2026: ASSETS AFTER EACH TRANSACTION (IN TAKA)

AFTER	CASH	ACCOUNTS RECEIVABLE	SUPPLIES	PREPAID RENT	EQUIPMENT	TOTAL ASSETS
1	500,000	0	0	0	0	500,000
2	400,000	0	0	0	240,000	640,000
3	355,000	0	0	45,000	240,000	640,000
4	325,000	0	30,000	45,000	240,000	640,000
5	415,000	0	30,000	45,000	240,000	730,000
6	415,000	40,000	30,000	45,000	240,000	770,000
7	440,000	15,000	30,000	45,000	240,000	770,000
8	380,000	15,000	30,000	45,000	240,000	710,000
9	392,000	15,000	30,000	45,000	240,000	722,000
10	386,000	15,000	30,000	45,000	240,000	716,000
11	456,000	15,000	30,000	45,000	240,000	786,000
12	420,000	15,000	30,000	45,000	240,000	750,000
13	400,000	15,000	30,000	45,000	240,000	730,000

SUMMARY OF TRANSACTIONS, JANUARY 2026: LIABILITIES AND OWNER'S EQUITY AFTER EACH TRANSACTION (IN TAKA)

AFTER	ACCOUNTS PAYABLE	UNEARNED REVENUE	TOTAL LIABILITIES	OWNER'S EQUITY	LIABILITIES PLUS EQUITY
1	0	0	0	500,000	500,000
2	140,000	0	140,000	500,000	640,000
3	140,000	0	140,000	500,000	640,000
4	140,000	0	140,000	500,000	640,000
5	140,000	0	140,000	590,000	730,000
6	140,000	0	140,000	630,000	770,000
7	140,000	0	140,000	630,000	770,000
8	80,000	0	80,000	630,000	710,000
9	80,000	12,000	92,000	630,000	722,000
10	80,000	12,000	92,000	624,000	716,000
11	80,000	12,000	92,000	694,000	786,000
12	80,000	12,000	92,000	658,000	750,000
13	80,000	12,000	92,000	638,000	730,000

Each row of the first table must equal the same row of the second.

The test of the whole month is simple. In each row, the last column of the first table must equal the last column of the second table. Consider row 8. The assets are Tk 710,000. In the second table, liabilities of Tk 80,000 plus owner's equity of Tk 630,000 also give Tk 710,000. The same agreement holds in all thirteen rows. The equation held after every transaction of the month.

The last row of each table gives the position at the end of the month. Assets are Tk 730,000: cash Tk 400,000, accounts receivable Tk 15,000, supplies Tk 30,000, prepaid rent Tk 45,000 and equipment Tk 240,000. Liabilities are Tk 92,000: accounts payable Tk 80,000 and unearned revenue Tk 12,000. Owner's equity is Tk 638,000, which is capital of Tk 500,000, plus revenue of Tk 200,000, less expenses of Tk 42,000 and drawings of Tk 20,000. Indeed, $730,000 = 92,000 + 638,000$.

Case file, illustrative. After the thirteenth transaction, on 30 January 2026, the bakery has assets of Tk 730,000, liabilities of Tk 92,000 and owner's equity of Tk 638,000. Revenue for the month is Tk 200,000, expenses are Tk 42,000, and profit is Tk 158,000. These figures are not yet complete; Chapter 9 brings them up to date. Chapter 5 builds the first reports from them, and Chapter 7 records the same thirteen transactions again, using debits and credits.

COMMON SLIPS

The first common slip is a wrong direction. A student pays a debt of Tk 60,000 and increases accounts payable instead of reducing it. The check is quick: if the equation no longer balances, a direction is wrong. Say each change aloud in words, "cash falls, debt falls," before writing a number.

The second slip is a forgotten item. When the oven is bought partly for cash and partly on account, three items change, not two: equipment, cash and accounts payable. A student who records only equipment and cash will find that the equation fails by Tk 140,000. Count the items before the amounts.

The third slip mixes cash with credit. A sale on account raises accounts receivable and not cash. The fourth slip treats payments as expenses: buying supplies, paying a debt and withdrawing cash for the owner are not expenses. The fifth treats an advance receipt as revenue. Ask in each case: has the work been done, and has the cost been used up?

A DIFFERENT BUSINESS, WITH NEW DATA

Test the method on a different business. Imran opens a bicycle repair shop. *Given.* (1) He invests Tk 50,000 in cash. (2) He buys tools for Tk 20,000, paying Tk 12,000 in cash and owing Tk 8,000. (3) He repairs bicycles for Tk 15,000 in cash. (4) He pays shop rent of Tk 5,000 in cash. (5) He pays Tk 3,000 of the tools debt. (6) He withdraws Tk 4,000 in cash for his family. *Find.* The totals after each transaction.

IMRAN'S REPAIR SHOP: TOTALS AFTER EACH TRANSACTION (IN TAKA)

AFTER	EVENT	ASSETS	LIABILITIES	OWNER'S EQUITY
1	Imran invests cash	50,000	0	50,000
2	Tools: part cash, part on account	58,000	8,000	50,000
3	Repairs for cash	73,000	8,000	65,000
4	Rent paid	68,000	8,000	60,000
5	Part of tools debt paid	65,000	5,000	60,000
6	Imran withdraws cash	61,000	5,000	56,000

Steps. In row 2, tools of Tk 20,000 are added and cash falls by Tk 12,000, so assets rise by Tk 8,000; the debt of Tk 8,000 balances this. In row 3 the revenue of Tk 15,000 raises both assets and equity. In row 4 the rent is an expense of Tk 5,000. In row 5 the debt is reduced, with no effect on equity. In row 6 the withdrawal reduces assets and equity. *Answer.* After six transactions, assets are Tk

The totals at 31 January are assets of Tk 730,000, liabilities of Tk 92,000 and equity of Tk 638,000.

At 30 January the bakery has assets of Tk 730,000 and equity of Tk 638,000.

Slips of direction: a rise recorded as a fall, or the wrong side changed.

Slips of omission: a forgotten second item.

Slips of confusion: cash against on account, and payment against expense.

Imran's bicycle repair shop gives six transactions with new figures.

The steps and the check for Imran's shop follow the same routine.

A third business, with a loss, completes the ladder of examples.

61,000, liabilities Tk 5,000 and owner's equity Tk 56,000. *Check.* Owner's equity should be $50,000 + 15,000 - 5,000 - 4,000 = 56,000$, and $61,000 = 5,000 + 56,000$.

Imran's shop made a profit. A third business shows a loss, and it uses less tidy numbers. Rubina opens a flower shop. *Given.* (1) She invests Tk 30,000 in cash. (2) She buys flowers and ribbon for Tk 9,000 on account. (3) She sells flowers for Tk 6,000 in cash. (4) She pays shop rent of Tk 8,000 in cash. (5) She pays Tk 4,000 to the supplier. (6) She pays her helper Tk 7,000 in cash.

RUBINA'S FLOWER SHOP: TOTALS AFTER EACH TRANSACTION (IN TAKA)

AFTER	EVENT	ASSETS	LIABILITIES	OWNER'S EQUITY
1	Rubina invests cash	30,000	0	30,000
2	Flowers and ribbon on account	39,000	9,000	30,000
3	Sells flowers for cash	45,000	9,000	36,000
4	Rent paid	37,000	9,000	28,000
5	Pays the supplier	33,000	5,000	28,000
6	Pays the helper	26,000	5,000	21,000

The answer and check show a loss of Tk 9,000.

Answer. After six transactions, assets are Tk 26,000, liabilities Tk 5,000 and owner's equity Tk 21,000. Revenue is Tk 6,000 and expenses are Tk 8,000 + Tk 7,000 = Tk 15,000, so the result is a loss of Tk 9,000. *Check.* Owner's equity should be $30,000 + 6,000 - 15,000 = 21,000$, and $26,000 = 5,000 + 21,000$. The loss has reduced the owner's claim below the amount invested.

The summary of transactions is a first method; Chapter 7 gives the faster one.

The summary of transactions is a good way to learn, because every effect on every item is visible. It is slow for a business with hundreds of transactions a day, and it does not keep a permanent, dated record of each event. For these reasons, accountants use the journal and the ledger of Chapter 7 in practice. The ideas of this chapter do not change; only the method of recording does.

A recap of section 4.5 for the reader.

Before moving on. Transaction analysis asks four questions: what happened, which items change, by how much, and does the equation still hold. Every transaction changes at least two items. The summary of transactions shows the running totals after each one. *You should now be able to say:* "I can analyse a transaction in four questions and check that assets still equal liabilities plus owner's equity."

THE WORKED CASE: WHOSE MONEY IS IN THE DRAWER?

The worked case returns to Mitali's opening questions and answers them with the month's figures.

Case file, illustrative. *Situation.* On 30 January 2026, after the thirteenth transaction, Mitali Rahman counts Tk 400,000 in cash. She invested Tk 500,000 four weeks earlier, and she fears that she is poorer. The summary of transactions gives the totals at the end of the month.

The question restates the three puzzles of the opening page.

Question. How much does the bakery own, how much does it owe, and how much of it truly belongs to Mitali? Is the cash in the drawer all hers?

Reasoning reads the answers from the last row of the two tables.

Reasoning. The bakery owns assets of Tk 730,000, of which cash is Tk 400,000. It owes liabilities of Tk 92,000: Tk 80,000 to the supplier of the oven, and Tk 12,000 for cakes that it has promised to deliver. What belongs to Mitali is the difference: 730,000 less 92,000, which is Tk 638,000. The cash is not all hers, because Tk 80,000 of it is due to the supplier, and Tk 12,000 was received for work that is not yet done.

She is not poorer. She invested Tk 500,000, and her claim on the bakery is now Tk 638,000. The increase of Tk 138,000 is revenue of Tk 200,000 less expenses of Tk 42,000, which is profit of Tk 158,000, less the Tk 20,000 that she withdrew. The cash fell because much of it changed into equipment, rent in advance and supplies, and these are assets too.

Conclusion. The bakery owns Tk 730,000, owes Tk 92,000, and belongs to Mitali for Tk 638,000. *Check.* Assets of Tk 730,000 equal liabilities of Tk 92,000 plus owner's equity of Tk 638,000. The accounting equation holds.

Mitali's claim has grown, not shrunk.

The conclusion and check complete the case.

SUMMARY

An asset is something of value that the business owns; equipment and supplies are two kinds. A liability is an amount owed to someone outside the business. Owner's equity is the owner's claim: assets less liabilities. The accounting equation states that assets equal liabilities plus owner's equity, and it holds after every transaction. A transaction is an event that concerns the business, has money value and changes the items of the equation. Owner's equity rises with capital and revenue, and falls with expenses and drawings. Transaction analysis asks four questions and records the result in a summary of transactions. Accounts receivable and accounts payable are the amounts owed to and by the business on account. In a company the owners' claim is called stockholders' equity.

The summary gathers the whole chapter in a few lines.

THINK IT THROUGH

Shirin opens a dairy stall. Analyse each transaction below in a table, with columns for assets, liabilities and owner's equity, and check that the equation holds after each one. (a) Shirin invests Tk 80,000 in cash. (b) She buys a refrigerator for Tk 30,000, paying Tk 10,000 in cash and owing the rest on account. (c) She buys milk containers and packaging for Tk 6,000 in cash. (d) She sells milk products for Tk 14,000 in cash. (e) She sells products to a hotel for Tk 9,000, on account. (f) She pays Tk 5,000 of the refrigerator debt. (g) She pays Tk 2,500 for electricity. (h) She withdraws Tk 3,000 in cash for her household. Then state the totals of assets, liabilities and owner's equity at the end, and the profit for the period. (The answers are at the back of the book.)

A dairy stall gives eight transactions to analyse and check.

WHERE PEOPLE GO WRONG

Error: "Owner's equity is the money the owner invested." Capital is the amount invested. Owner's equity is the whole claim, and it also includes revenue earned and is reduced by expenses and drawings.

Owner's equity is not the cash the owner invested.

Error: "A liability is only money owed to a bank." A liability is any amount owed to an outsider. It includes money owed to suppliers and promises to deliver goods or service for money already received.

A liability is not only a bank loan.

Error: "Cash received is revenue; cash paid is an expense." Cash received in advance is a liability. Cash paid for equipment or supplies buys an asset, and cash paid to settle a debt reduces a liability. Revenue and expense depend on work done and cost used up, not on the date of the cash.

Cash received is not always revenue, and cash paid is not always an expense.

Error: "Money the owner withdraws is an expense of the business." Drawings are a reduction of the owner's claim, not a cost of earning revenue. They are shown apart from expenses, so that the true cost of running the business can be seen.

Drawings are not an expense.

Pacioli taught merchants to begin their books by listing what they own and owe.

The list of owned and owed is still the first step of every set of books.

Question on the three items.

Question on the equation.

Question on equity and capital.

Question on transactions.

Question on revenue, expense and drawings.

Question on receivable and payable.

Question on advance receipts.

Question on analysis.

IN HISTORY

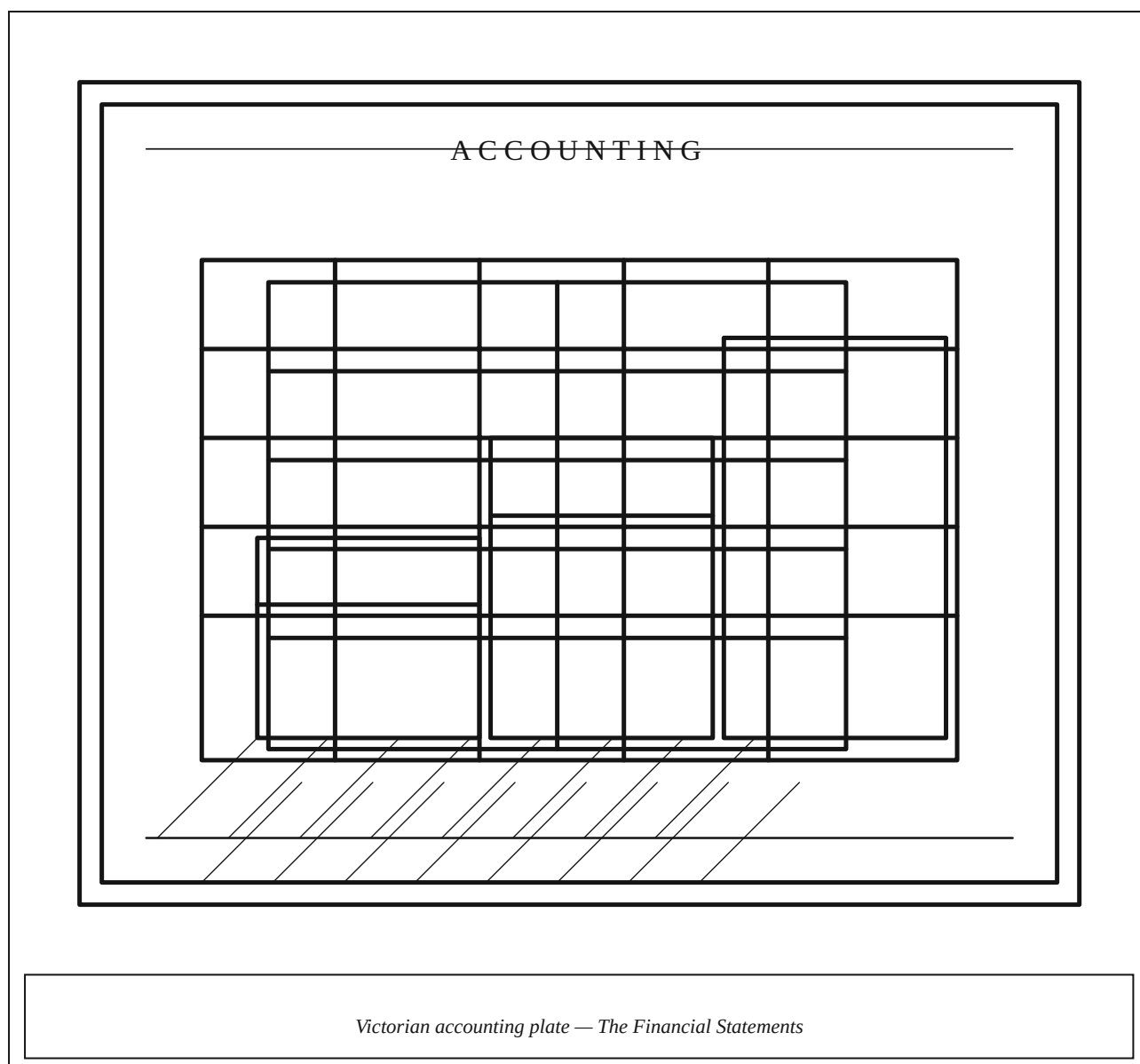
In 1494, the Italian teacher of mathematics Luca Pacioli published in Venice a large book on arithmetic and geometry. One part of it was a short treatise on bookkeeping, describing the method then used by Venetian merchants. The treatise advises the merchant to begin the books by listing everything that he owns and owes, with a value for each.² A later Venetian author, Domenico Manzoni, published in 1540 a bookkeeping text whose worked example opens in the same way, with a complete inventory of a merchant's possessions on one date.

The merchant's list of what he owned and owed is the accounting equation in its earliest form. Subtract the second list from the first, and the result is what belongs to the merchant himself. More than five hundred years later, every set of books still begins from the same two lists. Chapter 6 shows how the method of Venice records the two sides of every transaction.

REVIEW QUESTIONS

1. Define asset, liability and owner's equity. Give one example of each from a bakery.
2. State the accounting equation in words and in symbols. Explain why it always balances.
3. Explain the difference between capital and owner's equity. What name does a company give to the owners' claim?
4. What is a transaction? Give two examples of events that are transactions and two that are not, with reasons.
5. Define revenue, expense and drawings. Explain how each changes owner's equity, and why drawings are not an expense.
6. Distinguish accounts receivable from accounts payable. Which is an asset and which is a liability?
7. A customer pays in advance for goods to be delivered next month. Is the payment revenue? Explain.
8. List the four questions of transaction analysis. Use them to analyse the purchase of equipment for Tk 50,000, of which Tk 20,000 is paid in cash and the rest is owed.

² Pacioli's bookkeeping treatise is called *Particularis de computis et scripturis*, and it forms part of his *Summa de arithmetica, geometria, proportioni et proportionalita* (Venice, 1494).



Victorian accounting plate — The Financial Statements

CHAPTER V

The Financial Statements

How a month of figures becomes three pages that a stranger can read



A business holds its facts in a table of transactions, but no outsider can read a table of thirteen lines and understand a month. This chapter shows the reports that a business prepares, builds the first set from the bakery's January figures, and shows how the three reports are linked. You will need Chapter 4: the accounting equation, revenue, expense, drawings and the summary of transactions.

At the end of January, Mitali holds Tk 400,000 in cash and cannot say whether she did well.

The answer needs reports that group the same facts by the question each reader asks.

A financial statement is a formal report that shows results or position in numbers.

Financial statement. A formal report that shows the results or position of a business in numbers.

Each statement answers one question: how did the business perform, how did the owner's share change, what is the position?

Income statement. A statement that shows revenue, expenses, and the resulting profit or loss for a period.

Statement of owner's equity. A statement that shows how the owner's equity changed during a period.

Balance sheet. A statement that lists assets, liabilities, and owner's equity on one date.

Two statements describe a stretch of time, and one describes a single day.

Reporting date. The date to which a balance sheet is prepared.

On the evening of 31 January 2026, Mitali Rahman counts the cash in her bakery's account: Tk 400,000. On 1 January she put Tk 500,000 into the business. The cash is therefore Tk 100,000 lower than at the start. Did the bakery lose money in its first month? A friendly bank officer, who may one day lend to her, asks the question in a different form: "How did the first month go?" Mitali has a table of 13 transactions from Chapter 4. Every fact that the officer needs lies somewhere in that table, but the table does not answer him. It lists events in the order in which they happened. The officer wants results, grouped by meaning.

The cash has fallen because Mitali spent money on an oven, on rent for three months and on supplies, and these purchases are not losses. They are things that the bakery now owns. To see this, the officer needs three reports: one on what the bakery earned and spent, one on what happened to the owner's share, and one on what the bakery owns and owes. These reports are called the financial statements. This chapter teaches each one, builds them from the January table, and shows how they fit together.

5.1 THE REPORTS AN OWNER NEEDS: THE TYPES OF FINANCIAL STATEMENT

A **financial statement** is a formal report that shows the results or the position of a business in numbers. It has a fixed layout so that every reader knows where to look. Every financial statement carries a heading of three lines: the name of the business, the name of the statement, and the date or the period to which it refers. A statement without its heading is not usable, because a figure has no meaning unless the reader knows which business and which time it describes.

Three questions come up most often, and each has its own statement. How did the business perform in the period? The **income statement** answers this. How did the owner's claim on the business change in the period? The **statement of owner's equity** answers this. What does the business own and owe on one date? The **balance sheet** answers this. The names differ in some countries and some books. The income statement is also called the profit and loss account, and the balance sheet is also called the statement of financial position.¹

An important difference separates the three. The income statement and the statement of owner's equity describe a **period**: a month, a quarter or a year. They are like a film of what happened between two dates. The balance sheet describes one **date**. It is like a photograph of the business on that day. For this reason the heading of the first two says *For the month ended 31 January 2026*, and the heading of the balance sheet says *At 31 January 2026*. The date on a balance sheet is the **reporting date**.

¹ The international standards of Chapter 3 use the names *statement of profit or loss* and *statement of financial position*. This book uses *income statement* and *balance sheet*, which are the names most students meet in their first course.

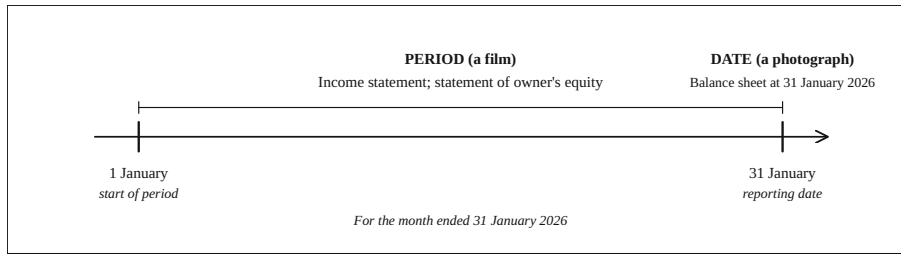


FIG. 15. Two statements film a period; one photographs a date.

A full set of statements for a company has two more parts. The **statement of cash flows** shows the cash that the business received and paid in the period, grouped by purpose. The **notes to the accounts** are written explanations that accompany the statements: the methods used, details of large items, and facts that numbers alone do not show. Both are important. A business can make a profit and still run short of cash, and the cash flow statement shows why. This book describes these two parts but does not teach how to prepare them. The three statements of this chapter are the foundation, and a student who masters them can learn the others with little difficulty.

Which statements must a business prepare? The answer depends on its form (Chapter 1). A company must prepare the complete set under the accounting standards in force; the rules for companies in Bangladesh are developed with the company form in Chapter 20. A sole trader such as Mitali has no such duty to outsiders, but the bank, the tax authority and the owner herself all need the income statement and the balance sheet. The statement of owner's equity connects the two. We therefore prepare all three, and we use them for every business in this book.

Before moving on. A financial statement is a formal report with a three-line heading. The income statement and the statement of owner's equity cover a period; the balance sheet shows one date. The statement of cash flows and the notes complete a full set.

A complete set also includes a cash flow statement and notes, which this book describes only.

Statement of cash flows. A statement that shows the cash a business received and paid during a period.

Notes to the accounts. Written explanations that accompany the financial statements.

A sole trader needs the three statements; the legal duties of a company are wider.

Recap: the three types of statement, and the two further parts of a full set.

5.2 THE INCOME STATEMENT

The income statement answers a plain question: after the business had earned its revenue and paid or used up its costs, what was left? The rule is short.

The income statement subtracts expenses from revenue to find the profit of a period.

IN SHORT

Net profit = revenue – expenses. If expenses are more than revenue, the result is a net loss.

Net profit is the profit that remains after all expenses have been taken away from revenue. When expenses are larger than revenue, the result is a **net loss**. We use the word *net* to show that every expense has already been taken away. Chapter 4 defined revenue and expense. The first is the money earned from selling goods or services, and the second is a cost that the business uses up to earn it. Note that revenue is not the same as cash received: a sale on account is revenue on the day of the sale, even though the cash arrives later.

Net profit. The profit left after all expenses have been taken from revenue.

Net loss. The loss that results when expenses are more than revenue.

Net profit is the profit left after all expenses; net loss is the shortfall when expenses are larger.

The layout lists revenue first, then each expense, then the result.

The layout is always the same. Under the three-line heading, revenue comes first. Below it, each expense is listed on its own line, and the expenses are totalled. The last line shows the

The first example is a cycle repair shop, with six transactions in one month.

net profit or net loss. We begin with the smallest example that has all of these parts.

Given. Shuvo Cycle Repair (illustrative) begins on 1 April 2026. In the month: (1) Shuvo invests Tk 50,000 in cash; (2) he buys tools for Tk 12,000, paying Tk 7,000 in cash and owing Tk 5,000 on account; (3) he receives Tk 30,000 in cash for repairs; (4) he pays rent of Tk 8,000; (5) he pays wages of Tk 6,000; (6) he withdraws Tk 4,000 for himself. **Find.** The net profit for April. **Formula.** In words: net profit = revenue – expenses. In symbols: $P = R - E$. **Steps.** Only transactions 3, 4 and 5 concern revenue and expenses. The investment is not revenue, because it is the owner's own money. The tools are not an expense this month, because the shop still owns them. The withdrawal is not an expense, because it is the owner taking money for personal use. Revenue is Tk 30,000. Expenses are $8,000 + 6,000 = \text{Tk } 14,000$. Net profit is $30,000 - 14,000 = \text{Tk } 16,000$. **Answer.** The net profit for April is Tk 16,000. **Check.** The shop took in Tk 30,000 and paid out Tk 14,000 for running costs. The difference is Tk 16,000.

SHUVO CYCLE REPAIR: INCOME STATEMENT FOR THE MONTH ENDED 30 APRIL 2026
(TK)

ITEM	TK	TK
Revenue: repair fees		30,000
Expenses		
Rent	8,000	
Wages	6,000	
Total expenses		14,000
Net profit		16,000

Three items often cause doubt: the owner's investment, an asset bought, and the owner's withdrawals.

Three kinds of cash movement are not part of the income statement. The owner's investment is not revenue. An asset bought is not an expense, because the business still owns it. The owner's drawings are not an expense, because they are a share of the profit taken out, and not a cost of earning it. A reader who keeps these three in mind will avoid the most frequent error of beginners.

GO SLOWLY HERE: ONLY REVENUE AND EXPENSES BELONG IN THIS STATEMENT.

Now the bakery's January: revenue and expenses are picked out of the 13 transactions.

We now build the bakery's income statement from the 13 transactions of Chapter 4. We take each transaction and ask whether it is revenue or expense. Transactions 5, 6 and 11 are revenue: baked goods sold for cash on 10 January (Tk 90,000), catering for a school billed on account on 15 January (Tk 40,000), and baked goods sold for cash on 28 January (Tk 70,000). Total revenue is $90,000 + 40,000 + 70,000 = \text{Tk } 200,000$. Transaction 6 is revenue even though only Tk 25,000 of the Tk 40,000 had arrived by month's end. The other Tk 15,000 is a claim on the school.

Two transactions are expenses: the electricity bill and the wages.

Two transactions are expenses: the electricity bill of Tk 6,000 (transaction 10) and the wages of Tk 36,000 (transaction 12). Total expenses are Tk 42,000. The remaining transactions do not belong here. Transactions 1 and 13 concern the owner. Transactions 2, 3, 4, 7, 8 and 9 exchange one asset or liability for another, or concern a payment in advance, and they change the position of the business, not its profit.

MITALI BAKERY: INCOME STATEMENT FOR THE MONTH ENDED 31 JANUARY 2026 (TK)

ITEM	TK	TK
Revenue: sales revenue		200,000
Expenses		
Wages expense	36,000	
Utilities expense	6,000	
Total expenses		42,000
Net profit		158,000

Case file, illustrative. The unadjusted income statement of Mitali Bakery for January 2026 shows revenue of Tk 200,000, expenses of Tk 42,000 and net profit of Tk 158,000. The rent paid on 3 January (Tk 45,000 for three months) and the supplies bought on 5 January (Tk 30,000) are not yet in the expenses, because they have not yet been used up in the way that Chapter 9 describes. For this reason the net profit of Tk 158,000 is too high, and Chapter 9 corrects it.

A loss has the same layout. Suppose a stall earns revenue of Tk 20,000 in a month and has expenses of Tk 26,000. The last line reads *Net loss* and shows $20,000 - 26,000 = -\text{Tk } 6,000$, written as (6,000) in the column. The brackets are the usual sign that a figure is negative.

Before moving on. The income statement lists revenue, then each expense, then net profit or net loss. Investments, assets bought and drawings stay out of it.

The unadjusted January profit is Tk 158,000, and Chapter 9 will correct it.

A net loss appears when the expenses are larger, and the layout changes only at the last line.

Recap: the layout of the income statement and what stays out of it.

5.3 THE STATEMENT OF OWNER'S EQUITY

Chapter 4 showed that the owner's equity changes in four ways: the owner invests, the business makes a profit or a loss, and the owner takes drawings. The statement of owner's equity collects all of these in one short list. It begins with the equity at the start of the period, adds the investment and the net profit, subtracts the drawings, and arrives at the equity at the end of the period.

This statement shows how the owner's claim moved from the start of the period to its end.

IN SHORT

Closing equity = opening equity + investment + net profit – drawings. A net loss is subtracted instead of added.

The net profit does not come from the transactions directly. It is carried from the income statement. For this reason the order of preparation is fixed: income statement first, equity statement second, balance sheet third. The cycle shop shows the method.

The net profit comes from the income statement, so that statement must be prepared first.

Given. Shuvo Cycle Repair starts with nothing on 1 April, invests Tk 50,000, earns a net profit of Tk 16,000 and withdraws Tk 4,000. *Find.* The owner's equity at 30 April. *Formula.* Closing equity = opening equity + investment + net profit – drawings. *Steps.* $0 + 50,000 = 50,000$. Then $50,000 + 16,000 = 66,000$. Then $66,000 - 4,000 = 62,000$. *Answer.* The owner's equity at 30 April is Tk 62,000. *Check.* The shop owns cash of Tk 55,000 and tools of Tk 12,000, which together are Tk 67,000. It owes Tk 5,000. The difference, Tk 62,000, agrees.

The equity example is laid out as given, find, formula, steps, answer, check.

SHUVO CYCLE REPAIR: STATEMENT OF OWNER'S EQUITY FOR THE MONTH ENDED 30
APRIL 2026 (TK)

ITEM	TK
Owner's equity at 1 April	0
Add: investment by the owner	50,000
Add: net profit for April	16,000
Less: drawings	(4,000)
Owner's equity at 30 April	62,000

The bakery's equity grows from nil to Tk 638,000 in January.

Case file, illustrative. The statement of owner's equity of Mitali Bakery for January 2026 starts with equity of nil on 1 January, because the business began on that day. It then adds Mitali's investment of Tk 500,000 and the net profit of Tk 158,000, giving Tk 658,000, and subtracts her drawings of Tk 20,000. Closing owner's equity at 31 January is Tk 638,000.

MITALI BAKERY: STATEMENT OF OWNER'S EQUITY FOR THE MONTH ENDED 31
JANUARY 2026 (TK)

ITEM	TK
Owner's equity at 1 January	0
Add: investment by the owner	500,000
Add: net profit for January	158,000
Subtotal	658,000
Less: drawings	(20,000)
Owner's equity at 31 January	638,000

The statement is read from the top, and each line is the result of the line above plus a change.

In later months the statement begins with the equity that the previous month ended with. The bakery's second month will therefore start with the corrected closing figure of January. In a month with a net loss, the loss is subtracted at the same place where the profit would have been added.

Recap: the line-by-line method of the equity statement.

Before moving on. The statement of owner's equity starts with opening equity, adds investment and profit, subtracts drawings, and ends with closing equity. The profit comes from the income statement.

5.4 THE BALANCE SHEET

The balance sheet lists what the business owns, what it owes, and the owner's claim, on one date.

The balance sheet is a photograph of the accounting equation of Chapter 4: assets = liabilities + owner's equity. It lists every asset, every liability and the owner's equity at the reporting date. Because the equation always holds, the two sides of the sheet always agree. If they do not agree, a mistake has been made in the preparation.

Two layouts exist, and both show the same figures.

Account form. A balance sheet layout with assets on one side and liabilities and equity on the other.

Report form. A balance sheet layout that lists assets, then liabilities, then equity, down the page.

Two layouts are in use. In the **account form**, assets are listed on the left side of the page, and liabilities and owner's equity on the right side. In the **report form**, the sheet runs down the page: assets first, then liabilities, then owner's equity. The account form shows the equation at a glance. The report form is easier to fit on a narrow page and is more common in printed reports.

ACCOUNT FORM		REPORT FORM	
Assets	Liabilities and owner's equity	Assets	
each asset	each liability owner's equity	each asset	
Total assets	Total liabilities + equity	Total assets Liabilities Total liabilities Owner's equity Total liabilities + equity	

FIG. 16. The two layouts of the balance sheet show the same figures in a different arrangement.

Within each group, items follow a usual order. Assets begin with the one that is closest to cash. Cash comes first, followed by accounts receivable, supplies, prepaid items and, last, long-lived assets such as equipment. Liabilities are listed with the one that is due earliest first. Chapter 13 develops this idea into classified statements. Here the order is only a convenience.

SHUVO CYCLE REPAIR: BALANCE SHEET AT 30 APRIL 2026, ACCOUNT FORM (TK)

ASSETS	TK	LIABILITIES AND OWNER'S EQUITY	TK
Cash	55,000	Accounts payable	5,000
Tools	12,000	Owner's equity	62,000
Total assets	67,000	Total liabilities and owner's equity	67,000

Now we build the bakery's balance sheet at 31 January 2026. For each asset and liability we use the balance that the 13 transactions leave. Cash has a balance of Tk 400,000, accounts receivable Tk 15,000 (the school still owes Tk 40,000 less the Tk 25,000 received), supplies Tk 30,000, prepaid rent Tk 45,000 and equipment Tk 240,000. The accounts payable is Tk 140,000 less the Tk 60,000 paid, which is Tk 80,000. A further liability is the Tk 12,000 received in advance for six cake deliveries. The bakery has not yet delivered the cakes, so it owes them. This is called unearned revenue (Chapter 9). The owner's equity is the Tk 638,000 found in 5.3.

Assets are listed in a usual order, with the most easily turned into cash first.

The cycle shop's balance sheet is built from the same six transactions.

The bakery's balance sheet draws on the transactions and on the closing equity just found.

GO SLOWLY HERE: THE OWNER'S EQUITY ON THE SHEET IS THE CLOSING FIGURE FROM THE PREVIOUS STATEMENT.

MITALI BAKERY: BALANCE SHEET AT 31 JANUARY 2026, REPORT FORM (TK)

ITEM	TK	TK
Assets		
Cash	400,000	
Accounts receivable	15,000	
Supplies	30,000	
Prepaid rent	45,000	
Equipment	240,000	
Total assets		730,000
Liabilities		
Accounts payable	80,000	
Unearned revenue	12,000	
Total liabilities		92,000
Owner's equity		638,000
Total liabilities and owner's equity		730,000

The bakery's equation holds: Tk 730,000 of assets against Tk 92,000 plus Tk 638,000.

The opening puzzle is solved: cash fell because cash was turned into assets and not lost.

Recap: the balance sheet, its two layouts and its equality.

The three statements form a chain, in which each passes one figure to the next.

GO SLOWLY HERE. ONE LINK AT A TIME: FIRST PROFIT, THEN EQUITY, THEN THE SHEET.

The second link carries the closing equity to the balance sheet.

Case file, illustrative. At 31 January 2026 the unadjusted balance sheet of Mitali Bakery shows total assets of Tk 730,000, total liabilities of Tk 92,000 and owner's equity of Tk 638,000. The sum of the last two figures is Tk 730,000, equal to the assets, so the equation holds. The bakery's cash of Tk 400,000 is Tk 100,000 below the owner's investment, yet the bakery is worth more than that investment: its equity is Tk 638,000.

The opening puzzle is now solved. The cash fell from Tk 500,000 to Tk 400,000, but most of the money was spent on an oven and mixer, rent in advance and supplies, which are assets of Tk 315,000 together. The bakery also earned a profit. The cash balance alone could not show this, and that is why the three statements are needed.

Before moving on. The balance sheet lists assets, liabilities and owner's equity at one date, in account form or report form. The total assets equal the total liabilities plus owner's equity.

5.5 HOW THE STATEMENTS CONNECT

The three statements are not separate documents. They are three views of the same facts, and they pass figures to each other. Take the first link. The income statement ends with the net profit, which is Tk 158,000 for the bakery. This figure appears again in the statement of owner's equity, on the line *Add: net profit*. That is the first link.

The statement of owner's equity ends with the closing equity, Tk 638,000. This figure appears again in the balance sheet, on the line *Owner's equity*. That is the second link. The balance sheet therefore does not show the profit directly. It shows it as part of the owner's equity, which has already been increased by the profit and reduced by the drawings.

1. first	2. second	3. third
Income statement Revenue 200,000 Expenses (42,000) Net profit 158,000	Owner's equity Opening equity 0 Investment 500,000 Net profit 158,000 Drawings (20,000) Closing equity 638,000	Balance sheet Total assets 730,000 Liabilities 92,000 Owner's equity 638,000 Liabilities + equity 730,000
Tk, January 2026		

FIG. 17. The net profit and the closing equity pass from one statement to the next.

The chain is also a check. If the balance sheet does not balance, the mistake is in one of three places: in the figures of the assets and liabilities, in the equity statement, or in the net profit. A careful accountant looks first at the links. Does the net profit on the equity statement equal the last line of the income statement? Does the closing equity equal the figure on the balance sheet? If both links hold and the sheet still does not balance, the mistake lies in a balance of an asset or a liability.

Each statement looks different from the owner's side. For Mitali, the income statement says that she earned Tk 158,000 and that she should be pleased. The equity statement says that her share of the business has grown from Tk 500,000 to Tk 638,000, although she took Tk 20,000 out. The balance sheet says what the business has to show for it. The bank officer reads the same pages and finds a business with Tk 730,000 of assets and a modest Tk 92,000 of debts.

Given. Dilruba Flower Stall (illustrative) has these figures for the month ended 30 June 2026. Owner's equity at 1 June was Tk 60,000. No investment was made in June. Revenue was Tk 96,450. Expenses were: wages 22,300; rent 12,000; utilities 3,870; transport 4,230. Drawings were Tk 18,500. At 30 June the stall had cash of Tk 61,350, accounts receivable of Tk 12,470, supplies of Tk 6,800 and equipment of Tk 24,800. It owed Tk 9,870 to suppliers. *Find.* The three statements, and whether the balance sheet balances. *Formula.* $P = R - E$; closing equity = opening equity + investment + P - drawings; assets = liabilities + owner's equity. *Steps.* Expenses are $22,300 + 12,000 + 3,870 + 4,230 = 42,400$. Net profit is $96,450 - 42,400 = 54,050$. Closing equity is $60,000 + 54,050 - 18,500 = 95,550$. Assets are $61,350 + 12,470 + 6,800 + 24,800 = 105,420$. Liabilities plus equity are $9,870 + 95,550 = 105,420$. *Answer.* Net profit is Tk 54,050, closing equity is Tk 95,550, and total assets are Tk 105,420. The sheet balances. *Check.* Both sides are Tk 105,420, so both links of the chain hold.

DILRUBA FLOWER STALL: THREE STATEMENTS, JUNE 2026 (TK)

STATEMENT	KEY LINES	RESULT
Income statement	Revenue 96,450 less expenses 42,400	Net profit 54,050
Statement of owner's equity	$60,000 + 54,050 - 18,500$	Closing equity 95,550
Balance sheet	Assets 105,420; liabilities 9,870; equity 95,550	Both sides 105,420

Sometimes a figure is missing, and the chain helps to find it. *Given.* A book-binder (illustrative) had owner's equity of Tk 140,000 on 1 December, invested Tk 20,000, withdrew Tk 15,000, and had owner's equity of Tk 168,000 on 31

The chain gives a check on the work: if the sheet does not balance, a link is wrong.

Seen from the owner's side, the three statements answer three questions.

One more example, with messier figures, shows the whole chain in a single month.

A statement can also be built backwards from the equity balance, when a figure is missing.

December. Expenses were Tk 31,000. *Find.* The net profit and the revenue. *Steps.* The equity statement reads $140,000 + 20,000 + P - 15,000 = 168,000$. Then $145,000 + P = 168,000$, so $P = \text{Tk } 23,000$. Revenue is net profit plus expenses: $23,000 + 31,000 = \text{Tk } 54,000$. *Check.* $140,000 + 20,000 + 23,000 - 15,000 = \text{Tk } 168,000$. The chain, run backwards, gives the missing figures.

Three slips are common: wrong heading, a loss given a plus sign, drawings placed in expenses.

Three slips are common in preparing the statements. The first is a wrong or missing heading, especially the confusion of a period with a date. The second is to add a net loss in the equity statement, when it must be subtracted. The third is to list the owner's drawings among the expenses, which lowers the profit and raises the equity wrongly. Check each statement against its heading and its link before you pass it on.

The test sentence for the whole section.

You should now be able to say: "The income statement gives the net profit, the equity statement uses it to find the closing equity, and the balance sheet shows that equity next to the assets and liabilities."

Recap: order of preparation and the two links.

Before moving on. The statements are prepared in order: income statement, statement of owner's equity, balance sheet. Each passes one figure on, and the balance sheet must balance.



SUMMARY

The chapter's main points in one paragraph.

Financial statements are formal reports with a three-line heading. The income statement shows revenue less expenses for a period and ends with net profit or net loss. The statement of owner's equity starts with opening equity, adds investment and profit, subtracts drawings and shows closing equity. The balance sheet lists assets, liabilities and owner's equity at one date, in account form or report form, and the two sides agree. The statements are prepared in that order, and each passes a figure to the next. The statement of cash flows and the notes complete a full set. For Mitali Bakery, the unadjusted January statements show net profit of Tk 158,000, closing equity of Tk 638,000 and total assets of Tk 730,000.

THINK IT THROUGH

A fresh summary of transactions for a fruit stall, from which the reader prepares three statements.

Babul Fruit Stall (illustrative) begins on 1 September 2026. The owner, Babul Mia, does the following in the month. (1) He invests Tk 80,000 in cash. (2) He buys a cart and scales for Tk 26,000, paying Tk 16,000 in cash and owing the rest on account. (3) He buys fruit for resale to the value of Tk 14,000 in cash and records it in the Supplies account. (4) He sells fruit for Tk 52,000 in cash. (5) He sells fruit to a hotel for Tk 9,000 on account. (6) He pays rent of Tk 5,000 and wages of Tk 7,000. (7) He pays Tk 4,000 to the supplier of the cart. (8) He withdraws Tk 6,000 for himself. At the end of the month, a count shows that no fruit is left. For this exercise, treat the whole Tk 14,000 of fruit as an expense, called supplies expense. Prepare the income statement, the statement of owner's equity and the balance sheet at 30 September, and check that the balance sheet balances.

WHERE PEOPLE GO WRONG

Five common misunderstandings, each stated and corrected.

"The business with more cash is the more profitable one." Cash can be turned into assets, as the bakery's

did. Profit is revenue less expenses, which is a different figure from the cash balance.

"The balance sheet shows what the business did during the year." It does not. It shows one date. The income statement and the equity statement show what happened during a period.

"The owner's drawings are an expense." They are not. They are a share of the profit taken out by the owner, and they are subtracted in the equity statement, not in the income statement.

"Revenue is the same as cash received." A sale on account is revenue on the day of the sale. The cash may come later, and the amount waiting is an asset: accounts receivable.

"The net profit appears on the balance sheet as a separate line." In the balance sheet of this chapter, the profit is part of the owner's equity. It reaches the sheet through the equity statement.

The balance sheet shows one date; the other two statements show a period.

Drawings are subtracted in the equity statement, not the income statement.

A sale on account is revenue before the cash arrives.

The profit reaches the balance sheet inside the owner's equity.

IN HISTORY

For most of history, outsiders had no right to see the accounts of a business. In Britain, the Joint Stock Companies Act of 1844 changed this for the companies that registered under it. It required the directors to have the books balanced and a "full and fair" balance sheet made up, and it required the auditors to see the accounts and report on them. A copy of the balance sheet and of the auditors' report was also to be filed with the registrar of companies.² The Act did not work well in practice, and later Acts changed the rules. Its importance for this chapter is that it made the balance sheet a duty owed to the shareholders. The idea that owners and lenders have a right to a standard report is now common to every country.

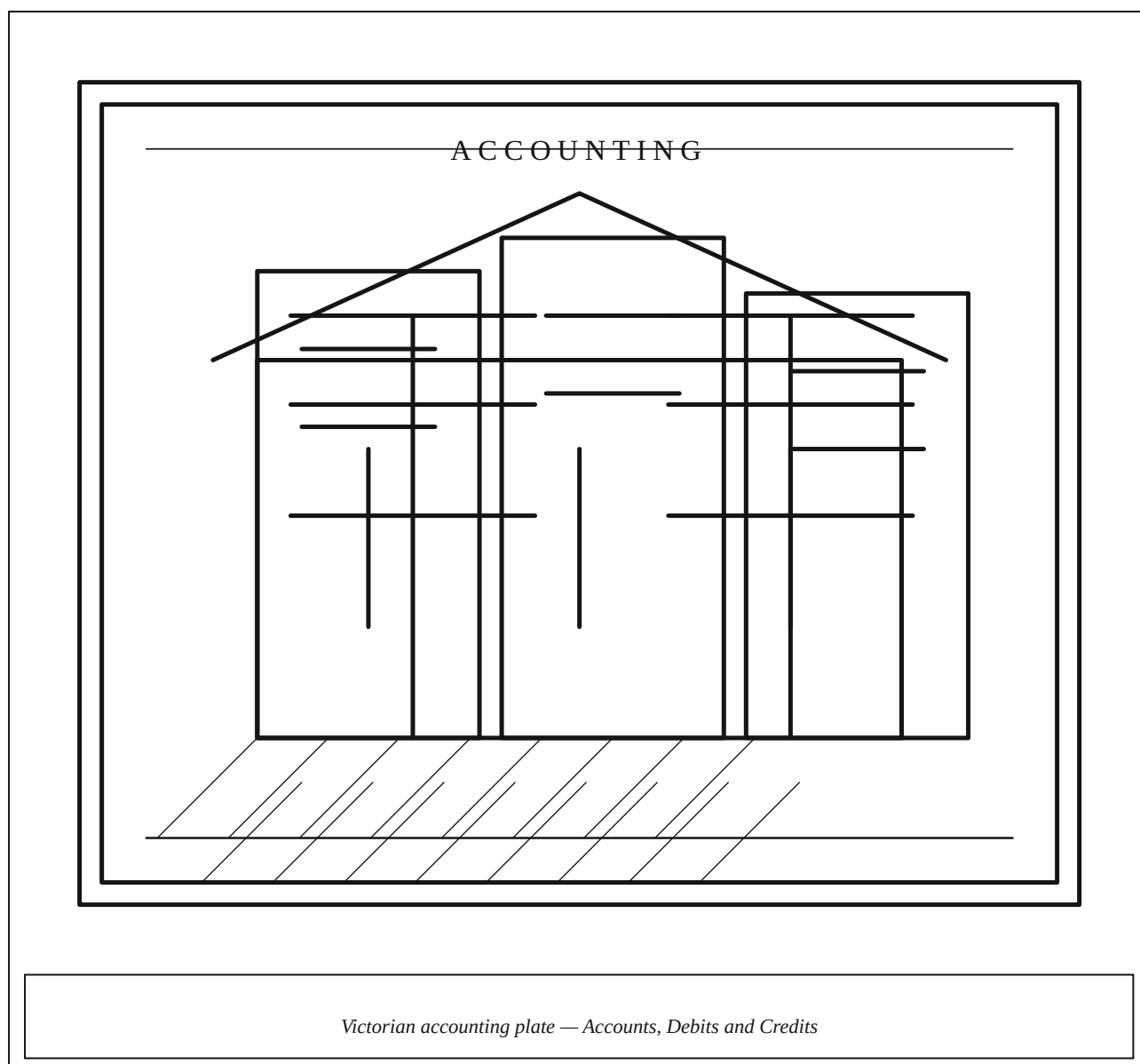
A law of 1844 told the directors of joint-stock companies to prepare a balance sheet.

REVIEW QUESTIONS

1. Name the three financial statements and say what question each answers. 2. State the difference between a statement that covers a period and a statement that shows a date, and say which of the three statements belong to each. 3. A business has revenue of Tk 75,000 and expenses of Tk 82,500. State the result and show how it appears on the last line of the income statement. 4. An owner has equity of Tk 90,000 on 1 May, invests Tk 10,000, earns a net profit of Tk 25,000 and withdraws Tk 12,000. Find the closing equity. 5. Explain why the net profit appears in two statements, and why the equity figure appears in two. 6. Explain the difference between the account form and the report form of the balance sheet.

Six questions for the reader to test the chapter.

² Details of the Act are from a paper on the development of the statutory financial audit published by the United Kingdom's competition authority (section on 1844 to 1900), and from the text of the Act as it was passed.



CHAPTER VI

Accounts, Debits and Credits

How can a business find each amount at once, and know that it is right?



This chapter teaches the account, the six kinds of account, and the two words debit and credit. It then joins them in the double-entry system, in which every transaction is recorded twice and the books can test themselves. Mitali Bakery's chart of accounts is set up, and each January transaction is matched to its accounts.

What you must know before you begin.

The table method of Chapter 4 worked for thirteen transactions.

A long table has two weaknesses: amounts are hard to find, and mistakes stay hidden.

Merchants solved both problems with one page for each kind of item, and one rule.

This chapter is an absolute first, so it moves slowly.

A household can keep its cash in a notebook with two pages.

GO SLOWLY HERE.

You will need. From Chapter 4: the accounting equation, the six kinds of item (assets, liabilities, owner's capital, drawings, revenue and expenses), and the analysis of a transaction. From Chapter 3: the dual aspect concept, which was previewed there and is taught here. From Chapter 5: the January statements, which we use again in section 6.5.

In Chapter 4 you analysed the thirteen transactions of Mitali Bakery's first month. Each transaction was one line in a table, and every line showed which items changed. That method is clear, and it was the right way to begin. Now imagine the same bakery two years later. It sells bread to hundreds of customers every day. It buys flour every week, pays wages every Thursday, and receives payments from hotels and schools.

A table with one line for each transaction would soon fill hundreds of pages. Mitali asks a plain question at the end of each day: how much cash do we have? To answer it, she must read a whole column from the top. She asks another: how much do our customers owe us? She must search a different column. That is the first weakness. The second is worse. If one number in the table is wrong, nothing in the table shows it. The page looks tidy, and the error stays hidden until a customer, a banker or a tax officer finds it.

Merchants met the same problems long ago, and they found an answer with two parts. First, keep a separate page for each kind of item, so that every amount has a place. Second, follow one rule when writing amounts, so that a mistake makes the pages disagree. The answer is called the double-entry system, and it is still the basis of business records today.

This chapter teaches that answer. It introduces more new words than any earlier chapter, but the ideas are few. We take them one at a time, from an everyday notebook to the full rule, and we use small numbers until the method is secure. Each section ends with a short recap. Where an idea is difficult, a note in the side column says so. By the end you will be able to say where any transaction belongs, and why.



6.1 THE ACCOUNT AND ITS PARTS

Begin with a household, not a business. Farida keeps one notebook for the cash of her family. On the left page she writes every amount that comes in: her salary of Tk 1,000 and a gift of Tk 200 from an uncle. On the right page she writes every amount that goes out: Tk 300 for rice and Tk 80 for bus fares. The figure below shows the two pages.

Cash notebook: left page		Cash notebook: right page	
Money received		Money paid	
Salary received	1,000	Rice bought	300
Gift from uncle	200	Bus fares	80

Left page: every amount that comes in Right page: every amount that goes out

FIG. 18. The cash notebook of a household: money received on the left page, money paid on the right page.

The notebook answers one question quickly. Farida adds the left page: Tk 1,000 + Tk 200 = Tk 1,200. She adds the right page: Tk 300 + Tk 80 = Tk 380. The difference is Tk 1,200 – Tk 380 = Tk 820. That is the cash in the house. She did not search through the whole month, because everything about cash is on one pair of pages.

Farida keeps a second, smaller notebook for something else: Tk 500 that she borrowed from a neighbour. When she borrows more, she writes the amount on one page. When she repays, she writes the amount on the other page. If she mixed the loan into the cash notebook, she could no longer see at once how much cash she holds and how much she still owes. One notebook for each kind of item answers one question each. A business has many kinds of item, so it keeps many such notebooks.

A business uses the same idea. For each kind of item it keeps one named record, and the record is called an **account**. An account is a named record of one kind of item. Mitali Bakery has an account named Cash, an account named Equipment, an account named Rent Expense, and many more. Each has its own page, and everything about that item is found there.

Accountants need a quick way to draw an account. They draw it in the shape of the capital letter T, and they call the drawing a **T-account**. A T-account is a simple picture of an account, with a left side and a right side. The title of the account is written across the top. A vertical line divides the account into its two sides. These sides are the left page and the right page of the notebook. The next figure names the parts.

One pair of pages answers the question: how much cash is there?

A second notebook for a different item shows why each item has its own pages.

Account. In daily life, a record of money held in a bank. In accounting, a named record of one kind of item, such as Cash or Sales.

A business keeps one such record for each kind of item.

T-account. A simple picture of an account, shaped like the letter T, with a left side and a right side.

Accountants draw an account in the shape of the letter T.

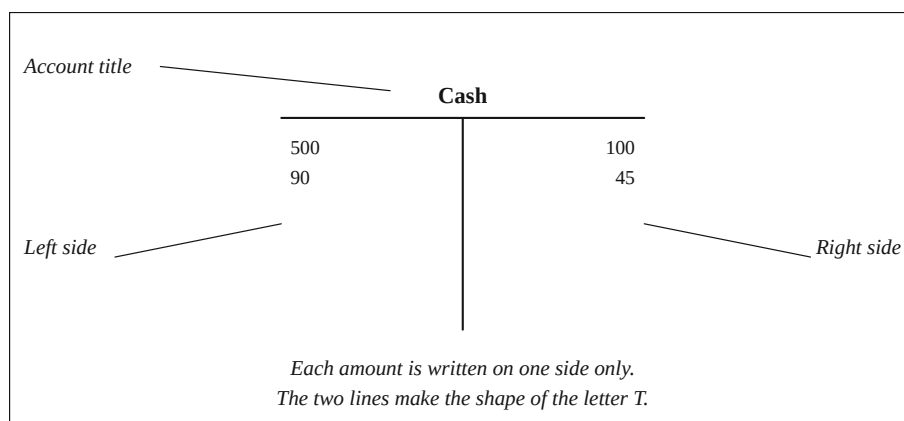


FIG. 19. The parts of a T-account: the title, the left side and the right side. The amounts are small, to keep the idea clear.

Each amount is written on one side only, and the side has a meaning.

The difference between the two sides shows how much the account holds.

The T-account is a sketch; the full ledger page comes in Chapter 7.

Pause and check: find the difference between two sides.

Recap of 6.1: an account is a named record with a title and two sides.

Each amount that we write in an account goes on one side only. The side tells the reader what kind of change the amount shows. In the notebook, the left page showed money coming in. Section 6.3 gives the full rule for every kind of account. For now, only the shape matters: a title, a left side and a right side.

Look at the Cash account in the figure. Its left side holds Tk 500 and Tk 90, a total of Tk 590. Its right side holds Tk 100 and Tk 45, a total of Tk 145. The difference is $\text{Tk } 590 - \text{Tk } 145 = \text{Tk } 445$. That is the cash that the business holds. Accountants call this difference the balance of the account. Chapter 7 teaches how to find it. For now, remember only that every account can answer the question: how much?

The T-account is a tool for thinking and for quick sketches. It is not the form in which a business keeps its permanent records. Chapter 7 shows the page of the ledger, which has columns for the date and for notes. The T-account and the ledger page hold the same facts, and the rules of this chapter apply to both.

Pause and check. A page for Rent Expense shows Tk 900 on its left side and Tk 350 on its right side. What is the difference between the two sides? (The answer is at the back of the book.)

Before moving on. An account is a named record of one kind of item. Its picture, the T-account, has a title, a left side and a right side. Each amount is written on one side only, and the difference between the two sides shows how much the account holds. You should now be able to say: *an account is a named record of one kind of item, with a left side and a right side.*



6.2 THE SIX KINDS OF ACCOUNT

Six kinds of item need six kinds of account.

Asset account. An account that records one kind of asset, such as Cash or Equipment.

An asset account records one kind of thing that the business owns.

In Chapter 4 you met six kinds of item: assets, liabilities, owner's capital, drawings, revenue and expenses. Each account takes its kind from the item that it records. So there are six kinds of account, and the bakery has several accounts of most kinds. We meet them one at a time. Each is defined in the same way: first the kind, then an example from Mitali Bakery.

An **asset account** records one kind of asset. Cash is an asset account: it records the cash that the bakery holds. Equipment is another: it records the oven and the mixer. Accounts Receivable is a third: it records the money that customers owe to the bakery.

A **liability account** records one kind of amount that the business owes. Accounts Payable is the main example. It records the money that the bakery owes to its suppliers, such as the Tk 140,000 that remains unpaid for the oven and the mixer after the purchase of 2 January.

The **owner's capital account** records the owner's investment in the business. In January, Mitali Rahman invests Tk 500,000, and the Owner's Capital account records it. In Chapter 12 we shall see that the profit of a period is also added to this account. In this chapter it holds the investment only.

The **drawings account** records the cash or goods that the owner takes from the business for personal use. It is kept apart from the capital account on purpose. The owner can then see how much was invested and how much was taken out, without searching for the difference.

A **revenue account** records one kind of earnings from selling goods or performing services. The bakery has one revenue account, named Sales Revenue. It records every sale of bread, cakes and catering, whether the customer pays at once or later.

An **expense account** records one kind of cost that the business uses up in order to earn revenue. Wages Expense records the pay of the baker and the helpers. Rent Expense records the rent of the shop. Utilities Expense records the electricity bill. Each cost has its own account, so that the owner can see where the money goes.

The table below sums up the six kinds. Read each row from left to right: the kind of account, what it records, and an example from the bakery's books.

THE SIX KINDS OF ACCOUNT

KIND OF ACCOUNT	WHAT IT RECORDS	EXAMPLE IN THE BAKERY
Asset	Things the business owns	Cash; Equipment
Liability	Amounts the business owes	Accounts Payable
Owner's capital	The owner's investment	Owner's Capital
Drawings	What the owner takes out	Owner's Drawings
Revenue	Earnings from sales	Sales Revenue
Expense	Costs used up	Rent Expense; Wages Expense

Why does the bakery not write sales and costs straight into the capital account, since in the end they change the owner's equity? The reason is information. The owner wants to know how much came from sales and how much went on wages. The bank wants the same facts. The tax officer wants revenue and expenses stated separately. One mixed account would hide all of this. Separate accounts keep the facts apart, and anyone can add them together when needed.

Sorting is the skill that this section builds, so here are eight items from the bakery, each placed in its kind. The oven is an asset, because the bakery owns it. The flour in the store room is an asset, because it is owned and will be used. The Tk 140,000 still owed to the oven supplier is a liability. The Tk 40,000 that the school owes for catering is an asset, Accounts Receivable, because the bakery will receive it. The bread sold on 10 January brought revenue. The electricity bill is an expense. Mitali's first Tk 500,000 is owner's capital. The Tk 20,000 that she took on 30 January is drawings. Two points deserve notice. The school's

Liability account. An account that records an amount owed, such as Accounts Payable.

A liability account records one kind of amount that the business owes.

Owner's capital account. The account that records the owner's investment and the owner's share of profit.

The owner's capital account records what the owner has invested.

Drawings account. The account that records what the owner takes out of the business.

The drawings account records what the owner takes out.

Revenue account. An account that records one kind of earnings, such as Sales Revenue.

A revenue account records one kind of earnings.

Expense account. An account that records one kind of cost used up, such as Rent Expense.

An expense account records one kind of cost that is used up.

The table sums up the six kinds, with an example of each.

Separate accounts keep different facts apart, so that each user can find what is needed.

A sorting exercise: eight items of the bakery, each placed in its kind.

The expanded equation joins the six kinds of account.

Recap of 6.2: six kinds of account, each with a place in the equation.

Debit and credit are two words that name the two sides of an account.

GO SLOWLY HERE.

Debit. An entry on the left side of an account.

Credit. An entry on the right side of an account. In daily life, credit can mean praise, or buying now and paying later. Here it names only a side.

A debit is an entry on the left; a credit is an entry on the right.

A debit may increase an account or decrease it, depending on the kind of account.

Assets increase on the left, because assets stand on the left of the equation.

Cash shows the rule: money in is a debit, money out is a credit.

debt is an asset to the bakery and a liability to the school: one fact, seen from two seats. And the flour in the store room is an asset today, but when the flour is used, its cost becomes an expense (Chapter 9).

The six kinds fit the equation of Chapter 4. In words: assets equal liabilities plus owner's capital plus revenue, less expenses, less drawings. In symbols, let A stand for assets, L for liabilities, C for owner's capital, R for revenue, X for expenses and D for drawings. Then $A = L + C + R - X - D$. Revenue increases the owner's claim, so it stands with capital. Expenses and drawings reduce the owner's claim, so they stand with the minus sign. The next section depends on this equation, so read it once more before you continue.

Before moving on. The six kinds of account are asset, liability, owner's capital, drawings, revenue and expense. Revenue stands with capital in the equation. Expenses and drawings stand against it. You should now be able to say: *each kind of item has its own kind of account, and the equation shows how the six kinds are related.*



6.3 DEBIT AND CREDIT: TWO WORDS WITH ONE JOB

Debit and credit are the two hardest words in this book. They are hard for a plain reason: everyday English already gives them meanings, and those meanings mislead. You may think that credit is good and debit is bad. You may think that credit means money in and debit means money out. None of this is true in accounting. In accounting each word has one job, and the job is to name a side.

A **debit** is an entry on the left side of an account. A **credit** is an entry on the right side of an account. That is the whole definition. To debit an account means to write an amount on its left side. To credit an account means to write an amount on its right side. If the bakery writes Tk 30 on the left side of the Supplies account, we say that Supplies is debited by Tk 30. If it writes Tk 30 on the right side of the Cash account, we say that Cash is credited by Tk 30.

Notice what the definition does not say. It does not say that a debit increases an account. It does not say that a debit is good. A debit increases some accounts and decreases others. Which one happens depends on the kind of account, and the rest of this section gives the rule.¹

STEP ONE: ASSETS

The rule is built from the equation, one piece at a time. On the page, the equation of Chapter 4 puts assets on the left, and liabilities and owner's equity on the right. Merchants used this layout to fix the rule for assets: an increase in an asset is written on the left side of its account, as a debit, and a decrease is written on the right side, as a credit. This was a choice made long ago. Once it is made, every other rule follows from it.

Test the rule on Cash, an asset account. The business receives Tk 100 in cash. Cash increases, so we debit Cash by Tk 100. The business then pays Tk 30 in cash. Cash decreases, so we credit Cash by Tk 30. The left side holds Tk 100 and the right side holds Tk 30, so the difference is

¹ Your bank may say that it has credited your account when it adds money to it. The bank keeps its own records from its own point of view, and in them your money is something the bank owes you. Chapter 16 explains this with care. In this book, debit and credit always describe the books of the business that we are studying.

Tk 70. This agrees with the notebook: money in on the left, money out on the right.

STEP TWO: LIABILITIES AND OWNER'S CAPITAL

Now turn to the right side of the equation, where liabilities and owner's capital stand. Their rule is the opposite of the rule for assets: an increase is written on the right side, as a credit, and a decrease on the left side, as a debit. The reason lies in the equation. Every transaction must keep the equation in balance. If an asset increases by a debit, the matching change on the other side of the equation must be a credit. Then the debits and the credits of the transaction are equal.

An example shows this. The owner invests Tk 1,000 in cash. Assets increase, so we debit Cash by Tk 1,000. Owner's capital increases by the same amount, so we credit Owner's Capital by Tk 1,000. The debit is Tk 1,000 and the credit is Tk 1,000. They are equal, and the equation still holds: assets are Tk 1,000, and owner's capital is Tk 1,000.

A second example uses a liability. A supplier allows the business to buy flour worth Tk 400 on account. The asset Supplies increases, so we debit Supplies by Tk 400. The liability Accounts Payable increases, so we credit Accounts Payable by Tk 400. Later the business pays the supplier Tk 400 in cash. The liability decreases, so we debit Accounts Payable by Tk 400. The asset Cash decreases, so we credit Cash by Tk 400. Here a debit decreases an account. Remember this example whenever you are tempted to think that a debit always means an increase.

STEP THREE: REVENUE, EXPENSES AND DRAWINGS

The last three kinds follow from the expanded equation of section 6.2. Revenue increases the owner's claim, as capital does. So revenue behaves like capital: it increases on the right, with a credit. Expenses and drawings reduce the owner's claim. So they behave in the opposite way to capital: they increase on the left, with a debit. A decrease in any of the three kinds uses the opposite side.

Two examples with small numbers show the rule. The bakery sells bread for Tk 200 in cash. Cash, an asset, increases: we debit Cash by Tk 200. Revenue increases: we credit Sales Revenue by Tk 200. Next the bakery pays rent of Tk 50 in cash. The expense increases: we debit Rent Expense by Tk 50. Cash decreases: we credit Cash by Tk 50. In each transaction the debits equal the credits.

The figure below gathers the six rules. Read each small T-account in the same way. The title names the kind of account. The left half shows what a debit does, and the right half shows what a credit does.

Liabilities and capital increase on the right, which is the opposite of assets.

First example, with the smallest numbers: the owner invests Tk 1,000.

Second example: buying on account makes a liability increase with a credit, and paying makes it decrease with a debit.

Revenue, expenses and drawings follow from the expanded equation.

Two examples: a sale for cash and a payment of rent.

The figure gathers all six rules in one picture.

<i>Assets = Liabilities + Owner's capital + Revenue – Expenses – Drawings</i>					
Asset account		Liability account		Owner's capital account	
<i>Debit</i>	<i>Credit</i>	<i>Debit</i>	<i>Credit</i>	<i>Debit</i>	<i>Credit</i>
+	–	–	+	–	+
increase	decrease	decrease	increase	decrease	increase
Drawings account		Revenue account		Expense account	
<i>Debit</i>	<i>Credit</i>	<i>Debit</i>	<i>Credit</i>	<i>Debit</i>	<i>Credit</i>
+	–	–	+	+	–
increase	decrease	decrease	increase	increase	decrease
<i>Increases on the left (debit): assets, drawings, expenses.</i> <i>Increases on the right (credit): liabilities, capital, revenue.</i>					

FIG. 20. *The rules of debit and credit for the six kinds of account. A plus sign means increase; a minus sign means decrease.*

The same rules appear again in a table, for easy reference.

The table below shows the same rules in another form. It is worth learning, because every later chapter uses it.

RULES OF INCREASE AND DECREASE

KIND OF ACCOUNT	A DEBIT	A CREDIT
Asset	increases	decreases
Liability	decreases	increases
Owner's capital	decreases	increases
Drawings	increases	decreases
Revenue	decreases	increases
Expense	increases	decreases

IN SHORT

A debit is an entry on the left side of an account, and a credit is an entry on the right side. A debit increases assets, drawings and expenses, and decreases liabilities, owner's capital and revenue. A credit does the opposite in each case.

Six small transactions, one for each kind of account, are listed with their debits and credits.

The table below collects six small transactions, so that every kind of account appears at least once. In each row, find the account in the debit column and the account in the credit column, and say which kind of account each is.

SIX SMALL TRANSACTIONS

EVENT	DEBIT	CREDIT
Owner invests Tk 1,000 in cash	Cash 1,000	Owner's Capital 1,000
Business buys flour for Tk 400 on account	Supplies 400	Accounts Payable 400
Business pays the supplier Tk 400 in cash	Accounts Payable 400	Cash 400
Business sells bread for Tk 200 in cash	Cash 200	Sales Revenue 200
Business pays rent of Tk 50 in cash	Rent Expense 50	Cash 50
Owner takes Tk 100 in cash for personal use	Owner's Drawings 100	Cash 100

Now test the whole set. The debit amounts total Tk 1,000 + Tk 400 + Tk 400 + Tk 200 + Tk 50 + Tk 100 = Tk 2,150, and the credit amounts total the same. Look at Cash: the debits are Tk 1,000 + Tk 200 = Tk 1,200, the credits are Tk 400 + Tk 50 + Tk 100 = Tk 550, and the difference is Tk 650. The other asset, Supplies, holds Tk 400, so the assets are Tk 1,050. On the other side of the equation, the liability is nil because the supplier was paid, the capital is Tk 1,000, the revenue is Tk 200, the expense is Tk 50 and the drawings are Tk 100. Then $Tk\ 0 + Tk\ 1,000 + Tk\ 200 - Tk\ 50 - Tk\ 100 = Tk\ 1,050$. The two sides agree.

The rule never asks whether a transaction is good for the business. It asks only two things: what kind of account changed, and in which direction. There are two limits. The rules apply to ordinary accounts. In Chapter 9 you will meet accounts that are deducted from another account, and they run the opposite way. Also, an account that shows its difference on the unexpected side is often a sign of a mistake, as section 6.5 explains.

Pause and check. (a) The bakery pays an electricity bill of Tk 600 in cash. Which account is debited, and which is credited? (b) The owner takes Tk 1,000 in cash for personal use. Which account is debited? (The answers are at the back of the book.)

Before moving on. Debit means the left side and credit means the right side. Assets, drawings and expenses increase with a debit. Liabilities, owner's capital and revenue increase with a credit. Each decrease uses the opposite side. You should now be able to say: *a debit and a credit name two sides, and the kind of account decides whether each one increases or decreases it.*



6.4 THE DOUBLE-ENTRY SYSTEM

A transaction is never a single event. When the bakery buys flour, it receives flour, and it gives up cash or promises cash later. When it sells bread, it receives cash and gives up bread. Chapter 3 called this the dual aspect concept: every transaction has two sides. The two sides are equal in value. If the bakery gives Tk 100 in cash for flour, it receives flour that is worth Tk 100 to it.

The six transactions pass two tests: equal totals, and the equation.

The rule asks what kind of item changed, not whether the change is good.

Pause and check: apply the rule to two transactions.

Recap of 6.3: debit is left, credit is right, and the kind of account decides the effect.

Every transaction has two sides: something is given and something is received.

GO SLOWLY HERE.

Double-entry system. A method in which every transaction is recorded in two places, with equal debits and credits.

The double-entry system records both sides of every transaction.

The rule of double entry: in every transaction, total debits equal total credits.

Three January transactions show the rule at work.

The rule works because each side of the equation changes by the same amount.

Most transactions follow a few patterns, which the table lists.

The **double-entry system** uses this fact. It is a method in which every transaction is recorded in two places, with equal debits and credits. One side of the event is recorded as a debit in one account, and the other side is recorded as a credit in another account. The word double means two sides of one event. It does not mean that the same fact is written twice. Merchants used a method of this kind more than seven hundred years ago, and the story is told at the end of the chapter.

The rule can be stated in one sentence. In every transaction, the total of the debits equals the total of the credits. If the two totals are not equal, the transaction has been recorded wrongly.

Case file, illustrative. We test the rule on three transactions from the bakery's first week. On 1 January 2026, Mitali Rahman invests Tk 500,000 in cash. Cash, an asset, increases, so Cash is debited by Tk 500,000. Owner's capital increases, so Owner's Capital is credited by Tk 500,000. On 3 January, the bakery pays Tk 45,000 in cash for three months' rent in advance. The asset Prepaid Rent increases, so Prepaid Rent is debited by Tk 45,000.² Cash decreases, so Cash is credited by Tk 45,000. On 10 January, the bakery sells baked goods for Tk 90,000 in cash. Cash is debited by Tk 90,000, and Sales Revenue is credited by Tk 90,000. In each transaction the debits equal the credits.

Why does the rule work? Recall how the rules of section 6.3 were built. Each rule was chosen so that a debit is always matched by a credit of equal size. An increase in an asset (a debit) is matched by an increase in a liability or in capital (a credit), or by a decrease in another asset (a credit). So when the debits equal the credits, the changes on the two sides of the equation are equal. The equation stays in balance after every transaction.

Most transactions follow a few patterns. The table below lists nine of them. Read each row from left to right: the event, the account that is debited, and the account that is credited.

NINE COMMON TRANSACTIONS AND THEIR TWO SIDES

EVENT	DEBIT	CREDIT
Owner invests cash	Cash	Owner's Capital
Business buys equipment for cash	Equipment	Cash
Business buys equipment on account	Equipment	Accounts Payable
Business pays a supplier what it owes	Accounts Payable	Cash
Business sells goods for cash	Cash	Sales Revenue
Business sells goods on account	Accounts Receivable	Sales Revenue
Customer pays what it owes	Cash	Accounts Receivable
Business pays an expense in cash	The expense account	Cash
Owner takes cash for personal use	Owner's Drawings	Cash

A transaction can involve three accounts; the single debit then equals the two credits.

The oven and the mixer: one debit equals two credits together.

Some transactions involve three accounts. The rule is the same: the total of the debits equals the total of the credits. The case below is the first of this kind that you will see.

Case file, illustrative. On 2 January 2026 the bakery buys the oven and the mixer for Tk 240,000. It pays Tk 100,000 in cash and promises the remaining Tk 140,000 to the supplier. Equipment increases by Tk 240,000, so Equipment is debited by Tk 240,000. Cash decreases by Tk 100,000, so Cash is credited by Tk

² Prepaid Rent is an asset: it is rent paid before the months to which it belongs. Chapter 9 shows how it is used up month by month.

Normal balance. The side of an account, debit or credit, on which increases are recorded.

The normal balance of an account is the side on which it increases.

The normal balance follows from the rules of section 6.3.

A balance on the unexpected side is a warning.

A warning in practice: a Cash account that shows a credit balance.

The expanded equation gives a check on all the accounts together.

The January figures of Chapter 5 pass the check.

6.5 NORMAL BALANCES AND THE EQUATION CHECK

In section 6.1 we met the difference between the two sides of an account. Accountants call it the balance of the account, and Chapter 7 teaches how to find it. Here we need one fact about it. Every account has a **normal balance**. A normal balance is the side of an account, debit or credit, on which increases are recorded. An account usually shows its balance on that side.

The table below shows the normal balance of each kind of account. It repeats section 6.3 in a new form. Assets increase on the left, so their normal balance is a debit. Liabilities increase on the right, so their normal balance is a credit. The other rows follow in the same way.

NORMAL BALANCE OF EACH KIND OF ACCOUNT

KIND OF ACCOUNT	INCREASES ON	NORMAL BALANCE
Asset	the left	Debit
Liability	the right	Credit
Owner's capital	the right	Credit
Drawings	the left	Debit
Revenue	the right	Credit
Expense	the left	Debit

The idea gives a quick test. Cash should show a debit balance, because a business cannot pay out more cash than it holds. If the Cash account shows a credit balance, something is probably wrong. A payment may have been recorded twice, or a receipt may have been left out. A balance on the unexpected side is a warning, not a proof. A few accounts are meant to run the opposite way, as Chapter 9 explains.

Here is an example of a warning. The Cash account of a small shop holds Tk 5,000 on its left side and Tk 5,800 on its right side. The difference, Tk 800, is on the credit side. A shop cannot pay out more cash than it received, so a payment has probably been recorded twice, or a receipt has been left out. The unexpected side tells the accountant where to look.

The normal balances also give a check on all the accounts at once. Start from the equation of section 6.2: $A = L + C + R - X - D$. Add X and D to both sides. Then $A + X + D = L + C + R$. The left side holds the accounts whose normal balance is a debit: assets, expenses and drawings. The right side holds the accounts whose normal balance is a credit: liabilities, owner's capital and revenue. So, if every transaction has been recorded with equal debits and credits, the total of the debit balances equals the total of the credit balances.

Case file, illustrative. We test the check on the bakery's figures at 31 January 2026, before any adjustment. From Chapter 5: total assets Tk 730,000; liabilities Tk 92,000; revenue Tk 200,000; expenses Tk 42,000; drawings Tk 20,000. Owner's Capital still holds the investment of Tk 500,000, because the profit is not added to it until the books are closed in Chapter 12. The table shows the result.

THE EQUATION CHECK AT 31 JANUARY 2026

DEBIT-SIDE ITEMS	TK	CREDIT-SIDE ITEMS	TK
Assets	730,000	Liabilities	92,000
Drawings	20,000	Owner's capital	500,000
Expenses	42,000	Revenue	200,000
Total	792,000	Total	792,000

The two totals are equal: Tk 730,000 + Tk 20,000 + Tk 42,000 = Tk 792,000, and Tk 92,000 + Tk 500,000 + Tk 200,000 = Tk 792,000. Chapter 8 gives this kind of check a name, the trial balance, and teaches how to prepare it. Keep the number 792,000 in mind. You will meet it again.

Pause and check. State the normal balance of Accounts Payable, of Rent Expense and of Equipment. (The answers are at the back of the book.)

Before moving on. The normal balance of an account is the side on which it increases. Assets, drawings and expenses have a debit balance; liabilities, owner's capital and revenue have a credit balance. When all transactions are recorded correctly, the debit-side items equal the credit-side items. You should now be able to say: *the equation, rearranged, tells us that total debit balances equal total credit balances.*



6.6 THE CHART OF ACCOUNTS

Before it records any transaction, a business decides which accounts it will use. The list is called a **chart of accounts**. A chart of accounts is a list of all the accounts a business uses, each with a number. The numbers follow a plan. Accounts of one kind share a first digit: assets begin with 1, liabilities with 2, owner's equity with 3, revenue with 4 and expenses with 5. The gaps between numbers leave room for new accounts, so that no other number needs to change.

Case file, illustrative. Mitali Bakery's chart has eighteen accounts. We need most of them in January. A few, such as Wages Payable and Income Summary, wait until Chapters 9 and 12.³ The table lists the accounts with their numbers and kinds.

Chapter 8 gives this check its own name and method.

Pause and check: state three normal balances.

Recap of 6.5: each kind of account has a normal balance, and debit-side items equal credit-side items.

Chart of accounts. A list of all the accounts a business uses, each with a number.

A chart of accounts lists every account a business uses, with numbers.

Mitali Bakery's chart has eighteen accounts; some wait for later chapters.

³ Four names in the table are previews. Unearned Revenue holds money received before the work is done. Wages Payable holds wages earned by staff but not yet paid. Accumulated Depreciation: Equipment records the part of the oven's cost that has been used up. Income Summary is a temporary account for closing the books. Chapter 9 teaches the first three, and Chapter 12 teaches the fourth.

CHART OF ACCOUNTS OF MITALI BAKERY

NO.	ACCOUNT	KIND
101	Cash	Asset
102	Accounts Receivable	Asset
103	Supplies	Asset
104	Prepaid Rent	Asset
151	Equipment	Asset
152	Accumulated Depreciation: Equipment	Asset (a deduction; Chapter 9)
201	Accounts Payable	Liability
202	Unearned Revenue	Liability
203	Wages Payable	Liability
301	Owner's Capital	Owner's capital
302	Owner's Drawings	Drawings
303	Income Summary	Used in Chapter 12
401	Sales Revenue	Revenue
501	Wages Expense	Expense
502	Rent Expense	Expense
503	Supplies Expense	Expense
504	Utilities Expense	Expense
505	Depreciation Expense	Expense

A good chart has clear names, one kind for each account, and no overlap.

Recap of 6.6: the chart is the bakery's list of pages, in number order.

A chart is designed with care, because accounts are hard to change once the books are in use. Each account has a clear name and one kind. Two accounts must not overlap. The bakery has both Supplies and Supplies Expense, so its rule must say that Supplies holds what is on the shelf, and Supplies Expense holds what has been used. The owner chooses accounts to answer the questions that the owner, the bank and the tax officer will ask. A bakery that wants to know the cost of electricity needs an account for it. A bakery that never asks need not have one.

Before moving on. The chart of accounts is the list of pages that the bakery keeps, one for each kind of item, in number order. You should now be able to say: a chart of accounts lists every account with its number, grouped by kind.



WORKED CASE: THE BAKERY'S JANUARY IN TWO ACCOUNTS

The task: match each of the thirteen January transactions to its accounts.

Given, Find and the method in words.

Case file, illustrative. The thirteen transactions of Mitali Bakery's first month were analysed in Chapter 4 by their effect on the equation. We now match each transaction to the accounts that it debits and credits. No ledger is kept yet; Chapter 7 does that.

Given. The thirteen transactions of January 2026, and the chart of accounts of section 6.6. *Find.* For each transaction, the account or accounts debited, the account or accounts credited, and the amounts. *Formula.* In words: for each transaction ask three questions in order. Which accounts change? What kind is each? Does each increase or decrease, and so on which side is it written? In symbols, the result must satisfy: total debits = total credits.

Steps. We work four transactions in full, and then list all thirteen. Transaction 1 (1 January): the owner invests Tk 500,000. Cash is an asset and it increases, so Cash is debited. Owner's Capital increases, so it is credited. Transaction 8 (20 January): the bakery pays Tk 60,000 of the Tk 140,000 that it owes the equipment supplier. Accounts Payable is a liability, and it decreases, so it is debited. Cash is an asset, and it decreases, so it is credited. Transaction 9 (22 January): the bakery receives Tk 12,000 in advance for six weekly cake deliveries. Cash increases, so it is debited. Unearned Revenue is a liability, because the bakery now owes the customer six deliveries, and it increases, so it is credited. Transaction 13 (30 January): the owner takes Tk 20,000 in cash. Owner's Drawings increases, so it is debited. Cash decreases, so it is credited.

Four transactions are worked in full before the table.

THE THIRTEEN JANUARY TRANSACTIONS AND THEIR ACCOUNTS

NO.	DATE	EVENT	DEBIT (TK)	CREDIT (TK)
1	1 Jan	Owner invests cash	Cash 500,000	Owner's Capital 500,000
2	2 Jan	Buys oven and mixer: part cash, part on account	Equipment 240,000	Cash 100,000; Accounts Payable 140,000
3	3 Jan	Pays three months' rent in advance	Prepaid Rent 45,000	Cash 45,000
4	5 Jan	Buys baking supplies for cash	Supplies 30,000	Cash 30,000
5	10 Jan	Sells baked goods for cash	Cash 90,000	Sales Revenue 90,000
6	15 Jan	Catering for a school, billed on account	Accounts Receivable 40,000	Sales Revenue 40,000
7	18 Jan	Receives cash from the school	Cash 25,000	Accounts Receivable 25,000
8	20 Jan	Pays part of the amount owed to the supplier	Accounts Payable 60,000	Cash 60,000
9	22 Jan	Receives advance for six cake deliveries	Cash 12,000	Unearned Revenue 12,000
10	25 Jan	Pays the electricity bill	Utilities Expense 6,000	Cash 6,000
11	28 Jan	Sells baked goods for cash	Cash 70,000	Sales Revenue 70,000
12	28 Jan	Pays wages	Wages Expense 36,000	Cash 36,000
13	30 Jan	Owner takes cash for personal use	Owner's Drawings 20,000	Cash 20,000

Answer. The table is the answer: each transaction has its debit and its credit. *Check.* In every row, the debit amount equals the total of the credit amounts. Adding all the debit amounts gives Tk 500,000 + Tk 240,000 + Tk 45,000 + Tk 30,000 + Tk 90,000 + Tk 40,000 + Tk 25,000 + Tk 60,000 + Tk 12,000 + Tk 6,000 + Tk 70,000 + Tk 36,000 + Tk 20,000 = Tk 1,174,000. The credit amounts add to the same total.⁴

Answer and check: debits equal credits in every row, and in total.

⁴ This total is not the same as the Tk 792,000 of section 6.5. The total here adds every amount of every transaction. The Tk 792,000 adds the differences that remain in the accounts at the end of the month. Chapter 7 shows how those differences are found.

One account, followed through the first week, shows how the sides fill.

Now follow one account through the first week. Transactions 1 to 4 (1 to 5 January) all change Cash. The table shows Cash as a T-account: debits on the left, credits on the right, each with the other account named.

CASH ACCOUNT, 1 TO 5 JANUARY 2026

DEBIT	TK	CREDIT	TK
1 Jan Owner's Capital	500,000	2 Jan Equipment	100,000
		3 Jan Prepaid Rent	45,000
		5 Jan Supplies	30,000
Total debits	500,000	Total credits	175,000

The difference of Tk 325,000 is the cash held after 5 January.

The difference between the two sides is Tk 500,000 – Tk 175,000 = Tk 325,000. This is the cash that the bakery holds on the evening of 5 January. *Check.* Start with the investment and subtract each payment: Tk 500,000 – Tk 100,000 – Tk 45,000 – Tk 30,000 = Tk 325,000. The two methods agree.

A second skill is reading backwards, from the entries to the transaction.

Reading backwards. The rules also work in reverse. Suppose that you see Tk 30,000 on the left side of Supplies and Tk 30,000 on the right side of Cash, both dated 5 January. Supplies is an asset and has a debit, so it increased. Cash is an asset and has a credit, so it decreased. The transaction must be the purchase of supplies for cash. Now suppose that Tk 12,000 appears on the left of Cash and on the right of Unearned Revenue. Cash increased, and a liability increased, so the bakery received cash for work that it still has to do. Reading backwards tests whether you understand the rules, and it is the way an accountant reads the books of another business.



SUMMARY

An account is a named record, drawn as a T-account, and there are six kinds.

An account is a named record of one kind of item. Its picture is the T-account, with a title, a left side and a right side. There are six kinds of account: asset, liability, owner's capital, drawings, revenue and expense.

Debit means left and credit means right; the kind of account decides the effect.

A debit is an entry on the left side of an account, and a credit is an entry on the right side. Assets, drawings and expenses increase with debits. Liabilities, owner's capital and revenue increase with credits. Each decrease uses the opposite side.

Double entry records each transaction in two places with equal debits and credits, which keeps the equation in balance.

In the double-entry system, every transaction is recorded in at least two accounts, and the total of the debits equals the total of the credits. Each account has a normal balance, on the side where it increases. When all transactions are recorded correctly, the debit-side items equal the credit-side items. The chart of accounts lists every account with its number.

THINK IT THROUGH

A fresh business gives six transactions to match with accounts.

Rina Das opens a tailoring shop on 1 March. The shop is illustrative and separate from Mitali Bakery. Six transactions follow. For each, name the account debited and the account credited, using these names: Cash, Supplies, Equipment, Accounts Payable, Owner's Capital, Owner's Drawings, Service Revenue and Rent Expense. Then check that the debits equal the credits in each transaction. Finally, find the difference between the two sides of each account, and test the equation $A = L + C + R - X - D$. (The answers are at the back of the book.)

TRANSACTIONS OF RINA'S TAILORING SHOP, MARCH

NO.	DATE	EVENT
1	1 Mar	Rina invests Tk 50,000 in cash
2	2 Mar	Buys a sewing machine for Tk 30,000 in cash
3	4 Mar	Buys cloth and thread for Tk 8,000 on account
4	10 Mar	Receives Tk 12,000 in cash for sewing work done
5	15 Mar	Pays Tk 5,000 in cash for shop rent
6	31 Mar	Takes Tk 2,000 in cash for family use

WHERE PEOPLE GO WRONG

"A debit decreases an account and a credit increases it." This comes from daily life, and it is wrong in the books. A debit increases an asset account and decreases a liability account. The effect depends on the kind of account. Learn the side first and the effect second.

"Credit is good news and debit is bad news." Neither word carries a judgement. A sale is good news, and it is recorded with a credit to revenue and a debit to Cash. A large expense is bad news, and it is recorded with a debit. Both words only name sides.

"Money came in, so I debit the revenue account." Money came in to Cash, so Cash is debited. Revenue is a different account, and revenue increases with a credit. Every sale for cash needs both entries.

"Each account should have equal debits and credits." The equality belongs to the transaction, not to the single account. The Cash account usually has more on one side than on the other, and that difference is what we want to know.

"Double entry means writing the same thing twice." It means writing the two sides of one event, and those two sides are different facts: one account gains and another account gives. Writing the same side twice would break the equality at once.

"The totals agree, so the books are right." Equal totals prove only that the debits equal the credits. A transaction recorded in the wrong account, or with the wrong amount in both places, still balances. Chapter 8 explains these errors.

Mistake one: believing that a debit always decreases and a credit always increases.

Mistake two: believing that credit is good and debit is bad.

Mistake three: debiting revenue because money has come in.

Mistake four: expecting one account to have equal sides.

Mistake five: thinking that double entry means writing the same fact twice.

Mistake six: trusting equal totals as proof of accuracy.

IN HISTORY

Historians once named the account book of the Massari for the year 1340 as the oldest surviving double-entry ledger. The Massari were the officials who handled the money of the city of Genoa. Their accounts were set out in two-sided form, with debits and credits, and balances were carried forward from the year before. Later research found earlier ledgers kept by merchants in Tuscany that already used the method, among them the ledger of the Farolfi firm of 1299 to 1300. So the method was older than the Genoese book, and it was used by merchants before governments.

A printed book then gave the method a wide audience. In 1494, Luca Pacioli, a friar and teacher of mathematics, published a large book on arithmetic in Venice. It contained a short treatise on bookkeeping that described the method used by Venetian merchants. Pacioli did not invent double entry. His treatise was the first printed account of it, and later writers in many countries learned from it. The lesson for us is plain. A rule that made mistakes visible was valuable

Genoa, 1340: books of a city treasury were long called the oldest double-entry ledger.

Pacioli, 1494: a printed treatise spread the method to many readers.

enough to be taught, copied and printed, and it has served business records ever since.

The founding text: Pacioli's treatise of 1494.

A modern study of the Genoese ledger.

SOURCES

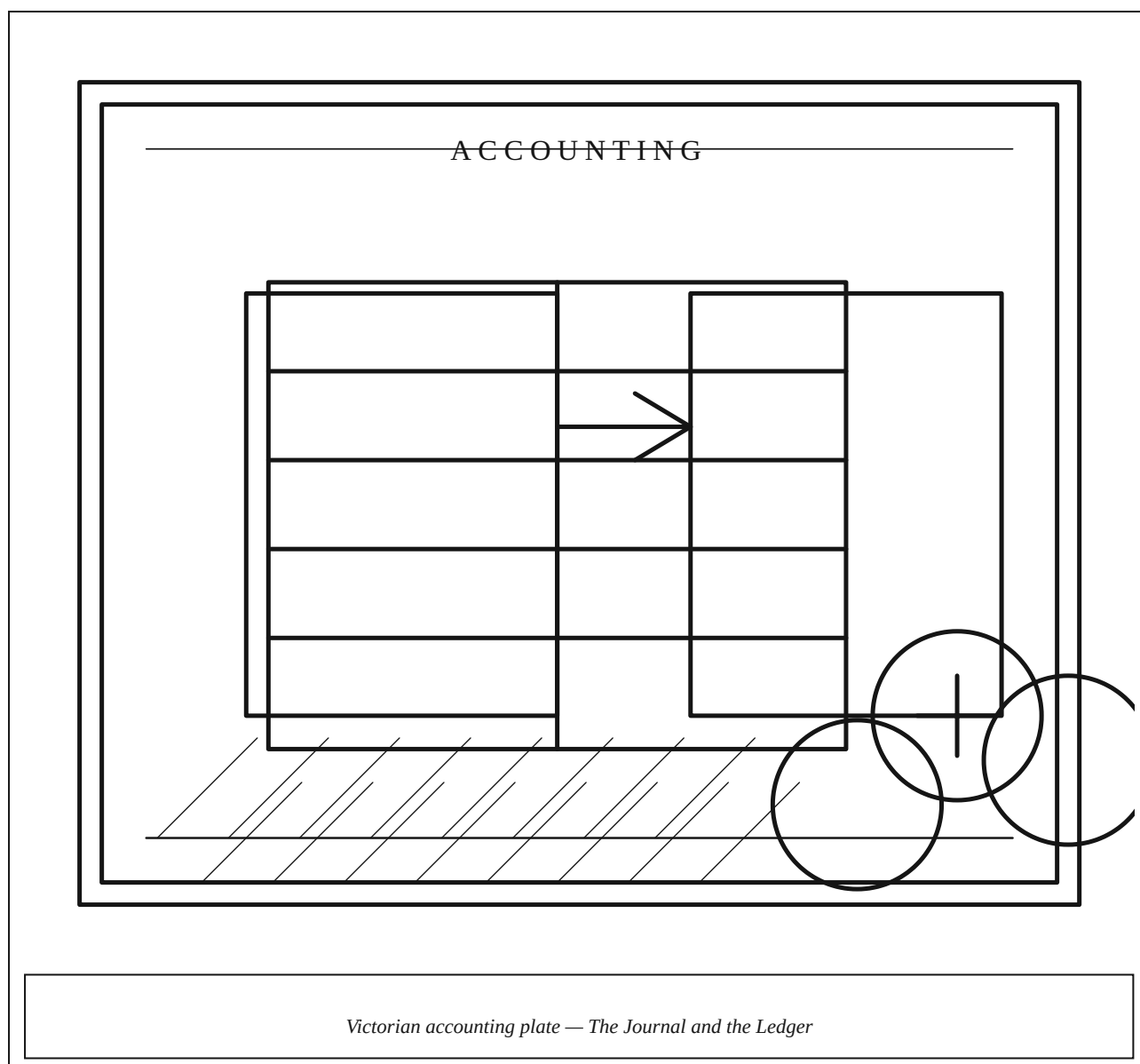
Luca Pacioli, *Summa de arithmetica, geometria, proportioni et proportionalita* (Venice, 1494), in the section called *Particularis de computis et scripturis*. It is the first printed description of the method and the usual starting point for the history of the teaching of bookkeeping.

M. Kuter, M. Gurskaya and A. Gurskii, "Genoa 1340, Double Entry, and Gold Coasting", *De Computis*, volume 22, number 1 (2025). It is a detailed study of the Massari ledger of 1340, and it also reviews later research on earlier ledgers.

REVIEW QUESTIONS

REVIEW QUESTIONS

NO.	QUESTION
1	Define an account, and name the three parts of a T-account.
2	State which side of an account is the debit side and which is the credit side.
3	Name the six kinds of account, and give one example of each from a bakery.
4	State which kinds of account a debit increases, and which kinds a credit increases.
5	Explain why a debit does not always mean a decrease. Use an example.
6	State the rule of double entry in one sentence, and explain why it keeps the accounting equation in balance.
7	State the normal balance of Cash, Accounts Payable, Sales Revenue and Wages Expense.
8	Explain what double entry cannot tell you about a set of books.
9	What does a chart of accounts show, and why do the accounts have numbers?



CHAPTER VII

The Journal and the Ledger

Where is a transaction written first, and where does it finally rest?



This chapter follows a transaction from the paper that proves it to the page where its amounts are kept. It teaches the journal, which records each event in date order, and the ledger, which gathers the amounts account by account. Mitali Bakery's thirteen January transactions are journalised and posted, and the balance of every account is found.

What you must know before you begin.

The puzzle: one sale must reach two pages, and nobody can see the whole story.

Two dangers follow: a half-written transaction, and a page that does not say why.

The answer is two books: the first records the event, the second gathers the amounts.

You will need. From Chapter 6, all of it: the account and the T-account, the six kinds of account, debit and credit, the double-entry system, normal balances and the chart of accounts. From Chapter 4: the thirteen transactions of January.

In Chapter 6 you learned to give each kind of item its own page, and a rule for writing amounts. Suppose that it is the evening of 10 January, and the bakery has sold baked goods for Tk 90,000 in cash. The rule says that Tk 90,000 must be written on the left side of the page for cash, and Tk 90,000 on the right side of the page for sales. That is two writings, on two pages, perhaps by two people, perhaps on two different days.

Two dangers follow. The first is that one writing is made and the other is forgotten, or that the two amounts differ. The second is less obvious. A page for cash shows Tk 90,000 on its left side, but it does not say why. It records the view of one account, not the story of the event. If an owner asks what happened on 10 January, the answer is spread across many pages, because the pages are arranged by item and not by date.

The answer is to keep two books with two different jobs. The first book records each transaction once, in date order, with both sides together and a note saying what happened. The second book holds the account pages, and the amounts are copied into it from the first. The first book answers the question: what happened, and when? The second answers the question: how much? This chapter teaches both books, and the copying between them. After the slow Chapter 6, the pace here is standard, but we go slowly again when the copying is met for the first time.



7.1 THE ACCOUNTING CYCLE IN OUTLINE

Accounting cycle. The set of steps that turns a business's transactions into financial statements.

The accounting cycle is the chain of steps from a transaction to the statements.

The figure shows ten steps; this chapter teaches steps 2 to 4.

Before we learn the two books, we need a map of the whole route. A business does not record a transaction and then stop. It records the transaction, tests the records, brings them up to date, reports them, and prepares for the next period. These steps are repeated in every period, in the same order. The set of steps that turns a business's transactions into financial statements is called the **accounting cycle**.

The figure below shows the ten steps. It is a map and not a lesson. Each box carries a chapter number that tells you where the step is taught. The double-lined boxes are the steps of this chapter. You have already met step 1: a transaction happens, and you analyse it with the rules of Chapter 6.

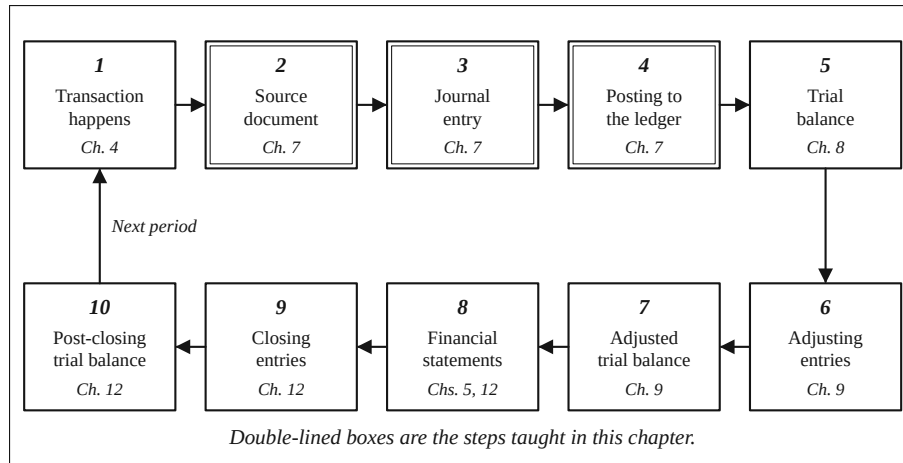


FIG. 22. The accounting cycle in outline. Each box names a step and the chapter that teaches it.

Here is one line for each step. Step 2: collect the paper that proves the transaction (section 7.2). Step 3: write the transaction in the first book, the journal (sections 7.2 and 7.3). Step 4: copy the amounts to the account pages, the ledger (section 7.4). Step 5: test the ledger with a trial balance (Chapter 8). Step 6: record the adjusting entries that bring the accounts up to date (Chapter 9). Step 7: test again, with an adjusted trial balance (Chapter 9). Step 8: prepare the financial statements (Chapters 5 and 12). Step 9: close the temporary accounts (Chapter 12). Step 10: test once more, with a post-closing trial balance (Chapter 12). The next period then begins with the balances that remain. Some businesses also use a working paper, the worksheet, to gather steps 5 to 7 on one sheet (Chapter 11).

Case file, illustrative. Follow one transaction through the first steps. On 18 January the school pays the bakery Tk 25,000 of the Tk 40,000 that it owes (step 1). The bakery gives the school a receipt and keeps a copy (step 2). The bookkeeper writes a journal entry that debits Cash and credits Accounts Receivable by Tk 25,000, with the narration *Received cash from the school* (step 3). The bookkeeper then posts the debit to the Cash account and the credit to the Accounts Receivable account (step 4). Later steps test and report the result. The transaction has now left a trail: from the statements back to the ledger, from the ledger to the journal, and from the journal to the receipt.

Many businesses now keep their books in computer programs. A program hides some of the writing, but it follows the same steps in the same order.¹ A person who understands the cycle can check what a program does. A person who does not understand it can only trust the program.

Before moving on. The accounting cycle is the set of steps that turns transactions into statements, repeated in every period. This chapter teaches the first part: the source document, the journal and the ledger.



7.2 THE JOURNAL: THE BOOK OF FIRST RECORD

Every record starts from evidence. When the bakery buys flour, the supplier gives a paper that states what was sold and how much to pay. When a customer

¹ Some programs record a transaction and post it in one action. The journal and the ledger still exist inside the program, and the program can print each of them.

One line for each step, with a pointer, so that nothing arrives without warning.

One transaction follows the route: the school's payment of 18 January.

Computers hide some of the writing, but the steps stay the same.

Recap of 7.1: the cycle is a repeated chain of steps; this chapter covers the first part.

Every record begins with a piece of paper that proves the event.

Source document. Paper proof that a transaction happened, such as an invoice, receipt, or cheque.

A source document is the paper proof of a transaction.

Invoice. A document that tells a customer what was sold and how much to pay.

Cheque. A written order to a bank to pay a stated sum to a named person.

Two common source documents: the invoice and the cheque.

The paper that would usually prove each of six January events is listed in the table.

pays, the bakery gives a receipt. When the bakery pays a bill, it may write a cheque or keep a bill that is marked as paid.

Each such paper is a **source document**: paper proof that a transaction happened, such as an invoice, a receipt or a cheque. The source document is the evidence. Keep it. Later, a lender, an auditor or a tax officer may ask: how do you know that this transaction took place? The paper gives the answer. Without it, the record is only a claim.

Two source documents appear often. An **invoice** is a document that tells a customer what was sold and how much to pay. The supplier of the oven sends the bakery an invoice, and the bakery sends invoices to its hotel customers. A **cheque** is a written order to a bank to pay a stated sum to a named person. When the bakery pays a supplier by cheque, the cheque and the matching invoice together prove the payment.

The table lists the paper that would usually prove six of the bakery's January events. Read each row from left to right: the event, and the source document that supports it.

SOURCE DOCUMENTS FOR SIX JANUARY EVENTS

EVENT	LIKELY SOURCE DOCUMENT
Owner invests cash (1 January)	Bank deposit slip or the owner's signed note
Oven and mixer bought (2 January)	The supplier's invoice
Rent paid in advance (3 January)	The landlord's receipt
Catering billed to the school (15 January)	The bakery's copy of its invoice
Electricity bill paid (25 January)	The bill, marked as paid
Owner takes cash (30 January)	The owner's signed note

A good source document states the date, the parties, the goods and the amount.

Journal. The book of first record, in which each transaction is written in date order. In daily life, a journal is a personal diary.

The journal is the book where each transaction is first written, in date order.

There are three reasons to write every transaction in the journal first.

Journal pages are numbered, and a mistake is corrected by a new entry, never by erasing.

A good source document states the date, the two parties, what was bought or sold, and the amount. If one of these is missing, ask for a better document. A paper that cannot be checked is a weak support for an entry.

The first book is the journal. A **journal** is the book of first record, in which each transaction is written in date order. The word may remind you of a diary, and the idea is close: the journal tells the story of the business, day by day. A transaction is written in the journal before it appears anywhere else.

There are three reasons for this rule. First, both sides of the transaction are written together, so neither side can be forgotten. Second, the transactions follow one another in date order, so anyone can follow what happened and when. Third, the journal carries a short explanation, so the reason for each entry is not lost.

A journal is kept with care. Its pages are numbered, so that a missing page can be noticed. A mistake is not erased. It is put right by a new entry that shows what was changed and why, as Chapter 8 teaches. These habits make the journal a record that a lender, an auditor or a tax officer can trust.

The record of one transaction in the journal is a **journal entry**. The act of writing it is called **journalising**. So we journalise a transaction, and the result is a journal entry. The figure below shows the layout of a journal page, and the paragraphs after it explain each part.

Date	Account titles and explanation [Ⓓ]	Ref.	Debit	Credit
2026 [Ⓐ]				
Jan 2 [Ⓑ]	Equipment	151	240,000	
	[Ⓒ] Cash	101		100,000
	Accounts Payable	201		140,000
	[Ⓔ] Bought oven and mixer: part cash, part on account.			

A. Date: the year is written once, then month and day.
 B. Debit account: written first, at the left edge.
 C. Credit accounts: written below, a little to the right.
 D. Ref.: account number, filled in when posting is done.
 E. Narration: one line that says what happened.

FIG. 23. The layout of a journal page, with one entry. The letters are explained in the figure.

The page has five columns: the date, the account titles and explanation, the reference, the debit amount and the credit amount. The entry in the figure has one debit and two credits. Section 7.3 explains why such an entry is allowed. Read the entry in this order. The date is written on the first line. The account that is debited is written first, at the left edge of the second column, and its amount goes in the debit column. The accounts that are credited are written below, a little to the right, and their amounts go in the credit column. The explanation comes last.

The last line of an entry is the **narration**: a short note under a journal entry that says what the entry is for. A good narration is brief, and it names the event and not the accounts. *Bought oven and mixer: part cash, part on account* is a good narration. *Debit Equipment, credit Cash* is not, because the entry already says that.

The column headed Ref. holds the number of the ledger account. Mitali Bakery's account numbers are those of the chart of accounts in Chapter 6. The column is filled when the amounts are copied to the ledger (section 7.4), and the number shows that the copying was done. Before that, the column is empty.

We can now state the method. To journalise one transaction: first, write the date. Second, decide the accounts, and the side of each, with the rules of Chapter 6. Third, write the debits first and the credits below them, a little to the right, with the amounts. Fourth, check that the debits equal the credits, and write the narration.

A small example shows the method with the cleanest numbers. Hasan's Tea Stall is illustrative, and it is separate from the bakery. On 1 April 2026 Hasan invests Tk 10,000 in cash. On 2 April he buys tea and sugar for Tk 1,500 in cash. On 3 April he sells tea for Tk 2,000 in cash. The table shows the three entries. The Ref. column is empty, because nothing has been posted yet.

Journal entry. The record of one transaction in the journal, showing accounts, debits, and credits.

Journalising. Writing a transaction in the journal as a journal entry.

One transaction written in the journal is a journal entry.

The page has five columns, and the debit comes first.

Narration. A short note under a journal entry that says what the entry is for.

The narration says in one line why the entry was made.

The Ref. column stays empty until the amounts are posted.

The method for one transaction has four steps.

A small business with clean numbers shows three entries of one debit and one credit.

JOURNAL OF HASAN'S TEA STALL, APRIL 2026

DATE	ACCOUNT TITLES AND EXPLANATION	REF.	DEBIT	CREDIT
1 Apr 2026	Cash		10,000	
	Owner's Capital			10,000
	<i>Owner invested cash in the tea stall</i>			
2 Apr	Supplies		1,500	
	Cash			1,500
	<i>Bought tea and sugar for cash</i>			
3 Apr	Cash		2,000	
	Sales Revenue			2,000
	<i>Sold tea for cash</i>			

In each entry the debit equals the credit.

A second example, with less tidy numbers, shows a sale on account and a receipt.

In each entry, the debit equals the credit: Tk 10,000, Tk 1,500 and Tk 2,000. The entries need no other checks. Notice also that the year is written once, at the top of the page, and later entries need only the month and the day.

A second example uses numbers that are not round. Karim Stationery is an illustrative business that we shall meet again in section 7.5. On 5 March Karim sells goods for Tk 18,750 on account to a school. On 9 March a customer pays him Tk 12,400 that it owed. The table shows both entries.

JOURNAL OF KARIM STATIONERY, MARCH 2026 (TWO ENTRIES)

DATE	ACCOUNT TITLES AND EXPLANATION	REF.	DEBIT	CREDIT
5 Mar 2026	Accounts Receivable		18,750	
	Sales Revenue			18,750
	<i>Sold goods to a school on account</i>			
9 Mar	Cash		12,400	
	Accounts Receivable			12,400
	<i>Received cash from a customer</i>			

The sale is recorded when it is made; the later receipt is not revenue again.

Pause and check: write one journal entry.

Recap of 7.2: a source document proves the event, and the journal records it first.

In the first entry the asset Accounts Receivable is debited and revenue is credited, although no cash has moved. In the second entry the cash arrives and the receivable falls. Revenue is not recorded a second time, because it was already recorded on 5 March.

Pause and check. On 12 February a business pays Tk 2,500 in cash for electricity. Write the journal entry: the accounts, the side of each, the amounts and a narration. (The answer is at the back of the book.)

Before moving on. A source document proves that a transaction happened. The journal records the transaction first, in date order, as a journal entry with its debits, its credits and a narration. You should now be able to say: *the journal is the book in which every transaction is first recorded, with both sides together.*



7.3 JOURNALISING THE MONTH

The bakery's thirteen transactions fill three journal pages.

Case file, illustrative. We now journalise all thirteen transactions of Mitali Bakery's January 2026. They fill three journal pages. Page 1 holds transactions 1 to 5, page 2 holds transactions 6 to 10, and page 3 holds transactions 11 to 13.

Each entry follows the four steps of section 7.2. The account numbers in the Ref. column are those of the chart of accounts. They are filled in here for completeness, as they would be after posting.

Page 1 has cash entries and one new kind of entry. The entry of 2 January has three accounts. The bakery buys the oven and the mixer for Tk 240,000, pays Tk 100,000 in cash and owes Tk 140,000. Equipment is debited once, and Cash and Accounts Payable are credited.

Page 1 contains cash entries and the first entry with more than two accounts.

JOURNAL, PAGE 1 (JANUARY 2026)

DATE	ACCOUNT TITLES AND EXPLANATION	REF.	DEBIT	CREDIT
1 Jan 2026	Cash	101	500,000	
	Owner's Capital	301		500,000
	<i>Owner invested cash to start the business</i>			
2 Jan	Equipment	151	240,000	
	Cash	101		100,000
	Accounts Payable	201		140,000
	<i>Bought oven and mixer: part cash, part on account</i>			
3 Jan	Prepaid Rent	104	45,000	
	Cash	101		45,000
	<i>Paid rent for January to March in advance</i>			
5 Jan	Supplies	103	30,000	
	Cash	101		30,000
	<i>Bought baking supplies for cash</i>			
10 Jan	Cash	101	90,000	
	Sales Revenue	401		90,000
	<i>Sold baked goods for cash</i>			

The entry of 2 January is a **compound entry**: a journal entry that affects three or more accounts. The rule of double entry is not changed. The total of the debits, Tk 240,000, equals the total of the credits, Tk 100,000 + Tk 140,000 = Tk 240,000. A compound entry may also have two debits and one credit, or several of each. It is written as one entry, with one date and one narration, because it records one event.

Compound entry. A journal entry that affects three or more accounts.

An entry that affects three or more accounts is a compound entry.

A compound entry can have the other shape too. Suppose that a business buys equipment for Tk 20,000 and supplies for Tk 8,000, and pays Tk 28,000 in one cash payment. The entry has two debits and one credit. The debits are written first, at the left edge, and the credit is written below them, a little to the right.

A compound entry can also have two debits and one credit.

A COMPOUND ENTRY WITH TWO DEBITS AND ONE CREDIT (ILLUSTRATIVE)

DATE	ACCOUNT TITLES AND EXPLANATION	REF.	DEBIT	CREDIT
14 Jun	Equipment		20,000	
	Supplies		8,000	
	Cash			28,000
	<i>Bought equipment and supplies for one payment</i>			

The two debits together equal the one credit.

Page 2 contains entries on account, a part payment and an advance.

The two debits, Tk 20,000 + Tk 8,000, equal the one credit of Tk 28,000. The rule is the same as before.

Page 2 holds the entries that involve promises to pay or to receive. On 15 January the school is billed Tk 40,000 for catering. The money has not yet arrived, so the asset Accounts Receivable is debited, and Sales Revenue is credited. On 18 January the school pays Tk 25,000, so Cash is debited and Accounts Receivable is credited. On 20 January the bakery pays Tk 60,000 of its debt to the equipment supplier, so Accounts Payable is debited and Cash is credited. On 22 January a customer pays Tk 12,000 in advance for six weekly deliveries. The bakery owes the deliveries, so Cash is debited and the liability Unearned Revenue is credited.

JOURNAL, PAGE 2 (JANUARY 2026)

DATE	ACCOUNT TITLES AND EXPLANATION	REF.	DEBIT	CREDIT
15 Jan	Accounts Receivable	102	40,000	
	Sales Revenue	401		40,000
	<i>Catering for a school, billed on account</i>			
18 Jan	Cash	101	25,000	
	Accounts Receivable	102		25,000
	<i>Received cash from the school</i>			
20 Jan	Accounts Payable	201	60,000	
	Cash	101		60,000
	<i>Paid part of the amount owed for the oven and mixer</i>			
22 Jan	Cash	101	12,000	
	Unearned Revenue	202		12,000
	<i>Advance for six weekly cake deliveries</i>			
25 Jan	Utilities Expense	504	6,000	
	Cash	101		6,000
	<i>Paid the electricity bill</i>			

Page 3 contains a sale, the wages and the owner's own dealing with the business.

Page 3 completes the month. On 28 January the bakery sells baked goods for Tk 70,000 in cash and pays wages of Tk 36,000. On 30 January the owner takes Tk 20,000 in cash for personal use. This last entry is an owner's dealing. It is not an expense of the bakery. It is recorded in the drawings account, so that the owner can see what was taken out.

JOURNAL, PAGE 3 (JANUARY 2026)

DATE	ACCOUNT TITLES AND EXPLANATION	REF.	DEBIT	CREDIT
28 Jan	Cash	101	70,000	
	Sales Revenue	401		70,000
	<i>Sold baked goods for cash</i>			
28 Jan	Wages Expense	501	36,000	
	Cash	101		36,000
	<i>Paid wages</i>			
30 Jan	Owner's Drawings	302	20,000	
	Cash	101		20,000
	<i>Owner took cash for personal use</i>			

Common slips. Four slips appear often in journals. The first is writing an account on the wrong side, such as crediting Equipment when the bakery buys it. The second is writing the credit before the debit, which confuses the reader. The third is leaving out the narration, so that no one can tell later what the entry was for. The fourth is writing different amounts in the two columns. After each entry, look at the two columns and check that they agree.

Before moving on. A month of transactions fills the journal in date order. A compound entry affects three or more accounts, and its debits still equal its credits. Entries on account involve receivables and payables, and the owner's own dealings go to the drawings account. You should now be able to say: *every journal entry has equal debits and credits, however many accounts it contains.*



7.4 THE LEDGER AND POSTING

The journal is arranged by date. That is useful for following events, but it is not useful for answering the question: how much cash do we have? For that, we need all the cash amounts together. The second book does this job.

The **ledger** is the book that holds all of a business's accounts together. It is the place where the account pages of Chapter 6 are kept, one page or more for each account, usually in the order of the chart of accounts. Everything about Cash is in the Cash page of the ledger, and everything about Sales Revenue is in the Sales Revenue page.

The amounts reach the ledger by **posting**: copying amounts from the journal into the correct ledger accounts. Posting changes nothing. It does not change an amount, a side or an account. It moves each amount, exactly as written, from the book of events to the book of accounts.

Posting has four steps for each line of a journal entry. First, find the ledger account named on the line. Second, write the date and the amount on the same side of the account as in the journal: a debit on the left, a credit on the right. Third, write the journal page in the Ref. column of the ledger, for example J1 for page 1 of the journal. Fourth, return to the journal and write the account number in the Ref. column there. Each book now points to the other, so that any amount can be traced in either direction.

Four common slips: wrong side, wrong order, missing narration, unequal totals.

Recap of 7.3: a month of entries, one compound entry, and three kinds of special case.

The journal is in date order; the ledger is in account order.

GO SLOWLY HERE: COPYING BETWEEN BOOKS IS NEW.

Ledger. The book that holds all of a business's accounts together.

The ledger is the book that holds all the accounts.

Posting. Copying amounts from the journal into the correct ledger accounts.

Posting copies the amounts from the journal to the ledger.

Posting has four steps for each line of a journal entry.

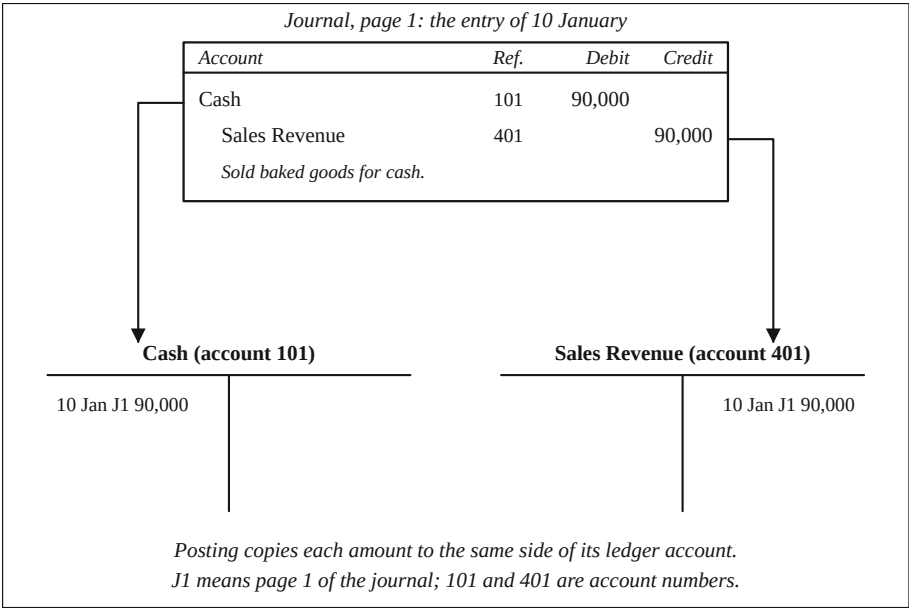


FIG. 24. Posting the entry of 10 January: each amount is copied to the same side of its ledger account.

The figure shows the entry of 10 January and its two postings.

Balance. The difference between the debit total and the credit total of an account. In daily life, the money held in a bank account.

The balance of an account is the difference between its two sides.

A ledger page can show a running balance after every posting.

Study the figure with care. The journal entry debits Cash and credits Sales Revenue, each by Tk 90,000. The debit amount is copied to the left side of the Cash account. The credit amount is copied to the right side of the Sales Revenue account. Each ledger line carries J1, the page of the journal, and the journal lines carry 101 and 401, the numbers of the accounts. The same procedure is repeated for every line of every entry.

After posting, each account must answer the question: how much? The answer is its **balance**: the difference between the debit total and the credit total of an account. A balance is on the debit side if the debit total is greater, and on the credit side if the credit total is greater. In section 6.1 you found the difference between two sides in this way. Now it has a name.

Ledger pages often show a running balance, which is a new balance after every posting.² Look at the Cash account of the bakery. Each row shows one posting. After a debit, the balance rises by the amount. After a credit, it falls by the amount. The last row gives the balance at the end of the month.

² Some ledgers use the T-account form, with the debit side on the left and the credit side on the right, and find the balance only at the end of the period. The running-balance form shows the balance after every posting, and it is the usual form in practice.

LEDGER: CASH, ACCOUNT 101 (JANUARY 2026). ALL BALANCES ARE DEBIT BALANCES.

DATE	EXPLANATION	REF.	DEBIT	CREDIT	BALANCE
1 Jan	Owner's investment	J1	500,000		500,000
2 Jan	Oven and mixer	J1		100,000	400,000
3 Jan	Rent in advance	J1		45,000	355,000
5 Jan	Supplies	J1		30,000	325,000
10 Jan	Sales	J1	90,000		415,000
18 Jan	From the school	J2	25,000		440,000
20 Jan	Supplier	J2		60,000	380,000
22 Jan	Cake advance	J2	12,000		392,000
25 Jan	Electricity	J2		6,000	386,000
28 Jan	Sales	J3	70,000		456,000
28 Jan	Wages	J3		36,000	420,000
30 Jan	Drawings	J3		20,000	400,000

The debits in the Cash account total Tk 500,000 + Tk 90,000 + Tk 25,000 + Tk 12,000 + Tk 70,000 = Tk 697,000. The credits total Tk 100,000 + Tk 45,000 + Tk 30,000 + Tk 60,000 + Tk 6,000 + Tk 36,000 + Tk 20,000 = Tk 297,000. The difference is Tk 697,000 – Tk 297,000 = Tk 400,000, and this is the last figure in the balance column. Cash is an asset, so its balance is on the debit side, as the normal balance of Chapter 6 says.

A liability account works in the same way, with the sides exchanged. In the Accounts Payable account, the credit of 2 January raises the balance, and the debit of 20 January lowers it. The balance is a credit balance, because the credit total is greater.

The Cash balance of Tk 400,000 comes from debits of 697,000 and credits of 297,000.

A liability account has a credit balance; the process is the same.

LEDGER: ACCOUNTS PAYABLE, ACCOUNT 201 (JANUARY 2026). ALL BALANCES ARE CREDIT BALANCES.

DATE	EXPLANATION	REF.	DEBIT	CREDIT	BALANCE
2 Jan	Oven and mixer	J1		140,000	140,000
20 Jan	Part payment	J2	60,000		80,000

Case file, illustrative. Two more ledger accounts complete the picture. Accounts Receivable receives a debit on 15 January and a credit on 18 January. Sales Revenue receives three credits, because the bakery makes three sales in the month.

Two more accounts show a receivable and a revenue account in running-balance form.

LEDGER: ACCOUNTS RECEIVABLE, ACCOUNT 102 (JANUARY 2026). ALL BALANCES ARE DEBIT BALANCES.

DATE	EXPLANATION	REF.	DEBIT	CREDIT	BALANCE
15 Jan	School catering	J2	40,000		40,000
18 Jan	From the school	J2		25,000	15,000

LEDGER: SALES REVENUE, ACCOUNT 401 (JANUARY 2026). ALL BALANCES ARE CREDIT BALANCES.

DATE	EXPLANATION	REF.	DEBIT	CREDIT	BALANCE
10 Jan	Cash sales	J1		90,000	90,000
15 Jan	School catering	J2		40,000	130,000
28 Jan	Cash sales	J3		70,000	200,000

After posting, three checks catch most slips.

Pause and check: say on which side a posted amount belongs.

Recap of 7.4: posting copies amounts to the ledger, and each account then has a balance.

After posting, make three checks. First, every line of every journal entry has an account number written beside it, so that nothing was left out. Second, the total of the debit amounts posted equals the total of the credit amounts posted. Third, the balance of each account is on its normal side, or there is a reason why it is not. If a posting is wrong, do not erase it. Write a correcting entry in the journal and post it, so that the trail stays complete (Chapter 8).

Pause and check. A journal entry debits Cash by Tk 5,000. On which side of the Cash account is the amount posted, and what number is written in the journal's Ref. column? (The answer is at the back of the book.)

Before moving on. The ledger holds all the accounts. Posting copies each amount from the journal to the same side of its ledger account, and the two Ref. columns record where each amount came from and where it went. The balance of an account is the difference between its two sides. You should now be able to say: *posting copies each amount, unchanged, from the journal to the same side of the right account.*



7.5 USING T-ACCOUNTS TO ANALYSE ACTIVITY AND FIND BALANCES

A T-account helps us to think, and to find a missing figure.

The rule: ending balance equals opening balance plus increases minus decreases.

A first example uses the bakery's receivables and clean numbers.

A full ledger page takes time to prepare. Accountants also use T-accounts as a thinking tool: a quick drawing of one account, used to find a balance or to discover a figure that is not known. This section shows both uses. The method needs one rule.

Formula. In words: the ending balance of an account equals its opening balance, plus the increases during the period, minus the decreases during the period. In symbols: ending balance = opening balance + increases – decreases. For an account with a debit balance, the increases are the debits. For an account with a credit balance, the increases are the credits.

Case file, illustrative. We start with the bakery's Accounts Receivable in January. It had no balance on 1 January. On 15 January the school is billed Tk 40,000, which is a debit. On 18 January the school pays Tk 25,000, which is a credit. The ending balance is $0 + \text{Tk } 40,000 - \text{Tk } 25,000 = \text{Tk } 15,000$, a debit balance. The school still owes Tk 15,000.

T-ACCOUNT: ACCOUNTS RECEIVABLE, JANUARY 2026 (MITALI BAKERY)

DEBIT	TK	CREDIT	TK
15 Jan Sales Revenue	40,000	18 Jan Cash	25,000
		31 Jan Balance	15,000
Total	40,000	Total	40,000

To balance a T-account in this way, write the balance on the side that has the smaller total. Then the two sides are equal. The word balance on the credit side of the table does not mean a credit entry. It only brings the totals level, and it shows the debit balance that remains.

A second example has numbers that are less tidy. Karim Stationery, met in section 7.2, is illustrative and is separate from the bakery. *Given.* On 1 March, customers owed Tk 48,500. During March, Karim sold goods on account for Tk 126,300, and customers paid Tk 103,800. *Find.* The amount that customers owe on 31 March. *Steps.* Accounts Receivable has a debit balance, so the opening balance and the sales on account are increases: $\text{Tk } 48,500 + \text{Tk } 126,300 = \text{Tk } 174,800$. The payments are decreases: $\text{Tk } 174,800 - \text{Tk } 103,800 = \text{Tk } 71,000$. *Answer.* Customers owe Tk 71,000. *Check.* The two sides of the T-account below are equal, at Tk 174,800.

T-ACCOUNT: ACCOUNTS RECEIVABLE, MARCH (KARIM STATIONERY)

DEBIT	TK	CREDIT	TK
1 Mar Balance	48,500	Cash received	103,800
Sales on account	126,300	31 Mar Balance	71,000
Total	174,800	Total	174,800

The T-account also finds a missing figure. Suppose that Karim knows the opening balance, Tk 48,500, the sales on account, Tk 126,300, and the closing balance, Tk 71,000, but not the cash received. The two sides must be equal. So the cash received equals the opening balance plus the sales, minus the closing balance: $\text{Tk } 48,500 + \text{Tk } 126,300 - \text{Tk } 71,000 = \text{Tk } 103,800$. The unknown figure is found by rearranging the same rule.

The method works for liabilities, with the sides exchanged. Karim's Accounts Payable had a balance of Tk 62,400 on 1 March. He bought goods on account for Tk 95,700, and he paid suppliers Tk 81,250. The balance is a credit balance. Increases are credits: $\text{Tk } 62,400 + \text{Tk } 95,700 = \text{Tk } 158,100$. The payments are debits: $\text{Tk } 158,100 - \text{Tk } 81,250 = \text{Tk } 76,850$. Karim owes his suppliers Tk 76,850 on 31 March.

The same rule finds other missing figures. Karim knows that suppliers were owed Tk 62,400 on 1 March, that he paid them Tk 81,250, and that he owes them Tk 76,850 on 31 March. For a credit-balance account, the closing balance equals the opening balance plus the credits minus the debits. So the purchases on account equal the closing balance plus the payments minus the opening balance: $\text{Tk } 76,850 + \text{Tk } 81,250 - \text{Tk } 62,400 = \text{Tk } 95,700$. This agrees with the figure given above.

The same two numbers tell different stories from different seats. The owner sees Tk 71,000 of cash that is still to come from customers, and Tk 76,850 of cash that must go to suppliers. A lender may compare the two numbers to judge whether the business can meet its debts. A good ending balance, then, is more than a figure. It is a fact that someone will use to make a decision.

Common slips. Three slips occur often. The first is treating a liability like an asset, and adding the debits. The second is forgetting the opening balance, which is part of the total. The third is mixing the figures of two different months. Write the opening balance first, in every T-account, and name the month at the top.

Pause and check. A business had Accounts Receivable of Tk 20,000 on 1 June. It sold goods on account for Tk 35,000 in June, and customers paid Tk 28,000. What is the balance on 30 June? (The answer is at the back of the book.)

A T-account is balanced by writing the balance on the smaller side.

A second example has messier numbers and a new business.

The same T-account finds a missing figure when the balance is known.

The same method works for payables, with the sides exchanged.

The same rule finds a missing purchases figure for payables.

Viewpoint: the same number says different things to the owner and the lender.

Common slips in T-account work: the wrong side, a forgotten opening balance, mixed months.

Pause and check: find an ending balance.

Recap of 7.5: ending balance equals opening plus increases minus decreases.

Before moving on. The ending balance of an account equals the opening balance, plus the increases, minus the decreases. For a debit-balance account the increases are debits, and for a credit-balance account they are credits. The same rule, rearranged, finds a missing figure.



7.6 JOURNAL AND LEDGER COMPARED

The two books do different jobs, and a business needs both.

The journal and the ledger hold the same amounts, but they arrange them in different ways, and they answer different questions. The table below sets them side by side. Read each row from left to right: the feature, how the journal treats it, and how the ledger treats it.

THE JOURNAL AND THE LEDGER COMPARED

FEATURE	JOURNAL	LEDGER
Arranged by	Date	Account
Written	First	Second, by posting from the journal
Each transaction	Appears once, with both sides together	Appears in two accounts, one side in each
Explanation	A narration for each entry	A short explanation on each line
Main use	Following events, and tracing them to their proof	Finding amounts and balances
Question it answers	What happened, and when?	How much, in each account?

A trace from a ledger line back to the source document answers a lender's question.

Here is a trace. A lender asks why the Cash account shows a debit of Tk 12,000 on 22 January. The ledger line carries J2, so the lender turns to page 2 of the journal and finds the entry of 22 January: Cash debited, Unearned Revenue credited, with the narration *Advance for six weekly cake deliveries*. The entry points to the advance receipt, which is the source document. In three steps the question is answered, and each step can be checked.

Why two books? Each one makes a task easy that the other makes hard.

Why not keep one book? A single book arranged by date makes it hard to find a balance. A single book arranged by account hides the story of each event, and it allows half-written transactions. Two books keep both advantages, and the Ref. columns tie them together. An auditor can start from a ledger amount and find the journal entry and then the source document, or can start from the source document and follow the trail forward. Chapter 15 shows how a very busy business divides the journal into several books to save effort.

Recap of 7.6: the journal tells the story, and the ledger gives the totals.

Before moving on. The journal arranges transactions by date and records each once. The ledger arranges amounts by account and gives the balances. You should now be able to say: *the journal tells what happened and when, and the ledger tells how much.*



WORKED CASE: POSTING MITALI BAKERY'S JANUARY

Case file, illustrative. The thirteen entries of January 2026 stand on three journal pages (section 7.3). We post each line to its ledger account and find the balance of every account at 31 January.

Given. The three journal pages, and the chart of accounts. *Find.* The balance of each account at 31 January 2026. *Formula.* Ending balance = opening balance + increases – decreases. Every account opens at nil on 1 January, because the business starts on that day. *Steps.* Cash and Accounts Payable were posted in section 7.4, and Accounts Receivable in section 7.5. The other accounts have simple histories. Supplies, Prepaid Rent and Equipment each receive one debit. Unearned Revenue, Owner's Capital and Sales Revenue receive credits only. Owner's Drawings, Wages Expense and Utilities Expense each receive one debit. For each account we add the debit postings, add the credit postings and take the difference. The table gives the results.

The task: post all thirteen entries and find the balance of every account.

Given, Find, Formula and Steps.

LEDGER TOTALS AND BALANCES AT 31 JANUARY 2026

ACCOUNT (NO.)	DEBITS	CREDITS	BALANCE	SIDE
Cash (101)	697,000	297,000	400,000	Debit
Accounts Receivable (102)	40,000	25,000	15,000	Debit
Supplies (103)	30,000		30,000	Debit
Prepaid Rent (104)	45,000		45,000	Debit
Equipment (151)	240,000		240,000	Debit
Accounts Payable (201)	60,000	140,000	80,000	Credit
Unearned Revenue (202)		12,000	12,000	Credit
Owner's Capital (301)		500,000	500,000	Credit
Owner's Drawings (302)	20,000		20,000	Debit
Sales Revenue (401)		200,000	200,000	Credit
Wages Expense (501)	36,000		36,000	Debit
Utilities Expense (504)	6,000		6,000	Debit
Total posted	1,174,000	1,174,000		

Answer. Twelve accounts have a balance at 31 January, shown in the table. *Check one.* The debits posted to all accounts total Tk 1,174,000, and the credits posted total Tk 1,174,000. This is the same total that the thirteen transactions gave in Chapter 6. Nothing was lost between the journal and the ledger.

Check two. The balances also agree with the January figures of Chapter 5. The asset balances total Tk 400,000 + Tk 15,000 + Tk 30,000 + Tk 45,000 + Tk 240,000 = Tk 730,000, which is the total assets of Chapter 5. The liability balances total Tk 80,000 + Tk 12,000 = Tk 92,000, which is the total liabilities. Sales Revenue is Tk 200,000. The two expense balances total Tk 36,000 + Tk 6,000 = Tk 42,000. Drawings are Tk 20,000. Every figure agrees. Chapter 8 lists these balances together and tests them in a new way.

Answer: twelve accounts have balances; the Tk 1,174,000 posted on each side agrees with Chapter 6.

Check two: the balances agree with the statements of Chapter 5.



Each transaction is first recorded in the journal, in date order, with a narration.

Posting copies each amount to the same side of its ledger account, and each account then has a balance.

The journal tells what happened and the ledger tells how much; both belong to the accounting cycle.

A fresh month for a new business: journalise, post and find the balances.

Mistake one: posting only one side of an entry.

SUMMARY

A source document proves that a transaction happened. The transaction is first written in the journal, in date order, as a journal entry with its debits, its credits and a narration. A compound entry affects three or more accounts, and its debits still equal its credits.

The ledger holds all the accounts. Posting copies each amount from the journal to the same side of its ledger account, and the Ref. columns of both books record the copying. The balance of an account is the difference between its two sides, and it equals the opening balance plus the increases minus the decreases.

The journal tells what happened and when, and the ledger tells how much. Both are steps of the accounting cycle, which repeats in every period and ends in the financial statements.

THINK IT THROUGH

Tania Rahman keeps a laundry. Tania's Laundry is illustrative, and it is separate from the bakery. The table lists its transactions for July 2026. Journalise each transaction, with a narration. Post the entries to ledger accounts, using these names: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, Owner's Capital, Owner's Drawings, Laundry Revenue and Rent Expense. Find the balance of each account. Then check that the debits posted equal the credits posted, and that the assets equal the liabilities plus owner's capital plus revenue, less expenses, less drawings. (The answers are at the back of the book.)

TRANSACTIONS OF TANIA'S LAUNDRY, JULY 2026

NO.	DATE	EVENT
1	1 Jul	Tania invests Tk 80,000 in cash
2	3 Jul	Buys a washing machine for Tk 50,000: pays Tk 20,000 in cash, the rest on account
3	8 Jul	Buys soap and supplies for Tk 6,000 in cash
4	12 Jul	Receives Tk 15,000 in cash for laundry work
5	15 Jul	Does laundry for a hotel for Tk 24,000, billed on account
6	20 Jul	Pays Tk 10,000 to the machine supplier
7	25 Jul	Receives Tk 14,000 from the hotel
8	28 Jul	Pays Tk 9,000 in cash for shop rent
9	30 Jul	Takes Tk 3,000 in cash for family use

WHERE PEOPLE GO WRONG

"I posted the debit, and the credit can wait." A half-posted entry makes the ledger disagree with the journal. Post every line of an entry in the same sitting, and then write the account number against each line in the journal.

"The amount is right, so the side does not matter." The side is half of the information. A debit posted to the right side of an account is read as a credit, and the balance becomes wrong by twice the amount.

"The ledger is the important book, so I will write in it first." The journal is the book of first record. It keeps both sides together, in date order, with a narration. Without it, the trail from the ledger to the source document is lost.

"A credit balance means that someone owes us." A credit balance has no fixed meaning. In Accounts Payable it means that the business owes money. In Sales Revenue it means that the business has earned money. The kind of account decides the meaning.

"The narration should say: debit Cash, credit Sales." The entry already says that. The narration should tell a reader what happened, in plain words, such as *Sold baked goods for cash*.

"I only need the new debits and credits." The ending balance includes the opening balance. If it is left out, the balance is wrong by exactly that amount, and the T-account will not balance.

Mistake two: posting to the opposite side.

Mistake three: writing in the ledger before the journal.

Mistake four: reading a credit balance as money owed to the business.

Mistake five: using the account names in the narration.

Mistake six: forgetting the opening balance in a T-account.

IN HISTORY

Luca Pacioli, whose treatise of 1494 was met in Chapter 6, advised the merchant to keep three books. The first, the memorandum, was a rough record of events, written as they happened and in no fixed form. The second, the journal, gave each event in orderly form, with the accounts that were to be debited and credited. The third, the ledger, held the accounts, and it came with an alphabetical index so that any account could be found.

The chain from rough record to journal to ledger is still the chain of today. The invoices, receipts and cheques of a modern business do the work of the memorandum, because they are the first evidence. The journal and the ledger kept their names and their jobs. The method has lasted because it gives each task its own book, and because the books point to each other.

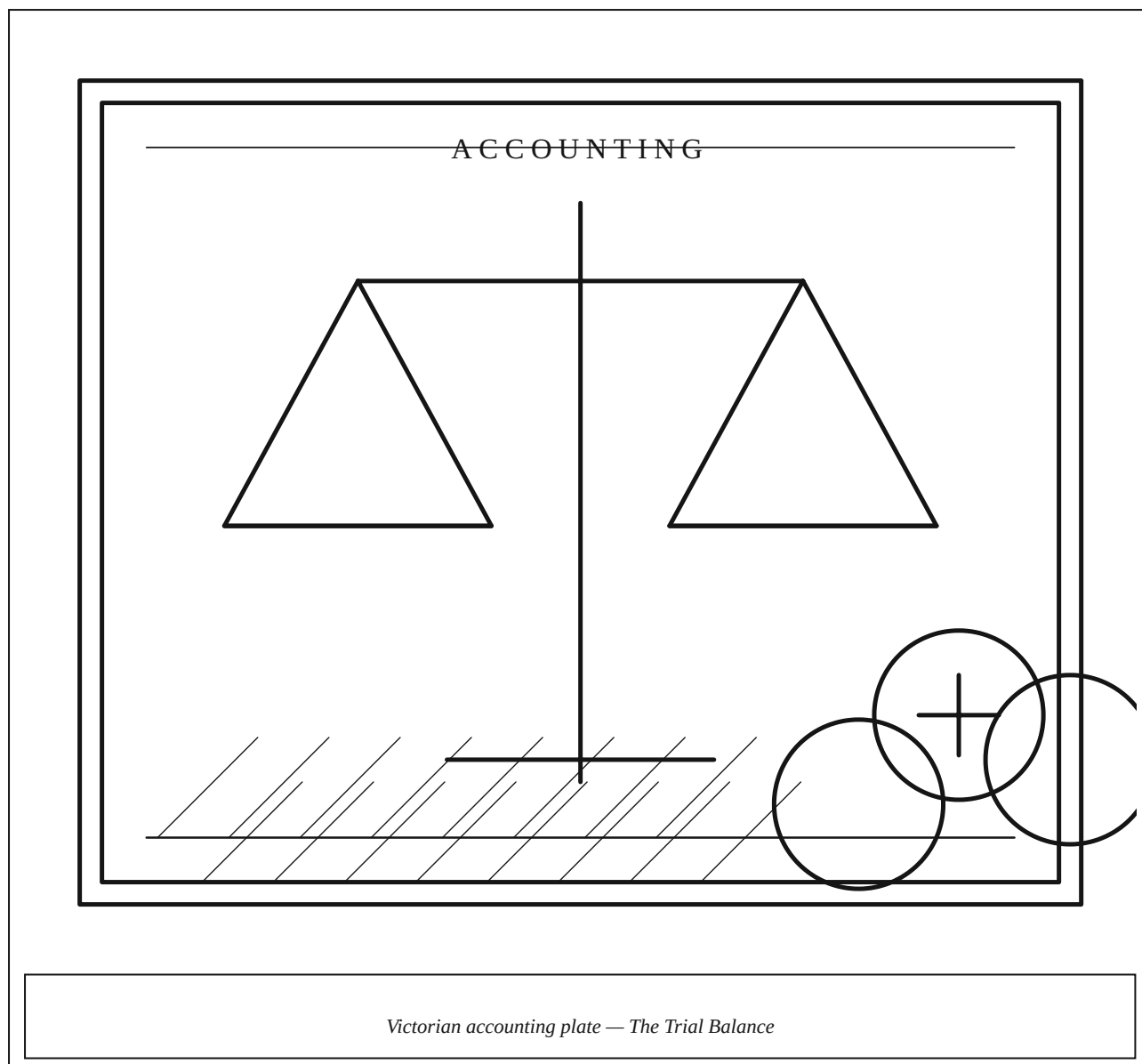
Pacioli described three books: a rough record, the journal and the ledger.

The modern business still keeps the same chain, with source documents in the place of the memorandum.

REVIEW QUESTIONS

REVIEW QUESTIONS

NO.	QUESTION
1	Say what is recorded first in the accounting records, and explain why.
2	Define a source document, and give three examples.
3	Describe the layout of a journal entry, and say what the narration is for.
4	Define a compound entry, and explain why it obeys the rule of double entry.
5	Explain posting, and list its four steps.
6	Say what the Ref. column shows in the journal and in the ledger, and why both columns are filled.
7	Define the balance of an account, and state the rule for finding an ending balance.
8	Compare the journal and the ledger in arrangement, order of writing and use.
9	Name the steps of the accounting cycle that this chapter teaches, and say where the other steps are taught.



CHAPTER VIII

The Trial Balance

How an accountant asks the books whether they agree with themselves



A ledger holds many accounts, and every amount in it was copied by hand. This chapter teaches a short list of balances that tests whether debits still equal credits. It shows how to prepare the list, how to search for a difference, and which mistakes the test can never reveal. You will need Chapter 7: the ledger and its balances.

After one month of work, Mitali has copied 27 amounts by hand and cannot see her own slips.

A shopper's second addition of a bill is a small model of the accountant's test.

The trial balance lists every ledger balance in two columns and compares the totals.

Trial balance. A list of all ledger balances, used to test that debits equal credits.

The test works because every transaction was recorded with equal debits and credits.

Error. A mistake made when recording a transaction.

An error is any recording mistake; some break the equality of the totals and some do not.

A trial balance prepared before any adjusting entries is called unadjusted.

Unadjusted trial balance. A trial balance prepared before any adjusting entries are made.

An agreed trial balance proves a narrow fact; it does not prove that the books are right.

At the end of January 2026, Mitali Rahman has recorded the first month of her bakery. She has written 13 transactions in the journal. She has then copied 27 amounts from the journal into 12 ledger accounts, one amount for each line of each entry. Every copy is a chance for a small slip: a digit written in the wrong order, an amount placed on the wrong side, or a posting forgotten. No one checks her work. Before she builds a single statement, she needs to know whether her ledger can be trusted. How can she learn this without repeating all her work?

Think of a shopper who buys five items and receives a bill. The shopper adds the five prices again. If the new total matches the printed total, the bill is probably right. If it does not match, something is wrong, and the shopper knows to examine the items. The accountant has a similar test. It rests on one rule from Chapter 6: in every transaction, the debits equal the credits. This chapter turns that rule into a test of the whole ledger.

8.1 TESTING THE BOOKS: WHAT A TRIAL BALANCE IS AND IS NOT

A **trial balance** is a list of all the balances in the ledger, written in two columns: one for debit balances and one for credit balances. The accountant totals each column. If the two totals are equal, the ledger passes the test. The list is called a trial because it tries the books. It asks whether debits and credits still agree after all the postings.

Why should the totals be equal? Chapter 3 gave the dual aspect idea: every transaction has two sides. Chapter 6 turned that idea into a rule: each entry has debits equal to credits. If every entry is balanced, then the sum of all debits posted to the ledger equals the sum of all credits posted. A balance is only the difference between the debits and credits of one account. So the debit balances, taken together, must equal the credit balances, taken together. When they do not, at least one rule was broken somewhere between the journal and the ledger.

The word **error** names any such mistake. Some errors break the equality of debits and credits, and the trial balance shows them as a difference between the two totals. Other errors keep the equality and stay hidden. This second group is the reason why the chapter has a fourth section.

The trial balance in this chapter is prepared at the end of the period, before the accounts are brought up to date. For that reason it is called an **unadjusted trial balance**. Chapter 9 explains the adjusting entries and then prepares a second list, the adjusted trial balance. The test is the same in both. Only the balances differ.

IN SHORT

A trial balance proves one fact: the total of the debit balances equals the total of the credit balances. It does not prove that every amount is correct, that every transaction was recorded, or that each amount lies in the right account.

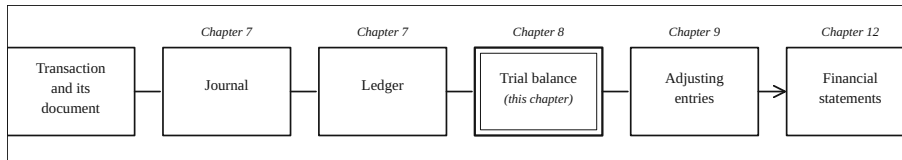


FIG. 25. The trial balance has a fixed place in the cycle: after the ledger and before the adjusting entries.

Who reads a trial balance? Chiefly the accountant who prepared it. A bank officer who wishes to lend money wants the financial statements of Chapter 5, not a list of balances. The owner may look at the list to see the size of each account, but it does not show profit or financial position in a form that a user can read quickly. It is a working paper in the strict sense: its purpose is to protect the quality of the statements that follow.

Before moving on. A trial balance lists the balances of all ledger accounts and compares the debit total with the credit total. Equal totals are good evidence of correct arithmetic and balanced postings. They are not proof that the books are free from error.

The test is a working tool for the accountant, not a report for outsiders.

Recap: what the list is and what agreement does and does not show.

8.2 PREPARING A TRIAL BALANCE

Preparing a trial balance needs four steps. First, find the balance of each ledger account by the method of Chapter 7: total the debit side, total the credit side, and take the difference. Second, write the name of each account on its own line, in the order of the chart of accounts: assets, liabilities, owner's equity, revenue, then expenses. Third, write each balance in the debit column if it is a debit balance and in the credit column if it is a credit balance. Fourth, total the two columns and compare them.

A trial balance has a three-line heading: the name of the business, the words *Trial Balance*, and the date on which the balances are taken, written as "At 31 January 2026". The money unit, *Tk*, is shown at the head of the columns. The date matters. A balance has meaning only on a stated day, because the next transaction changes it.

We begin with a small example so that the method is the only new thing. A tea stall (illustrative) has six ledger accounts at 31 March 2026.

Given. The balances are: Cash Tk 36,000 debit; Equipment Tk 20,000 debit; Rent Expense Tk 8,000 debit; Accounts Payable Tk 6,000 credit; Owner's Capital Tk 40,000 credit; Sales Revenue Tk 18,000 credit. *Find.* Whether the ledger passes the trial balance test. *Formula.* In words: total of debit balances = total of credit balances. *Steps.* List the accounts in chart order, place each balance in its column, and total each column. The debit total is $36,000 + 20,000 + 8,000 = \text{Tk } 64,000$. The credit total is $6,000 + 40,000 + 18,000 = \text{Tk } 64,000$. *Answer.* Both totals are Tk 64,000, so the ledger passes the test. *Check.* The assets, $\text{Tk } 36,000 + \text{Tk } 20,000 = \text{Tk } 56,000$, should equal the liabilities Tk 6,000, plus the capital Tk 40,000, plus the profit to date. The profit is $\text{Tk } 18,000 - \text{Tk } 8,000 = \text{Tk } 10,000$. The sum is $6,000 + 40,000 + 10,000 = \text{Tk } 56,000$, which agrees.

Preparation has four short steps: find the balances, list them, total the columns, compare.

The heading names the business, the list, and the date; the amounts are in taka.

The first worked example uses six accounts of a tea stall and round numbers.

The worked example is laid out as given, find, formula, steps, answer, check.

TRIAL BALANCE OF A TEA STALL, AT 31 MARCH 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	36,000	
Equipment	20,000	
Accounts Payable		6,000
Owner's Capital		40,000
Sales Revenue		18,000
Rent Expense	8,000	
Total	64,000	64,000

The bakery's ledger first shows the debit and credit totals, then the balances.

GO SLOWLY HERE: THE TRIAL BALANCE LISTS BALANCES, NOT TOTALS.

Now we prepare the trial balance of the bakery. The table below shows each ledger account of January 2026 after posting. The first two columns give the totals of the debit and credit sides; the third gives the balance, which is the figure that goes into the trial balance.

LEDGER OF MITALI BAKERY AT 31 JANUARY 2026 (TK)

ACCOUNT	DEBIT SIDE	CREDIT SIDE	BALANCE
Cash	697,000	297,000	400,000 Dr
Accounts Receivable	40,000	25,000	15,000 Dr
Supplies	30,000		30,000 Dr
Prepaid Rent	45,000		45,000 Dr
Equipment	240,000		240,000 Dr
Accounts Payable	60,000	140,000	80,000 Cr
Unearned Revenue		12,000	12,000 Cr
Owner's Capital		500,000	500,000 Cr
Owner's Drawings	20,000		20,000 Dr
Sales Revenue		200,000	200,000 Cr
Wages Expense	36,000		36,000 Dr
Utilities Expense	6,000		6,000 Dr
Total	1,174,000	1,174,000	

The ledger already passes a first test: all debit amounts posted equal all credit amounts posted.

The two totals of the first columns, Tk 1,174,000 each, are equal. This is a first test: the sum of everything posted to the left sides equals the sum of everything posted to the right sides. It is the rule of Chapter 6 seen across the whole ledger. The trial balance applies the same test to the balances only, which is a shorter list.

MITALI BAKERY: UNADJUSTED TRIAL BALANCE, AT 31 JANUARY 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	400,000	
Accounts Receivable	15,000	
Supplies	30,000	
Prepaid Rent	45,000	
Equipment	240,000	
Accounts Payable		80,000
Unearned Revenue		12,000
Owner's Capital		500,000
Owner's Drawings	20,000	
Sales Revenue		200,000
Wages Expense	36,000	
Utilities Expense	6,000	
Total	792,000	792,000

Case file, illustrative. At 31 January 2026 the unadjusted trial balance of Mitali Bakery shows total debits of Tk 792,000 and total credits of Tk 792,000. The ledger passes the test. The figures on the debit side are the assets of Tk 730,000 (cash 400,000, accounts receivable 15,000, supplies 30,000, prepaid rent 45,000, equipment 240,000), the drawings of Tk 20,000, and the expenses of Tk 42,000. These three groups total Tk 792,000.

Three slips are common in this work. The first is to place a balance in the wrong column. The second is to leave an account out of the list, especially an account with a small balance. The third is to copy a figure wrongly from the ledger to the list. An account with a zero balance is not listed. An account that has a balance on its unusual side, such as an asset with a credit balance, is listed on the side where the balance lies, and its cause is investigated.

Before moving on. Find each balance, list the accounts in chart order, place each balance in its own column, and total. The bakery's list balances at Tk 792,000.

The bakery's January ledger passes the test, with each total at Tk 792,000.

Three slips are common when listing balances: wrong column, missing account, wrong copy.

Recap: the four steps of preparing a trial balance.

8.3 WHEN THE TOTALS DIFFER: FINDING THE ERROR

Sometimes the two totals are not equal. We use the tea stall again, three months later, at 30 June 2026. The accountant prepares the list and finds that the credit total is larger than the debit total.

When the totals differ, the size of the difference gives the first clue.

TRIAL BALANCE OF THE TEA STALL AS FIRST PREPARED, AT 30 JUNE 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	48,000	
Equipment	25,000	
Supplies	5,000	
Accounts Payable		7,000
Owner's Capital		50,000
Sales Revenue		63,000
Wages Expense	9,000	
Rent Expense	6,000	
Total	93,000	120,000

The accountant first checks the arithmetic, then reads the difference as a clue.

Transposition error. Two digits written in the wrong order, such as 54 for 45.

Three clues: divisible by 9, equal to one amount, half equal to one balance.

The difference is Tk 120,000 – Tk 93,000 = Tk 27,000. The accountant does not change any figure to make the totals agree. A figure may be changed only when the cause is known. The search follows a fixed order, from the cheapest check to the most costly. First, add both columns again. Second, check the arithmetic of each ledger balance. Third, read the size of the difference, as the next paragraphs show. Fourth, compare the journal with the ledger, entry by entry, and mark each posting that has been checked.

The size of the difference gives three clues. A difference that can be divided by 9 with no remainder suggests a **transposition error**: two digits written in the wrong order. The reason is simple. The numbers 63 and 36 differ by 27, which is 9 times 3; any pair of swapped digits gives a difference of 9 times the gap between the digits. A difference equal to one balance, or to one amount in the journal, suggests that an amount was left out or posted to one side only. A difference whose half equals a balance suggests that the balance was placed in the wrong column, because moving an amount from one column to the other changes the difference by twice that amount.

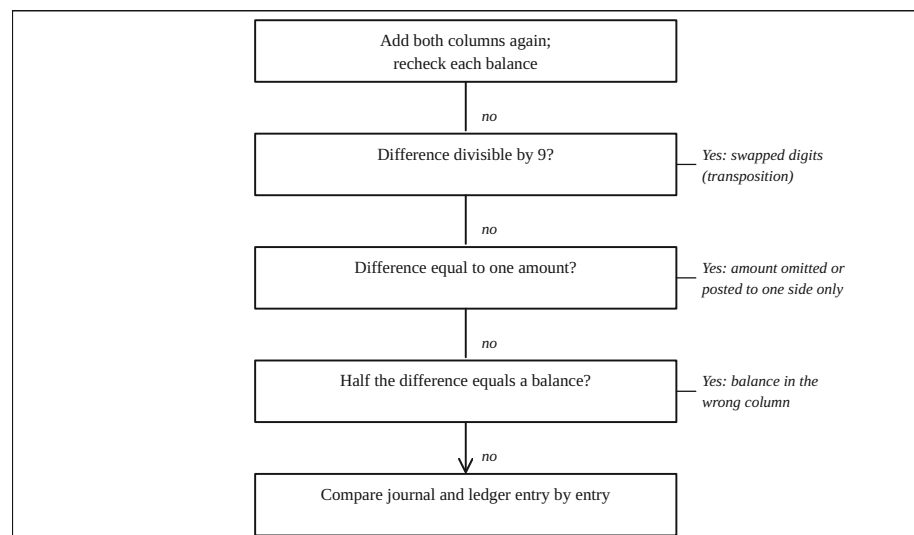


FIG. 26. The search for a difference follows the size of the difference.

The first worked search finds a swapped pair of digits in a listed balance.

Given. The tea stall's list above: debit total Tk 93,000, credit total Tk 120,000. **Find.** The cause of the difference. **Formula.** Difference = larger total – smaller total. A difference divisible by 9 suggests a transposition. **Steps.** The difference is 120,000 – 93,000 = 27,000. Then 27,000 ÷ 9 = 3,000, with no remainder. We

search for a balance with the digits 3 and 6 in swapped places. The Sales Revenue is listed as 63,000. The ledger account shows a balance of Tk 36,000, so the digits were swapped when the balance was copied to the list. *Answer.* The Sales Revenue balance should be Tk 36,000. *Check.* The credit total becomes $7,000 + 50,000 + 36,000 = \text{Tk } 93,000$, equal to the debit total. The error was in the list only, so the ledger needs no correcting entry.

In a second case, the same stall lists Sales Revenue correctly, but the debit column totals Tk 89,000 and the credit column Tk 93,000. The difference is Tk 4,000. It cannot be divided by 9 with no remainder, and no balance equals 4,000 or 2,000. The accountant therefore compares the journal with the ledger. The journal shows a wage payment of Tk 4,000 on 18 June, with the entry debit Wages Expense, credit Cash. The credit to Cash was posted. The debit to Wages Expense was not, so Wages Expense stands at Tk 5,000 instead of Tk 9,000. This is a one-sided posting. The accountant posts the missing debit of Tk 4,000 to the Wages Expense account, and the totals agree at Tk 93,000.

A caution is needed. The routine finds one error at a time. If two errors exist, for example the swapped digits of 27,000 and the missing posting of 4,000, the difference is Tk 31,000, and no single clue explains it. Correct the errors that you can prove, calculate the new difference, and search again. Never insert a balancing figure without a reason. Section 8.4 shows the one safe way to hold a difference that cannot be found.

Before moving on. When the totals differ, add again, calculate the difference, and read it: divisible by 9 suggests swapped digits; equal to one amount suggests a missing posting; half equal to one balance suggests a wrong column. Then compare the journal with the ledger.

The second search starts from a difference that no balance explains.

One search may not remove the whole difference, because several errors can exist together.

Recap: the order of the search for a difference.

8.4 ERRORS A TRIAL BALANCE CANNOT REVEAL, AND HOW TO CORRECT THEM

Imagine a shopkeeper who writes Tk 540 as Tk 450 on both copies of a bill. The two copies agree with each other, and both are wrong. A test that compares the copies will find nothing. The trial balance has the same weakness. It compares the debit total with the credit total. A mistake that adds or subtracts the same amount on both sides leaves the two totals equal, and the test shows nothing. A bakery whose list agrees may still hold several such mistakes. We study six kinds, one at a time. In each, the example is an imagined slip in the bakery's books, not a change to the case file.

The first kind is the **error of omission**. A whole transaction is missing from the books: both the debit and the credit were left out. Suppose that Mitali buys supplies of Tk 4,000 on account and the purchase is never written in the journal. The ledger has no trace of it, so the two sides remain equal. The result is that supplies and accounts payable are both too small by Tk 4,000.

The second kind is the **error of commission**. The amount is recorded on the right side, but in the wrong account of the correct type. Suppose that the electricity bill of Tk 6,000 is debited to Wages Expense instead of Utilities Expense. Both are expense accounts, so the debit is still a debit of Tk 6,000. The totals agree. The statements, however, show wages too high and utilities too low.

Recap. An omission leaves out both sides; a commission puts the right amount on the right side of the wrong account of the same type. Neither upsets the totals.

A test of equality finds only mistakes that break the equality.

GO SLOWLY HERE. ONE IDEA AT A TIME; EACH OF THE SIX KINDS HAS ITS OWN SMALL EXAMPLE.

Error of omission. A transaction left out of the books completely.

An omission leaves out both sides of a transaction, so the totals stay equal.

Error of commission. A transaction recorded in the wrong account of the correct type.

A commission puts the right amount on the right side of the wrong account of the same type.

Recap of the first two kinds.

Error of principle. A transaction recorded in an account of the wrong type.

A principle error uses an account of the wrong type; here, private spending charged as an expense.

Error of original entry. A wrong amount written in both the debit and the credit.

An original-entry error writes the same wrong amount on both sides.

Recap of the third and fourth kinds.

Compensating errors. Two or more mistakes that cancel each other out, so the trial balance still agrees.

Compensating errors cancel each other, so the totals agree by chance.

Error of reversal. A debit and a credit written on the wrong sides, so that the opposite of the transaction is recorded.

A reversal records the opposite of what happened, with equal totals.

The third kind is the **error of principle**. The amount is recorded in an account of the wrong type, so a basic rule is broken. Suppose that Mitali pays Tk 5,000 for her own household electricity from the bakery's cash, and the bookkeeper debits Utilities Expense. The bill is a private matter of the owner and should be debited to Owner's Drawings (Chapter 3, business entity concept). An expense account was used where an equity account was needed. The debit and the credit are still equal. The bakery's profit is Tk 5,000 too low.

The fourth kind is the **error of original entry**. The wrong amount is written in the journal, and the same wrong amount is posted to both accounts. Suppose that a cash sale of Tk 45,000 is written as Tk 54,000. Cash is debited Tk 54,000 and Sales Revenue is credited Tk 54,000. The sides are equal, but both accounts are Tk 9,000 too high. This slip is a transposition of digits, as in Section 8.3. The difference is that the digits were swapped before posting, so both sides carry the same wrong figure and nothing shows in the totals.

Recap. A wrong principle or a wrong original amount each keeps debits equal to credits, so the totals cannot warn.

The fifth kind is **compensating errors**. Two or more mistakes cancel each other out. Suppose that the Sales Revenue account is added wrongly and shows Tk 210,000 instead of Tk 200,000. A second slip adds Tk 10,000 too much to the Wages Expense balance, which becomes Tk 46,000. The credit side is too high by Tk 10,000 and the debit side is too high by Tk 10,000. The totals are both Tk 802,000 and they agree. Compensating errors are the result of chance, but a careful reader should know that chance does occur.

The sixth kind is the **error of reversal**. The correct accounts are used and the correct amount is written, but the debit and the credit are on the wrong sides. Suppose that the Tk 25,000 received from the school on 18 January were recorded as a debit to Accounts Receivable and a credit to Cash. The totals agree. The entry, however, records the opposite of what happened: Cash is Tk 50,000 too low and Accounts Receivable is Tk 50,000 too high.

THE TEST SHOWS A DIFFERENCE	THE TEST SHOWS NOTHING
A posting made to one side only	1 Omission: both sides left out
Two digits swapped in one amount	2 Commission: wrong account, same type
A column or balance added wrongly	3 Principle: wrong type of account
A balance copied wrongly to the list	4 Original entry: wrong amount, both sides
A balance placed in the wrong column	5 Compensating: two errors cancel
An account left off the list	6 Reversal: debit and credit exchanged
	<i>Each keeps total debits equal to total credits.</i>

FIG. 27. The trial balance reveals errors that break the equality and misses those that keep it.

Hidden errors are found by other checks, not by the trial balance.

A mistake is never erased; a new entry corrects it and leaves the record readable.

Correcting entry. A journal entry that puts right a mistake that was recorded earlier.

How are these errors found? Not by the trial balance. They are found by other checks: comparing the ledger with source documents, checking customer statements, counting cash and supplies, comparing the cash book with the bank statement (Chapter 16), and the questions of an auditor. The trial balance is one safeguard among several, and it is a useful one because it is quick and cheap.

Once a mistake is found, the books must be corrected. The rule is that nothing is erased or covered. A **correcting entry** is written in the journal on the date of discovery, with a narration that states what is being corrected. The old entry stays visible; the new entry changes the balances to the correct figures. In this way anyone who reads the books later can follow the history.

To write the entry, compare two things: what was recorded, and what should have been recorded. Then record the difference. The entries for the six imagined slips are shown below. Each is explained in a line, and the check is that after the entry the accounts show the correct balances.

Each kind of error has its own correcting entry; the method is to compare what was done with what should have been done.

CORRECTING ENTRIES FOR THE SIX KINDS OF ERROR (TK)

ERROR	CORRECTING ENTRY	REASON
Omission: supplies Tk 4,000 bought on account, not recorded	Dr Supplies 4,000; Cr Accounts Payable 4,000	Record the transaction that was left out.
Commission: electricity Tk 6,000 debited to Wages Expense	Dr Utilities Expense 6,000; Cr Wages Expense 6,000	Move the amount to the right expense account.
Principle: owner's household bill Tk 5,000 debited to Utilities Expense	Dr Owner's Drawings 5,000; Cr Utilities Expense 5,000	Move the amount to the right type of account.
Original entry: sale Tk 45,000 recorded as Tk 54,000	Dr Sales Revenue 9,000; Cr Cash 9,000	Remove the excess from both accounts.
Compensating: Sales Revenue Tk 10,000 too high; Wages Expense Tk 10,000 too high	Dr Sales Revenue 10,000; Cr Wages Expense 10,000	Reduce each balance by its excess.
Reversal: receipt Tk 25,000 entered on wrong sides	Dr Cash 50,000; Cr Accounts Receivable 50,000	Cancel the wrong entry (25,000) and record the right one (25,000).

The last entry deserves a second look. The wrong entry debited Accounts Receivable and credited Cash by Tk 25,000. To cancel it, we credit Accounts Receivable and debit Cash by Tk 25,000. To record the true transaction, we again debit Cash and credit Accounts Receivable by Tk 25,000. The two steps together are one entry of Tk 50,000. After it, Cash has risen by Tk 50,000 and Accounts Receivable has fallen by Tk 50,000, which puts both balances where they belong.

The reversal needs twice the amount because the wrong entry must be cancelled and the right one recorded.

Sometimes the search fails, and the statements cannot wait. The accountant may then open a **suspense account**. This is a temporary account that holds the difference so that the trial balance agrees while the search continues. Take the tea stall of Section 8.3, with the debit column short by Tk 4,000. The accountant lists a suspense account with a debit balance of Tk 4,000 and the totals agree at Tk 93,000. Later, the missing posting is found. The entry is: debit Wages Expense Tk 4,000 and credit Suspense Tk 4,000. The suspense account then has no balance.

Suspense account. A temporary account that holds a difference until its cause is found.

A suspense account holds an unexplained difference for a short time.

A suspense account is a convenience and also a risk. It does not mean that the books are correct; it means that the books contain an unexplained difference. A balance should stay in it only as long as the search lasts. A balance that remains for months invites the suspicion that someone is using the account to hide something. For this reason, accountants and auditors give a suspense balance particular attention.

A suspense account is a waiting room, not a home; its balance must be cleared.

You should now be able to say: "An agreed trial balance shows that debits equal credits; it does not show that the books are free from error, because six kinds of error leave the totals equal."

The section ends with one sentence that the reader should be able to say.

8.5 TRIAL BALANCE AND BALANCE SHEET COMPARED

The two lists look alike but differ in purpose, content, and standing. DO NOT MIX THEM: ONE IS A TEST, THE OTHER A STATEMENT.

Beginners often confuse the trial balance with the balance sheet. Both list accounts with amounts, and both have two sides that agree in total. They differ in four ways, shown in the table below.

TRIAL BALANCE AND BALANCE SHEET COMPARED

FEATURE	TRIAL BALANCE	BALANCE SHEET
Purpose	Tests that debits equal credits	Shows financial position to users
Accounts listed	All ledger accounts with balances, including revenue, expenses, and drawings	Assets, liabilities, and owner's equity only
Standing	Working paper	Financial statement
Reader	The accountant	Owner, bank, tax authority, and others

The bakery's two figures differ because the balance sheet leaves out revenue, expenses, and drawings.

The bakery shows the difference. The trial balance totals Tk 792,000 on each side. The balance sheet of Chapter 5 shows total assets of Tk 730,000 and liabilities of Tk 92,000 plus owner's equity of Tk 638,000. The gap of Tk 62,000 on the debit side is the expenses of Tk 42,000 and the drawings of Tk 20,000, which the trial balance lists separately. On the credit side, the revenue of Tk 200,000 is likewise listed alone and is part of equity in the balance sheet. After Chapter 9 corrects the figures, the equality of the balance sheet will again be tested.

Recap: test versus statement.

Before moving on. The trial balance tests the ledger and lists every account. The balance sheet reports position and lists only assets, liabilities, and equity.



SUMMARY

The chapter's main points in one paragraph.

A trial balance is a list of ledger balances in a debit column and a credit column. Its totals agree when every entry had equal debits and credits and the posting was complete. A difference is searched by checking arithmetic, reading the size of the difference, and comparing the journal with the ledger. Six kinds of error leave the totals equal: omission, commission, principle, original entry, compensating errors, and reversal. A correcting entry puts them right without erasing the record. A suspense account holds a difference temporarily. The trial balance is a working paper, not a financial statement.

THINK IT THROUGH

A fresh trial balance with a suspense balance and three further mistakes.

Nasreen Tailoring (illustrative) prepared the trial balance below at 31 December 2026. The accountant could not find a difference of Tk 2,500, so the amount was placed in a suspense account.

NASREEN TAILORING: TRIAL BALANCE AT 31 DECEMBER 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	24,000	
Accounts Receivable	9,500	
Equipment	60,000	
Accounts Payable		11,000
Owner's Capital		70,000
Sales Revenue		48,000
Wages Expense	18,000	
Rent Expense	12,000	
Utilities Expense	3,000	
Suspense	2,500	
Total	129,000	129,000

The owner then compares the journal with the ledger and finds four facts. First, an electricity bill of Tk 5,500 was posted to Utilities Expense as Tk 3,000, although the journal entry was right. Second, a cheque of Tk 6,000 for the owner's household bills was debited to Wages Expense. Third, a receipt of Tk 4,000 from a customer was entered as debit Accounts Receivable and credit Cash. Fourth, a cash sale of Tk 7,000 was left out of the journal and the ledger. For fact one, write the entry that clears the suspense account. For each of the other three facts, name the kind of error, say whether the trial balance could have caught it, and write the correcting entry.

Four facts are found when the journal is compared with the ledger.

WHERE PEOPLE GO WRONG

"The trial balance agrees, so the books are correct." The agreement shows only that debits equal credits. Six kinds of error leave the totals equal, so the books may still contain mistakes.

Four common misunderstandings, each stated and corrected.

Agreement does not prove the books correct.

A figure is changed only when its cause is proved.

"I can force the totals to agree by adjusting a figure." A figure may be changed only when the cause is known and proved from the records. An unexplained balancing figure hides the problem and misleads every reader of the statements.

"A difference of Tk 4,000 means one posting of Tk 4,000 is wrong." The difference is the total of all the errors that break equality. Two errors can combine to give a figure that matches no single amount, so correct what is proved and search again.

Two errors can combine into a difference that matches no single amount.

"The trial balance is a financial statement." It is a working paper. It lists revenue, expenses, and drawings, and it is not prepared for outside users.

The trial balance is a working paper, not a statement.

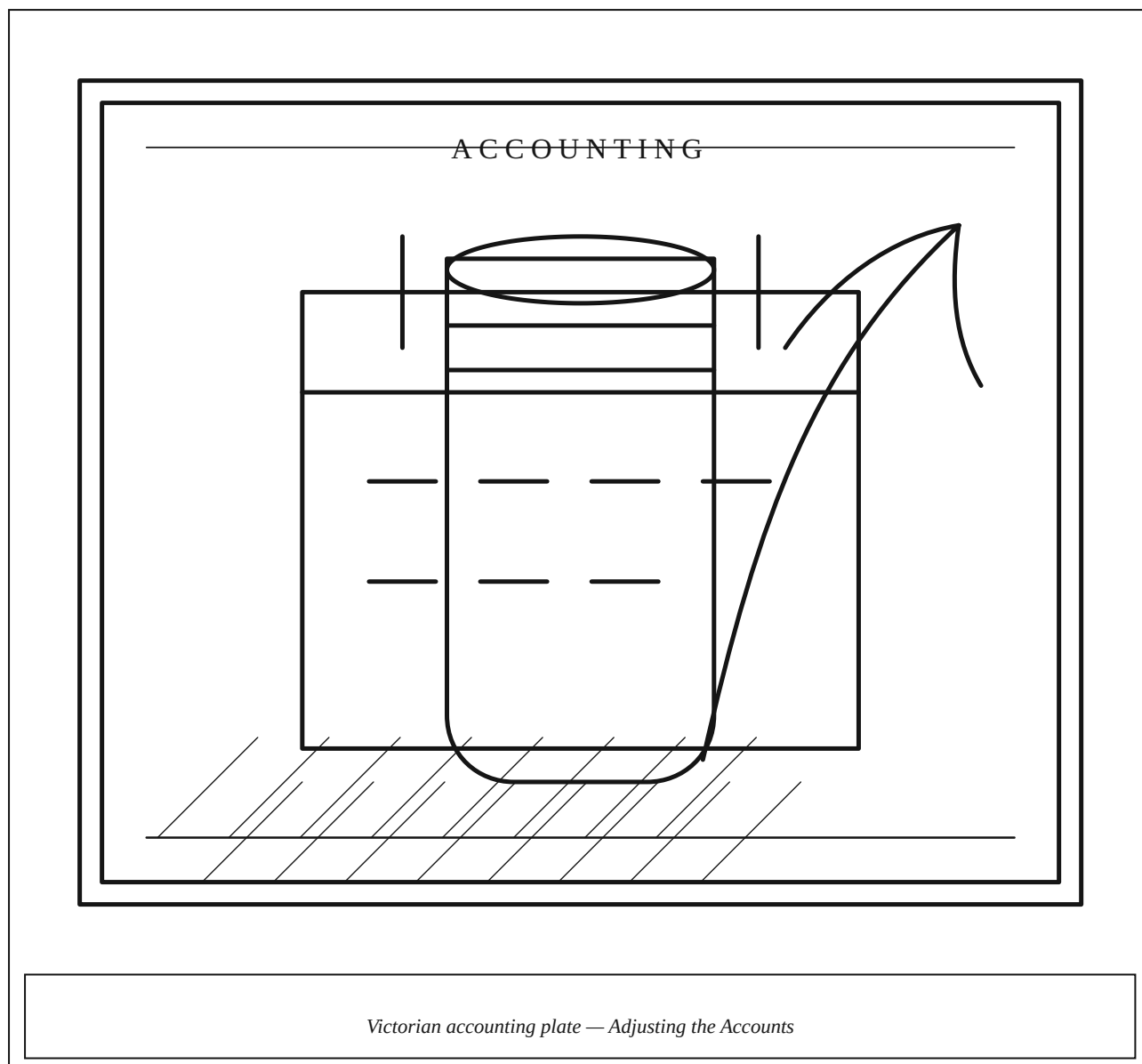
IN HISTORY

REVIEW QUESTIONS

1. State what a trial balance proves and what it does not prove. 2. List the six kinds of error that leave the totals equal, and give a one-line example of each. 3. A trial balance shows debits of Tk 85,000 and credits of Tk 94,500. Explain what the difference of Tk 9,500 does and does not suggest, and say what the

Six questions for the reader to test the chapter.

accountant does next. 4. Explain why a suspense account is a risk as well as a convenience. 5. Write the correcting entry for a rent payment of Tk 15,000 that was debited to Utilities Expense. 6. Give three ways in which a trial balance differs from a balance sheet.



CHAPTER IX

Adjusting the Accounts

Why the books must be brought up to date before they are read



On the last day of a period, the ledger still holds figures that time has made false. Rent paid in advance has been partly used, wages are owed for days not yet paid, and a customer's advance has been partly earned. This chapter explains why such figures are adjusted, the four kinds of adjustment, and how to record them. You will need Chapter 3 (accounting period), Chapter 7 (journal entry) and Chapter 8 (trial balance).

9.1 THE PUZZLE OF RENT PAID IN ADVANCE: CASH BASIS AND ACCRUAL BASIS

A bus pass paid for three months raises the same question as the bakery's rent.

GO SLOWLY HERE: THIS IS THE FIRST IDEA OF THE CHAPTER, AND THE REST DEPENDS ON IT.

On 3 January Mitali pays three months of rent at once, and January's cost is unclear.

Cash basis. Recording revenue and expenses only when cash is received or paid.

The cash basis records an item on the day the cash moves.

Accrual basis. Recording revenue when earned and expenses when incurred, whatever the date of cash.

The accrual basis records an item in the period to which it belongs.

The same Tk 135,000 of profit is divided very differently between the three months.

The two bases give the same total but different months, and only one is a fair comparison.

A student pays Tk 3,000 on 1 January for a bus pass that lasts three months. How much did the student spend on travel in January? One answer says Tk 3,000, because that is the money that left the purse in January. A second answer says Tk 1,000, because only one month of the pass has been used. Both answers are correct statements of a different fact. The first is about cash. The second is about use. A business meets the same choice every day.

Chapter 4 recorded the same event in the bakery. On 3 January 2026, Mitali Rahman paid Tk 45,000 to the landlord for the rent of January, February and March. The payment left her bank on one day. The shop, however, will be used over three months. The question is this: what is the rent cost of January? Is it Tk 45,000, the sum that was paid, or Tk 15,000, one third of it?

The first answer follows the **cash basis**. Under this method, an expense is recorded on the day the cash is paid, and revenue is recorded on the day the cash is received. The method is easy to use. Many households keep their money records this way.

The second answer follows the **accrual basis**. Under this method, revenue is recorded in the period in which it is earned, and an expense is recorded in the period in which it is used up, whatever the date of the cash. Under the accrual basis, the rent of Tk 45,000 is divided into three equal parts. Each month receives Tk 15,000.

To see the effect, we need an assumption. Suppose that in each of January, February and March the bakery earns a profit of Tk 60,000 before any rent is charged. The figure is only an illustration; it is not part of the case file. The table shows the monthly profit under each basis.

MONTHLY PROFIT BEFORE AND AFTER CHARGING RENT, UNDER TWO BASES (TK, ILLUSTRATION)

MONTH	CASH BASIS	ACCRUAL BASIS
January	15,000	45,000
February	60,000	45,000
March	60,000	45,000
Total	135,000	135,000

Both bases give the same total of Tk 135,000 over the three months. The months, however, look very different. Under the cash basis, January looks poor and February and March look rich, although the shop worked in the same way in all three months. A bank officer who read the January figure might refuse a loan; an owner might decide to close the shop. Under the accrual basis the three months are equal, which agrees with what happened.

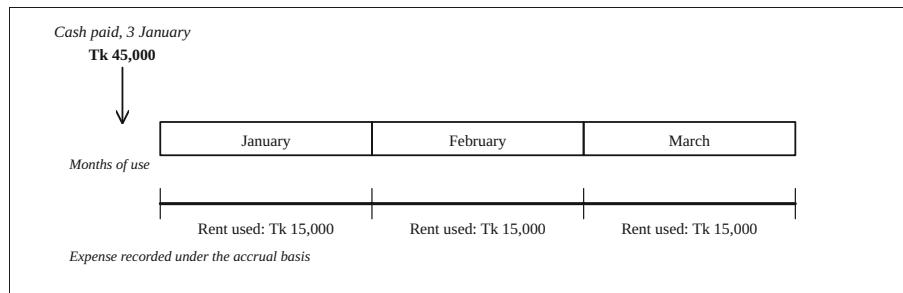


FIG. 28. Rent paid once on 3 January is used over three months.

Recap. Cash moves on one day, but a benefit such as shop space is used over many days. Accrual accounting follows the use, not the cash. To record the use, the accountant makes an entry at the end of each period. The rest of the chapter explains these entries.

You should now be able to say: "The cash basis records an item when the cash moves; the accrual basis records it in the period it belongs to."

The recap states the idea in words before any entry is shown.

The test sentence for the first idea of the chapter.

9.2 WHY ADJUSTMENTS ARE NEEDED: REVENUE RECOGNITION AND MATCHING

Why is the unadjusted trial balance of Chapter 8 not ready for the statements? There are three reasons. First, cash often moves before or after the period to which the cash belongs, as the rent shows. Second, some changes happen with no transaction and no source document: the days pass, the supplies are used, and the oven becomes older. Third, the statements of Chapter 5 must show the profit of one period and the position at one date. A list that ignores these changes cannot do so.

Three reasons make the ledger out of date on the last day of a period.

An **adjusting entry** is a journal entry made at the end of a period to bring accounts up to date. It follows the rules of Chapter 7 in every respect: a date, accounts, equal debits and credits, and a narration. It differs in one way. It is made because time has passed, and not because a transaction took place. An adjusting entry normally does not use the Cash account, since the cash was recorded, or will be recorded, as a transaction. It affects one account of the balance sheet and one account of the income statement.

Adjusting entry. A journal entry made at period end to bring accounts up to date.

An adjusting entry records an effect of time or use, at the end of the period.

Two rules direct the adjustments. The first is **revenue recognition**. It states that revenue is recorded when the business has done what it promised, such as delivering the bread or finishing the catering, and not when the cash arrives. A bakery that delivers cakes on 30 January has earned the revenue in January, even if the customer pays in February.

Revenue recognition. The rule on when revenue counts as earned and is recorded.

Revenue recognition says when revenue counts as earned.

The second rule is the **matching concept**. It states that an expense is recorded in the same period as the revenue it helped to earn. The rent of January helped to earn the revenue of January, so it is charged to January. Together, the two rules explain why the accrual basis gives a fair picture of each period.¹

Matching concept. The rule that expenses are recorded in the same period as the revenue they helped earn.

The matching concept puts each cost in the period of the revenue it helped to earn.

¹ The accounting standards of Chapter 3 ask companies to prepare their statements on the accrual basis. A small business may keep its day-to-day records on the cash basis, but its yearly statements must still show the accrual figures.

The four kinds of adjustment depend on which comes first, the cash or the recording.

Deferral. An adjustment that spreads a cash payment or receipt made earlier across later periods.

Accrual. An adjustment that records an item before any cash has moved.

Adjustments fall into two groups, named by the order of events. In a **deferral**, the cash moved first, and the recording of the expense or revenue is deferred, that is, delayed, to later periods. In an **accrual**, the revenue or expense is recorded first, and the cash will move later. Each group has an expense form and a revenue form, so there are four kinds in all. Sections 9.3 and 9.4 teach them in turn.

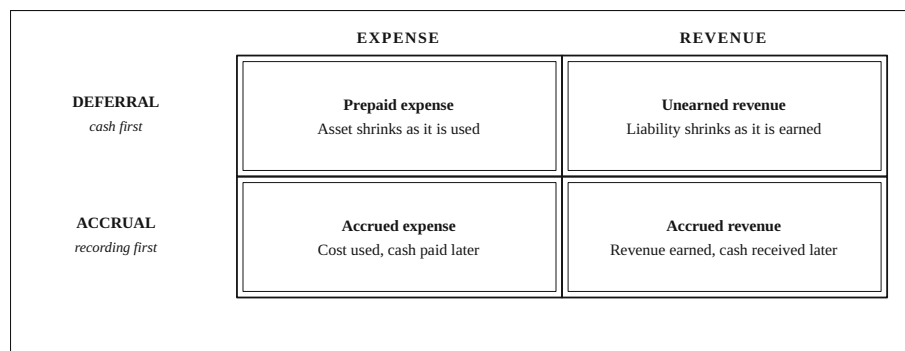


FIG. 29. Four kinds of adjustment, named by which comes first: the cash or the recording.

Recap: adjusting entries and the two rules behind them.

Before moving on. Adjusting entries bring the ledger to the accrual basis. Two rules direct them: revenue is recorded when earned, and expenses are matched with the revenue they helped to earn.

9.3 DEFERRALS: PREPAID EXPENSES AND UNEARNED REVENUE

A deferral begins with cash and ends with an expense or revenue in later periods.

GO SLOWLY HERE: THE SAME TWO ACCOUNTS APPEAR IN EVERY DEFERRAL, AND THE DIRECTION MATTERS.

Prepaid expense. An expense paid in advance; an asset until the service is used.

A prepaid expense is a payment for a benefit that has not yet been used.

The bakery's rent follows the same steps: a payment, a monthly cost, then a smaller asset.

Unearned revenue. Cash received before the goods or service is provided; a liability until earned.

Unearned revenue is a promise to supply something in return for cash already received.

In a deferral the cash has already moved. Two kinds exist. In the first, the business has paid for something that it will use later. In the second, the business has been paid for something that it will supply later. We study each with a small example of clean numbers before we return to the bakery.

A **prepaid expense** is an expense paid in advance. Until the benefit is used, it is an asset: the business owns a right to future service. As the benefit is used, the asset falls and the expense grows. A tea stall pays Tk 12,000 on 1 January for twelve months of insurance. On 31 March, three months have passed. The monthly cost is $12,000 \div 12 = \text{Tk } 1,000$, and the cost used is $3 \times 1,000 = \text{Tk } 3,000$. The adjusting entry is: debit Insurance Expense Tk 3,000, credit Prepaid Insurance Tk 3,000. Prepaid Insurance then shows Tk 9,000, which is the nine months still to run.

Case file, illustrative. On 3 January 2026, Mitali Bakery paid Tk 45,000 for three months of rent and debited Prepaid Rent. At 31 January, one month has been used. Rent for one month is $45,000 \div 3 = \text{Tk } 15,000$. Adjusting entry A1: debit Rent Expense Tk 15,000 and credit Prepaid Rent Tk 15,000. Prepaid Rent now shows Tk 30,000, the rent for February and March, and Rent Expense shows Tk 15,000 for January.

The second kind is **unearned revenue**. A business sometimes receives cash before it supplies the goods or service. Until it supplies them, it owes the customer a duty, so the amount is a liability, not revenue. As the business does its work, the liability falls and revenue grows. The tea stall receives Tk 9,000 on 1 January from a college canteen for three months of tea service. On 31 January,

one third of the service has been given. The revenue earned is $9,000 \div 3 = \text{Tk } 3,000$. The entry is: debit Unearned Revenue Tk 3,000, credit Sales Revenue Tk 3,000. Unearned Revenue then shows Tk 6,000.

Case file, illustrative. On 22 January 2026, Mitali Bakery received Tk 12,000 in advance for six weekly cake deliveries at Tk 2,000 each, starting on 29 January. The receipt was credited to Unearned Revenue. On 29 January the first cake was delivered, so Tk 2,000 is earned. Adjusting entry A4: debit Unearned Revenue Tk 2,000 and credit Sales Revenue Tk 2,000. Unearned Revenue now shows Tk 10,000, which is five deliveries of Tk 2,000 each. The bakery still owes five cakes.

Notice the mirror. The prepaid expense is an asset that falls as the benefit is used. The unearned revenue is a liability that falls as the duty is done. In both cases the original cash entry stays as it was, and the adjusting entry moves the used part to the income statement.

Before moving on. A deferral starts with cash. Prepaid expense: debit the expense, credit the asset. Unearned revenue: debit the liability, credit the revenue.

You should now be able to say: "In a deferral the cash comes first, and each period receives its share of the expense or the revenue."

The bakery's advance receipt becomes revenue as cakes are delivered.

The two deferrals are mirror images: one is an asset that shrinks, the other a liability that shrinks.

Recap: the two deferrals and their entries.

The test sentence for deferrals.

9.4 ACCRUALS: ACCRUED EXPENSES AND ACCRUED REVENUE

In an accrual, nothing has yet been recorded. The expense has been used, or the revenue has been earned, but no cash has moved and no entry exists. The adjusting entry creates the first record. Again there are two kinds.

An **accrued expense** is an expense that has been used up but has not been paid or recorded. A phone bill is the everyday example: the calls were made in January, but the bill arrives in February. Until it is paid, the business owes the amount, so a liability is recorded. A tea stall pays its helper Tk 600 a day. The last payday was 28 January. The days of 29, 30 and 31 January are unpaid, so the cost is $3 \times 600 = \text{Tk } 1,800$. The entry is: debit Wages Expense Tk 1,800, credit Wages Payable Tk 1,800.

Case file, illustrative. Mitali Bakery paid wages of Tk 36,000 on 28 January. The wages for 29 to 31 January, Tk 4,000, are unpaid at 31 January. Adjusting entry A5: debit Wages Expense Tk 4,000 and credit Wages Payable Tk 4,000. The wages of January are therefore $\text{Tk } 36,000 + \text{Tk } 4,000 = \text{Tk } 40,000$, and the bakery owes Tk 4,000 to its staff.

The second kind is **accrued revenue**. The business has earned the revenue, but it has not received the cash and has not yet billed the customer. The business owns a claim against the customer, so an asset is recorded. The tea stall delivers tea to an office on 30 and 31 January for Tk 2,500, to be billed in February. The entry is: debit Accounts Receivable Tk 2,500, credit Sales Revenue Tk 2,500.

Case file, illustrative. On 30 January 2026, Mitali Bakery delivered catering to a hotel, worth Tk 10,000, and has not yet billed it. Adjusting entry A6: debit Accounts Receivable Tk 10,000 and credit Sales Revenue Tk 10,000. The revenue belongs to January. The cash will arrive in a later month.

The viewpoint of the other party shows the symmetry. The hotel has used the catering and owes Tk 10,000. In its own books the same event is an accrued

An accrual begins with use or service and ends with cash in a later period.

GO SLOWLY HERE: IN AN ACCRUAL THERE IS NO EARLIER CASH ENTRY TO ADJUST.

Accrued expense. An expense used up but not yet paid or recorded.

An accrued expense is a cost already used that the business has not yet paid.

The bakery owes wages for three unpaid days at the end of January.

Accrued revenue. Revenue earned but not yet received or recorded.

Accrued revenue is a service already given that the customer has not yet been billed for.

The hotel catering is January revenue although it is not yet billed.

The same event, seen from the hotel's side, is an accrued expense.

Recap: the two accruals and their entries.

The test sentence for accruals.

Some adjustments rest on a count or on an estimate rather than on a known price.

A count of supplies shows what is left, and the difference is the amount used.

Depreciation. The spreading of an asset's cost over the years in which the asset is used.

Depreciation spreads the cost of a long-lived asset over the years of its use.

Accumulated depreciation. The total depreciation charged on an asset since it was bought.

Contra account. An account that is deducted from a related account in the statements.

Accumulated depreciation is a contra account: it is deducted from the asset it belongs to.

Recap: supplies used and depreciation.

Each adjustment is journalised on the last day of the period, with a narration.

expense. One person's accrued revenue is the other person's accrued expense, and one person's unearned revenue is the other person's prepaid expense.

Before moving on. An accrual starts with use or service. Accrued expense: debit the expense, credit a liability. Accrued revenue: debit a receivable, credit the revenue.

You should now be able to say: "In an accrual the recording comes first, and the cash follows in a later period."

9.5 DEPRECIATION AND SUPPLIES USED: ESTIMATES AT PERIOD END

Two more adjustments belong to this chapter. They resemble the prepaid expense, because an asset is bought first and is used later. The difference is that no contract states how much has been used. The accountant counts or estimates.

Mitali bought supplies of Tk 30,000 for cash on 5 January and recorded them as an asset. At the end of the month she counts what is left in the store and finds Tk 8,000. Supplies of $30,000 - 8,000 = \text{Tk } 22,000$ must have been used. Adjusting entry A2: debit Supplies Expense Tk 22,000 and credit Supplies Tk 22,000. The asset now shows the Tk 8,000 that she counted.

The second adjustment concerns the oven and mixer. Long-lived assets such as equipment are used over many years. **Depreciation** is the spreading of an asset's cost over the years in which the asset is used. Mitali estimates that the equipment, which cost Tk 240,000, will serve for 8 years and will then be worth about Tk 48,000. The amount to spread is $240,000 - 48,000 = \text{Tk } 192,000$. Divided by 8 years, this gives Tk 24,000 a year, or Tk 2,000 a month. Chapter 10 explains how such estimates are made and tested; here the figures are given.

Adjusting entry A3 is: debit Depreciation Expense Tk 2,000 and credit Accumulated Depreciation: Equipment Tk 2,000. The credit does not reduce the Equipment account. The cost of Tk 240,000 stays in that account as a record of what was paid. The credit goes to **accumulated depreciation**, the total depreciation charged since the asset was bought. It is a **contra account**: a balance that is deducted from a related account in the statements. Equipment, less accumulated depreciation, shows $240,000 - 2,000 = \text{Tk } 238,000$.

Before moving on. A count gives the supplies used; an estimate gives depreciation. Both debit an expense and credit an asset or a contra account.

9.6 RECORDING THE ADJUSTING ENTRIES AND THE ADJUSTED TRIAL BALANCE

The six adjusting entries of the bakery are written in the journal on 31 January 2026. The table shows them in the layout of Chapter 7.

ADJUSTING ENTRIES OF MITALI BAKERY, 31 JANUARY 2026 (TK)

ENTRY AND ACCOUNT	DEBIT	CREDIT
A1 Rent Expense	15,000	
Prepaid Rent		15,000
Rent used in January: $45,000 \div 3$		
A2 Supplies Expense	22,000	
Supplies		22,000
Supplies used: 30,000 less 8,000 counted		
A3 Depreciation Expense	2,000	
Accumulated Depreciation: Equipment		2,000
Depreciation for January: $24,000 \div 12$		
A4 Unearned Revenue	2,000	
Sales Revenue		2,000
First of six weekly deliveries made on 29 January		
A5 Wages Expense	4,000	
Wages Payable		4,000
Wages for 29 to 31 January, unpaid		
A6 Accounts Receivable	10,000	
Sales Revenue		10,000
Catering for a hotel on 30 January, not yet billed		

When the entries are posted, eleven ledger accounts change. Five of them are new, because they had no balance before: Wages Payable, Accumulated Depreciation: Equipment, and the expense accounts for rent, supplies and depreciation. One account, Sales Revenue, receives two adjustments, A4 and A6. Its balance changes from Tk 200,000 to $200,000 + 2,000 + 10,000 = \text{Tk } 212,000$. The two entries do not interfere, because each is posted on its own line with its own reference.

Posting changes eleven accounts, and the Sales Revenue account receives two adjustments.

ACCOUNTS CHANGED BY THE ADJUSTING ENTRIES (TK)

ACCOUNT	BEFORE	ADJUSTMENT	AFTER
Accounts Receivable	15,000 Dr	+ 10,000 (A6)	25,000 Dr
Supplies	30,000 Dr	– 22,000 (A2)	8,000 Dr
Prepaid Rent	45,000 Dr	– 15,000 (A1)	30,000 Dr
Accumulated Depreciation	0	+ 2,000 (A3)	2,000 Cr
Unearned Revenue	12,000 Cr	– 2,000 (A4)	10,000 Cr
Wages Payable	0	+ 4,000 (A5)	4,000 Cr
Sales Revenue	200,000 Cr	+ 12,000 (A4, A6)	212,000 Cr
Wages Expense	36,000 Dr	+ 4,000 (A5)	40,000 Dr
Rent Expense	0	+ 15,000 (A1)	15,000 Dr
Supplies Expense	0	+ 22,000 (A2)	22,000 Dr
Depreciation Expense	0	+ 2,000 (A3)	2,000 Dr

Adjusted trial balance. A trial balance prepared after the adjusting entries have been posted.

The adjusted trial balance repeats the test of Chapter 8 on the updated balances.

After posting, the accountant prepares a second list. The **adjusted trial balance** is a trial balance prepared after the adjusting entries have been posted. The method is that of Chapter 8: list every balance, total the columns, and compare. Here the check is of particular value, because six entries with twelve postings have just been made.

MITALI BAKERY: ADJUSTED TRIAL BALANCE, AT 31 JANUARY 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	400,000	
Accounts Receivable	25,000	
Supplies	8,000	
Prepaid Rent	30,000	
Equipment	240,000	
Accumulated Depreciation: Equipment		2,000
Accounts Payable		80,000
Unearned Revenue		10,000
Wages Payable		4,000
Owner's Capital		500,000
Owner's Drawings	20,000	
Sales Revenue		212,000
Wages Expense	40,000	
Rent Expense	15,000	
Supplies Expense	22,000	
Utilities Expense	6,000	
Depreciation Expense	2,000	
Total	808,000	808,000

The adjusted totals are Tk 808,000 each, and the profit falls by Tk 31,000.

Case file, illustrative. The adjusted trial balance of Mitali Bakery at 31 January 2026 shows debits of Tk 808,000 and credits of Tk 808,000. Revenue is now Tk 212,000, and expenses are Tk 85,000: wages 40,000, rent 15,000, supplies 22,000, utilities 6,000 and depreciation 2,000. Net profit is Tk 212,000 – Tk 85,000 = Tk 127,000, compared with Tk 158,000 before the adjustments. The profit fell by Tk 31,000.

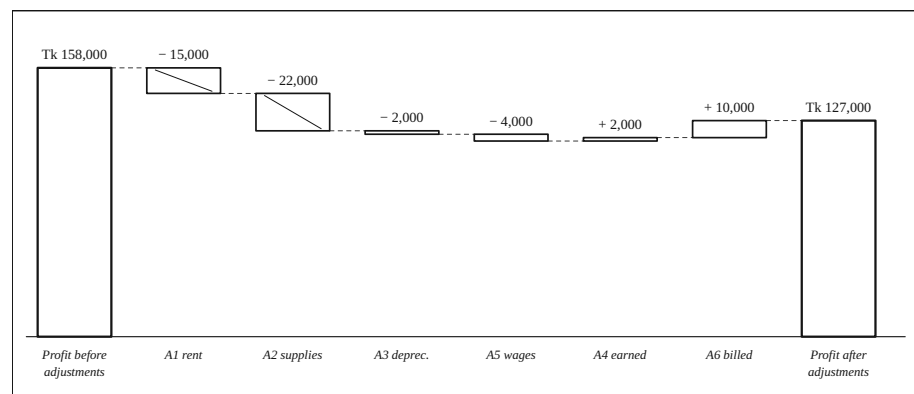


FIG. 30. The adjustments added Tk 43,000 of expenses and Tk 12,000 of revenue, so profit fell from Tk 158,000 to Tk 127,000.

The adjusted figures, not the unadjusted ones, go into the financial statements. The income statement will show profit of Tk 127,000. The balance sheet will show total assets of Tk 701,000, liabilities of Tk 94,000 and owner's equity of Tk 607,000, because $500,000 + 127,000 - 20,000 = 607,000$. These figures replace the unadjusted statements of Chapter 5, which were correct only for the unadjusted books. Chapter 11 gathers all adjustments in one working paper, and Chapter 12 explains the reversing entries that some accountants make on the first day of the next period.

We finish the chapter with a harder example. A print shop (illustrative) closes its books on 31 December 2026. The first adjustment involves a part-month period.

Given. On 16 October the shop paid Tk 27,000 for six months of insurance, to 15 April. The cost was debited to Prepaid Insurance. *Find.* The insurance expense for the year and the prepaid balance on 31 December. *Formula.* Expense = monthly cost $\times$ months used. Monthly cost = amount paid $\div$ months insured. *Steps.* The monthly cost is $27,000 \div 6 = \text{Tk } 4,500$. From 16 October to 31 December is half of October, plus November and December: 2.5 months. The expense is $2.5 \times 4,500 = \text{Tk } 11,250$. The balance is $27,000 - 11,250 = \text{Tk } 15,750$. *Answer.* Debit Insurance Expense Tk 11,250 and credit Prepaid Insurance Tk 11,250. Prepaid Insurance shows Tk 15,750. *Check.* The unused period is 3.5 months, and $3.5 \times 4,500 = \text{Tk } 15,750$, which agrees.

The adjusted figures feed the statements, and a second set of statements replaces the first.

A last example uses uneven numbers and part-month periods.

The worked example follows the order given, find, formula, steps, answer, check.

FOUR ADJUSTMENTS OF A PRINT SHOP AT 31 DECEMBER 2026 (TK)

KIND	BASIS	DEBIT	CREDIT
Prepaid expense	Insurance: 2.5 months of 4,500	Insurance Expense 11,250	Prepaid Insurance 11,250
Unearned revenue	Advance of 23,100 for seven months from 1 November; two months earned, $23,100 \div 7 \times 2$	Unearned Revenue 6,600	Sales Revenue 6,600
Accrued expense	Wages of 1,400 a day, four days unpaid	Wages Expense 5,600	Wages Payable 5,600
Accrued revenue	Printing finished on 29 to 31 December, not yet billed	Accounts Receivable 9,450	Sales Revenue 9,450

Four slips are common. The first is to adjust the wrong direction, for example to credit the expense in a deferral. The second is to count the months wrongly, especially when a period begins in the middle of a month. The third is to forget one half of the entry. The fourth is to adjust an item that has no balance to adjust. Before each entry, ask two questions: which account holds the figure now, and what should it hold at the end of the period?

Before moving on. Journalise each adjustment, post it, prepare the adjusted trial balance, and use its figures for the statements. The test of equal totals is repeated.

Four slips are common in adjusting entries.

Recap: journalise, post, test again, then build the statements.



SUMMARY

A ledger must be brought up to date before the statements are made, because cash and use do not move together. The accrual basis records revenue when it is

The chapter's main points in one paragraph.

earned and expenses when they are used. Four kinds of adjustment exist: prepaid expenses and unearned revenue, where cash comes first, and accrued expenses and accrued revenue, where the recording comes first. Supplies used and depreciation are adjustments based on a count and an estimate. Each adjusting entry has one balance sheet account and one income statement account, and it does not use Cash. After posting, the adjusted trial balance tests the books again. For Mitali Bakery, the six adjustments reduce the profit of January from Tk 158,000 to Tk 127,000.

A fresh business has six adjustments to prepare.

THINK IT THROUGH

Rupa Laundry (illustrative) closes its books on 31 December 2026. The accountant has the following information. First, Tk 36,000 was paid on 1 September for twelve months of insurance and was debited to Prepaid Insurance. Second, the Supplies account shows Tk 18,000 of supplies bought during the year, with none at the start of the year; a count shows Tk 5,500 left. Third, wages of Tk 900 a day are unpaid for three days. Fourth, on 1 October the laundry received Tk 24,000 from a hostel for eight months of service and credited Unearned Revenue. Fifth, laundry done for a clinic on 29 to 31 December, worth Tk 6,300, has not been billed. Sixth, the depreciation of the equipment for the year is Tk 30,000. Write the six adjusting entries with narrations. Then state, in one figure, the effect of all six on profit.

WHERE PEOPLE GO WRONG

Five common misunderstandings, each stated and corrected.

"An adjusting entry moves cash." It does not. The cash was recorded, or will be recorded, as a transaction. An adjusting entry records the effect of time or use on accounts that already exist, or on a new account for an amount owed or owing.

Deferral and accrual are opposite in the order of cash and recording.

"A deferral and an accrual are the same thing." They are opposites in time. In a deferral the cash comes first, and in an accrual the cash comes last. If you ask which came first, the cash or the recording, you will classify correctly.

The accrual basis adds to the cash record; it does not replace it.

"The accrual basis ignores cash." It does not. Cash is still recorded on the day it moves. The accrual basis adds a second record, the effect of time, so that each period shows its own revenue and cost.

Only the used or earned part of the balance is adjusted.

"The whole amount in the account is adjusted." Only the part that has been used or earned is moved. Prepaid Rent keeps Tk 30,000 after A1, because two months are still to come.

Depreciation spreads cost; it does not measure market value.

"Depreciation records the fall in the market value of the asset." It does not. Depreciation spreads the cost over the years of use; Chapter 10 explains this difference.

IN HISTORY

A company that recorded revenue too early was charged with fraud.

The revenue recognition rule is tested when managers wish to show higher revenue than the business has earned. In 2001, the United States Securities and Exchange Commission sued former top officers of Sunbeam Corporation, an American maker of household appliances. The Commission alleged that, in 1997, the officers had recognised revenue on sales that did not meet the accounting rules, including bill-and-hold sales, in which goods were kept for the customer and not yet delivered. It stated that at least \$60 million of the reported earnings of \$189 million before tax in 1997 came from accounting fraud. The case settled in 2002. The lesson for this chapter is plain: revenue belongs to the

period in which it is earned, and not to the period in which a manager would like to see it.

SOURCES

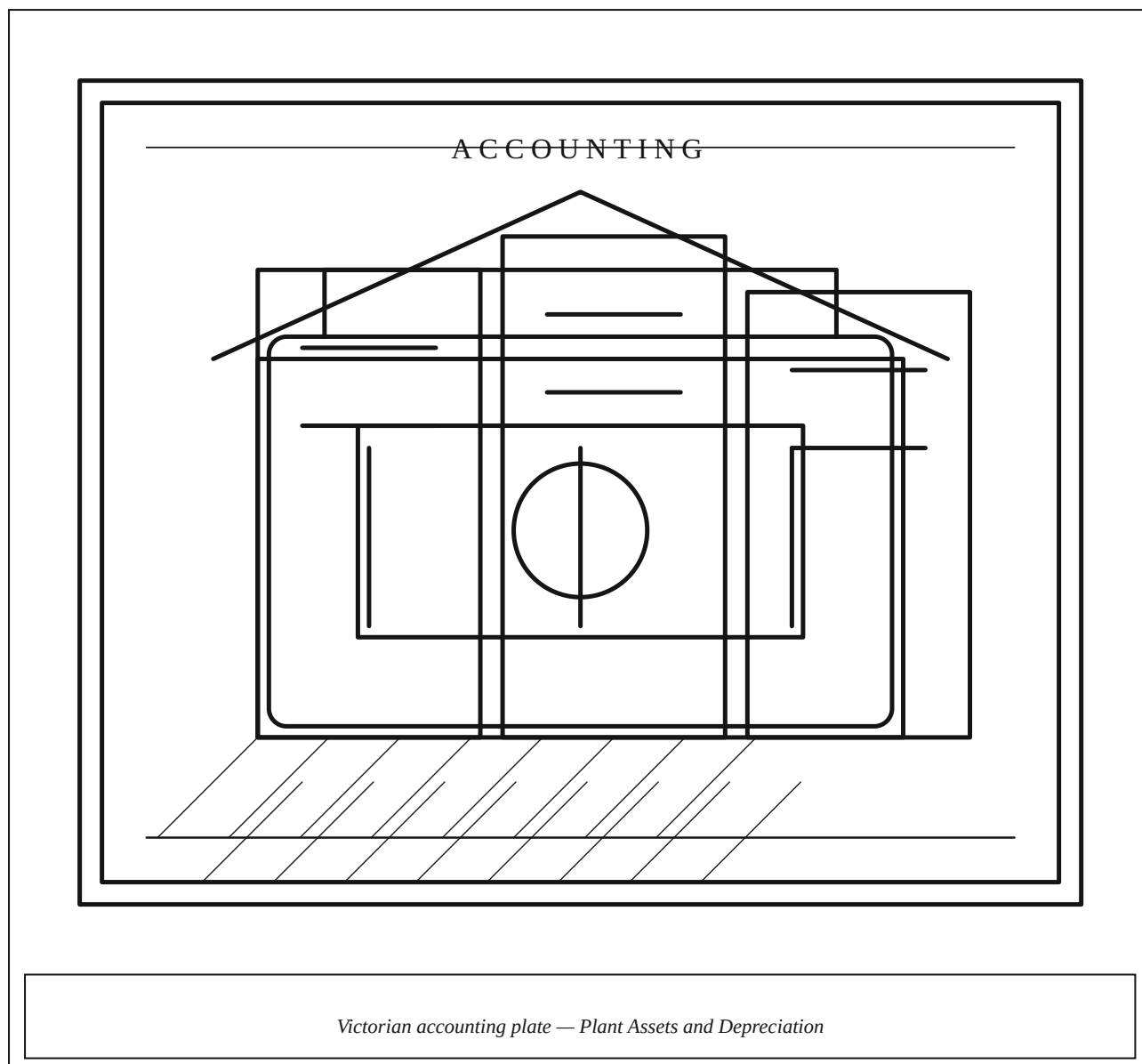
The idea of matching costs with revenues was developed in W. A. Paton and A. C. Littleton, *An Introduction to Corporate Accounting Standards* (American Accounting Association, 1940). The book argued that accounting should assign costs to the periods that receive their benefit.

The matching concept has a classic source.

REVIEW QUESTIONS

1. Explain, with a numerical example, why a payment of rent for three months is not entirely an expense of the month in which it is paid. 2. Name the four kinds of adjustment, and for each give one example and the accounts debited and credited. 3. State the difference between the cash basis and the accrual basis. 4. A business received Tk 18,000 on 1 March for six months of service. Write the adjusting entry at 30 April. 5. Explain why accumulated depreciation is a contra account. 6. State what revenue recognition and the matching concept each require.

Six questions for the reader to test the chapter.



CHAPTER X

Plant Assets and Depreciation

How the cost of a lasting machine is shared among the years that use it.



A bakery pays Tk 240,000 for an oven and a mixer, yet it charges only Tk 2,000 for them in January. This chapter explains why. It shows what a plant asset is and what it costs, why its cost is spread over its life, and how four methods do the spreading. It ends with the sale of the asset.

A large payment in January does not have to be a large cost in January.

Two quick answers to the puzzle are both wrong.

Neither profit figure describes January truthfully.

This chapter gives the full answer that Chapter 9 gave in one line.

Some assets are used for years and are not meant for sale.

Plant asset. A long-lived physical asset used in the business, such as a machine or a building.

Plant. Word in use. In daily life, a living thing that grows from the ground. In accounting, the machines and buildings that a business uses.

Four tests decide whether an asset is a plant asset.

Plant assets come in kinds, and land is the one kind that is not depreciated.

The name changes in Chapter 13, but the idea stays the same.

On 2 January 2026 Mitali Rahman paid for an oven and a mixer. The price was Tk 240,000: Tk 100,000 in cash and Tk 140,000 on account. By the end of the month the bakery had earned Tk 212,000 from its customers. Yet the income statement for January charges only Tk 2,000 for the oven and mixer. The rest of the Tk 240,000 is not a cost of January. Where is it?

Two quick answers are possible. The first says that the whole Tk 240,000 is a cost of January, because the money left the business in January. Then January's profit of Tk 127,000 would become a loss of Tk 111,000. The second answer says that the oven costs nothing in January, because Mitali still owns it. Then the profit would be Tk 129,000.

Neither figure describes January truthfully. The oven will bake bread for about eight years, which is 96 months. It helps to earn revenue in every one of those months. A loss of Tk 111,000 would suggest that the bakery is failing, and it is not. A profit of Tk 129,000 would hide the fact that the oven is slowly consumed.

Chapter 9 met depreciation in one line: an adjusting entry of Tk 2,000. This chapter studies it in full. We shall learn what kind of asset an oven is and what its cost includes. We shall learn why a part of the cost is charged to each period, and how large the part should be. Last, we shall see what happens when the business sells the asset.

10.1 PLANT ASSETS AND WHAT THEY COST

Consider the things inside a bakery. Flour is used within days, and the bakery buys it again and again. The oven is different. The bakery does not sell it, and it will serve for years. Accountants give such things the name **plant asset**. A plant asset is a long-lived physical asset that the business uses in its work and does not plan to sell. The oven, the mixer, the delivery van, the shop counter and the building are all plant assets.¹

An asset must pass four tests to be a plant asset. It is physical, which means that a person can touch it. The business uses it to do its work. It lasts for more than one year. The business does not hold it for sale. The same object can pass or fail, depending on its use. A chair is a plant asset in the bakery's shop, where customers sit on it. In a furniture dealer's store the same chair is goods for sale, and Chapter 13 treats such goods in a different way.

Plant assets come in four main kinds: equipment, vehicles, buildings and land. The case file keeps the oven and the mixer in an account called Equipment, which is the name used in Chapter 4. Land is special. Land does not wear, and it has no fixed end to its use, so a business does not depreciate it. A building on the land does wear, and a business does depreciate the building.

This chapter uses the name plant asset. From Chapter 13 the same assets will appear in the classified balance sheet under the name non-current asset, which means an asset kept for more than one year. Older books also use the name fixed asset. The three names describe one idea.

¹ The international standard for this group of assets is IAS 16, which uses the heading *property, plant and equipment*. Chapter 3 described how the Bangladesh framework relates to the international standards.

WHAT THE COST OF A PLANT ASSET INCLUDES

Recall that the cost concept of Chapter 3 records an asset at the amount paid to get it. For a plant asset, the amount paid is wider than the price on the invoice. The cost of a plant asset is all the spending needed to bring the asset to its place and make it ready for use. It includes the invoice price after any trade discount, the delivery, the installation, the testing and any taxes that the business cannot recover. It does not include spending after the asset is ready, such as insurance, service contracts and the training of staff.

An example from another business shows the rule. A tailor in Dhaka, whose books are not part of the bakery's, buys a cutting machine on 12 April 2026. The table below lists each item of spending. Read the third column to see whether the item is part of the cost of the machine.

COST OF A CUTTING MACHINE BOUGHT BY A TAILOR (ILLUSTRATIVE)

ITEM	AMOUNT (TK)	TREATMENT
List price	420,000	Part of cost
Trade discount of 5%	-21,000	Reduces cost
Delivery to the workshop	8,500	Part of cost
Installation by the supplier	12,500	Part of cost
Wiring for the machine	9,000	Part of cost
Materials used in the test run	1,500	Part of cost
Cost of the machine	430,500	Debit Equipment
First-year service contract	6,000	Expense, not cost
Training of the operator	4,000	Expense, not cost

The tailor records the machine at Tk 430,500, because that is the total spent to make it ready. If the tailor pays in cash, the entry debits Equipment and credits Cash for Tk 430,500. The service contract and the training are separate payments, and each is an expense of the period. The list price of Tk 420,000 is not the cost. A cost that is too low would make the profit of later periods too high.

CAPITAL EXPENDITURE AND REVENUE EXPENDITURE

A business spends money on its plant assets in two different ways. **Capital expenditure** is money spent to buy an asset, or to improve an asset, so that it serves for many years. **Revenue expenditure** is money spent on running costs or small repairs that serve only the current period. Capital expenditure is added to the cost of the asset and is later depreciated. Revenue expenditure is charged at once as an expense.

To tell the two apart, ask one question: will this spending serve the business for more than the current period, by buying the asset, adding to it or lengthening its life? If the answer is yes, the spending is capital. If the answer is no, it is revenue. The figure below shows the two steps of the test.

The cost of an asset is everything spent to make it ready for use.

A tailor's cutting machine shows how the cost is built from its parts.

The tailor records Tk 430,500, not the list price.

A business spends money on assets in two different ways.

Capital expenditure. Money spent to buy or improve an asset that will serve many years.

Revenue expenditure. Money spent on running costs or small repairs that serve only the current period.

One question separates the two kinds of spending.

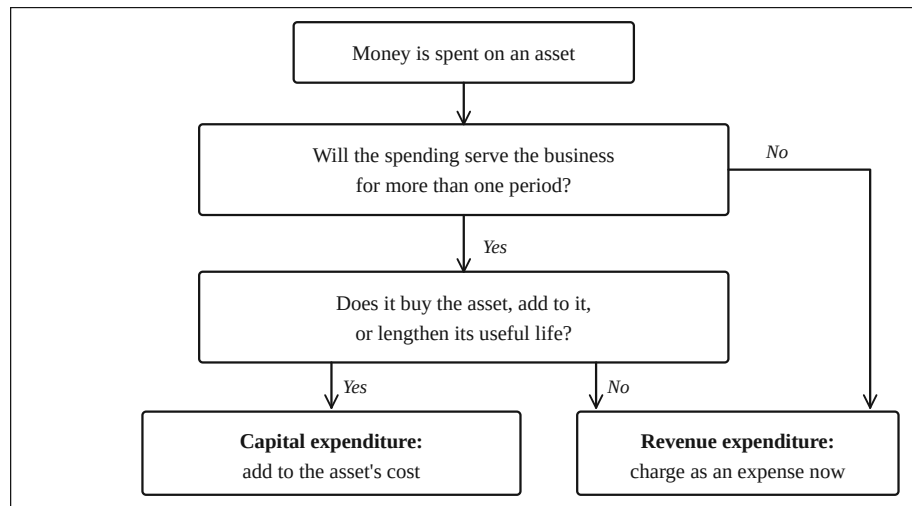


FIG. 31. The test that separates capital expenditure from revenue expenditure.

Examples help the reader to learn the test.

The test needs practice. The table below applies it to six kinds of spending in the bakery. Notice that a repair is revenue expenditure when it restores the asset to its usual condition, but a rebuild that lengthens the asset's life is capital expenditure.

SIX KINDS OF SPENDING IN THE BAKERY

SPENDING	KIND	REASON
A second oven	Capital	A new asset serving many years
A larger fan that raises the oven's output	Capital	Adds to the asset
A rebuild that lengthens the oven's life by three years	Capital	Lengthens the life
A new seal for a worn oven door	Revenue	Restores the usual condition
Yearly cleaning and servicing	Revenue	Serves this year only
Fuel for the delivery van	Revenue	A running cost

A wrong choice changes profit and assets in the same period.

The choice matters because it changes the reported profit. Suppose a repair of Tk 6,000 is wrongly added to the cost of the oven. The year's expenses fall by Tk 6,000, so profit is Tk 6,000 too high, and the oven is Tk 6,000 too high on the balance sheet. The opposite mistake has the opposite effect: profit is too low and the asset is too low. The history section at the end of this chapter gives a large modern case of the first mistake.

Before moving on. Cost includes everything needed to make the asset ready; capital spending serves many years, and revenue spending serves one.

Before moving on. The cost of a plant asset includes all the spending needed to make it ready for use. Capital expenditure is added to that cost, and revenue expenditure is an expense of the period. Land is not depreciated.

10.2 THE PUZZLE OF THE WEARING OVEN: WHY DEPRECIATION IS CHARGED

The cost of a long-lived asset is shared among the years of its use.

GO SLOWLY HERE.

Begin with an everyday bridge. A rickshaw puller buys a rickshaw for Tk 32,000. He expects to use it for four years, and then to sell the old frame for Tk 8,000. Over the four years the rickshaw loses Tk 24,000 of its price, which is Tk 32,000 less Tk 8,000. The rickshaw earns money every day of the four years. A careful puller therefore says that each year of work costs him Tk 6,000 for the

rickshaw, because Tk 24,000 divided by four is Tk 6,000. Only after subtracting that Tk 6,000 does he call the rest of the year's earnings his profit.

The oven is the rickshaw of the bakery. Mitali does not spend Tk 240,000 on bread in January. She buys a machine that will help to earn revenue for years. The sensible plan is to charge each period with a fair part of the machine's cost. We now compare this plan with the two quick answers of the opening puzzle.

The table below shows January's profit under three treatments. The revenue is Tk 212,000, and the other expenses are Tk 83,000: wages of Tk 40,000, rent of Tk 15,000, supplies of Tk 22,000 and utilities of Tk 6,000. Only the charge for the oven changes from one line to the next.

JANUARY 2026 PROFIT UNDER THREE TREATMENTS OF THE OVEN

TREATMENT	CHARGE FOR OVEN (TK)	PROFIT (TK)
Charge the whole cost at once	240,000	-111,000
Charge nothing	0	129,000
Charge a fair part (Chapter 9)	2,000	127,000

Only the third line treats the oven as what it is: a help to the work of many months. This is the matching concept of Chapter 9. Expenses are recorded in the same period as the revenue that they helped to earn. The oven helps to earn revenue for eight years, so its cost belongs to those eight years. This spreading of cost is depreciation. Chapter 9 gave it a short meaning; the box below gives the full one.

IN SHORT

Depreciation is the spreading of the cost of a plant asset, less its expected residual value, over the years in which the business uses it. It shares a cost among periods. It does not measure the market price of the asset, and it does not save money.

Two misunderstandings are common, so we correct them now. The first is that depreciation measures how the market price of the oven falls. It does not. At the end of January the books show the oven at Tk 238,000. A dealer in used ovens might offer only Tk 200,000. There is no conflict. The books are not estimating what a buyer would pay. They are sharing a cost among the months of use. The going concern concept of Chapter 3 supports this, because the bakery plans to keep the oven and not to sell it.

The second misunderstanding is that depreciation saves money to buy a new oven. It does not. The cash left the business when Mitali paid the supplier, in January and later. The adjusting entry of Tk 2,000 debits an expense and credits a contra account. No bank balance changes. If the owner wants a fund for a new oven, the owner must put real cash into a separate account, and that is a different decision.

Why does a plant asset lose its usefulness? There are two main causes. **Wear and tear** is the loss of an asset's value from ordinary use and the passing of time. The oven's heating parts weaken with each hour of work, and metal ages even when the oven is idle. **Obsolescence** is the loss of an asset's usefulness because newer and better assets have appeared. A new oven that bakes faster and uses less gas makes the old oven less useful, although the old oven still works.

The oven is the rickshaw of the bakery.

Three treatments of the oven give three different profits for January.

Only the third line shows the oven as a help to many months of work.

Depreciation divides a cost; it does not value the asset.

Depreciation moves no cash.

Two causes explain why an asset gives less service over time.

Wear and tear. Loss of an asset's value from ordinary use and the passing of time.

Obsolescence. Loss of an asset's usefulness because newer and better assets have appeared.

The rule applies to every plant asset except land.

Pause and check. A van costs Tk 600,000. The owner says that Tk 100,000 of depreciation means a fund of Tk 100,000 for a new van. Is that correct?

The answer is no, because depreciation moves no cash.

You should now be able to say why the oven is not charged in full in January.

Before moving on. Depreciation shares a cost among the periods of use, caused by wear and tear and by obsolescence.

Three facts decide the yearly charge: cost, residual value and useful life.

Residual value is what the business expects to receive at the end.

Residual value. The amount expected to be received when an asset is sold at the end of its use.

Useful life is how long the business expects to use the asset.

Useful life. The time, in years or in units of use, for which a business expects to use an asset.

Only the part of the cost that will be used up is charged.

Depreciable amount. An asset's cost minus its residual value; the total to be charged as depreciation.

The rickshaw puller gives the reason for subtracting the residual value.

The rule applies to every plant asset that has a limited life. The standards require a business to depreciate such an asset over its useful life, and consistency, from Chapter 3, requires the business to keep the same method from one period to the next.² Land is the usual exception, because it has no limited life.

Pause and check. A van costs Tk 600,000. After one year the owner says: "I have charged Tk 100,000 of depreciation, so I now have Tk 100,000 saved for a new van." Is the owner correct?

Answer. The owner is not correct. The charge of Tk 100,000 reduces profit and increases accumulated depreciation, and no cash moves. The owner has Tk 100,000 less reported profit, but the bank balance is the same. A saved fund exists only if the owner places cash in a separate account.

You should now be able to say why the bakery charges only Tk 2,000 for the oven in January: the oven serves many months, so its cost is shared among them, and the sharing is not a valuation and not a saving of cash.

Before moving on. Depreciation is a sharing of cost, in line with the matching concept. Wear and tear and obsolescence are its two causes. It is not a market valuation, and it moves no cash.

10.3 COST, RESIDUAL VALUE AND USEFUL LIFE

Before any charge can be calculated, the accountant needs three facts. The first is the cost, which Section 10.1 explained. For the oven and the mixer it is Tk 240,000, and it is certain, because it appears on the invoice. The other two facts are estimates about the future. Nobody knows today what the oven will be worth in eight years, or how long it will serve. The business must make careful estimates and record them.

The first estimate is the **residual value**. This is the amount that the business expects to receive when it sells or scraps the asset at the end of its use. Other books call it the scrap value or the salvage value. An old oven still contains steel, and a dealer will pay something for it. The case file records the residual value of the oven and the mixer as Tk 48,000. If the business expects to receive nothing, the residual value is zero.

The second estimate is the **useful life**. This is the time, in years or in units of use, for which the business expects to use the asset. A unit of use can be a batch baked, a kilometre driven or an hour of machine work. The case file records eight years for the oven and the mixer. Useful life is not the same as the whole physical life. An oven that could work for twelve years has a useful life of eight years if the bakery plans to replace it then, or if newer ovens will make it obsolete by then.

The two estimates lead to a third figure. The **depreciable amount** is an asset's cost minus its residual value. It is the total that the business will charge as depreciation over the useful life. In words: depreciable amount equals cost minus residual value. In symbols, $D = C - R$, where D is the depreciable amount, C is the cost and R is the residual value. For the oven, $D = 240,000 - 48,000 = 192,000$.

We subtract the residual value because the business expects to receive it back. Return to the rickshaw of Section 10.2. The puller paid Tk 32,000 and expected

² IAS 16 requires the method to reflect the pattern in which the asset's benefits are used, and requires the business to review the method and the estimates at least at the end of each financial year. Chapter 3 introduced consistency.

Tk 8,000 at the end, so only Tk 24,000 was used up in his work. In the same way, Mitali expects to recover Tk 48,000 from the oven, so only Tk 192,000 is the cost of the years of baking.

The figure below shows the three facts in one picture. The long bar is the cost of Tk 240,000. The hatched part of the bar is the depreciable amount, and the plain part at the right is the residual value. The line under the bar divides the useful life into eight years.

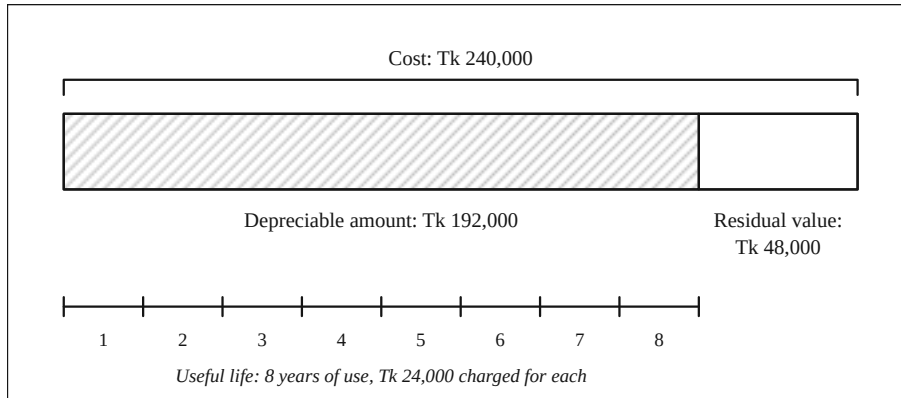


FIG. 32. Cost, residual value and useful life of the oven and the mixer.

Estimates are judgements, and two honest accountants may choose different numbers. A reasonable estimate rests on evidence: the supplier's advice, the experience of the business with similar assets, the prices of used assets, and the business's own plan for replacement. The business records its estimates in its accounting policies and reviews them at least once a year.

Before moving on. The cost is known, and the residual value and the useful life are estimates. Cost minus residual value is the depreciable amount, which is the total to be charged over the useful life.

10.4 THE STRAIGHT-LINE METHOD AND ITS ENTRIES

The easiest way to spread a cost is to charge the same amount every year. The **straight-line method** is a method that charges the same depreciation amount in every year of use. In words: annual depreciation equals cost minus residual value, divided by the useful life in years. In symbols, $A = (C - R) \div n$, where A is the annual depreciation, C is the cost, R is the residual value and n is the number of years.

Apply the formula to the oven and the mixer. Given: $C = 240,000$, $R = 48,000$ and $n = 8$. Then $A = (240,000 - 48,000) \div 8 = 192,000 \div 8 = 24,000$. The bakery reports month by month, so it divides the yearly amount by twelve: $24,000 \div 12 = 2,000$. This is the Tk 2,000 of adjusting entry A3 in Chapter 9. The case file counts the month of purchase as a full month, so the oven is depreciated for all of January, although Mitali bought it on 2 January.

After each charge, the asset has a new figure in the books. The **book value** of an asset is its cost minus its accumulated depreciation. At 31 January 2026 the book value of the oven and the mixer is Tk 240,000 less Tk 2,000, which is Tk 238,000. This is the figure that appears on the balance sheet of Chapter 9. Book value is a figure from the books; it is not a market price.

One picture shows the cost, the residual value and the life together.

Estimates are judgements, and they need a reasonable basis.

Before moving on. Three facts decide the charge: cost, residual value and useful life.

The straight-line method charges the same amount in every year.

Straight-line method. A method that charges the same depreciation amount in every year of use.

The oven's calculation gives Tk 24,000 a year and Tk 2,000 a month.

Book value is what remains of the cost after the depreciation so far.

Book value. An asset's cost minus its accumulated depreciation.

A schedule shows every year of the asset's life in one table.

Depreciation schedule. A table that shows depreciation, accumulated depreciation and book value for each year.

A **depreciation schedule** is a table that shows depreciation, accumulated depreciation and book value for each year. The schedule below covers the whole life of the oven and the mixer. Read it row by row. In each row, the depreciation expense is the same, the accumulated depreciation grows by that amount, and the book value falls by that amount. At the end of year 8 the book value equals the residual value.

STRAIGHT-LINE SCHEDULE FOR THE OVEN AND THE MIXER (TK)

YEAR ENDED 31 DECEMBER	DEPRECIATION EXPENSE	ACCUMULATED DEPRECIATION	BOOK VALUE
2026	24,000	24,000	216,000
2027	24,000	48,000	192,000
2028	24,000	72,000	168,000
2029	24,000	96,000	144,000
2030	24,000	120,000	120,000
2031	24,000	144,000	96,000
2032	24,000	168,000	72,000
2033	24,000	192,000	48,000

The adjusting entry debits an expense and credits a contra account.

The adjusting entry for each month is the entry of Chapter 9. It debits Depreciation Expense and credits Accumulated Depreciation: Equipment. A business that adjusts its accounts only once a year would make one entry of Tk 24,000 on 31 December. The narration of the January entry reads: depreciation of the oven and the mixer for January 2026.

ADJUSTING ENTRY A3, 31 JANUARY 2026 (TK)

DATE	ACCOUNT	DEBIT	CREDIT
31 Jan 2026	Depreciation Expense	2,000	
	Accumulated Depreciation: Equipment		2,000

The credit goes to a contra account, so that the cost stays visible.

The credit does not go to the Equipment account. It goes to Accumulated Depreciation: Equipment, which is a contra account, as Chapter 9 explained. The Equipment account keeps showing the cost of Tk 240,000, and the contra account shows how much of the cost the business has already charged. A reader of the balance sheet then sees both facts. The figure below shows the position at 31 December 2028, after three years of use.

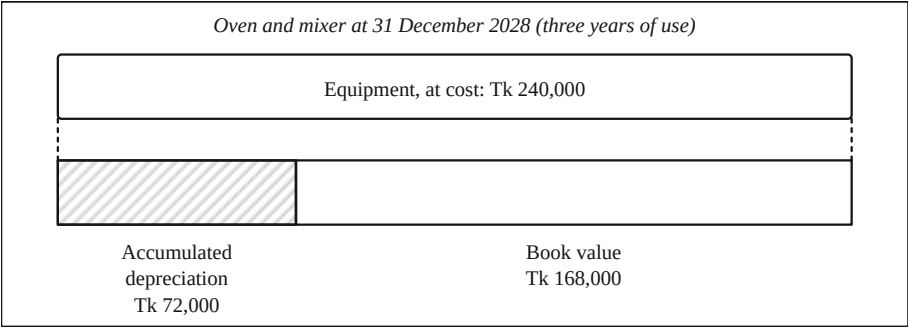


FIG. 33. The oven and the mixer at 31 December 2028: cost, accumulated depreciation and book value.

On the balance sheet the contra account is deducted from the cost.

On the balance sheet, the accumulated depreciation is deducted from the cost of the asset. The extract below shows the oven and the mixer at 31 December 2028,

using the schedule above. The same layout appears at every balance sheet date, with only the middle figure and the last figure changing.

BALANCE SHEET EXTRACT AT 31 DECEMBER 2028 (TK)

ITEM	AMOUNT
Equipment, at cost	240,000
Less accumulated depreciation	72,000
Book value	168,000

Two accounts take part in every depreciation entry, and students often confuse them. The expense records the charge of one period. The accumulated depreciation records the total of all the charges since the purchase. We compare them in the table below, which lists five points of difference.

Two accounts take part, and they behave in different ways.

DEPRECIATION EXPENSE AND ACCUMULATED DEPRECIATION COMPARED

POINT	DEPRECIATION EXPENSE	ACCUMULATED DEPRECIATION
Kind of account	Expense	Contra asset
Appears in	Income statement	Balance sheet
Amount	The charge of one period	The total of all charges so far
At the end of the period	Closed to Income Summary	Carried forward
Normal balance	Debit	Credit

When an asset is bought during a year, the first year's charge is a part of the yearly amount. The tailor's cutting machine shows how. Its cost is Tk 430,500, as Section 10.1 calculated. Suppose the residual value is Tk 30,500 and the useful life is ten years. Then the depreciable amount is Tk 400,000, and the yearly depreciation is Tk 40,000. The tailor bought the machine on 12 April 2026. Counting April as a full month, as the bakery does, the machine is used for nine months of 2026.

A part-year charge follows the same formula with a fraction.

The charge for 2026 is $40,000 \times 9 \div 12 = 30,000$. The entry on 31 December 2026 debits Depreciation Expense and credits Accumulated Depreciation: Equipment for Tk 30,000. The book value at that date is $430,500 - 30,000 = 400,500$. Each of the years 2027 to 2035 carries Tk 40,000, and the last three months of the life fall in 2036, with a charge of Tk 10,000. The total is $30,000 + 360,000 + 10,000 = 400,000$, which equals the depreciable amount.

The nine-month charge is nine twelfths of the yearly amount.

A business may learn that an estimate was wrong. When that happens, it does not correct the past years. It spreads the remaining book value, less the new residual value, over the remaining life. A small printing shop shows the method. It bought a press on 1 January 2026 for Tk 500,000, with a residual value of Tk 50,000 and a life of nine years, so the yearly charge was Tk 50,000. At 31 December 2028 the accumulated depreciation is Tk 150,000 and the book value is Tk 350,000.

A change of estimate affects future years only.

Now the owner expects the press to serve for eight more years and to have a residual value of Tk 30,000. The new yearly charge is $(350,000 - 30,000) \div 8 = 40,000$. The charges of 2026, 2027 and 2028 stay as they are. Only 2029 and later years use the new figure. The business also tells the readers of its statements about the change.

The new yearly charge is found from the book value and the new estimates.

Before moving on. Straight-line charges (cost minus residual value) divided by the life, and the contra account shows the total charged.

The straight-line method suits assets that give even service, and others do not.

This method charges depreciation in proportion to use.

Units-of-production method. A method that charges depreciation in proportion to how much the asset is used.

The oven's rate is Tk 4 for each batch.

Before moving on. The straight-line method charges $(C - R) \div n$ each year. The expense account holds one period's charge, and the contra account holds the total. Book value is cost minus accumulated depreciation, and a change of estimate affects only the future.

10.5 OTHER METHODS: UNITS OF PRODUCTION, SUM OF THE YEARS' DIGITS, DECLINING BALANCE

The straight-line method gives the same charge every year, which is fair when an asset gives the same service every year. Some assets do not. A machine may work many hours in one year and few in the next. A computer may give most of its service in its first years, before newer models replace it. Three other methods fit these patterns. We apply each one to the oven and the mixer, so that we can compare them. The figures in this section are a comparison schedule only. No new transaction enters the case file.

THE UNITS-OF-PRODUCTION METHOD

The **units-of-production method** is a method that charges depreciation in proportion to how much the asset is used. In words: the rate per unit equals the depreciable amount divided by the total units expected in the asset's life, and the charge for a year equals the rate multiplied by the units used in that year. In symbols, $r = D \div U$ and the charge is $r \times u$, where U is the total units expected and u is the units used in the year.

Suppose the bakery expects the oven to bake 48,000 batches in its whole life. The rate is $192,000 \div 48,000 = \text{Tk } 4$ for each batch. The table below assumes the number of batches baked in each year. These numbers are assumed for the comparison, and a real business would take them from its records. The charge is highest in the years of heavy use, and the total over the life is Tk 192,000.

UNITS-OF-PRODUCTION SCHEDULE FOR THE OVEN AND THE MIXER, AT TK 4 A BATCH (TK)

YEAR	BATCHES	DEPRECIATION	ACCUMULATED	BOOK VALUE
2026	5,000	20,000	20,000	220,000
2027	6,500	26,000	46,000	194,000
2028	7,000	28,000	74,000	166,000
2029	6,500	26,000	100,000	140,000
2030	6,000	24,000	124,000	116,000
2031	6,000	24,000	148,000	92,000
2032	5,500	22,000	170,000	70,000
2033	5,500	22,000	192,000	48,000

THE SUM-OF-THE-YEARS'-DIGITS METHOD

The **sum-of-the-years'-digits method** is a method that charges more depreciation in the early years, using falling fractions. Write the digits of the years of life and add them. For eight years the digits are 1, 2, 3, 4, 5, 6, 7 and 8, and their sum is 36. A shortcut gives the sum: $n \times (n + 1) \div 2 = 8 \times 9 \div 2 = 36$. The fraction for the first year is $8/36$, for the second year $7/36$, and so on down to $1/36$ for the last year. Each fraction is applied to the depreciable amount.

The first-year charge is $8/36 \times 192,000 = 42,666.67$, which we round to the nearest whole taka: Tk 42,667. The other years follow in the same way.

This method charges more in the early years, using falling fractions.

Sum-of-the-years'-digits method. A method that charges more depreciation in early years, using falling fractions.

The oven's first-year charge is eight thirty-sixths of Tk 192,000.

Rounding each year can leave a difference of one taka in the total, so a careful accountant checks that the charges add to the depreciable amount. Here they add to exactly Tk 192,000.

SUM-OF-THE-YEARS'-DIGITS SCHEDULE FOR THE OVEN AND THE MIXER (TK)

YEAR	FRACTION	DEPRECIATION	ACCUMULATED	BOOK VALUE
2026	8/36	42,667	42,667	197,333
2027	7/36	37,333	80,000	160,000
2028	6/36	32,000	112,000	128,000
2029	5/36	26,667	138,667	101,333
2030	4/36	21,333	160,000	80,000
2031	3/36	16,000	176,000	64,000
2032	2/36	10,667	186,667	53,333
2033	1/36	5,333	192,000	48,000

THE DECLINING-BALANCE METHOD

The **declining-balance method** is a method that charges a fixed percentage of the asset's book value each year. Because the book value falls, the charge falls too. In words: the charge for a year equals the rate multiplied by the book value at the start of the year. Many businesses choose a rate equal to twice the straight-line rate. The straight-line rate for eight years is $1 \div 8 = 12.5\%$, so the doubled rate is 25%. The rate is a matter of policy, and the business states it.

Two rules guard this method. First, the rate is applied to the whole book value, and the residual value is not subtracted before the calculation. Second, the book value must never fall below the residual value, so the charge is limited when the limit is reached. In the table below, the charge for 2031 would be $25\% \times 56,953 = 14,238$, which would take the book value below Tk 48,000. The charge is therefore limited to $56,953 - 48,000 = 8,953$, and later years have no charge.

DECLINING-BALANCE SCHEDULE AT 25% FOR THE OVEN AND THE MIXER (TK)

YEAR	CALCULATION	DEPRECIATION	ACCUMULATED	BOOK VALUE
2026	25% of 240,000	60,000	60,000	180,000
2027	25% of 180,000	45,000	105,000	135,000
2028	25% of 135,000	33,750	138,750	101,250
2029	25% of 101,250	25,313	164,063	75,937
2030	25% of 75,937	18,984	183,047	56,953
2031	Limited to residual value	8,953	192,000	48,000
2032	None	0	192,000	48,000
2033	None	0	192,000	48,000

COMPARING THE FOUR METHODS

The table below compares the four methods. Read the last row first. Every method charges a total of Tk 192,000 over the eight years, so the methods differ only in the timing of the charge. They do not change the total cost of the oven.

This method charges a fixed percentage of the book value each year.

Declining-balance method. A method that charges a fixed percentage of the asset's book value each year.

The rate is applied to book value, and the residual value sets a floor.

The four methods differ in timing, and they agree on the total.

YEARLY DEPRECIATION OF THE OVEN AND THE MIXER UNDER FOUR METHODS (TK)

YEAR	STRAIGHT-LINE	UNITS OF PRODUCTION	SUM OF THE YEARS' DIGITS	DECLINING BALANCE
2026	24,000	20,000	42,667	60,000
2027	24,000	26,000	37,333	45,000
2028	24,000	28,000	32,000	33,750
2029	24,000	26,000	26,667	25,313
2030	24,000	24,000	21,333	18,984
2031	24,000	24,000	16,000	8,953
2032	24,000	22,000	10,667	0
2033	24,000	22,000	5,333	0
Total	192,000	192,000	192,000	192,000

The timing changes the profit of each year but not the profit of the whole life.

Timing matters because it changes the profit of each year. In the first year, declining balance charges Tk 36,000 more than straight-line, so that year's profit is Tk 36,000 lower. In the last years the position reverses, and declining balance gives the higher profit. Over the eight years the total profit is the same. The figure below shows the book value of the oven under each method. All four lines start at Tk 240,000 and reach Tk 48,000, but they take different paths.

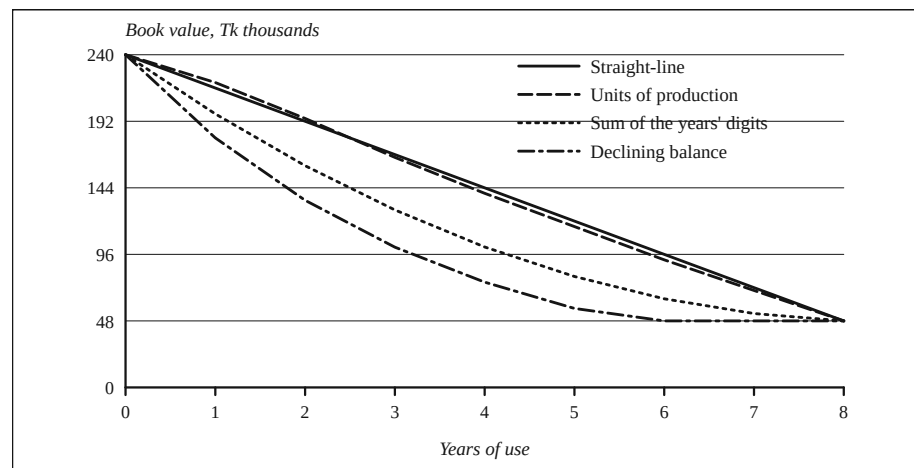


FIG. 34. Book value of the oven and the mixer at the end of each year under four methods.

The method should follow the pattern in which the asset gives its service.

How should a business choose? The method should follow the pattern in which the asset gives its service. Straight-line suits assets that serve evenly, such as buildings and ovens used every day. Units of production suits assets whose use varies, such as a van driven many kilometres in one year and few in another. The two methods with falling charges suit assets that give most service early or lose their usefulness quickly. Whatever the choice, consistency requires the business to apply the same method each year, and the business reviews the method regularly.

The bakery uses the straight-line method.

The bakery uses the straight-line method for the oven and the mixer, as Chapter 9 showed. The other schedules are for comparison only. Every later chapter that mentions depreciation in the bakery's books uses Tk 2,000 a month for the oven and the mixer.

Before moving on. Four methods give the same total and different timing; the method should follow the pattern of use.

Before moving on. Units of production follows use. Sum of the years' digits and declining balance charge more in early years. All four methods charge the same total, and consistency requires the same method from year to year.

10.6 SELLING OR SCRAPPING A PLANT ASSET

Sooner or later, a plant asset leaves the business. **Disposal** is the selling, scrapping or other removal of an asset. The business may sell the asset to another business, or it may scrap the asset because it has no further use. The accounting has three steps. First, record the depreciation up to the date of disposal, so that the book value is up to date. Second, remove the cost of the asset and its accumulated depreciation from the books. Third, record the cash received and the gain or loss.

The gain or loss comes from comparing the sale price with the book value. A **gain on disposal** is the amount by which the sale price is more than the book value. A **loss on disposal** is the amount by which the sale price is less than the book value. In words: gain or loss equals sale price minus book value. A positive answer is a gain, and a negative answer is a loss. The cost of the asset does not enter this comparison, because the depreciation has already charged part of the cost to earlier years.

We continue with the tailor's cutting machine. Its cost is Tk 430,500, and the yearly depreciation is Tk 40,000, with Tk 30,000 for the part-year 2026. At 31 December 2029 the accumulated depreciation is 30,000 + 40,000 + 40,000 + 40,000 = 150,000, so the book value is 430,500 – 150,000 = 280,500. The tailor sells the machine on that date. The figure below compares two possible prices with the book value.

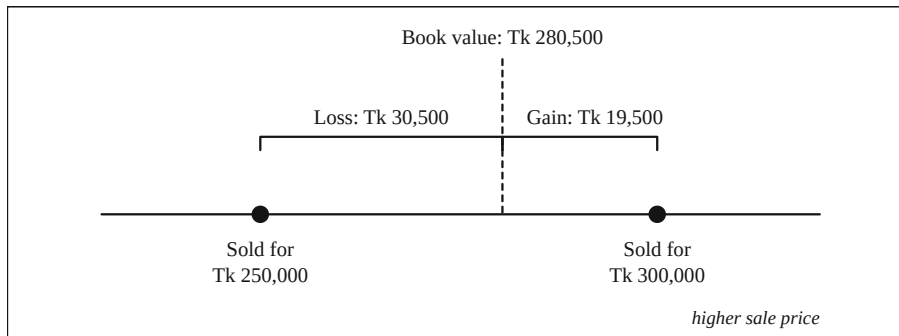


FIG. 35. Sale price compared with book value: gain or loss on the tailor's cutting machine.

Suppose the tailor sells the machine for Tk 300,000 in cash. The gain is 300,000 – 280,500 = 19,500. The entry debits Cash for the money received and debits Accumulated Depreciation: Equipment for the Tk 150,000 that is removed. It credits Equipment for the full cost of Tk 430,500, and it credits Gain on Disposal of Equipment for Tk 19,500. Debits and credits are each Tk 450,000.

SALE OF THE MACHINE AT A GAIN, 31 DECEMBER 2029 (TK)

DATE	ACCOUNT	DEBIT	CREDIT
31 Dec 2029	Cash	300,000	
	Accumulated Depreciation: Equipment	150,000	
	Equipment		430,500
	Gain on Disposal of Equipment		19,500

Now suppose that the tailor sells the machine for Tk 250,000. The loss is 250,000 – 280,500 = –30,500, which is a loss of Tk 30,500. The loss is a debit, because it reduces profit. The debits are 250,000 + 150,000 + 30,500 = 430,500, and the credit to Equipment is Tk 430,500.

A plant asset leaves the business by sale, by scrapping or by loss.

Disposal. Selling, scrapping, or otherwise getting rid of an asset.

The gain or loss is the sale price compared with the book value.

Gain on disposal. The amount by which an asset's sale price is more than its book value.

Loss on disposal. The amount by which an asset's sale price is less than its book value.

The tailor's machine is sold at the end of 2029.

A sale above book value gives a gain.

A sale below book value gives a loss.

SALE OF THE MACHINE AT A LOSS, 31 DECEMBER 2029 (TK)

DATE	ACCOUNT	DEBIT	CREDIT
31 Dec 2029	Cash	250,000	
	Accumulated Depreciation: Equipment	150,000	
	Loss on Disposal of Equipment	30,500	
	Equipment		430,500

A sale during a year needs the depreciation to be brought up to date first.

Gains and losses on disposal are not sales revenue.

Before moving on. Bring the depreciation up to date, remove cost and accumulated depreciation, and compare the sale price with book value.

The tailor chose the year-end for these two entries. If the sale happens during a year, the first step matters. Suppose the sale is on 30 June 2030. The tailor first records six months of depreciation, $40,000 \times 6 \div 12 = 20,000$, which raises the accumulated depreciation to Tk 170,000 and lowers the book value to Tk 260,500. The gain or loss is then calculated against Tk 260,500. If the tailor scraps the machine and receives nothing, the loss equals the whole book value.

A gain or a loss on disposal is not part of the revenue from the business's main work. The tailor earns revenue from making clothes, not from selling machines. Chapter 13 shows the gain among other income, and the loss among the expenses. Two further points complete the picture. An asset that has reached its residual value but is still in use stays in the books at cost, with its accumulated depreciation, until its disposal, and no further charge is made. An exchange of an old asset for a new one is a special case that this book does not treat.

Before moving on. A disposal has three steps. A sale price above the book value gives a gain, and a sale price below it gives a loss. Neither the gain nor the loss is revenue from the main work of the business.



THE WORKED CASE: CHOOSING A METHOD FOR THE OVEN

The bakery's oven is used to test the choice of method.

The question asks for a method and for the year-end figures.

The reasoning links the pattern of use to the method.

The conclusion keeps the method and the January profit.

The check ties the figures back to the cost.

Case file, illustrative. Situation. The oven and the mixer were bought on 2 January 2026 for Tk 240,000, with a residual value of Tk 48,000 and a useful life of eight years. The owner of another bakery uses the declining-balance method at 25% a year. Mitali wants to know which method suits her bakery, and what the choice does to the profit of January.

Question. Which method should the bakery use, and what are the figures at 31 December 2026 under that method?

Reasoning. The oven bakes on every working day at a similar rate, so its service is even across the years. The case file gives no sign that a newer oven will replace it within eight years. The straight-line method matches this pattern. The depreciable amount is $240,000 - 48,000 = 192,000$, and the yearly charge is $192,000 \div 8 = 24,000$, which is Tk 2,000 a month. At 31 December 2026 the accumulated depreciation is Tk 24,000 and the book value is Tk 216,000. Under the other bakery's method the charge for January would be $60,000 \div 12 = 5,000$, and January's profit would be $127,000 - 3,000 = 124,000$.

Conclusion. The bakery uses the straight-line method and keeps it in every year, as consistency requires. The profit for January stays at Tk 127,000, as Chapter 9 found.

Check. Accumulated depreciation plus book value is $24,000 + 216,000 = 240,000$, which equals the cost. Eight years at Tk 24,000 give Tk 192,000,

which equals the depreciable amount. The book value at the end of year 8 is Tk 48,000, which equals the residual value.

SUMMARY

A plant asset is a long-lived physical asset that the business uses and does not sell. Its cost includes everything spent to make it ready for use. Capital expenditure adds to that cost, and revenue expenditure is an expense of the period.

Depreciation shares the depreciable amount, which is cost minus residual value, among the years of use. It does not measure market value and it moves no cash. The straight-line method charges $(C - R) \div n$ each year. Units of production, sum of the years' digits and declining balance change the timing but not the total. The credit goes to accumulated depreciation, and the book value is the cost minus that total. When an asset is sold, the sale price minus the book value is a gain or a loss.

A plant asset is used for years, and its cost is shared among those years.

Depreciation shares the depreciable amount among the years of use.

THINK IT THROUGH

A laundry buys a pressing machine on 1 July 2026. The list price is Tk 300,000, and the supplier gives a trade discount of Tk 20,000. Delivery costs Tk 7,000, and installation costs Tk 18,000. The laundry also pays Tk 5,000 for a first-year service contract. The machine has a residual value of Tk 25,000 and a useful life of five years. The laundry uses the straight-line method, counts the month of purchase as a full month, and closes its books on 31 December.

Complete these tasks. (a) Calculate the cost of the machine and say where the Tk 5,000 is recorded. (b) Calculate the yearly depreciation and the charge for 2026. (c) Prepare the depreciation schedule for 2026 to 2028. (d) Show the balance sheet extract at 31 December 2027. (e) The laundry sells the machine on 31 December 2028 for Tk 170,000. Write the journal entry, and state the gain or loss. (f) Say what the entry would be if the price were Tk 150,000.

A fresh asset gives practice in cost, schedule, extract, entries and sale.

The tasks follow the order of the chapter.

WHERE PEOPLE GO WRONG

Mistake. "Depreciation shows how much the oven would sell for." **Correction.** Depreciation shares the cost among the years. The book value is a figure from the books and may differ from any market price.

Mistake. "The charge puts cash aside for a new oven." **Correction.** The entry moves no cash. A fund exists only if the owner places cash in a separate account.

Mistake. "Credit the Equipment account directly for the depreciation." **Correction.** The credit goes to the contra account, so that the cost and the total charged are both visible.

Mistake. "Use the cost, or the depreciable amount, for every year of the declining-balance charge." **Correction.** The rate applies to the book value at the start of each year, and the book value never falls below the residual value.

Mistake. "Depreciate land, and add every repair to the asset." **Correction.** Land has no limited life and is not depreciated. A repair that restores the usual condition is an expense of the period.

Mistake. "The gain on a sale is the sale price minus the original cost." **Correction.** The gain or loss is the sale price minus the book value, after the depreciation is brought up to date.

Depreciation is not a fall in market price.

Depreciation is not a savings fund.

The asset account keeps its cost.

The rate in declining balance applies to book value.

Land and repairs are common sources of error.

Gain or loss comes from book value, not from cost.

Nineteenth-century railways met the problem of wear and dividends.

A modern case shows what happens when running costs are treated as assets.

Define the main idea of the chapter.

Compare two accounts.

Explain a plant asset and its cost.

Separate the two kinds of spending.

Use the three facts and the formula.

Compare the four methods.

Explain the gain or loss on disposal.

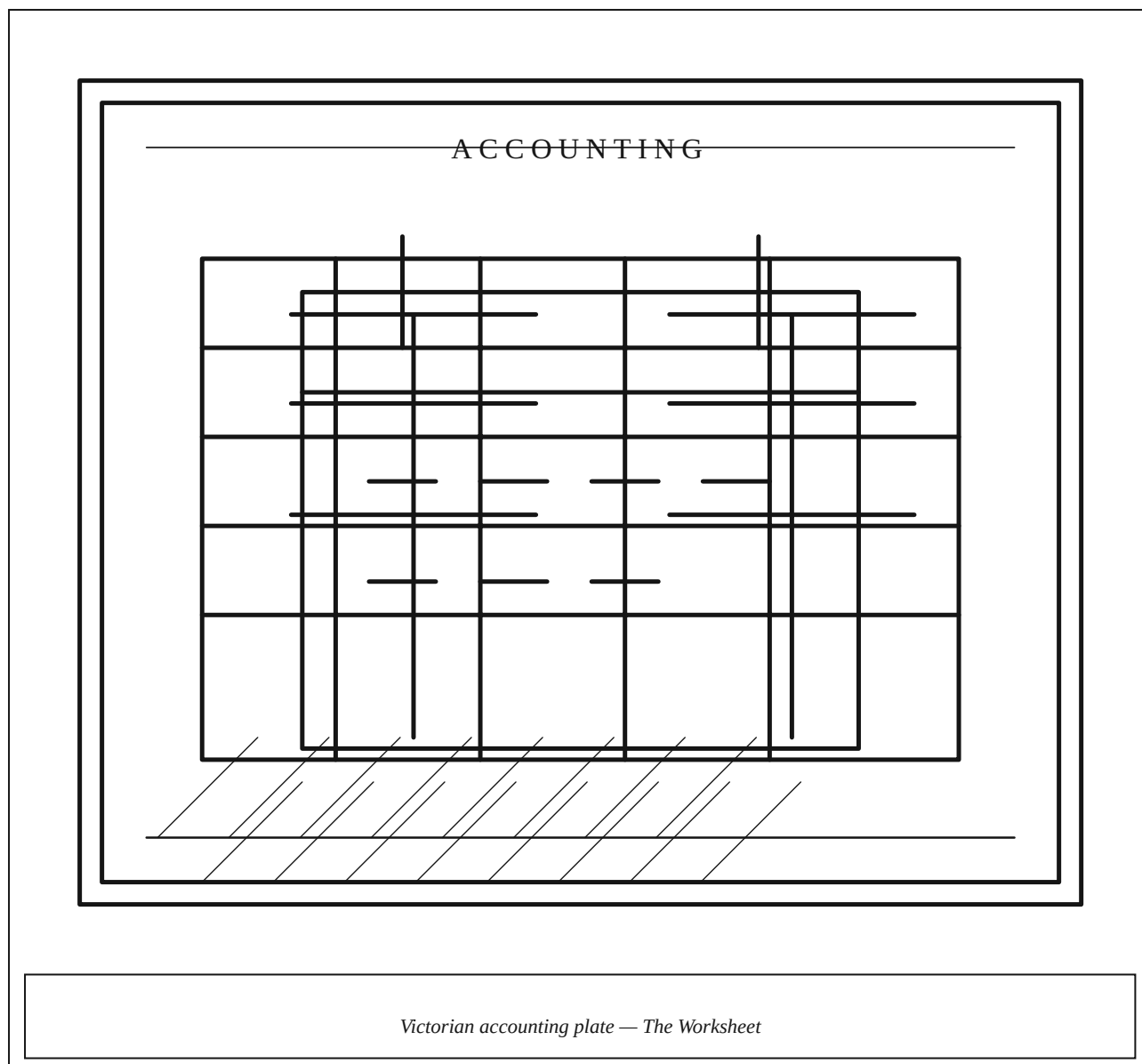
IN HISTORY

In 1850 Dionysius Lardner published *Railway Economy* in London. The railways of his time owned engines, carriages and track that wore with use. Their directors had to decide how much to spend on keeping this equipment in repair and how much to pay to shareholders as dividends. Lardner discussed the wear of rolling stock and track, and the conflict between maintaining capital and paying dividends at once. A company that distributes all its earnings and makes no provision for wear shows its owners a profit that is too high. Depreciation is the accounting answer to that conflict.

On 25 June 2002 the American telecommunications company WorldCom announced that it had moved costs of its network lines from expense accounts to asset accounts: US\$3.055 billion in 2001 and US\$797 million in the first quarter of 2002. The announcement said that this treatment did not follow generally accepted accounting principles. The costs were fees paid to other companies for the use of their lines, which are running costs. Charged as expenses, they would have lowered profit at once. Treated as assets, they were spread over many years. The special investigative committee of the company's board later reported more than US\$9 billion of false or unsupported entries in all. The case shows why the line between capital and revenue spending protects the truth of the profit figure.

REVIEW QUESTIONS

1. Define depreciation, and say why a business charges it.
2. Explain the difference between depreciation expense and accumulated depreciation, and say where each appears in the statements.
3. Define a plant asset, and list four items that form part of the cost of a machine.
4. Explain the difference between capital expenditure and revenue expenditure, and give one example of each.
5. Define residual value and useful life, and state the straight-line formula in words.
6. Say how the four methods differ, and what they have in common.
7. Explain how a gain or a loss on disposal is calculated, and why the cost is not used.



CHAPTER XI

The Worksheet

The accountant's rough page, kept apart from the books until it is right.



Before an accountant changes the ledger, she tries every adjustment on a single sheet of paper. This chapter explains the worksheet: why accountants use it, what its ten columns hold, and how to build it step by step. It then shows how the finished sheet supplies the statements and the entries.

What this chapter needs from earlier chapters.

On 31 January the bakery's accountant faces six adjustments.

The direct way has two weaknesses: late knowledge and hard corrections.

A question: can the adjustments be tried on paper first?

The five sections in order.

A market trader's rough page shows the idea.

A working paper is a paper for the accountant's own use.

Working paper. A paper used by the accountant for working only; it is not a financial statement.

The worksheet gathers the figures of the period end in columns.

Worksheet. A working paper in which the accountant prepares adjustments and statement figures in columns.

The sheet does four jobs for the accountant.

You will need. Chapter 8 (trial balance), Chapter 9 (adjusting entries, adjusted trial balance) and Chapter 10 (depreciation).

On 31 January 2026 the books of Mitali Bakery show the unadjusted trial balance of Chapter 8, with debits and credits of Tk 792,000 each. Six adjustments must be made, and you met them in Chapter 9: rent used, supplies used, depreciation, an advance earned, wages owed and revenue earned but not billed. The accountant could journalise each one, post it to the ledger, and then prepare a new trial balance.

That direct way has two weaknesses. The first is that nobody knows the profit until the last adjustment is posted. The second is more serious. Suppose that the accountant posts four adjustments and then finds that the count of supplies was wrong. Four entries, which are now permanent records in the ledger, must be corrected by further entries. A permanent book is a poor place to try an idea.

Is there a better way? Could the accountant try all six adjustments on a single sheet of paper, see the effect on every account, check that the totals agree, and learn the profit, all before one entry touches the ledger? The answer is yes, and the sheet has a name. This chapter explains the sheet, shows how to build it, and says what it can and cannot do.

Section 11.1 explains why a working paper is useful. Section 11.2 describes the ten columns. Section 11.3 builds the sheet step by step, first for a small business and then for the bakery. Section 11.4 shows how the sheet supplies the statements and the entries. Section 11.5 lists the common slips and the checks that find them.



11.1 THE PUZZLE OF THE BUSY ACCOUNTANT: WHY A WORKING PAPER

Think first of a trader at a market. At night she counts the day's takings. She writes numbers on a rough page, adds them, crosses out a wrong figure, and adds them again. Only when the figures agree does she copy the final amounts into her record book. The rough page may be untidy, because nobody will read it. The record book must be tidy and permanent, because other people will rely on it.

The accountant also needs a rough page. A **working paper** means a paper that the accountant uses for working only. It is not a financial statement, it is not part of the books, and it is not shown to the bank or to the tax office. Accountants use many working papers: a list of the invoices that are unpaid, a count of the supplies on hand, a calculation of the depreciation. The most important of them has its own name.

The **worksheet** means a working paper in which the accountant gathers, in columns, the trial balance, the adjustments, and the figures for the financial statements. Each account has one line, and each step of the work has its own columns. A reader can follow one account from left to right and see what happened to it.

WHAT THE WORKSHEET DOES

The worksheet does four jobs. First, it puts on one page the figures that would otherwise lie in the trial balance, the journal and the ledger. Second, it lets the accountant test the adjustments before they are entered, so a wrong figure can be crossed out. Third, it shows the profit or the loss before any statement is

prepared. Fourth, it supplies the figures for the statements, for the adjusting entries, and for the closing entries of Chapter 12.

WHAT THE WORKSHEET DOES NOT DO

The worksheet has one important limit. Writing an adjustment on the worksheet does not enter it in the books. The ledger stays as it was until the accountant journalises and posts the adjusting entries. A beginner who completes a worksheet and stops has finished the rough page and has not yet touched the books. The worksheet is also not a financial statement: its columns have no formal headings of a statement, and no outside reader receives it.

The books do not change until the entries are made.

WHO PREPARES IT, AND WHEN

The accountant, or a bookkeeper working for the accountant, prepares the worksheet at the end of an accounting period, after the unadjusted trial balance is agreed and before the adjusting entries are made. The owner may read the sheet, because it shows the profit early. A business that reports every month, as the bakery does, may prepare one sheet each month, or one sheet for a quarter or for a year. The worksheet is also optional. A business may prepare its statements directly from the adjusted ledger, and many small firms do. But for a beginner, and for any trial balance with many accounts, the worksheet is a strong aid to accuracy.

The accountant prepares it at the period end, and the owner may read it.

THE SHEET SEEN FROM THREE SEATS

The same sheet looks different from different seats. The owner sees an early answer to the question, "Did I earn a profit this month?" The accountant sees a safe place to try the adjustments and to find slips before they reach the books. The lender, such as a bank, never sees the sheet. The bank receives the financial statements, which the accountant prepares from the sheet. A reader of accounts should therefore not ask a business for its worksheet. The right request is for its statements.

The owner, the accountant and the lender see the sheet differently.

Before moving on. A working paper is for the accountant's use, and the worksheet is the chief working paper. It gathers the trial balance, the adjustments and the statement figures in columns. It does not change the books, and it is not a financial statement.

Before moving on: the idea of a working paper.

11.2 THE TEN COLUMNS EXPLAINED

The most common form of worksheet has an account column on the left and ten number columns on the right. The ten columns form five pairs, and each pair has a debit column and a credit column.

The sheet has an account column and five pairs of columns.

A **ten-column worksheet** means a worksheet with five pairs of debit and credit columns. The five pairs are the trial balance, the adjustments, the adjusted trial balance, the income statement, and the balance sheet.¹ The diagram below shows the layout and the way the figures move from left to right.

The ten-column worksheet holds five steps of the work.

Ten-column worksheet. A worksheet with five pairs of debit and credit columns.

¹ Some books use a worksheet of eight columns, which leaves out the adjusted trial balance pair. This book uses ten columns, because the middle pair gives a useful check before the figures are sorted.

Account title	1 Trial balance		2 Adjustments		3 Adjusted trial balance		4 Income statement		5 Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit

From the unadjusted ledger (Chapter 8) The adjusting entries, each with a letter (a), (b), ...
 Columns 1 and 2 combined (Chapter 9) Revenue and expense accounts Asset, liability, capital and drawings accounts

Pair 1 combined with pair 2 gives pair 3
 Pair 3 is sorted into pairs 4 and 5

FIG. 36. The ten-column worksheet: five pairs of columns and the work that each pair holds.

Pair one is the unadjusted trial balance from the ledger.

Pair two holds the adjusting entries as debits and credits.

Pair three combines pairs one and two.

Pairs four and five split the adjusted balances by kind of account.

Pair 1: trial balance. The accountant copies the balance of every ledger account from the unadjusted trial balance of Chapter 8. A debit balance goes in the debit column and a credit balance goes in the credit column. The two columns must have equal totals. If they do not, the books contain an error, and the adjustments must wait until it is found.

Pair 2: adjustments. The accountant writes each adjusting entry across the sheet, with its debit in the debit column and its credit in the credit column. Each entry receives a small letter, (a), (b), (c) and so on, which is written beside both of its amounts. The letters let a reader find the other half of an entry. The two columns must have equal totals, because each entry has equal debits and credits. An adjustment may need an account that the trial balance does not have. Accumulated Depreciation and Wages Payable are two examples. The accountant adds such an account on a new line, with nil in the trial balance columns.

Pair 3: adjusted trial balance. For each account, the accountant combines the unadjusted balance with the adjustments. This pair is the adjusted trial balance of Chapter 9, and its totals must be equal. Section 11.3 gives the rule for the combining.

Pairs 4 and 5: income statement and balance sheet. The accountant now sorts every adjusted balance into one of two pairs of columns. Revenue accounts and expense accounts go to the income statement columns. Asset, liability, capital and drawings accounts go to the balance sheet columns. A balance stays on the same side, debit or credit, as in pair 3. The next table gives the sorting rule.

WHERE EACH KIND OF ACCOUNT GOES IN THE LAST TWO PAIRS

KIND OF ACCOUNT	NORMAL BALANCE	COLUMNS
Asset (Cash, Accounts Receivable, Equipment)	Debit	Balance sheet, debit
Contra asset (Accumulated Depreciation)	Credit	Balance sheet, credit
Liability (Accounts Payable, Wages Payable)	Credit	Balance sheet, credit
Owner's capital	Credit	Balance sheet, credit
Owner's drawings	Debit	Balance sheet, debit
Revenue	Credit	Income statement, credit
Expense	Debit	Income statement, debit

Two entries in the table cause surprise. Drawings is an equity account, and yet it goes to the balance sheet columns, not to the income statement. The reason is that drawings is not an expense: the owner's withdrawal does not earn or use revenue. The capital figure in these columns is the opening capital, before profit and drawings. Chapter 12 closes the accounts and combines all three into the closing capital. Until then the balance sheet columns hold the three items separately.

Drawings and capital stay in the balance sheet columns until Chapter 12.

HOW THE LINES ARE ARRANGED

The lines of the sheet follow the order of the chart of accounts, which you met in Chapter 6: assets first, then liabilities, then owner's capital and drawings, then revenue, then expenses. An account that the adjustments add takes its place in that order. Accumulated Depreciation, for instance, stands directly under Equipment, because it is deducted from Equipment. Following the chart means that a reader always knows where to look for an account, and the pairs of columns can be added in blocks of related lines.

Accounts keep the order of the chart; added accounts take their place in it.

An account may have no balance in the trial balance and still need a line. Rent Expense has no balance on 31 January, because the bakery paid its rent in advance and recorded the payment as Prepaid Rent. The adjustment creates the expense. A student who lists only the accounts of the trial balance will find that the adjustment has nowhere to go.

An account with no balance still needs a line if an adjustment uses it.

Pause and check. In which pair of columns, income statement or balance sheet, does each of these accounts belong: Prepaid Rent, Rent Expense, Owner's Drawings, Wages Payable? On which side, debit or credit, does each stand?

Pause and check: four accounts, four pairs of columns.

Before moving on. The five pairs are: trial balance, adjustments, adjusted trial balance, income statement, balance sheet. Pair 1 comes from the ledger, pair 2 from the adjusting entries, and pair 3 from combining pairs 1 and 2. Pairs 4 and 5 split pair 3 by kind of account.

Before moving on: five pairs, and where each figure comes from.

11.3 BUILDING THE WORKSHEET STEP BY STEP

This section builds a worksheet in full for the first time. We take it slowly. The build has five steps, each with one simple rule. We follow the steps first on a small business with four adjustments, so that the numbers are easy, and then on the bakery.

GO SLOWLY HERE: THIS IS THE FIRST FULL BUILD.

A full build has five steps, and each has one rule.

THE FIVE STEPS

Step 1. Write the heading: the name of the business, the words *Worksheet*, and the period, for example *for the month ended 31 January 2026*. List the accounts in the order of the chart of accounts. Copy the unadjusted trial balance into pair 1, and total it. Add a line for each account that the adjustments will need and that the trial balance does not hold.

Step one: heading, accounts and trial balance.

Step 2. Write the adjusting entries in pair 2, one letter for each entry. Total the two columns. The totals must be equal.

Step two: the adjustments, with letters.

Step 3. Combine pairs 1 and 2 into pair 3. The rule in words is this: when the adjustment is on the same side as the unadjusted balance, add; when it is on the opposite side, subtract. A debit balance of 30,000 with a credit adjustment of 22,000 gives a debit balance of 8,000. Total pair 3. The totals must be equal.

Step three: combine the trial balance and the adjustments.

Step 4. Sort every line of pair 3 into pair 4 or pair 5, by the rule in the table of section 11.2. Keep each amount on the same side.

Step four: sort each balance into the statement columns.

Step five: total, and find the balancing figure.

Balancing figure. The amount needed to make two totals equal; here, the profit or loss.

Recap: five steps, one rule each.

One account at a time shows what each pair of columns does.

Read each row from left to right as a short story.

Rina's tailoring shop has eleven accounts and four adjustments.

Step 5. Total each of the last four columns. The two income statement columns will be unequal. The difference is the **balancing figure**, which means the amount needed to make two totals equal. Here it is the profit or the loss. If the credit total of the income statement columns is larger, the difference is a profit, and it is written in the debit column to make the two totals equal. The same amount is then written in the credit column of the balance sheet pair, because profit adds to the owner's equity. The balance sheet totals then agree. If the debit total of the income statement is larger, the difference is a loss, and it is placed the other way round.

Recap. Copy the trial balance; write the adjustments; combine them; sort the results; total and find the balancing figure. Each pair must agree, except the last two, which agree only after the balancing figure is added.

FOLLOWING THREE ACCOUNTS ACROSS THE SHEET

Before the full builds, follow three accounts of the bakery from the left side of the sheet to the right. This is the best way to see what each pair does. The accounts are Prepaid Rent, Sales Revenue and Wages Payable, and the table gives the stages.

THREE ACCOUNTS OF THE BAKERY FOLLOWED ACROSS THE WORKSHEET (TK)

ACCOUNT	TRIAL BALANCE	ADJUSTMENT	ADJUSTED BALANCE	GOES TO
Prepaid Rent	45,000 debit	(a) 15,000 credit	30,000 debit	Balance sheet, debit
Sales Revenue	200,000 credit	(d) 2,000 and (f) 10,000 credit	212,000 credit	Income statement, credit
Wages Payable	nil	(e) 4,000 credit	4,000 credit	Balance sheet, credit

Read each row as a short story. Prepaid Rent started the month at Tk 45,000, because the bakery paid three months of rent on 3 January. One month of the rent has been used, so the adjustment removes Tk 15,000, and Tk 30,000 remains as an asset in the balance sheet. Sales Revenue started at Tk 200,000. The adjustments add Tk 12,000 of revenue that was earned and not yet recorded, so the revenue grows to Tk 212,000 and goes to the income statement. Wages Payable had no balance, because no wages were owed in the books; the adjustment creates a liability of Tk 4,000.

WORKED EXAMPLE 7: A SMALL WORKSHEET

Rina owns a small tailoring shop, an illustrative business that is not part of the bakery's books. Her month ends on 30 April 2026. The next table gives her unadjusted trial balance.

RINA'S TAILORING SHOP: UNADJUSTED TRIAL BALANCE, 30 APRIL 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	20,000	
Accounts Receivable	6,000	
Supplies	8,000	
Prepaid Rent	12,000	
Equipment	30,000	
Accounts Payable		7,000
Owner's Capital		50,000
Owner's Drawings	4,000	
Sales Revenue		35,000
Wages Expense	10,000	
Utilities Expense	2,000	
Total	92,000	92,000

Given. The trial balance above, and four adjustments. (a) A count shows that Tk 3,000 of supplies is on hand, so Tk 5,000 was used. (b) The prepaid rent of Tk 12,000 covered three months, and one month has passed, so Tk 4,000 is used. (c) Depreciation of the equipment is Tk 1,000 for the month. (d) Wages of Tk 2,000 are owed and not yet paid. *Find.* The completed worksheet and the profit for April.

Formula. Adjusted balance = unadjusted balance, plus adjustments on the same side, minus adjustments on the opposite side. Profit = total of the income statement credits – total of the income statement debits.

Steps. The figure below shows the finished worksheet. Follow it in order. Pair 1 copies the table above, and each side totals Tk 92,000. Five accounts are missing from the trial balance, and the accountant adds them on new lines: Accumulated Depreciation, Wages Payable, Rent Expense, Supplies Expense and Depreciation Expense. In pair 2, adjustment (a) debits Supplies Expense and credits Supplies for Tk 5,000. Adjustment (b) debits Rent Expense and credits Prepaid Rent for Tk 4,000. Adjustment (c) debits Depreciation Expense and credits Accumulated Depreciation for Tk 1,000. Adjustment (d) debits Wages Expense and credits Wages Payable for Tk 2,000. Each side of pair 2 totals Tk 12,000.

The facts: four adjustments and the question.

The formula is the rule of step three and the rule of step five.

The steps are shown in the figure, and we read them in order.

Account Tk	1 Trial balance		2 Adjust- ments		3 Adjusted trial balance		4 Income statement		5 Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash	20,000				20,000				20,000	
Accounts Receivable	6,000				6,000				6,000	
Supplies	8,000		(a) 5,000		3,000				3,000	
Prepaid Rent	12,000		(b) 4,000		8,000				8,000	
Equipment	30,000				30,000				30,000	
Accumulated Depreciation			(c) 1,000			1,000				1,000
Accounts Payable		7,000				7,000				7,000
Wages Payable			(d) 2,000			2,000				2,000
Owner's Capital		50,000				50,000				50,000
Owner's Drawings	4,000				4,000				4,000	
Sales Revenue		35,000				35,000		35,000		
Wages Expense	10,000		(d) 2,000		12,000		12,000			
Rent Expense			(b) 4,000		4,000		4,000			
Supplies Expense			(a) 5,000		5,000		5,000			
Utilities Expense	2,000				2,000		2,000			
Depreciation Expense			(c) 1,000		1,000		1,000			
Totals	92,000	92,000	12,000	12,000	95,000	95,000	24,000	35,000	71,000	60,000
Net profit							11,000			11,000
Totals							35,000	35,000	71,000	71,000

FIG. 37. Rina's tailoring shop: the completed ten-column worksheet for April 2026 (Tk). Letters (a) to (d) mark the four adjustments.

Pairs three to five follow from the rules of steps three to five.

Steps, continued. In pair 3, Supplies becomes $8,000 - 5,000 = 3,000$ debit. Prepaid Rent becomes $12,000 - 4,000 = 8,000$ debit. Wages Expense becomes $10,000 + 2,000 = 12,000$ debit. The three new accounts take their adjustment amounts. Pair 3 totals Tk 95,000 on each side. Revenue and expense lines go to pair 4: debits of 12,000, 4,000, 5,000, 2,000 and 1,000, which total Tk 24,000, and a credit of Tk 35,000 for sales. Everything else goes to pair 5: debits of 71,000 and credits of 60,000. The balancing figure is $35,000 - 24,000 = \text{Tk } 11,000$, a profit. It is written in the debit column of pair 4, and in the credit column of pair 5. Pair 4 then totals 35,000 on each side, and pair 5 totals 71,000 on each side.

The answer, and three checks that the sheet is right.

Answer. Rina's profit for April is Tk 11,000. *Check.* There are three tests. The totals of pair 2 are equal, at 12,000. The totals of pair 3 are equal, at 95,000. And the balancing figure for the income statement, 11,000, is equal to the balancing figure for the balance sheet, 11,000. A sheet that passes all three tests is arithmetically sound.

Recap and a test sentence for the first build.

Recap. The sheet takes the trial balance from left to right through the adjustments to the two statements, and the profit appears as one figure, used twice. *You should now be able to say:* the worksheet combines the trial balance with the adjustments, sorts the result into the income statement and the balance sheet, and finds the profit as the balancing figure that makes both pairs agree.

Pause and check: two questions on the small sheet.

Pause and check. (1) In Rina's sheet, why does Supplies appear in the balance sheet columns, and Supplies Expense in the income statement columns? (2) If Rina's wages owed were Tk 3,000 and not Tk 2,000, which totals on the sheet would change, and what would the profit become?

WORKED EXAMPLE 8: THE BAKERY'S JANUARY WORKSHEET

The bakery's sheet has seventeen accounts and six adjustments.

Now we build the sheet for Mitali Bakery. The trial balance has twelve accounts, and five more are needed for the adjustments. The accounts are listed in the order of the chart of accounts. The six adjustments are those of Chapter 9, and we call them (a) to (f) in the order A1 to A6.

The facts and the question for the bakery.

Given. The unadjusted trial balance of 31 January 2026 (debits and credits Tk 792,000) and the six adjustments of Chapter 9: (a) rent used, Tk 15,000; (b) supplies used, Tk 22,000; (c) depreciation, Tk 2,000, as section 10.4 explained; (d)

revenue earned from the advance, Tk 2,000; (e) wages owed, Tk 4,000; (f) revenue earned and not yet billed, Tk 10,000. *Find.* The completed worksheet and the January profit.

Steps 1 and 2. The next table shows the first two pairs. The adjustments of the same account are combined in one cell. Sales Revenue has two credit adjustments, (d) and (f), which total Tk 12,000.

Steps one and two: the trial balance and the adjustments.

THE BAKERY'S WORKSHEET, PAIRS 1 AND 2: TRIAL BALANCE AND ADJUSTMENTS (TK)

ACCOUNT	TRIAL BALANCE DEBIT	TRIAL BALANCE CREDIT	ADJUSTMENTS DEBIT	ADJUSTMENTS CREDIT
Cash	400,000			
Accounts Receivable	15,000		(f) 10,000	
Supplies	30,000			(b) 22,000
Prepaid Rent	45,000			(a) 15,000
Equipment	240,000			
Accumulated Depreciation: Equipment				(c) 2,000
Accounts Payable		80,000		
Unearned Revenue		12,000	(d) 2,000	
Wages Payable				(e) 4,000
Owner's Capital		500,000		
Owner's Drawings	20,000			
Sales Revenue		200,000		(d, f) 12,000
Wages Expense	36,000		(e) 4,000	
Rent Expense			(a) 15,000	
Supplies Expense			(b) 22,000	
Utilities Expense	6,000			
Depreciation Expense			(c) 2,000	
Total	792,000	792,000	55,000	55,000

Check the totals of pair 2. The debits are $10,000 + 2,000 + 4,000 + 15,000 + 22,000 + 2,000 = \text{Tk } 55,000$. The credits are $22,000 + 15,000 + 2,000 + 4,000 + 12,000 = \text{Tk } 55,000$. Both pairs agree, and we may go on.

Check pair 2: debits 10,000 plus 2,000 plus 4,000 plus 15,000 plus 22,000 plus 2,000.

Step 3. The next table combines the first two pairs for the eleven accounts that the adjustments change. The six other accounts (Cash, Equipment, Accounts Payable, Owner's Capital, Owner's Drawings and Utilities Expense) move across unchanged.

Step three: each adjusted balance, by the rule of same side and opposite side.

COMBINING THE TRIAL BALANCE WITH THE ADJUSTMENTS (TK)

ACCOUNT	UNADJUSTED	ADJUSTMENT	ADJUSTED
Accounts Receivable	15,000 debit	add 10,000 debit	25,000 debit
Supplies	30,000 debit	subtract 22,000 credit	8,000 debit
Prepaid Rent	45,000 debit	subtract 15,000 credit	30,000 debit
Accumulated Depreciation	nil	add 2,000 credit	2,000 credit
Unearned Revenue	12,000 credit	subtract 2,000 debit	10,000 credit
Wages Payable	nil	add 4,000 credit	4,000 credit
Sales Revenue	200,000 credit	add 12,000 credit	212,000 credit
Wages Expense	36,000 debit	add 4,000 debit	40,000 debit
Rent Expense	nil	add 15,000 debit	15,000 debit
Supplies Expense	nil	add 22,000 debit	22,000 debit
Depreciation Expense	nil	add 2,000 debit	2,000 debit

The adjusted trial balance totals Tk 808,000 on each side.

Steps four and five: sorting, totalling and the balancing figure.

Total the adjusted balances. The debits are $400,000 + 25,000 + 8,000 + 30,000 + 240,000 + 20,000 + 40,000 + 15,000 + 22,000 + 6,000 + 2,000 = \text{Tk } 808,000$. The credits are $2,000 + 80,000 + 10,000 + 4,000 + 500,000 + 212,000 = \text{Tk } 808,000$. The totals agree with the adjusted trial balance of Chapter 9.

Steps 4 and 5. The next table sorts each adjusted balance into the income statement or the balance sheet columns, totals them, and finds the balancing figure.

THE BAKERY'S WORKSHEET, PAIRS 4 AND 5: INCOME STATEMENT AND BALANCE SHEET (TK)

ACCOUNT	INCOME STATEMENT DEBIT	INCOME STATEMENT CREDIT	BALANCE SHEET DEBIT	BALANCE SHEET CREDIT
Cash			400,000	
Accounts Receivable			25,000	
Supplies			8,000	
Prepaid Rent			30,000	
Equipment			240,000	
Accumulated Depreciation: Equipment				2,000
Accounts Payable				80,000
Unearned Revenue				10,000
Wages Payable				4,000
Owner's Capital				500,000
Owner's Drawings			20,000	
Sales Revenue		212,000		
Wages Expense	40,000			
Rent Expense	15,000			
Supplies Expense	22,000			
Utilities Expense	6,000			
Depreciation Expense	2,000			
Totals before the balancing figure	85,000	212,000	723,000	596,000
Net profit (balancing figure)	127,000			127,000
Totals	212,000	212,000	723,000	723,000

The credit total of the income statement pair, Tk 212,000, is larger than the debit total, Tk 85,000. The difference is $212,000 - 85,000 = \text{Tk } 127,000$, and it is a profit. We write it in the debit column of the income statement pair, and then both columns total Tk 212,000. The same Tk 127,000 goes to the credit column of the balance sheet pair, and then both columns total Tk 723,000. The next figure shows the whole worksheet at a glance, with the amounts in thousands of taka.

The credit total of pair 4 is larger, so the balancing figure is a profit.

Account Tk 000	1 Trial balance		2 Adjust- ments		3 Adjusted trial balance		4 Income statement		5 Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash	400				400				400	
Accounts Receivable	15		(f) 10		25				25	
Supplies	30		(b) 22		8				8	
Prepaid Rent	45		(a) 15		30				30	
Equipment	240				240				240	
Accumulated Depreciation			(c) 2			2				2
Accounts Payable		80				80				80
Unearned Revenue		12	(d) 2			10				10
Wages Payable			(e) 4			4				4
Owner's Capital		500				500				500
Owner's Drawings	20				20				20	
Sales Revenue		200	(d,f) 12			212		212		
Wages Expense	36		(e) 4		40		40			
Rent Expense			(a) 15		15		15			
Supplies Expense			(b) 22		22		22			
Utilities Expense	6				6		6			
Depreciation Expense			(c) 2		2		2			
Totals	792	792	55	55	808	808	85	212	723	596
Net profit							127			127
Totals							212	212	723	723

FIG. 38. The bakery's complete ten-column worksheet for January 2026, in thousands of taka (Tk 000). Letters (a) to (f) mark the six adjustments.

The answer, and three checks that agree with Chapter 9.

Answer. The profit of Mitali Bakery for January 2026 is Tk 127,000. **Check.** The totals of pair 2 are equal at Tk 55,000. The totals of pair 3 are equal at Tk 808,000. The two balancing figures are both Tk 127,000. The profit also agrees with Chapter 9: revenue of Tk 212,000 less expenses of Tk 85,000 gives Tk 127,000. It is Tk 31,000 lower than the unadjusted profit of Chapter 5, which was Tk 158,000.

A test sentence and a recap for the bakery build.

You should now be able to say: in the bakery's sheet, every account passes from the trial balance through the adjustments to one of the two statement pairs, and the profit of Tk 127,000 is the figure that makes the income statement pair and the balance sheet pair agree.

WHEN THE RESULT IS A LOSS

The rule reverses when expenses are larger than revenue.

The bakery earned a profit in January, but a business may have a loss, and the rule then reverses. Suppose that the income statement columns of a small shop total debits of Tk 30,000 and credits of Tk 24,000. The debits are larger, so the shop has a loss of $30,000 - 24,000 = \text{Tk } 6,000$. The loss is written in the credit column of the income statement pair, and both columns then total Tk 30,000. The same Tk 6,000 is written in the debit column of the balance sheet pair, because a loss reduces the owner's equity. The two balancing figures are again equal, and the balance sheet columns agree.

11.4 FROM THE WORKSHEET TO THE STATEMENTS AND ENTRIES

The finished sheet supplies four things.

A finished worksheet is useful only when its figures are used. It supplies four things: the income statement, the balance sheet with the statement of owner's equity, the adjusting entries, and the closing entries. The diagram below shows where each one comes from.

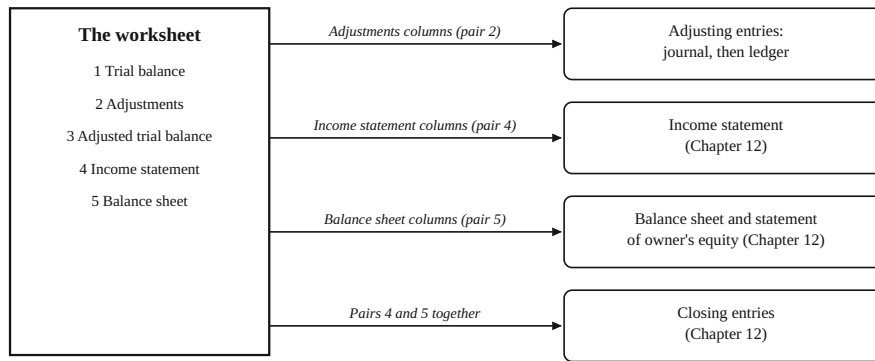


FIG. 39. From the worksheet to the statements and the entries.

The income statement. Pair 4 holds all the revenue and expense accounts. Its credit side shows revenue of Tk 212,000. Its debit side lists the expenses of Tk 85,000: wages Tk 40,000, supplies Tk 22,000, rent Tk 15,000, utilities Tk 6,000 and depreciation Tk 2,000. The difference is the profit of Tk 127,000. Chapter 12 sets these figures in the proper form of a statement, with a heading and a layout. The worksheet gives only the figures.

The balance sheet and the statement of owner's equity. Pair 5 holds the assets, the liabilities, the capital, the drawings and the profit. The assets, less the accumulated depreciation, are $400,000 + 25,000 + 8,000 + 30,000 + 240,000 - 2,000 = \text{Tk } 701,000$. The liabilities are $80,000 + 10,000 + 4,000 = \text{Tk } 94,000$. The owner's equity at the end of the month is the opening capital plus the profit minus the drawings: $500,000 + 127,000 - 20,000 = \text{Tk } 607,000$. The check is the accounting equation of Chapter 4. Liabilities plus equity are $94,000 + 607,000 = \text{Tk } 701,000$, and they equal the assets.

The adjusting entries. Pair 2 shows each adjustment with its letter. The accountant journalises and posts these entries in the books. The sheet itself does not do that. The next table lists the entries for the bakery, in the order of the letters.

THE ADJUSTING ENTRIES TO BE JOURNALISED FROM PAIR 2 OF THE WORKSHEET (TK)

LETTER	DEBIT	CREDIT	AMOUNT
(a)	Rent Expense	Prepaid Rent	15,000
(b)	Supplies Expense	Supplies	22,000
(c)	Depreciation Expense	Accumulated Depreciation: Equipment	2,000
(d)	Unearned Revenue	Sales Revenue	2,000
(e)	Wages Expense	Wages Payable	4,000
(f)	Accounts Receivable	Sales Revenue	10,000

The closing entries. Pairs 4 and 5 show which accounts are temporary and which are permanent. Chapter 12 uses the revenue, expense and drawings figures to write the closing entries. The worksheet saves the accountant from searching the ledger for them.

Today most accountants use spreadsheet software on a computer, and not paper. The layout is the same, with columns for the trial balance, the adjustments and the statement figures. The software adds the columns and combines the figures. The accountant must still decide which adjustments are needed and in which column each account belongs, because the software cannot decide that.

The income statement is read from pair 4.

The balance sheet and the equity statement come from pair 5.

The adjustments columns are the source of the journal entries.

The two statement pairs also give the closing entries.

A worksheet on paper has become a spreadsheet on a screen.

Before moving on: what the sheet supplies and what it leaves undone.

Before moving on. The worksheet supplies the figures of the two statements, the list of adjusting entries and the figures for closing. It does not record the entries. The accountant must still journalise and post them.

11.5 COMMON SLIPS AND CHECKS

Most slips fall into five kinds.

The worksheet is mostly arithmetic, and most slips are small. Students make five kinds of slip. They forget to add a new account that an adjustment needs. They place a figure in the wrong column, for example a credit balance in a debit column. They add an adjustment when they should subtract it. They place drawings or capital in the income statement columns. And they treat the agreement of totals as proof that every figure is right.

A slip in one cell is found by the difference between the totals.

Here is a worked slip. Suppose that in the bakery's sheet the accountant adds the prepaid rent adjustment of Tk 15,000 to the balance, and writes 60,000 for Prepaid Rent in pair 3, instead of subtracting it to give 30,000. The debit total of pair 3 becomes Tk 838,000, and the credit total stays at Tk 808,000. The difference is $838,000 - 808,000 = \text{Tk } 30,000$. This difference is exactly twice the adjustment of Tk 15,000. A difference that is twice an amount is a strong sign that the amount has been placed on the wrong side, or added when it should have been subtracted. The accountant looks first for an amount of half the difference.

A second slip hides inside the balancing figure.

A second slip is harder to find, because the usual check does not catch it. Suppose that the accountant writes the Utilities Expense of Tk 6,000 in the balance sheet debit column and not in the income statement debit column. Pair 3 is correct and balanced, so the sorting looks reasonable. But the income statement debits now total $85,000 - 6,000 = \text{Tk } 79,000$, and the profit appears as $212,000 - 79,000 = \text{Tk } 133,000$. The balance sheet debits grow to Tk 729,000 and the credits, with the profit, become $596,000 + 133,000 = \text{Tk } 729,000$. The two balancing figures are both Tk 133,000, so they agree, and the sheet seems sound.

Worked slip: the profit is checked against an independent calculation.

Given. A worksheet whose two balancing figures are both Tk 133,000, and an adjusted trial balance with revenue of Tk 212,000 and expense accounts that add to Tk 85,000. *Find.* Whether the profit is correct, and if not, which line is wrong. *Steps.* Add the expense balances of the adjusted trial balance: $40,000 + 15,000 + 22,000 + 6,000 + 2,000 = \text{Tk } 85,000$. The profit should be $212,000 - 85,000 = \text{Tk } 127,000$. The sheet shows Tk 133,000, which is Tk 6,000 too high. Look for an expense of Tk 6,000 and you find Utilities Expense in the wrong pair. *Answer.* The utilities line belongs in the income statement debit column. *Check.* After moving it, the income statement debits are Tk 85,000, the profit is Tk 127,000, and the balance sheet columns total Tk 723,000 on each side, as before.

Lesson: equal balancing figures do not prove that every line is in the right pair.

The lesson is that equal balancing figures show only that the copying and the adding are sound. They do not show that every line stands in the right pair. The best test is an independent one: add the revenue and expense balances of pair 3 separately, and compare the result with the balancing figure.

Five checks, and what a failure means.

The next table lists the checks that every worksheet should pass, and the meaning of a failure.

CHECKS ON A TEN-COLUMN WORKSHEET

CHECK	IF IT FAILS
Pair 1 totals are equal	The ledger or the trial balance has an error; stop and correct it first (Chapter 8)
Pair 2 totals are equal	An adjusting entry is unbalanced, or an amount is on one side only
Pair 3 totals are equal	An error in combining the figures of pairs 1 and 2
Pair 4 and pair 5 balancing figures are equal	A figure was lost, copied wrongly or added wrongly after pair 3
Net profit agrees with revenue minus expenses taken from pair 3	A line stands in the wrong pair, or a line is missing

A last warning comes from Chapter 8. A worksheet whose totals agree can still be wrong. If the accountant records the supplies used as Tk 20,000 on both sides of pair 2 when the count shows Tk 22,000, every total still agrees, and the profit is wrong by Tk 2,000. Only the source documents can reveal such an error, in this case the count of supplies. The checks above test the arithmetic, and they do not test the facts.

Before moving on. The common slips are a missing account, a wrong column, a wrong sign, a wrong statement pair, and false trust in agreeing totals. A difference between totals that equals twice an amount points to a wrong side. A line in the wrong pair is found by an independent calculation of the profit.

Agreement of the totals does not prove that every figure is right.

Before moving on: five slips and a method.



THE WORKSHEET IN THE CASE FILE

Case file, illustrative. The worksheet of Mitali Bakery for the month ended 31 January 2026 starts from the unadjusted trial balance of Tk 792,000 and the six adjustments of Chapter 9. The adjusted trial balance totals Tk 808,000 on each side. The balancing figure of Tk 127,000 appears in both statement pairs and is the net profit of the month. The books themselves are unchanged until the adjusting entries are journalised and posted.

Case file, illustrative. The sheet gives the figures for Chapter 12: revenue of Tk 212,000, expenses of Tk 85,000, net profit of Tk 127,000, total assets of Tk 701,000, liabilities of Tk 94,000, and owner's equity of Tk 607,000 after the drawings of Tk 20,000. Chapter 13 shows a worksheet for a merchandising business.

The case file holds the sheet of January 2026.

Chapter 12 builds on these figures.



SUMMARY

The worksheet is a working paper in which the accountant gathers the trial balance, the adjustments and the statement figures in columns. It is not a financial statement, and it does not change the books. The ten-column form has five pairs of columns: trial balance, adjustments, adjusted trial balance, income statement and balance sheet. The accountant copies the trial balance, writes the adjustments, combines them, sorts the balances by kind of account, and finds the balancing figure that is the profit or the loss.

The chapter in one paragraph.

The use of the sheet in one paragraph.

A fresh worksheet with messier numbers and a loss.

The additional data and the tasks.

Mistake one: believing that the worksheet records the adjustments.

Mistake two: treating the worksheet as a financial statement.

The balancing figure appears in both statement pairs, and the two must agree. The finished sheet supplies the figures for the income statement, the balance sheet and the statement of owner's equity, the list of adjusting entries, and the closing entries. The entries must still be journalised and posted. Agreeing totals prove only the arithmetic, so the facts must be checked against the source documents.

THINK IT THROUGH

Salim owns a laundry, an illustrative business that is not part of the bakery's books. His month ends on 30 June 2026. The next table gives his unadjusted trial balance.

SALIM'S LAUNDRY: UNADJUSTED TRIAL BALANCE, 30 JUNE 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	48,000	
Accounts Receivable	21,500	
Supplies	16,400	
Prepaid Insurance	14,400	
Equipment	180,000	
Accumulated Depreciation: Equipment		36,000
Accounts Payable		27,300
Unearned Revenue		9,000
Owner's Capital		236,000
Owner's Drawings	15,000	
Laundry Revenue		58,100
Wages Expense	38,000	
Rent Expense	20,000	
Utilities Expense	9,600	
Advertising Expense	3,500	
Total	366,400	366,400

The additional data at 30 June are as follows. (a) Supplies on hand, by count: Tk 5,900. (b) The prepaid insurance of Tk 14,400 was paid on 1 June 2026 for twelve months. (c) The equipment cost Tk 180,000, has a residual value of Tk 12,000 and a useful life of seven years, depreciated by the straight-line method. (d) Wages owed and not paid: Tk 3,800. (e) Of the unearned revenue, services worth Tk 4,500 have now been provided. (f) Services worth Tk 6,200 were provided to a hotel on 29 June and not yet billed. Complete a ten-column worksheet for June, write the six adjusting entries, and state the profit or the loss. Say which two totals must be equal to show that the pairs are correct.

WHERE PEOPLE GO WRONG

"The worksheet has the adjustments, so the books are adjusted." They are not. The worksheet is a rough page. The adjusting entries must still be journalised and posted.

"The worksheet is the income statement." It is not. It holds the figures, but it has no statement form, and it is shown to no outside reader.

"Drawings is an expense, so it goes in the income statement columns." It is not an expense. Drawings goes in the balance sheet columns.

"The adjustment has no account, so I leave it out." An adjustment may need an account that the trial balance does not hold. Add a new line for it.

"The totals agree, so every figure is right." Agreement shows that the arithmetic is sound. It does not show that the supplies count, the rent, or the wages are correct.

"The profit goes in one column only." The same figure goes twice: in the income statement pair, to make it agree, and in the balance sheet pair, to make that agree. A loss is placed the other way round.

Mistake three: putting drawings in the income statement.

Mistake four: forgetting to add the new accounts.

Mistake five: trusting equal totals.

Mistake six: placing profit in the wrong columns.

IN HISTORY

Accountants prepared worksheets by hand, on large sheets of paper ruled in columns. In 1979 the first spreadsheet program for personal computers, VisiCalc, was released for the Apple II computer. It was written by Dan Bricklin, who conceived the idea as a student at the Harvard Business School in 1978, and by Bob Frankston. The program let a user enter figures in a grid of rows and columns, and the totals changed at once when a figure changed.

The grid of VisiCalc had the shape of the paper sheets of rows and columns that accountants and financial analysts used, with the difference that the arithmetic did itself. Many customers bought an Apple II computer in order to run this one program. Today's spreadsheet programs keep the same idea. A student who has understood the ten columns of this chapter will find the layout familiar on a screen.

The first spreadsheet program automated a paper of columns.

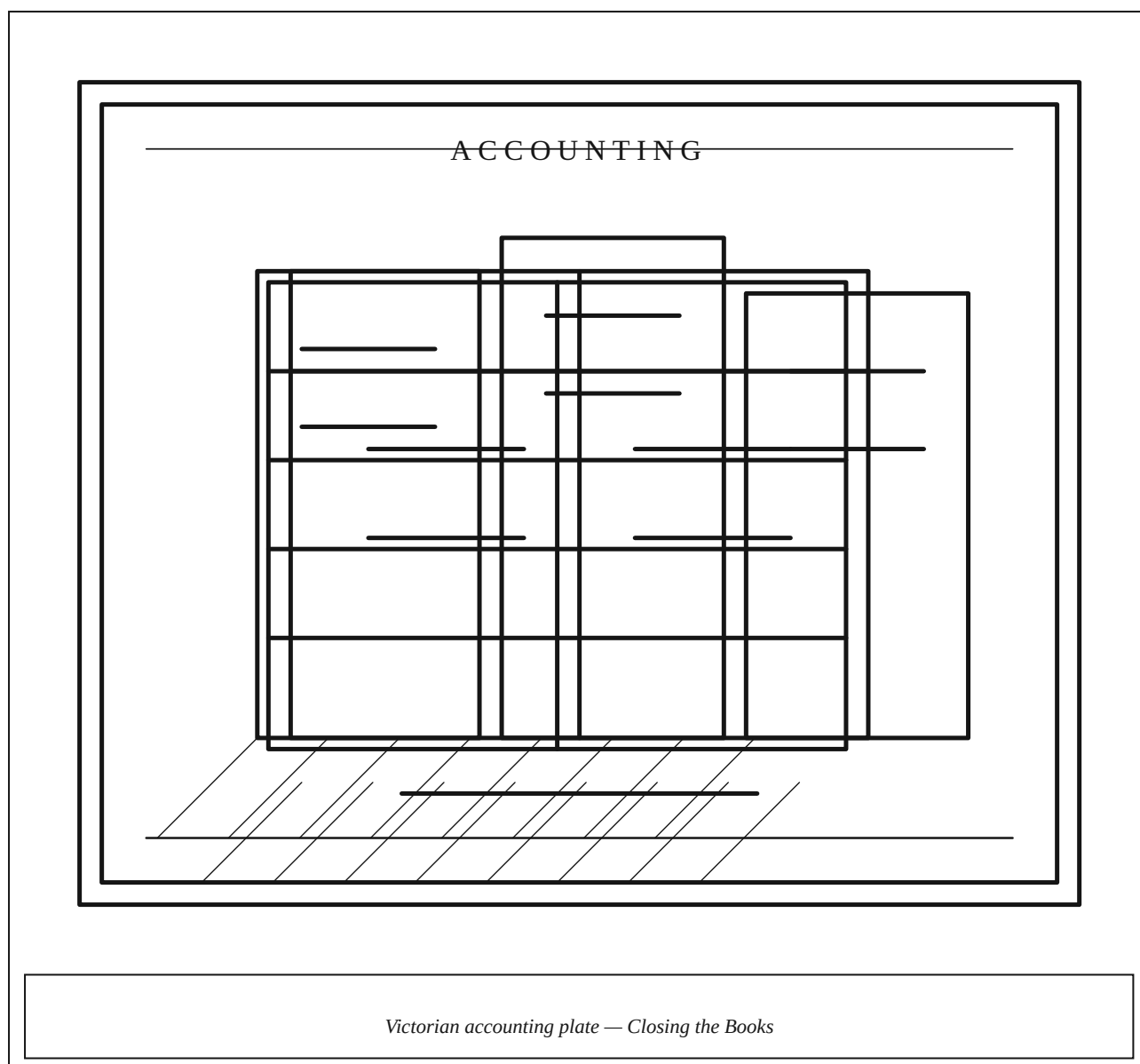
The same layout now serves every business.

REVIEW QUESTIONS

REVIEW QUESTIONS FOR CHAPTER 11

NO.	QUESTION
1	Say what a worksheet is, who prepares it, and when.
2	Explain why a worksheet is not a financial statement.
3	Name the five pairs of columns of a ten-column worksheet, in order.
4	Explain why a business may add new account lines to the worksheet.
5	State the rule for combining an unadjusted balance with an adjustment.
6	Say which accounts go to the income statement columns and which go to the balance sheet columns.
7	Explain what the balancing figure is, and in which columns it is written for a profit and for a loss.
8	State two checks that show a worksheet is arithmetically sound, and one thing that these checks cannot show.
9	List four things that a finished worksheet supplies.
10	After the worksheet is complete, why must the adjusting entries still be journalised?

Review questions for self-test; answers are at the back of the book.



CHAPTER XII

Closing the Books

In which a month ends, and the accounts are made ready to begin again.



Every account in the ledger still holds the figures of January. This chapter shows how the final statements are prepared from the adjusted figures, how revenue and expense accounts are brought to zero, and how a single test confirms that the books are ready for the next period. It ends with the whole accounting cycle, from the first transaction to the last entry.

On 1 February the ledger still shows January's figures, and two of them mislead.

The owner's capital account shows Tk 500,000, but the balance sheet says Tk 607,000.

The answer is to close the books: end the period tidily and begin the next one clean.

The worksheet holds all the figures; the statements present them to readers.

Prepare the statements in a fixed order, because each one feeds the next.

The income statement lists revenue, then each expense, and gives the profit as the difference.

THE PUZZLE OF THE SECOND MONTH

On the morning of 1 February 2026, Mitali Rahman opens her ledger. The Sales Revenue account shows Tk 212,000, the revenue of January. That evening she records a sale of Tk 5,000, and the account shows Tk 217,000. She now asks a simple question: how much did the bakery earn in February? The ledger cannot answer. She must remember the January figure and subtract it every time she looks.

A second difficulty is hidden in the Owner's Capital account. It still shows Tk 500,000, the amount she invested on 1 January. Yet the balance sheet of 31 January says that her equity is Tk 607,000. The profit of Tk 127,000 and her drawings of Tk 20,000 appear in the statements. They do not yet appear in the account that is meant to hold her equity.

Both difficulties have one cure. At the end of each period the accountant **closes** the revenue and expense accounts, which means that their balances are moved to the owner's capital account and the accounts return to zero. This chapter teaches that cure in six steps. We first prepare the final statements (12.1). We then ask which accounts must be closed and why (12.2), perform the closing entries (12.3), test the result (12.4), and learn an optional entry for the new period (12.5). Last, we view the whole accounting cycle as one picture (12.6).



12.1 THE FINANCIAL STATEMENTS FROM THE WORKSHEET

At the end of Chapter 11 the worksheet for January held every figure that the statements need. Its income statement columns show revenue and expenses. Its balance sheet columns show assets, liabilities, the owner's capital and drawings. The worksheet is a working paper, and nobody outside the accountant's office reads it. The statements are the formal reports that the owner, the bank and the tax authority read.

The order is fixed by the way the statements connect (Chapter 5). The income statement comes first, because it gives the net profit. The statement of owner's equity comes second, because it needs the net profit to find the closing equity. The balance sheet comes third, because it needs the closing equity. Each statement carries a heading of three lines: the name of the business, the name of the statement, and the period or date.

We begin with the income statement. Revenue is Tk 212,000. Expenses are the five amounts in the adjusted trial balance: wages, rent, supplies used, utilities and depreciation. Net profit is revenue minus expenses.

MITALI BAKERY: INCOME STATEMENT FOR THE MONTH ENDED 31 JANUARY 2026 (TK)

ITEM	TK	TK
Revenue: sales revenue		212,000
Expenses: wages	40,000	
Rent	15,000	
Supplies used	22,000	
Utilities	6,000	
Depreciation of equipment	2,000	
Total expenses		85,000
Net profit		127,000

The statement of owner's equity follows. The bakery began on 1 January, so the opening capital is zero. The owner invested Tk 500,000. The net profit of Tk 127,000 comes from the income statement. The owner took Tk 20,000 as drawings.

The equity statement starts with capital, adds the investment and profit, and takes away drawings.

MITALI BAKERY: STATEMENT OF OWNER'S EQUITY FOR THE MONTH ENDED 31 JANUARY 2026 (TK)

ITEM	TK
Owner's capital, 1 January 2026	0
Add: investment by the owner	500,000
Add: net profit for January	127,000
Less: drawings	20,000
Owner's capital, 31 January 2026	607,000

The balance sheet is the last of the three. We use the report form, which lists assets, then liabilities, then owner's equity, down the page. The equipment is shown at cost less accumulated depreciation, so the reader sees both the cost and the book value. Chapter 13 will group these items into current and non-current sections.

The balance sheet lists assets, then liabilities, then the closing equity, on one date.

MITALI BAKERY: BALANCE SHEET AT 31 JANUARY 2026 (TK)

ITEM	TK	TK
Assets: cash		400,000
Accounts receivable		25,000
Supplies		8,000
Prepaid rent		30,000
Equipment at cost	240,000	
Less: accumulated depreciation	2,000	238,000
Total assets		701,000
Liabilities: accounts payable	80,000	
Unearned revenue	10,000	
Wages payable	4,000	
Total liabilities		94,000
Owner's equity: owner's capital		607,000
Total liabilities and owner's equity		701,000

Three quick checks confirm that the statements agree with each other and with the worksheet.

These statements replace the unadjusted figures of Chapter 5, and every main figure has changed.

Before moving on: statements come from adjusted figures, in the order income, equity, balance sheet.

A taxi has a trip meter that is reset for each journey and an odometer that is never reset.

Temporary account. An account that measures one period only and is brought to zero at the period end.

Permanent account. An account that keeps its balance from one period into the next.

Revenue, expense and drawings accounts are temporary; asset, liability and capital accounts are permanent.

We now check the three statements. First, the net profit of Tk 127,000 equals the balancing figure on the worksheet. Second, the closing capital of Tk 607,000 in the equity statement equals the capital in the balance sheet. Third, the balance sheet balances: total assets of Tk 701,000 equal liabilities of Tk 94,000 plus equity of Tk 607,000. If any check fails, the error lies in the worksheet or in the adjusted figures, and the statements must not be issued.

Chapter 5 gave statements from the unadjusted figures. The adjusting entries of Chapter 9 changed them, and the table below shows by how much. The changes agree with each other: assets fell by Tk 29,000, liabilities rose by Tk 2,000, and equity fell by Tk 31,000, so that the equation still balances ($-29,000 = +2,000 - 31,000$).

UNADJUSTED AND ADJUSTED FIGURES FOR JANUARY 2026 (TK)

ITEM	CHAPTER 5	CHAPTER 12	CHANGE
Net profit	158,000	127,000	-31,000
Total assets	730,000	701,000	-29,000
Total liabilities	92,000	94,000	+2,000
Owner's equity, 31 January	638,000	607,000	-31,000

Before moving on. The statements are prepared from the adjusted figures, never from the unadjusted ones. The order is the income statement, the statement of owner's equity, and the balance sheet. You should now be able to say why the order cannot be changed.

12.2 TEMPORARY AND PERMANENT ACCOUNTS: WHY BOOKS ARE CLOSED

Consider a taxi. It has a trip meter and an odometer. The trip meter measures one journey and is set to zero before the next journey. The odometer measures the whole life of the car and is never set to zero. Accounts behave in the same two ways. Some accounts measure one period only. Others measure what the business holds at a moment and must keep their balance from one period to the next.

An account that measures one period only is a **temporary account**. Revenue accounts, expense accounts and the drawings account are temporary. An account that keeps its balance into the next period is a **permanent account**. Asset accounts, liability accounts and the owner's capital account are permanent.¹ The Income Summary account, which we meet in the next section, is temporary: it exists for a moment during closing and always ends at zero.

¹ Some books call temporary accounts *nominal accounts* and permanent accounts *real accounts*. This book uses *temporary* and *permanent* throughout.

THE SIX KINDS OF ACCOUNT AND THEIR TYPE

KIND OF ACCOUNT	EXAMPLE	TYPE
Asset	Cash, Equipment	Permanent
Liability	Accounts Payable	Permanent
Owner's capital	Owner's Capital	Permanent
Drawings	Owner's Drawings	Temporary
Revenue	Sales Revenue	Temporary
Expense	Rent Expense	Temporary

The table needs two comments. First, the drawings account belongs to equity, yet it is temporary, because drawings are measured for one period. Second, a contra account takes the type of the account it reduces. Accumulated Depreciation: Equipment reduces an asset, so it is permanent and is never closed. It must keep growing for as long as the equipment is used.

Why must temporary accounts be closed? The income statement reports the revenue and expenses of one period. If the revenue account still held January's amount in February, the February income statement would show January and February together. Closing returns each temporary account to zero, and the new period begins with a clean record. This is the answer to the first half of the puzzle.

Closing also repairs the capital account. During the period, profit and drawings are held in temporary accounts, so the Owner's Capital account does not show the owner's true equity. Closing moves the net profit and the drawings into Owner's Capital. After closing, the account shows Tk 607,000, and the balance sheet agrees with the ledger.

Before moving on. Temporary accounts (revenue, expenses, drawings) measure one period and are closed. Permanent accounts (assets, liabilities, capital) continue into the next period. You should now be able to say which kind of account the trip meter resembles, and why.

The table shows each kind of account and its type; the contra account follows its parent.

The income statement covers one period, so its accounts must start each period at zero.

Closing also moves profit and drawings into capital, which answers the second half of the puzzle.

Before moving on: temporary accounts measure one period and are closed; permanent accounts continue.

12.3 CLOSING ENTRIES STEP BY STEP

Closing entries are journal entries made at the end of a period. Each closing entry brings a temporary account to zero by entering its balance on the opposite side. They are journalised and posted in the same way as every other entry (Chapter 7). The rule is short: to close a credit balance, debit the account; to close a debit balance, credit the account.

We could move every revenue and expense balance directly to Owner's Capital. We use a middle account instead, called the **income summary**. It is a temporary account that gathers all revenue and all expenses. Its balance, after both have been moved, is the net profit or loss. It gives the accountant a place to see the result, and a check against the income statement.²

Closing entries are journal entries; each brings a temporary account to zero.

Closing entries. Journal entries at period end that bring temporary accounts to zero.

Income summary. A temporary account that gathers revenue and expenses before the profit moves to capital.

The income summary account collects revenue and expenses, so that the profit appears in one place.

² In some countries this account is called the *profit and loss account*. The income statement is the report; the Income Summary is the ledger account that proves it.

Closing takes four steps, shown in Fig. 1: revenue, expenses, the income summary, and drawings.

There are four steps. Step 1 closes the revenue accounts to the Income Summary. Step 2 closes the expense accounts to the Income Summary. Step 3 closes the Income Summary to the Owner's Capital. Step 4 closes the drawings account to the Owner's Capital. Drawings do not pass through the Income Summary, because drawings are not an expense. They are a withdrawal by the owner.

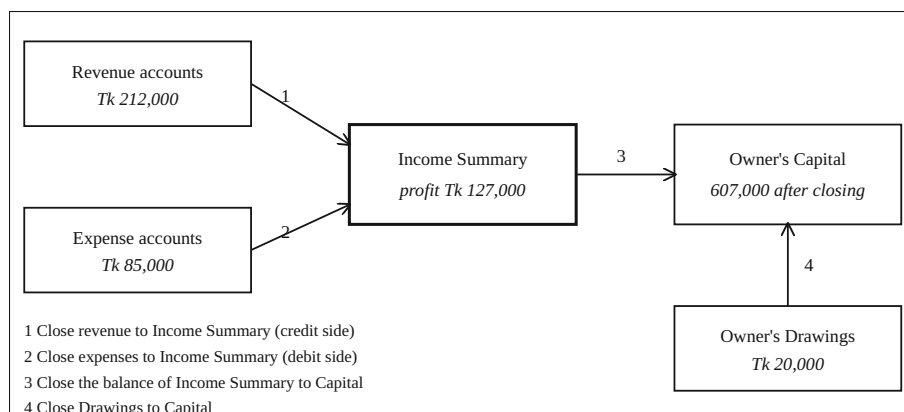


FIG. 40. The four closing entries for January 2026

The first example uses the bakery's January figures, laid out in the standard order.

Given. The adjusted balances of the temporary accounts at 31 January 2026: Sales Revenue Tk 212,000 (credit); Wages Expense 40,000, Rent Expense 15,000, Supplies Expense 22,000, Utilities Expense 6,000, Depreciation Expense 2,000 (all debit); Owner's Drawings 20,000 (debit); Owner's Capital 500,000 (credit).

Find. The four closing entries, and the balance of Owner's Capital after closing.

Formula. To close an account, enter its balance on the opposite side. Net profit = revenue – expenses.

Steps. Step 1: the revenue account has a credit balance, so we debit it and credit the Income Summary. Step 2: each expense account has a debit balance, so we credit each one, and debit the Income Summary once for the total.

CLOSING ENTRIES, 31 JANUARY 2026 (TK)

DATE	ACCOUNT	DEBIT	CREDIT
31 Jan	Sales Revenue	212,000	
	Income Summary		212,000
31 Jan	Income Summary	85,000	
	Wages Expense		40,000
	Rent Expense		15,000
	Supplies Expense		22,000
	Utilities Expense		6,000
	Depreciation Expense		2,000
31 Jan	Income Summary	127,000	
	Owner's Capital		127,000
31 Jan	Owner's Capital	20,000	
	Owner's Drawings		20,000

After step 2 the income summary shows the profit as a credit balance; step 3 moves it to capital.

After step 2 the Income Summary has a credit of Tk 212,000 and a debit of Tk 85,000. The difference is a credit balance of Tk 127,000. This equals the net

profit on the income statement. Step 3 debits the Income Summary for Tk 127,000, which brings it to zero, and credits Owner's Capital for the same amount. Step 4 reduces Owner's Capital by the drawings of Tk 20,000.

Answer. The Owner's Capital account after closing is $\text{Tk } 500,000 + 127,000 - 20,000 = \text{Tk } 607,000$.

Check. Every revenue, expense and drawings account now has a zero balance. The Income Summary has a zero balance. The capital of Tk 607,000 equals the closing equity in 12.1.

THE OWNER'S CAPITAL ACCOUNT BEFORE AND AFTER CLOSING (TK)

STAGE	DEBIT	CREDIT	BALANCE
Before closing		500,000	500,000 credit
Step 3: profit		127,000	627,000 credit
Step 4: drawings	20,000		607,000 credit

The permanent accounts take no part. Cash stays at Tk 400,000, and Accumulated Depreciation stays at Tk 2,000. The closing entries change only the temporary accounts and the Owner's Capital account.

A second example: a loss. Rahim Tailoring (illustrative) ends its first quarter with revenue of Tk 30,000, expenses of Tk 38,000 and drawings of Tk 5,000. Its capital before closing is Tk 100,000. Step 1 debits Sales Revenue 30,000 and credits Income Summary 30,000. Step 2 debits Income Summary 38,000 and credits the expense accounts 38,000. The Income Summary now has a debit balance of Tk 8,000, which is the net loss. Step 3 reverses the direction: debit Owner's Capital 8,000 and credit Income Summary 8,000. Step 4 debits Owner's Capital 5,000 and credits Owner's Drawings 5,000.

The capital after closing is $\text{Tk } 100,000 - 8,000 - 5,000 = \text{Tk } 87,000$. Notice the difference from the profit case: a profit increases capital, so the Income Summary is credited in step 1 more than it is debited in step 2; a loss decreases capital, so the order of balances is reversed.

Common slips. (1) Drawings are closed to the Income Summary. This is wrong: drawings are not an expense, and the profit would be understated. (2) Step 4 is forgotten, and the capital is overstated by the drawings. (3) A permanent account, such as Accumulated Depreciation, is closed by mistake. (4) A balance is entered on its own side instead of the opposite side, which doubles the balance instead of removing it.

Before moving on. There are four closing entries. The Income Summary shows the profit or loss, and then it is closed to capital. Drawings are closed directly to capital. You should now be able to say, for any temporary account, on which side the closing entry is made.

Closing never touches asset, liability or contra accounts; their balances are carried forward unchanged.

The second example shows a loss, and a drawings balance, in a business with new data.

The capital falls by the loss and by the drawings, from 100,000 to 87,000.

Four common slips: closing drawings through the income summary, forgetting step 4, closing a permanent account, and closing to the wrong side.

Before moving on: four closing entries; the income summary shows the profit; capital absorbs profit and drawings.

12.4 THE POST-CLOSING TRIAL BALANCE

After the closing entries have been posted, the accountant prepares one more list of balances. The **post-closing trial balance** is a trial balance of the permanent accounts only, prepared after the closing entries. It has two purposes. It proves that total debits still equal total credits. It also proves that no temporary account still holds a balance, so that the new period can begin clean.

After closing, a final test confirms that only permanent accounts remain, in balance.

Post-closing trial balance. A trial balance of permanent accounts only, prepared after the closing entries.

The bakery's post-closing trial balance has ten permanent accounts, each carried into February.

For the bakery, only ten accounts remain with balances: five assets, one contra account, and four credit accounts. These are the opening balances of 1 February 2026.

MITALI BAKERY: POST-CLOSING TRIAL BALANCE AT 31 JANUARY 2026 (TK)

ACCOUNT	DEBIT	CREDIT
Cash	400,000	
Accounts Receivable	25,000	
Supplies	8,000	
Prepaid Rent	30,000	
Equipment	240,000	
Accumulated Depreciation: Equipment		2,000
Accounts Payable		80,000
Unearned Revenue		10,000
Wages Payable		4,000
Owner's Capital		607,000
Total	703,000	703,000

The trial balance totals Tk 703,000 while total assets are Tk 701,000, and the reason is the contra account.

A careful reader will notice that the totals are Tk 703,000, while the balance sheet shows total assets of Tk 701,000. The difference of Tk 2,000 is not an error. The trial balance lists the accumulated depreciation as a credit, and the balance sheet deducts it from the equipment. A trial balance is a test of the ledger; the balance sheet is a report (Chapter 8). If the post-closing trial balance does not balance, or if it lists a revenue or expense account, the closing entries contain a mistake and must be corrected before the new period begins.

Before moving on: the post-closing trial balance holds only permanent accounts and gives the opening balances.

Before moving on. The post-closing trial balance lists permanent accounts only. Its balances are the opening balances of the next period.

12.5 REVERSING ENTRIES (ADVANCED)

ADVANCED MATERIAL. A READER MAY DEFER THIS SECTION; NOTHING LATER IN THE CHAPTER DEPENDS ON IT, AND CHAPTER 13 EXPLAINS EACH ENTRY AGAIN WHERE IT IS USED.

A payment on 1 February that includes January wages tempts the bookkeeper to split it by hand.

Reversing entry. An optional entry on the first day of a period that cancels an earlier accrual.

A reversing entry cancels the accrual on the first day, so the later payment can be recorded in the usual way.

Recall adjustment A5 of Chapter 9. Wages of Tk 4,000 for 29 to 31 January were unpaid, so the bakery recorded Wages Expense and Wages Payable of Tk 4,000. On 27 February the bakery pays the whole month's wages of Tk 36,000. Part of this payment, Tk 4,000, settles the liability recorded in January. The bookkeeper must remember to split the payment: debit Wages Payable 4,000 and Wages Expense 32,000. A tired bookkeeper may forget the January accrual and debit Wages Expense 36,000, which overstates February's expense.

A **reversing entry** is an optional entry made on the first day of the new period. It is the exact opposite of an earlier adjusting entry for an accrual. On 1 February the bakery debits Wages Payable 4,000 and credits Wages Expense 4,000. The Wages Payable account is now zero, and Wages Expense has a credit balance of Tk 4,000. When the bakery pays Tk 36,000 on 27 February, it records the usual entry: debit Wages Expense 36,000 and credit Cash 36,000. The expense account now shows Tk 36,000 – 4,000 = Tk 32,000, which is the true February expense for the days from 1 to 28 February.

PAYING TK 36,000 OF WAGES ON 27 FEBRUARY, WITH AND WITHOUT A REVERSING ENTRY (TK)

	WITHOUT REVERSING ENTRY	WITH REVERSING ENTRY
1 Feb	No entry	Dr Wages Payable 4,000; Cr Wages Expense 4,000
27 Feb	Dr Wages Payable 4,000; Dr Wages Expense 32,000; Cr Cash 36,000	Dr Wages Expense 36,000; Cr Cash 36,000
Wages Expense for February	32,000	32,000

The accrued revenue (adjustment A6) is treated in the same way. On 1 February the bakery debits Sales Revenue 10,000 and credits Accounts Receivable 10,000. When the hotel pays Tk 10,000 later in February, the bakery debits Cash and credits Sales Revenue 10,000. The two entries cancel in the Sales Revenue account, so February shows no revenue from a job that belongs to January. Without the reversal, the same receipt would be credited to Accounts Receivable instead. Both methods give the same figures in the statements. The reversing entry changes only the work of the bookkeeper.

Not every adjustment is reversed. An adjusting entry for depreciation is not reversed, because the accumulated depreciation must continue to grow. A prepaid expense, such as the Tk 30,000 of prepaid rent, is not reversed in this book, because the later payment is recorded in the usual way and no cash is expected for it. Reversing entries are optional. A business that uses them must apply them to every accrual, so that the books remain consistent.

Before moving on. A reversing entry is the opposite of an accrual, made on the first day of the new period. It simplifies the next payment or receipt and does not change the profit.

The accrued revenue of Tk 10,000 is reversed in the same way, and both methods give the same result.

Only accruals are normally reversed; depreciation and prepaid expenses are not.

Before moving on: a reversing entry mirrors an accrual on the first day, and changes the routine, not the result.

12.6 THE WHOLE ACCOUNTING CYCLE

Since Chapter 7 we have learned the steps of the accounting cycle one at a time. We now place them in order. The **accounting cycle** is the set of steps that turns a business's transactions into financial statements. It repeats in every period. Fig. 2 shows the ten steps in a loop.

Every step of the cycle supports the next, and together they turn transactions into statements.

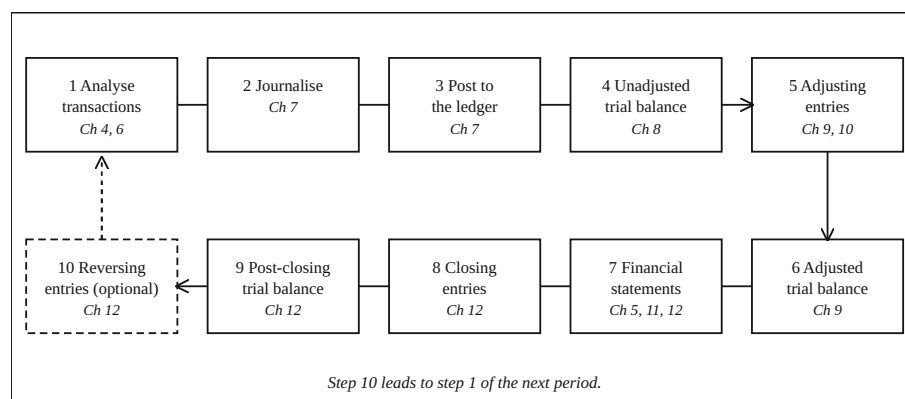


FIG. 41. The ten steps of the accounting cycle

We may group the ten steps into four jobs. In steps 1 to 4 the accountant records and tests: the transactions are analysed, journalised and posted, and an unadjusted trial balance is prepared. In steps 5 and 6 the accounts are brought up to date by adjusting entries, and an adjusted trial balance is prepared. In step 7 the

Steps 1 to 4 record and test; steps 5 and 6 update; step 7 reports; steps 8 to 10 close and prepare.

Each step has a purpose, and most steps include a check that finds mistakes early.

business reports, through the statements (with a worksheet as a help, if the accountant wishes). In steps 8 to 10 the books are closed, tested by the post-closing trial balance, and, if the business wishes, prepared by reversing entries.

The steps are linked by checks. Each check catches a different kind of mistake, and the later checks rely on the earlier ones.

EACH STEP OF THE CYCLE AND WHAT IT CHECKS

STEP	WHAT IT DOES	WHAT IT CHECKS OR PROVES
1 Analyse	Decides which accounts change	Every transaction has two sides
2 Journalise	Records in date order	A complete record of first entry
3 Post	Copies to the ledger	Each account shows a balance
4 Unadjusted trial balance	Lists all balances	Debits equal credits
5 Adjust	Brings accounts up to date	Revenue and expenses are in the right period
6 Adjusted trial balance	Lists the new balances	Debits still equal credits after the adjustments
7 Statements	Reports results and position	Profit agrees with the equity change; the balance sheet balances
8 Close	Zeroes temporary accounts	Profit and drawings reach capital
9 Post-closing trial balance	Lists permanent accounts	Books are ready for the next period
10 Reverse	Cancels accruals (optional)	Simplifies the next period's entries

Three trial balances appear in the cycle, each with a different total and a different job.

The cycle contains three lists of balances, and a reader may confuse them. For the bakery in January, the totals are these. The unadjusted trial balance (step 4) totals Tk 792,000. The adjusted trial balance (step 6) totals Tk 808,000. The post-closing trial balance (step 9) totals Tk 703,000. The adjusted total is larger by Tk 16,000, and the reason is that the adjustments added new accounts or enlarged balances on both sides: Tk 2,000 for depreciation, Tk 4,000 for accrued wages, and Tk 10,000 for accrued revenue. The post-closing total is smaller, because the temporary accounts have gone.

THE THREE TRIAL BALANCES OF THE BAKERY, JANUARY 2026

LIST	STEP	TOTAL (TK)	CONTAINS
Unadjusted trial balance	4	792,000	All accounts, before adjusting
Adjusted trial balance	6	808,000	All accounts, after adjusting
Post-closing trial balance	9	703,000	Permanent accounts only

A complete example for a new business follows the cycle from first transaction to post-closing trial balance.

A full cycle for a new business. Nadia Tutoring (illustrative) begins on 1 February. We follow its first month through the cycle, using round numbers. The transactions are: Nadia invests Tk 50,000 cash; she buys equipment for Tk 20,000 cash; she receives tuition fees of Tk 40,000 in cash; she pays rent of Tk 10,000; she takes Tk 5,000 as drawings. At the end of the month, wages of Tk 3,000 are unpaid, and depreciation of Tk 1,000 is charged.

After steps 1 to 3 the ledger balances are: Cash Tk 55,000 ($50,000 - 20,000 + 40,000 - 10,000 - 5,000$); Equipment 20,000; Owner's Capital 50,000; Owner's Drawings 5,000; Fees Revenue 40,000; Rent Expense 10,000. Step 4 lists them. Debits are $55,000 + 20,000 + 5,000 + 10,000 = \text{Tk } 90,000$. Credits are $50,000 + 40,000 = \text{Tk } 90,000$.

Step 5 records two adjusting entries: debit Wages Expense 3,000 and credit Wages Payable 3,000; debit Depreciation Expense 1,000 and credit Accumulated Depreciation 1,000. The adjusted trial balance (step 6) has debits of Tk 94,000 ($90,000 + 3,000 + 1,000$) and credits of Tk 94,000.

In step 7, revenue is Tk 40,000 and expenses are Tk 14,000 (rent 10,000, wages 3,000, depreciation 1,000), so the net profit is Tk 26,000. The closing capital is $\text{Tk } 50,000 + 26,000 - 5,000 = \text{Tk } 71,000$. Total assets are $55,000 + 20,000 - 1,000 = \text{Tk } 74,000$, and liabilities (wages payable) are Tk 3,000, so $3,000 + 71,000 = 74,000$. In step 8, the four closing entries bring Fees Revenue, the three expenses and Drawings to zero and leave Owner's Capital at Tk 71,000. In step 9, the post-closing trial balance has debits of Tk 75,000 (cash 55,000 and equipment 20,000) and credits of Tk 75,000 (accumulated depreciation 1,000, wages payable 3,000 and capital 71,000).

We can now state the central idea of the chapter. A single set of transactions passes through ten steps, and each step is tested. The trial balances test the ledger. The statements present the result. The closing entries prepare the next period. A mistake that escapes one test is likely to be caught by the next. A student who understands the cycle understands how accounting information is made.

IN SHORT

The accounting cycle begins with a transaction and ends, ten steps later, with a post-closing trial balance that is ready for the next period. Closing moves profit and drawings to capital and leaves every temporary account at zero.

Before moving on. You should now be able to list the ten steps of the cycle in order, say which trial balance belongs to which step, and explain why the totals differ.

Steps 1 to 4 give an unadjusted trial balance of Tk 90,000, which agrees on both sides.

Steps 5 and 6 add two expenses and two matching credits, and the totals rise to Tk 94,000.

Step 7 gives a profit of Tk 26,000 and a closing capital of Tk 71,000; steps 8 and 9 confirm it.

Three views of one result: the cycle, the checks and the totals all tell the same story.

SUMMARY

The final statements are prepared from the adjusted figures, in the order income statement, statement of owner's equity, balance sheet. Temporary accounts (revenue, expenses, drawings) measure one period and are closed; permanent accounts (assets, liabilities, capital) continue. The four closing entries move revenue and expenses to the Income Summary, the profit or loss to capital, and the drawings to capital. The post-closing trial balance of permanent accounts proves that the books are ready. A reversing entry, which is optional, cancels an accrual on the first day of the new period. The accounting cycle has ten steps, and the checks within it catch mistakes early.

The chapter summarised: statements, closing, testing, reversing, and the cycle.

THINK IT THROUGH

Salim Printing (illustrative) has the following adjusted balances at 31 March 2026 (Tk). Debit balances: Cash 36,000; Accounts Receivable 14,000; Supplies 6,000; Equipment 60,000; Owner's Drawings 8,000; Wages Expense 21,000;

A fresh business is carried through the cycle, from adjusted figures to the post-closing trial balance.

Rent Expense 9,000; Supplies Expense 4,000; Depreciation Expense 2,000. Credit balances: Accumulated Depreciation 2,000; Accounts Payable 17,000; Owner's Capital 80,000; Printing Revenue 59,000. (a) Show that the trial balance agrees. (b) Prepare the income statement, the statement of owner's equity and the balance sheet. (c) Write the four closing entries. (d) Prepare the post-closing trial balance. (e) Explain why its total differs from the total of the adjusted trial balance.

Five common mistakes about closing, each stated and corrected.

WHERE PEOPLE GO WRONG

"Closing removes the records." It does not. The journal and the ledger entries remain as evidence; only the balances of the temporary accounts are moved. *"Drawings are an expense, so they go to the Income Summary."* They do not: drawings are a withdrawal by the owner and are closed to capital. *"The post-closing trial balance is a statement."* It is a test, and nobody outside the business needs it. *"Reversing entries change the profit."* They do not: they change only how the later payment is recorded. *"A balance sheet needs the closing entries first."* It does not: the statements are prepared from the adjusted figures, and closing follows.

Public companies came to publish audited statements only after a financial crisis led lawmakers to require them.

IN HISTORY

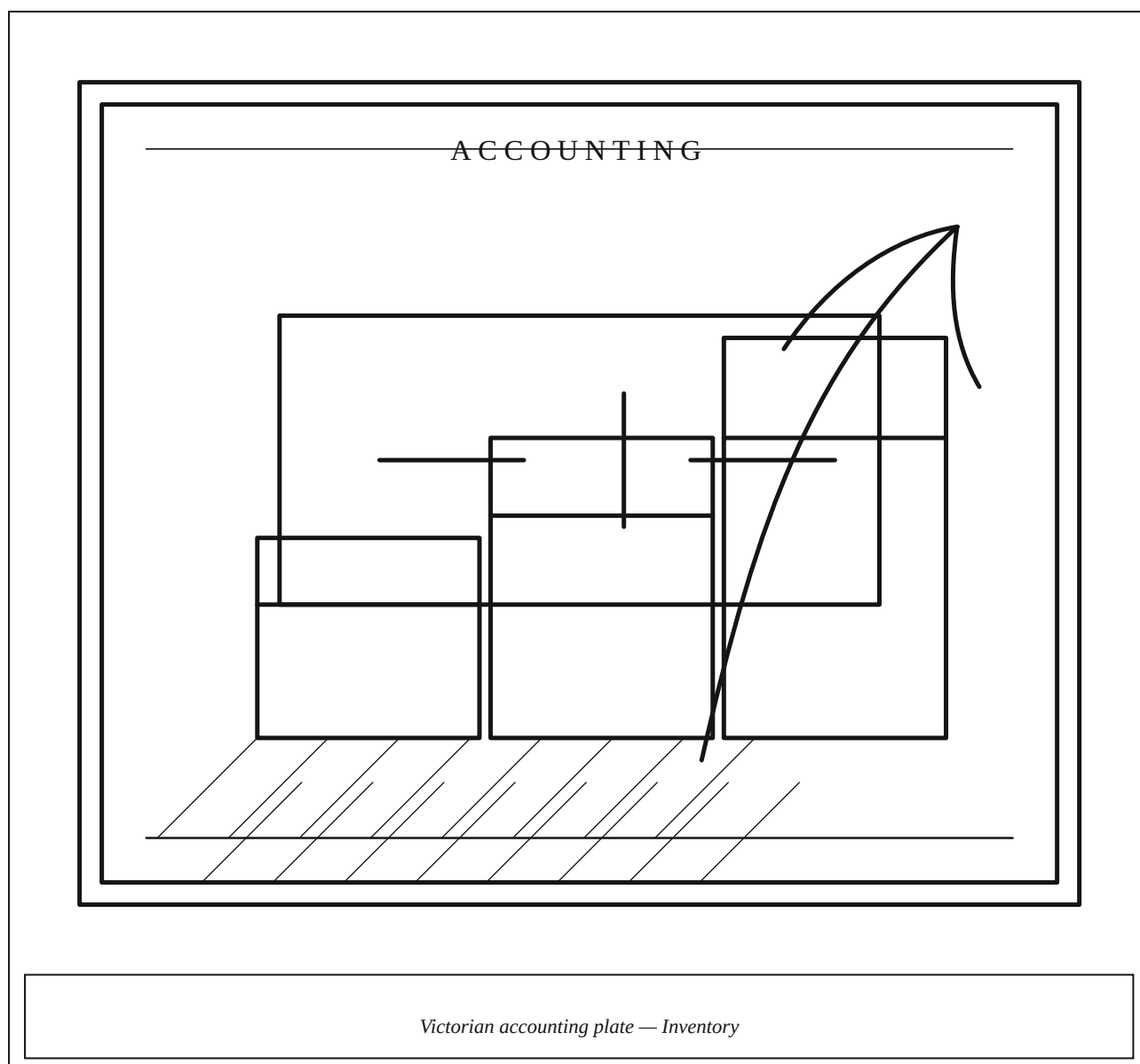
In the United States, after the stock market collapse of 1929, Congress passed the Securities Act of 1933 and the Securities Exchange Act of 1934. The first required companies that offered securities to the public to provide financial statements examined by independent accountants. The second created a regulator, the Securities and Exchange Commission, and required listed companies to report regularly. These laws made a regular, standard cycle of statements a legal duty rather than a choice.³ The cycle of this chapter, repeated every period, is the means by which a company meets such a duty.

Six questions test the chapter; answers are collected at the back of the book.

REVIEW QUESTIONS

1. List the steps of the accounting cycle in order and say what each one achieves. 2. Explain why the revenue and expense accounts must be closed at the end of a period. 3. Which accounts are temporary and which are permanent? Where does the drawings account belong, and why? 4. Write the four closing entries for a business with revenue Tk 90,000, expenses Tk 60,000 and drawings Tk 10,000. 5. What does a post-closing trial balance prove, and why can its total differ from total assets? 6. Compare the unadjusted trial balance, the adjusted trial balance and the financial statements: what does each show, and in which order are they prepared?

³ This account is general and is given for background; it concerns the United States, not Bangladesh. The reporting rules in force in Bangladesh are the subject of Chapter 3.



CHAPTER XIV

Inventory

The same goods may carry different costs, yet the accounts must tell one coherent story.



Inventory is more than goods sitting on a shelf. It is an asset whose assigned cost affects both the income statement and the balance sheet. This chapter follows goods from their arrival to their eventual sale, then asks how different cost-flow assumptions change the numbers reported.

A box can be worth different amounts on paper without changing what is inside it.

Inventory becomes important when a business holds goods across an accounting period.

Mitali Bakery has a shelf of identical cartons of bottled drinks. The cartons look alike, but they were bought at different prices. The first hundred cost Tk 200 each. Later cartons cost Tk 220 and then Tk 240. If three hundred cartons are sold, which cost belongs to the cartons sold, and which cost remains in the closing inventory? The physical goods cannot answer the accounting question by themselves. The accountant must use a consistent method for assigning cost. That choice affects cost of goods sold, gross profit, the carrying amount of inventory, and, where the tax rules use accounting figures, taxable profit. The goods have not changed. The story told by the accounts has.

A service business can often recognise its main revenue and expenses without keeping goods for resale. A merchandising business cannot. It buys goods before it sells them, and some of those goods may remain at the reporting date. The unsold goods are not treated as an expense merely because cash was paid for them. They remain an asset until the business consumes them in production or sells them. This timing is the foundation of inventory accounting.

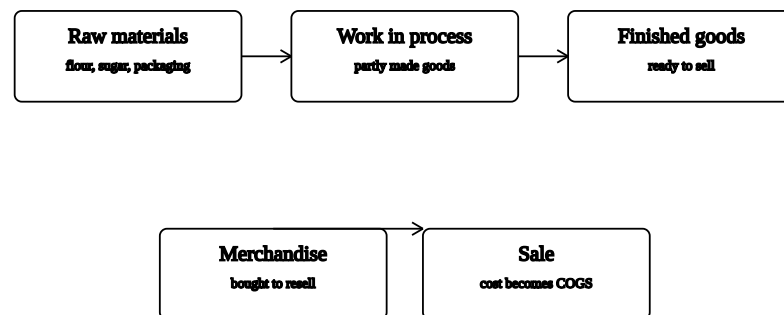


FIG. 42. The main kinds of inventory encountered in business

14.1 WHAT INVENTORY IS, AND ITS KINDS

Inventory is a current asset because it is normally expected to be sold or used in the operating cycle.

Inventory. Goods held for sale, or materials held for making goods to sell.

The word inventory describes an economic resource, while the accounting treatment depends on its role.

Raw materials are inputs that have not yet become the finished product.

Raw materials. Basic materials a business will turn into products that it intends to sell.

Inventory means goods a business holds for sale or materials it holds to make goods for sale. A retailer may hold finished merchandise. A manufacturer may hold raw materials, partly completed goods, and finished goods. The classification therefore depends on what the business does with the item, not merely on what the item looks like.

A carton of bottled water purchased by a shop for resale is **merchandise inventory**. The same carton bought by a factory for workers to drink is not merchandise inventory; it is more likely an operating supply or expense. Flour held by a bakery to make bread is a raw material. Dough partly prepared but not yet ready for sale is work in process. A packed loaf ready for customers is a finished good. The distinction matters because the cost of goods in each category travels through the accounts differently.

In a manufacturing setting, raw materials enter production. Flour, sugar, eggs and packaging may be raw materials in a bakery when the accounting system is designed to trace manufacturing costs. The present running case uses a simplified treatment for the bakery's ingredients in earlier chapters. This chapter concentrates on the bought-in merchandise at

the drinks counter, where the goods are acquired for resale rather than manufacture.

Work in process contains cost that belongs to incomplete production. A factory producing furniture may have timber cut and assembled into partly completed tables at the reporting date. The amount remains an asset because the business has not yet used the goods to earn the related sales revenue. Once the goods become finished and remain unsold, their classification changes to finished goods.

A bakery's packaged cakes prepared for customers may be finished goods. A manufacturer's completed shirts in its warehouse are also finished goods. Their cost remains attached to inventory until sale, when the appropriate cost becomes part of cost of goods sold. This is one reason the income statement and balance sheet must be read together.

Mitali Bakery's bottled drinks and packaged snacks are merchandise. The bakery does not make these goods; it buys them and resells them. Their purchase cost becomes inventory first. When the goods are sold, that cost moves to cost of goods sold. The sale price is revenue, while the assigned purchase cost is an expense.

The diagram above is deliberately broad. It does not prescribe one manufacturing system for every business. Its purpose is to show the accounting question: at the reporting date, what goods remain, and what role do they play? A business that buys for resale usually has merchandise inventory. A manufacturer can have all three manufacturing categories. A service business may have little or no inventory.

INVENTORY AS A CURRENT ASSET

The classification connects inventory with Chapter 13's classified balance sheet. Inventory is not presented merely as a number representing cash already spent. It represents an economic resource still available to produce future sales. That is why a purchase of goods does not automatically become an expense in the same period.

Suppose Mitali buys 100 cartons at Tk 200 each. The Tk 20,000 initially forms part of inventory. If all 100 cartons are sold, the Tk 20,000 becomes cost of goods sold. If only 40 are sold, the cost assigned to those 40 becomes cost of goods sold and the cost assigned to the remaining 60 stays in inventory. The timing is not a technical trick. It is the accounting expression of the difference between goods sold and goods still held.

14.2 WHY INVENTORY IS KEPT, AND THE COST OF TOO LITTLE OR TOO MUCH

A shop cannot wait for a customer to arrive before ordering every item. A restaurant cannot buy every ingredient after receiving each order. A manufacturer cannot begin production only after a customer has appeared. Inventory creates a bridge between supply and demand. It can also protect a business against delays, seasonal demand, uncertain deliveries and changes in purchasing conditions.

Work in process represents goods that have begun production but are not complete.

Work in process. Goods that are partly made and not yet ready to sell.

Finished goods are completed products waiting for sale.

Finished goods. Goods that are complete and ready to sell.

Merchandise inventory differs from manufactured inventory because the business buys the goods in finished form.

Merchandise inventory. Goods bought by a business for resale without being transformed into its main product.

The classification can be understood as a journey from input to sale.

Inventory is normally a current asset because the business expects to sell it or use it within its normal operating cycle.

Current asset. An asset expected to be realised, sold, or consumed within the normal operating cycle or within the relevant short-term period.

The same purchase can therefore appear in different places at different times.

Businesses hold inventory because sales and supply do not always occur at the same moment.

Holding inventory has benefits, but it also ties up money and creates risks.

Holding cost. The cost of keeping inventory, including storage, insurance, handling, financing and the risk of loss.

Too little inventory can create a stockout and interrupt sales.

Stockout. A situation in which a business has no available inventory of an item when customers want it.

Too much inventory creates a different set of costs.

Inventory decisions are operational decisions, but their consequences appear in accounting numbers.

A useful accounting habit is to separate the physical question from the costing question.

Inventory accounting begins with a physical quantity, then assigns a monetary cost to that quantity.

Goods available for sale.

Opening inventory plus purchases available for sale during the period.

Inventory occupies space and requires supervision. Some goods can spoil, become obsolete, be damaged, or lose value as customer preferences change. Money invested in unsold goods is not available for another use. Therefore, the question is not whether inventory is good or bad. The question is how much inventory is appropriate for the business and the nature of its demand.

A stockout can mean a lost sale, a delayed order, or a dissatisfied customer. A bakery that repeatedly runs out of a popular drink may lose the customer to another shop. In a manufacturing business, a missing raw material can stop production. The economic cost may exceed the purchase price of the missing item because the interruption affects the whole operation.

Excess inventory may require additional storage, handling and insurance. It may also become obsolete or damaged. A product with a short shelf life can lose value before it is sold. Even when the goods remain usable, capital is committed to them. Effective inventory management therefore balances availability against the cost and risk of holding goods.

A larger closing inventory generally means that less of the available product cost has been assigned to cost of goods sold for the period. A smaller closing inventory generally means that more cost has been assigned to goods sold. The accounting system therefore reflects a real operational question: how much stock remains and what does it cost?

| Reason | Benefit | Risk if excessive | | --- | --- | --- | | Meet ordinary demand | Goods are available when customers buy | Storage and capital tied up | | Protect against delivery delays | Operations continue during interruptions | Older goods may become obsolete | | Prepare for seasonal demand | Business can serve predictable peaks | Demand may be lower than expected | | Buy in economical quantities | Fewer orders or better purchase terms may be possible | Large quantities increase exposure to loss |

First ask, “What goods are physically on hand?” Then ask, “What cost should be assigned to those goods?” A physical count answers the first question. A cost-flow method helps answer the second. Confusing the two causes many inventory errors. Counting 100 cartons does not, by itself, tell us whether the inventory cost is Tk 20,000, Tk 22,000, or another amount.

14.3 COUNTING AND COSTING INVENTORY

If a business begins with 50 units and buys 350 more, it has 400 units available for sale before considering sales. If 300 units are sold, 100 units remain. The physical relationship is exact: goods available for sale = units sold + units in ending inventory. The cost relationship must also reconcile: cost of goods available for sale = cost of goods sold + cost of ending inventory.

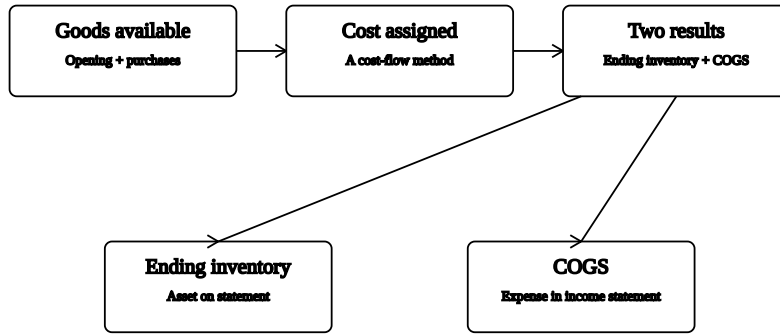


FIG. 43. From goods available for sale to the two accounting results

The figure appears as an asset in the balance sheet. It is not the same as the goods' expected selling price. A carton bought for Tk 240 may remain in inventory at an assigned cost of Tk 240 under a basic cost model, even if the business intends to sell it for a higher amount. The chapter's central problem is therefore cost assignment, not price prediction.

The relationship can be written as: **Cost of goods available for sale = Cost of goods sold + Cost of ending inventory**. Rearranging gives the familiar Chapter 13 expression: cost of goods sold = opening inventory + purchases – closing inventory, when the system and definitions fit the periodic calculation. This identity is a powerful check because every unit of cost must have a destination.

Goods may be damaged, misplaced, stolen, received without being recorded, or recorded but not yet received. The count establishes what is actually present. The accounting records then determine the appropriate cost information. A sound inventory count therefore has both a physical and an accounting dimension.

PERPETUAL AND PERIODIC IDEAS

The word perpetual describes the frequency of updating, not a claim that the physical count is never needed. Even a business with detailed records may count inventory to verify the records. The methods taught in this chapter can be applied to cost assignment under the relevant inventory system, although the mechanics differ.

FIFO, LIFO, weighted average and specific identification describe how costs are assigned. Perpetual and periodic describe how inventory information is maintained through the period. A student should not place these into one list as if they were four competing methods. They answer different questions.

The term cost of ending inventory refers to the cost assigned to goods still on hand at the reporting date.

Cost of ending inventory. The amount of cost assigned to goods that remain unsold at the end of the period.

Cost of goods available for sale is divided between ending inventory and cost of goods sold.

A physical count is essential because accounting records and physical goods can differ.

A perpetual inventory system updates inventory records after purchases and sales, while a periodic system determines the closing amount at the end of a period.

Perpetual system. A system that updates the inventory record after every purchase and sale.

The distinction matters because a method of cost flow is not the same thing as a system of recording.

14.4 THE COST FLOW METHODS: SPECIFIC IDENTIFICATION, FIFO, LIFO, WEIGHTED AVERAGE

When identical units have different purchase costs, the accounts need a rule for deciding which costs belong to the units sold.

Cost flow assumption. A consistent rule used to assign available inventory costs between goods sold and goods remaining.

Specific identification assigns the actual cost to each item when individual units can be identified reliably.

Specific identification. A method that assigns the actual recorded cost of each identifiable item to that item when it is sold.

FIFO assigns the oldest available costs to cost of goods sold first.

FIFO. A method that assigns the oldest inventory costs to goods sold first.

LIFO assigns the newest available costs to cost of goods sold first.

LIFO. A method that assigns the newest inventory costs to goods sold first.

Weighted average assigns an average cost per unit to the goods available for sale.

Weighted average cost. A method that gives units an average cost based on the total cost of goods available divided by total units available.

The physical movement of goods does not have to match the accounting flow of costs. A shop may sell the newest carton first while using FIFO for financial reporting. The cost-flow assumption is an accounting convention for assigning costs. It does not necessarily describe the physical order in which goods leave the shelf.

This method suits goods that are distinct and individually traceable, such as unique pieces of jewellery, custom machinery, or individually identified high-value items. It is less practical for large quantities of interchangeable low-value goods because tracing every unit would cost more effort than the information is worth.

FIFO means first-in, first-out. Under this assumption, the earliest costs are treated as leaving the inventory first. The remaining inventory therefore tends to contain the more recent costs when prices have been rising. The method describes cost assignment, not necessarily the physical movement of goods.

LIFO means last-in, first-out. When prices rise, the newer costs are higher, so LIFO generally assigns a higher cost to goods sold and leaves a lower-cost older layer in ending inventory. The method is not permitted under every financial reporting framework, so a business must consider the standards that govern its reporting.

The method smooths the effect of different purchase prices. If 400 cartons cost Tk 89,000 in total, the average cost is Tk 222.50 per carton. If 300 cartons are sold, cost of goods sold is $300 \times \text{Tk } 222.50 = \text{Tk } 66,750$. The remaining 100 cartons carry Tk 22,250.

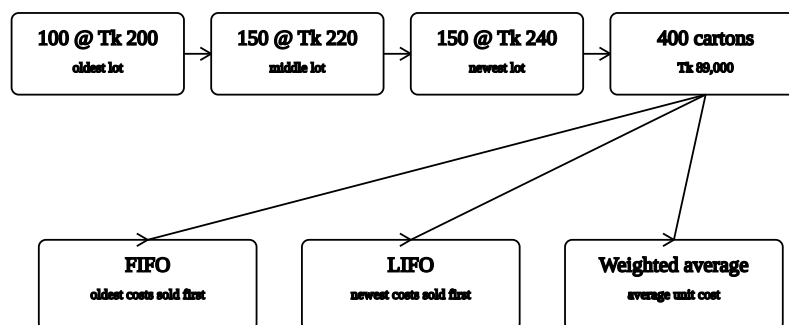


FIG. 44. The four cost-flow methods applied to the same pool of goods

THE MITALI BAKERY INVENTORY CASE

The drinks counter buys 100 cartons at Tk 200, 150 cartons at Tk 220, and 150 cartons at Tk 240. The business therefore has 400 cartons available. The total cost is Tk 20,000 + Tk 33,000 + Tk 36,000 = Tk 89,000. During March, 300 cartons are sold, leaving 100 cartons. The accounting problem is to allocate Tk 89,000 between the 300 cartons sold and the 100 cartons remaining.

Lot	Units	Unit cost	Total cost	---	---	---	---	1	100	Tk 200	Tk 20,000
2	150	Tk 220	Tk 33,000	3	150	Tk 240	Tk 36,000	Total	400	—	Tk 89,000

The March case uses three purchases of the same product at rising prices.

SPECIFIC IDENTIFICATION

For example, suppose a business can prove that the 300 cartons sold consisted of all 100 cartons from the first lot, all 150 from the second lot, and 50 from the third lot. The cost of goods sold would then be Tk 20,000 + Tk 33,000 + Tk 12,000 = Tk 65,000. The remaining 100 cartons would be the remaining 100 cartons from the third lot, carrying Tk 24,000. The result happens to equal the planned FIFO result because the identified goods correspond to the oldest layers.

Specific identification works only if the 300 cartons sold can be linked to particular purchase lots or individual units.

FIFO

The first 100 cartons are assigned Tk 200 each, producing Tk 20,000. The next 150 are assigned Tk 220 each, producing Tk 33,000. The final 50 are assigned Tk 240 each, producing Tk 12,000. Total cost of goods sold is therefore Tk 65,000. The remaining 100 cartons are from the Tk 240 layer, so ending inventory is Tk 24,000. The check is exact: Tk 65,000 + Tk 24,000 = Tk 89,000.

Under FIFO, the 300 cartons sold are assigned the oldest available costs.

Units sold	Cost assigned	Amount	---	---	---	100	100 × Tk 200	Tk 20,000	
150	150 × Tk 220	Tk 33,000	50	50 × Tk 240	Tk 12,000	Total	300	—	Tk 65,000

The remaining 100 cartons are valued at Tk 240 each, giving Tk 24,000. This does not mean FIFO always produces a higher inventory figure. The direction of price movement matters. With falling prices, the relative result can reverse. The method must therefore be understood rather than memorised as “high” or “low”.

The FIFO result leaves the newest cost in the closing inventory in this rising-price example.

LIFO

The first 150 cartons sold are assigned Tk 240 each, giving Tk 36,000. The next 150 are assigned Tk 220 each, giving Tk 33,000. Total cost of goods sold is Tk 69,000. The remaining 100 cartons are from the oldest layer at Tk 200 each, giving ending inventory of Tk 20,000. Again the total is Tk 89,000.

Under LIFO, the 300 cartons sold are assigned the newest available costs first.

Units sold	Cost assigned	Amount	---	---	---	150	150 × Tk 240	Tk 36,000
150	150 × Tk 220	Tk 33,000	Total	300	—	Tk 69,000		

The physical count remains 300 cartons sold and 100 cartons on hand. Nothing about the goods changes. What changes is the cost attached to the sale and the cost attached to the closing asset. That difference flows into gross profit because gross profit is sales less cost of goods sold.

LIFO therefore gives a different allocation of the same total cost.

WEIGHTED AVERAGE

Total cost is Tk 89,000 and total units are 400. Average cost per carton is Tk 89,000 ÷ 400 = Tk 222.50. Cost of goods sold is 300 × Tk 222.50 = Tk 66,750. Ending inventory is 100 × Tk 222.50 = Tk 22,250. The two amounts again total Tk 89,000.

Weighted average begins by finding one average cost for every unit available.

Item	Calculation	Amount	---	---	---	Average cost	Tk 89,000 ÷ 400	Tk 222.50
COGS	300 × Tk 222.50	Tk 66,750	Ending inventory	100 × Tk 222.50	Tk 22,250			

The three methods can now be compared without treating one as universally correct.

A crucial check is that every method must allocate the same Tk 89,000 total cost.

When purchase prices rise, the method that assigns higher recent costs to goods sold produces a lower gross profit, all else equal.

The same logic explains why inventory methods can affect tax comparisons, but accounting method and tax law are not the same thing.

Taxable profit. The profit figure on which a business is required to pay income tax under the applicable tax rules.

In the United States, LIFO remains part of the federal tax system under specific rules, illustrating why tax treatment must be checked rather than assumed.

For a Bangladeshi business, the applicable financial reporting and tax rules must be checked separately before selecting or documenting an inventory method.

The choice depends on the nature of the goods, the reporting framework, the information system, and the consistency required by the applicable rules. Specific identification can be informative for individually traceable goods. FIFO provides a particular cost-flow pattern. LIFO provides another pattern where permitted. Weighted average reduces the effect of individual price layers.

Method	COGS	Ending inventory	Specific identification
	Tk 65,000	Tk 24,000	Tk 65,000
FIFO	Tk 65,000	Tk 24,000	Tk 65,000
LIFO	Tk 69,000	Tk 20,000	Tk 66,750
Weighted average	Tk 66,750	Tk 22,250	Tk 22,250

The numbers differ between cost of goods sold and ending inventory, but their sum must remain Tk 89,000. If a calculation gives Tk 65,000 of cost of goods sold and Tk 22,250 of ending inventory, the total is Tk 87,250 and the allocation is incomplete. The error is not a matter of method; it is a failure to account for all available cost.

14.5 COMPARING THE METHODS: EFFECT ON PROFIT AND TAX

Suppose sales revenue is Tk 100,000 and there are no other operating expenses for the illustration. FIFO COGS of Tk 65,000 produces gross profit of Tk 35,000. LIFO COGS of Tk 69,000 produces gross profit of Tk 31,000. Weighted average COGS of Tk 66,750 produces gross profit of Tk 33,250. The difference comes entirely from cost allocation.

Method	Sales	COGS	Gross profit	FIFO
	Tk 100,000	Tk 65,000	Tk 35,000	Tk 100,000
LIFO	Tk 100,000	Tk 69,000	Tk 31,000	Tk 100,000
Weighted average	Tk 100,000	Tk 66,750	Tk 33,250	Tk 100,000

If taxable profit is based on an accounting profit measure, a higher cost of goods sold can reduce the profit base, while a lower cost of goods sold can increase it. But the actual tax result depends on the tax law and its permitted inventory methods. A textbook comparison should therefore show the mechanical effect without presenting it as legal advice.

The U.S. Internal Revenue Service explains that LIFO has specific adoption and use rules and that inventory valuation affects taxable income. Its guidance also states that, during rising prices, LIFO generally produces higher cost of goods sold and lower closing inventory than FIFO. These observations are used here only as an international illustration; they do not establish the rules applicable to a Bangladeshi taxpayer.¹

The safe accounting principle is consistency with the governing framework. A method should not be selected merely because one year's arithmetic appears favourable. The financial reporting framework, tax legislation, administrative rules, industry practice and the business's information system can all matter. Where the rules are uncertain or have changed, the accountant should consult the current authoritative requirements rather than rely on an old textbook statement.

¹ U.S. Internal Revenue Service, Publication 538, *Accounting Periods and Methods*, current online guidance on inventory valuation and LIFO. The guidance explains that inventory valuation affects taxable income and describes the different effects of FIFO and LIFO when prices rise. <https://www.irs.gov/publications/p538>

When prices rise, FIFO tends to leave newer, higher costs in ending inventory and assigns older, lower costs to goods sold. LIFO does the reverse where it is permitted. When prices fall, the direction of the difference changes. Weighted average remains between the relevant cost layers in a simple pooled example. Specific identification depends on which actual units are identified as sold.

Rising and falling prices provide a useful thought experiment because they expose the mechanism.

CONSISTENCY AND COMPARABILITY

Consistency does not mean that a business can never change a method. It means that accounting choices should not be changed casually from one period to another merely to manipulate the reported result. Consistent application improves comparison across periods. If a permitted change occurs, the relevant reporting rules determine how it is accounted for and disclosed.

A method becomes meaningful when it is applied consistently and explained when a permitted change occurs.

Two businesses with the same sales and purchases may report different gross profits if they use different permitted cost-flow assumptions while prices are changing. That does not automatically mean that one set of records is wrong. The reader must know the method and understand its effect.

Comparability also requires the reader to understand that identical-looking profit figures can contain different inventory assumptions.

WORKED CASE: MITALI BAKERY IN MARCH

Situation: Mitali Bakery has 400 cartons available, purchased in three lots at Tk 200, Tk 220 and Tk 240. Question: what amount belongs to cost of goods sold and what amount remains in inventory after 300 cartons are sold? Reasoning: first establish total available cost, then apply the stated cost-flow assumption. Conclusion: FIFO gives COGS Tk 65,000 and ending inventory Tk 24,000; LIFO gives Tk 69,000 and Tk 20,000; weighted average gives Tk 66,750 and Tk 22,250. Check: each pair totals Tk 89,000.

The March case shows why inventory accounting is an allocation problem rather than a counting problem.

The accounting amount is a cost assigned under the chosen method. It is not automatically the market price, replacement price, or expected selling price. Other financial reporting rules may require additional measurement considerations in particular circumstances. Those rules are beyond this introductory cost-flow exercise, so the student should not treat the four methods as a complete theory of every possible inventory measurement issue.

The case also demonstrates why the phrase “inventory value” needs care.

A SECOND INVENTORY CALCULATION: FALLING PRICES

Suppose a different business begins with 100 units at Tk 300 and buys 100 units at Tk 260. It sells 120 units. Under FIFO, the first 100 units sold carry Tk 300 each and the next 20 carry Tk 260 each. Cost of goods sold is therefore Tk 35,200. The remaining 80 units carry Tk 20,800. Under LIFO, the first 100 units sold carry Tk 260 each and the next 20 carry Tk 300 each, producing COGS of Tk 32,000. The remaining 80 units carry Tk 24,000. The total available cost is Tk 56,000 under either method.

The direction of price movement changes the comparison, so the rule must be tested rather than memorised.

The example shows why statements such as “FIFO always gives higher profit” are incomplete. The result depends on the direction and pattern of cost changes, as well as the quantity sold. The method is a rule for assigning costs, not a permanent ranking of reported profit. Weighted average would fall between the relevant cost layers in this two-price illustration, while specific identification would depend on which units were actually identified as sold.

Falling prices reverse the direction of the simple FIFO–LIFO comparison.

A second sale tests whether the cost-flow rule is applied continuously rather than only once.

The two-stage calculation reaches the same total because the same 300 units have ultimately been sold.

Weighted average becomes easier when quantity and total cost are kept separate until the average is calculated.

The average is weighted because the two purchase quantities are not equal.

Specific identification is strongest when the individual units are economically distinct and traceable.

The method becomes burdensome when thousands of interchangeable units must be traced individually.

An inventory error can affect more than one accounting period because closing inventory becomes opening inventory later.

The same inventory number can therefore have a current-period and a next-period consequence.

TWO-STAGE SALES

Return to the Mitali Bakery data. The business has 400 cartons available: 100 at Tk 200, 150 at Tk 220 and 150 at Tk 240. Suppose the first sale is 180 cartons and the second sale is 120 cartons. Under FIFO, the first sale uses 100 cartons at Tk 200 and 80 at Tk 220, giving COGS of Tk 37,600. The remaining layers are 70 cartons at Tk 220 and 150 at Tk 240. The second sale of 120 cartons therefore uses 70 at Tk 220 and 50 at Tk 240, giving Tk 27,400. Total COGS remains Tk 65,000 and ending inventory remains Tk 24,000.

This is an important check. A cost-flow method does not change because the sale is split into two invoices. If the same 300 units are sold during the same period and the same method is applied consistently, the total cost assigned to those units should agree with the one-stage calculation. The timing of the entries may differ, but the final allocation should not depend on the number of invoices.

A WEIGHTED-AVERAGE EXERCISE WITH A NEW BUSINESS

Consider a small stationery trader. It has 60 notebooks costing Tk 80 each and buys 90 more at Tk 100 each. Goods available are 150 units. Total cost is Tk 4,800 + Tk 9,000 = Tk 13,800. The weighted-average unit cost is Tk 13,800 ÷ 150 = Tk 92. If 100 notebooks are sold, COGS is Tk 9,200 and the 50 remaining notebooks carry Tk 4,600. The check is Tk 9,200 + Tk 4,600 = Tk 13,800.

A simple average of Tk 80 and Tk 100 would be Tk 90, but that would ignore the quantities purchased. The business bought 90 units at Tk 100 and only 60 at Tk 80. The higher-priced group therefore has greater weight in the calculation. Weighted average is not the arithmetic mean of the prices; it is the total cost divided by total units.

WHAT SPECIFIC IDENTIFICATION CAN AND CANNOT DO

Imagine a business selling three custom machines. Machine A cost Tk 400,000, Machine B Tk 550,000, and Machine C Tk 700,000. If Machine B is sold, the cost attached to that sale can be identified directly as Tk 550,000. There is no need to decide whether the oldest or newest machine is treated as sold. The actual unit is known.

A supermarket may have thousands of identical packets of a common product. Recording the exact cost of each packet as it leaves the shop may require excessive tracking. A systematic cost-flow assumption can provide a practical alternative. The accounting method should therefore fit the nature of the inventory and the information available.

INVENTORY ERRORS AND THE INCOME STATEMENT

Suppose ending inventory is understated by Tk 5,000 while all other figures are correct. In the current period, cost of goods sold is overstated by Tk 5,000 because the formula subtracts too small a closing inventory amount. Gross profit and profit are therefore understated by Tk 5,000 before considering tax effects. In the following period, if the error is not corrected, the understated opening inventory can cause cost of goods sold to be understated and the later profit to be overstated by the same amount, subject to the accounting system and other corrections.

This is why inventory counts and cost calculations are part of the period-end control process. A wrong closing figure does not remain isolated on the balance sheet. It enters the income statement through cost of goods sold and then travels into the next accounting period as opening inventory. The student should

therefore treat the closing inventory figure as both an asset amount and a component of profit measurement.

SUMMARY

Inventory represents goods held for sale or materials held for making goods for sale. Merchandise, raw materials, work in process and finished goods describe different roles.

A count establishes what is present. A cost-flow method determines how available cost is allocated between goods sold and goods remaining.

Specific identification follows identifiable units; FIFO assigns oldest costs first; LIFO assigns newest costs first where permitted; weighted average uses an average unit cost.

Cost of goods sold plus ending inventory must equal the cost of goods available for sale in the basic allocation exercise.

With rising prices, FIFO, LIFO and weighted average can produce different gross profits and ending inventory amounts because they attach different costs to the sale and the remainder.

Accounting mechanics can show the direction of an effect, but the actual taxable result depends on current tax rules and permitted methods.

Inventory is an asset until its assigned cost becomes an expense.

Physical quantity and monetary cost are separate questions.

The four methods assign cost differently.

The total available cost must always reconcile.

Price movement affects the comparison.

Tax treatment must be checked under the applicable law.

THINK IT THROUGH

Imagine 600 units are available and 425 are sold. Before assigning any monetary cost, state the number of units remaining. Then identify which purchase layers exist and which method you are being asked to apply. This prevents a cost calculation from hiding a quantity error.

If there are three purchase lots, write the lots in order and mark the number of units consumed under the selected method. Do not multiply until the quantity assigned to each layer is known. This method makes FIFO and LIFO almost mechanical.

After calculating cost of goods sold and ending inventory, add them. The result must equal total goods-available cost in the basic exercise. If it does not, return to the layer quantities rather than changing the final answer to force agreement.

The first question is always physical: what is on hand at the reporting date?

The second question is allocation: which costs are assigned to the units sold?

The third question is reconciliation: where did every taka of available cost go?

WHERE PEOPLE GO WRONG

FIFO is a cost-flow assumption. A retailer may place new cartons at the front of a shelf and sell them first while still using FIFO for cost assignment if the accounting rules permit. The accounting method and physical movement are related concepts but are not identical.

Perpetual describes continuous updating of inventory records. FIFO describes a cost-flow assumption. A question asking for FIFO is not asking whether the company keeps perpetual records unless the question says so.

Inventory methods change cost of goods sold. To isolate that effect, keep revenue and all other relevant expenses unchanged in the illustration. Otherwise, a difference in profit may have several causes and the inventory effect becomes unclear.

A common error is to treat FIFO as a physical instruction.

Another error is to confuse a method with an inventory system.

A third error is to compare profit without holding sales and other expenses constant.

The history of inventory methods shows why accounting choices can become connected with taxation.

The external source is used only for the tax-method point, not as a substitute for the accounting explanation.

The review questions test whether the reader can explain the allocation logic rather than repeat labels.

IN HISTORY

The United States developed formal tax rules for LIFO, and the method remains subject to detailed federal requirements. Current IRS guidance describes LIFO adoption and the effect of price changes on FIFO and LIFO results. The historical point is not that one country's tax rule governs another country's accounting. It is that inventory costing has long had consequences beyond the warehouse ledger.¹

SOURCES

REVIEW

1. Define inventory and distinguish merchandise inventory, raw materials, work in process and finished goods.
2. Explain why businesses hold inventory and discuss the risks of too little and too much.
3. Explain the relationship between goods available for sale, cost of goods sold and ending inventory.
4. Distinguish a perpetual inventory system from a cost-flow assumption.
5. Explain specific identification, FIFO, LIFO and weighted average cost.
6. Using the March Mitali Bakery data, calculate COGS and ending inventory under FIFO, LIFO and weighted average.
7. Explain why the methods can produce different gross profits when prices rise.
8. Explain why the tax effect of an inventory method must be checked under the applicable law.
9. A business has 80 units at Tk 100 and 120 units at Tk 130. It sells 150 units. Calculate COGS and ending inventory under FIFO, LIFO and weighted average.
10. Explain why the total COGS plus ending inventory must equal total cost of goods available for sale.

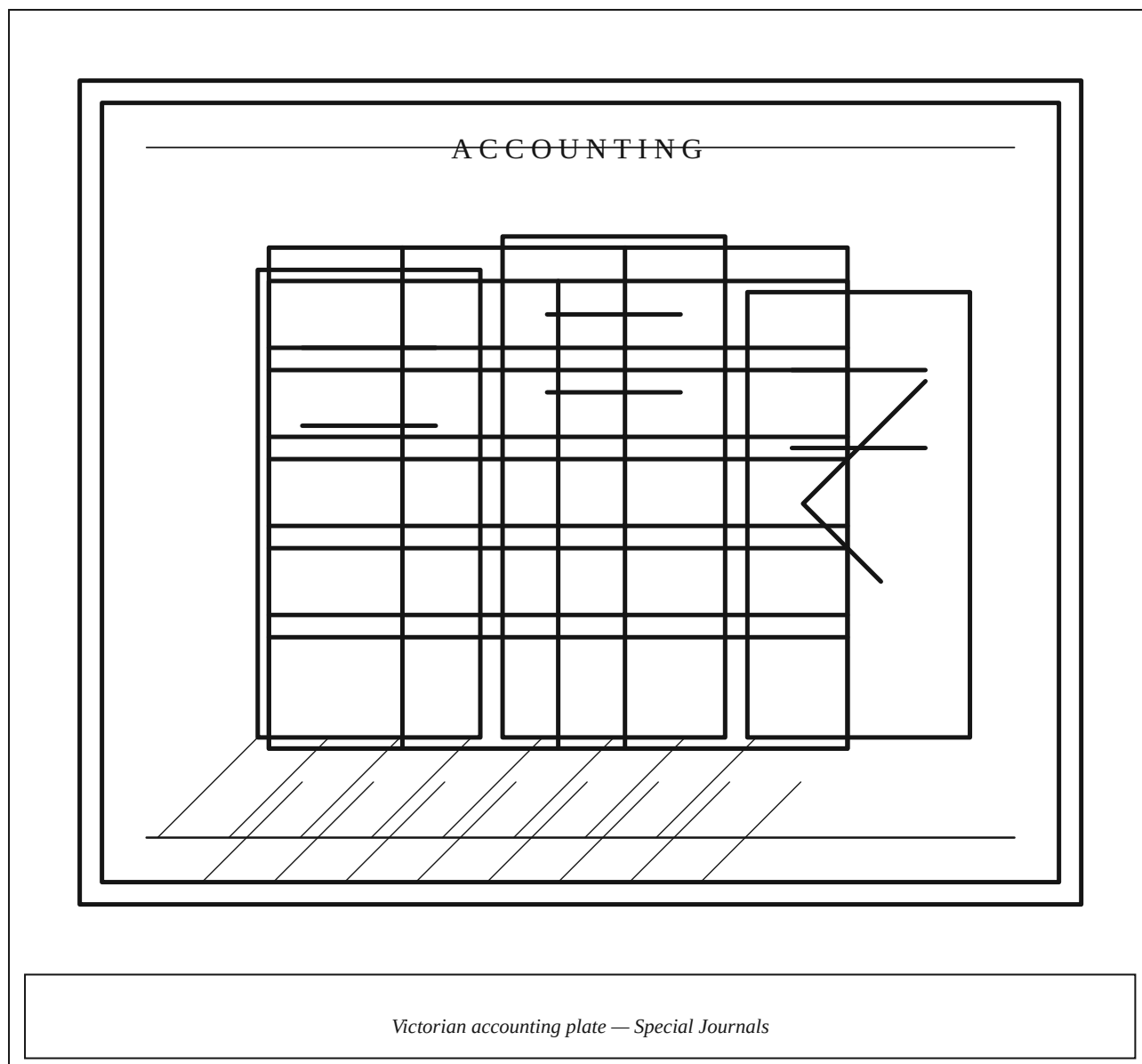


Chapter 14 finished.

New: `inventory`, `raw materials`, `work in process`, `finished goods`, `merchandise inventory`, `stockout`, `holding cost`, `goods available for sale`, `cost of ending inventory`, `cost flow assumption`, `specific identification`, `FIFO`, `LIFO`, `weighted average cost`, `perpetual system`, `taxable profit`. **New case-file fact:** March 2026 drinks-counter inventory anchor fixed for this draft: 400 cartons available in three lots, 300 sold, 100 remaining; total available cost Tk 89,000; FIFO COGS Tk 65,000 and ending inventory Tk 24,000; LIFO COGS Tk 69,000 and ending inventory Tk 20,000; weighted-average COGS Tk 66,750 and ending inventory Tk 22,250. **Verify:** Bangladesh-specific financial-reporting and tax treatment of LIFO before publication.

Continue with Chapter 15.

¹ U.S. Internal Revenue Service, Publication 538, *Accounting Periods and Methods*, current online guidance on inventory valuation and LIFO. The guidance explains that inventory valuation affects taxable income and describes the different effects of FIFO and LIFO when prices rise. <https://www.irs.gov/publications/p538>



CHAPTER XV

Special Journals

When one kind of transaction appears again and again, repeating the whole journal entry can hide the pattern.



A busy business may record dozens of purchases, sales and cash movements in a month. A single general journal can contain them, but repeated work can make posting slower and errors harder to locate. Special journals divide the work by transaction type while preserving the double-entry system.

A journal can be correct and still be a poor working tool when every transaction crowds into one list.

Special journals are an organisational development of the ordinary journal, not a different accounting system.

Imagine Mitali Bakery in April. The drinks counter has begun selling to several institutional buyers on account. Suppliers send repeated invoices for merchandise. Customers pay by cash or cheque. The owner pays suppliers, pays expenses, and receives collections from customers. If every transaction is written in one general journal, the book becomes a long stream of similar entries. The accounting remains possible, but the repeated work becomes expensive. The solution is not to abandon the general journal. It is to divide repeated transactions into special journals and post them systematically.

The same double-entry principle remains. Each transaction still has a debit and a credit, and total debits must equal total credits. What changes is where a repeated class of transaction is recorded and how the periodic totals are posted. The purpose is efficiency, clearer responsibility, and easier checking.

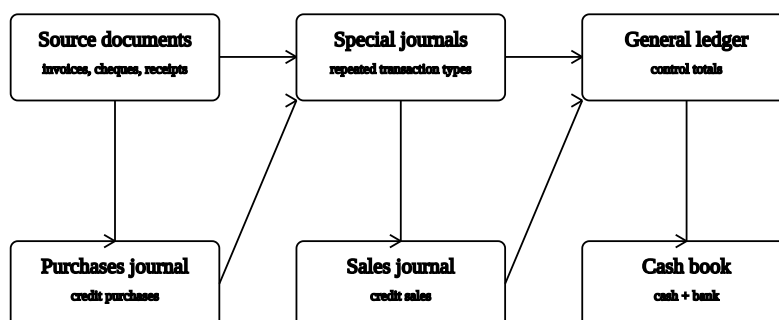


FIG. 45. How source documents flow into special journals and the general ledger

15.1 THE PUZZLE OF THE CROWDED JOURNAL: WHY SPECIAL JOURNALS

A special journal is a journal designed for a recurring class of similar transactions.

Special journal. A journal used for one kind of repeated transaction.

The main advantage is repetition with structure.

Special journals also support division of labour.

A transaction belongs in a special journal only when it meets the journal's rule.

A purchases journal may record merchandise bought on account. A sales journal may record merchandise sold on account. Cash transactions can be separated into cash receipts and cash disbursements. The precise set of journals depends on the size and nature of the business. A small enterprise may use fewer books; a larger enterprise may use more detailed subdivisions.

When a business records twenty credit purchases, the purchases journal provides one familiar layout for all twenty. The clerk does not redesign the entry each time. The supplier, date, invoice and amount appear in predictable columns. At the end of the period, the journal can be totalled and the totals posted to the appropriate general ledger accounts.

One employee may handle purchases, another sales, and another cash receipts. Each can work within a defined book. The arrangement can improve speed, but it also creates a control requirement: the totals from the separate journals must reconcile with the general ledger and subsidiary records. Division of work without reconciliation would merely divide the opportunity for error.

A purchase of merchandise for cash does not belong in a purchases journal designed for credit purchases. A credit sale of merchandise belongs in the sales journal, while a cash sale belongs in the cash records. The transaction's substance, not the name of the document, determines the book.

Journal	Main use	Typical entry pattern		---	---	---		Purchases journal	Merchandise bought on account	Purchases/Inventory Dr; Accounts payable Cr
Sales journal	Merchandise sold on account	Accounts receivable Dr; Sales Cr								
Cash receipts journal	Cash received	Cash Dr; relevant account Cr								
Cash disbursements journal	Cash paid	Relevant account Dr; Cash Cr								
General journal	Transactions outside the special-journal rules	Depends on transaction								

15.2 SUBSIDIARY LEDGERS AND CONTROL ACCOUNTS

Suppose Mitali sells to ten institutional customers on account. The general ledger does not need ten separate accounts inside the main control structure if a subsidiary accounts-receivable ledger stores each customer's balance. The general ledger can maintain one Accounts Receivable control account representing the total. The subsidiary ledger then answers the detailed question: which customer owes what amount?

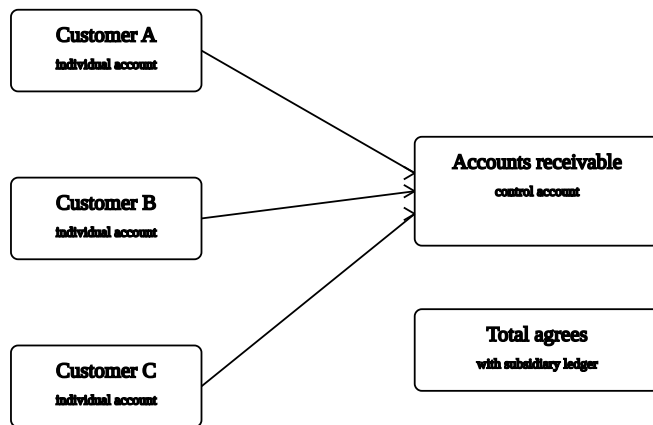


FIG. 46. Individual customer accounts support one accounts-receivable control account

If Customer A owes Tk 18,000, Customer B owes Tk 27,000 and Customer C owes Tk 15,000, the subsidiary ledger total is Tk 60,000. The Accounts Receivable control account should also show Tk 60,000 after all relevant postings. The two records provide different levels of detail, but they describe the same total.

Individual supplier accounts show what the business owes to each supplier. The Accounts Payable control account shows the total amount owed to all suppliers. If the control balance and subsidiary total disagree, the accounting system has a reconciliation problem. The difference must be investigated rather than ignored.

A reference may point from a special journal to a subsidiary ledger page or account code. The exact format varies between systems. Its purpose is traceability. An accountant should be able to move from a total to its supporting entries and from an individual entry back to its source.

Special journals become more useful when individual customer and supplier accounts are kept in subsidiary ledgers.

Subsidiary ledger. A ledger containing the individual accounts that support one controlling general-ledger balance.

A control account is a general-ledger account whose balance should agree with the total of the related subsidiary ledger.

Control account. A general-ledger account showing the total represented by a related subsidiary ledger.

The same principle applies to accounts payable.

A folio or reference column helps trace an entry from one book to another.

Folio. A reference column that identifies where an entry has been posted or where its supporting record can be found.

Control accounts therefore turn special journals into a system of linked records rather than isolated notebooks.

The purchases journal records merchandise bought on account when the business uses a periodic purchases approach.

Purchases journal. A special journal for merchandise bought on account.

A typical purchases-journal row records the supplier, invoice reference and amount, then supports the appropriate subsidiary and control postings.

The three April purchases illustrate why a repeated layout saves work.

A purchase return is not another purchase and therefore should not be treated as an ordinary purchases-journal row.

A cash discount received from a supplier is different from a trade discount deducted before recording the invoice.

Discount received. A cash discount that the business obtains from a supplier for meeting stated payment conditions.

The sales journal records merchandise sold on account under the relevant system.

Sales journal. A special journal for merchandise sold on account.

A cash sale does not belong in the sales journal when the journal is defined for credit sales.

The purchases journal supports purchases and supplier balances. The sales journal supports sales and customer balances. Cash records support the cash and bank balances. The general ledger remains the central accounting record, while subsidiary records provide detail. This structure is one reason a business can handle a large number of transactions without placing every detail on one page.

15.3 THE PURCHASES JOURNAL

The key condition is that the transaction is both a purchase of merchandise and a credit purchase. A cash purchase goes into the cash records. The purchase of an office computer on account is not merchandise if the business is buying it for use; it belongs in the general journal or another designated record. The definition therefore prevents overuse of the purchases journal.

For an introductory periodic system, a purchase of merchandise on account is recorded as Purchases debit and Accounts Payable credit. The supplier's individual account receives a credit. At the end of the period, the purchases journal total is posted to the general ledger Purchases account and the total credit is posted to Accounts Payable control. The exact columns can be expanded for freight, tax or other classifications when the accounting system requires them.

Date	Supplier	Invoice	Amount		---	---	---	---	3 Apr	Rahman
Wholesale	R-118	Tk 18,000		10 Apr	City Foods	CF-204	Tk 24,000		18	
Apr	Fresh Pack Ltd	FP-77	Tk 15,000		Total	—	—	Tk 57,000		

Each row describes the same class of event: merchandise acquired on account. The total of Tk 57,000 is the period's credit-purchase amount in this illustration. The supplier accounts would receive their individual credits, while the control account receives the total credit. The purchases account receives the corresponding debit under the periodic approach.

PURCHASE RETURNS AND CASH DISCOUNTS

When merchandise is returned to a supplier, the business reduces the amount owed or receives another agreed settlement. The exact record depends on the system, but the important conceptual point is that a return reverses part of the original purchase relationship. It must remain traceable to the supplier and the original transaction.

A trade discount normally reduces the invoice price before the accounting amount is recorded. A cash discount depends on payment timing and is recorded when the business qualifies for and takes it. Students should therefore avoid treating every reduction in an invoice as the same kind of discount.

15.4 THE SALES JOURNAL

The buyer becomes a debtor of the business, so Accounts Receivable is debited and Sales is credited in the basic periodic model. The customer's individual subsidiary account receives the debit. At the end of the period, the sales total is posted to the Sales account and the total receivable amount is posted to the Accounts Receivable control account.

The word sales describes the revenue event, but the special-journal classification depends on how the transaction is settled. Cash sales are recorded through the cash-receipts side of the cash records. This distinction is important

because the same revenue account can receive postings from more than one journal.

Date	Customer	Invoice	Amount		---	---	---	---		5 Apr	Rajshahi College Canteen	S-031	Tk 16,000		12 Apr	City Hospital Cafeteria	S-032	Tk 22,000		25 Apr	North Bank Staff Club	S-033	Tk 12,000		Total	—	—		Tk 50,000
------	----------	---------	--------	--	-----	-----	-----	-----	--	-------	--------------------------	-------	-----------	--	--------	-------------------------	-------	-----------	--	--------	-----------------------	-------	-----------	--	-------	---	---	--	-----------

Rajshahi College Canteen has a debit of Tk 16,000, City Hospital Cafeteria Tk 22,000, and North Bank Staff Club Tk 12,000. The total of these individual receivables is Tk 50,000. The Accounts Receivable control account should therefore receive the same total debit from the sales journal, subject to subsequent collections and adjustments.

The customer ledger provides the detail behind the Tk 50,000 sales-journal total.

SALES RETURNS AND ALLOWANCES

The return must be linked to the customer's account and to the appropriate sales-return account or equivalent treatment under the chosen system. The conceptual sequence is important: sale creates the receivable and revenue; return reduces the customer's obligation and reduces the related sales measure. The special journal should not become a place where every sales-related event is mixed together.

A sales return is recorded outside the ordinary sales-journal rule because it reduces the original sale rather than creating a new sale.

15.5 THE CASH BOOK: RECEIPTS, PAYMENTS AND THE BANK COLUMN

Cash received can come from cash sales, collections from customers, owner contributions, loans, or other sources. The cash account is debited when cash increases. The other account credited depends on the source. A structured cash-receipts journal allows repeated transactions to be grouped and totalled.

Cash transactions are frequent enough to deserve their own organised record.

Cash receipts journal. A special journal for cash received.

Cash paid may settle supplier accounts, operating expenses, loans, or purchases of assets. Cash is credited when it decreases. The account debited depends on what the payment represents. The journal therefore needs columns that make common categories easy to identify without removing the underlying double-entry logic.

Cash payments are likewise grouped because the same cash account appears in many different transactions.

Cash disbursements journal. A special journal for cash paid out.

The cash book can function as both a journal and a ledger for cash-related transactions. Its structure varies. A simple two-column arrangement may separate cash and bank. Additional columns can record discounts or other recurring categories. The design should match the transactions the business actually encounters.

A cash book can combine the receipts and payments records with a running cash and bank balance.

Cash book. A book that records cash received and cash paid, and often the bank balance.

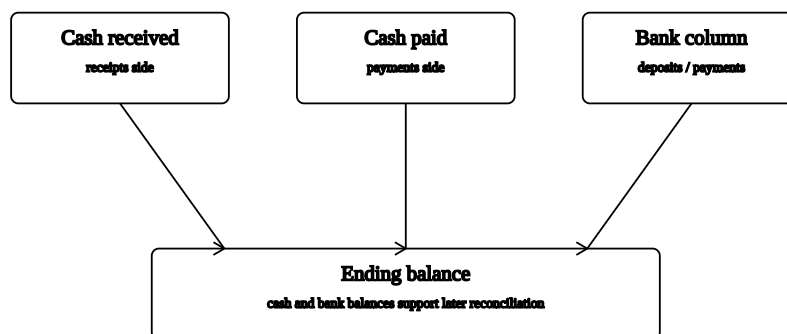


FIG. 47. The cash book connects receipts, payments and bank movements

Discounts allowed and discounts received can be shown in cash records when the system includes them.

Discount allowed. A cash discount that the business gives to a customer.

The bank column is particularly useful because the bank balance becomes a major control point.

Suppose a customer owes Tk 10,000 and pays Tk 9,800 within the discount period. The business receives Tk 9,800 and allows Tk 200 as a discount. The cash-receipts record can therefore show the cash received and the discount allowed, while the customer's account is cleared for Tk 10,000. The exact column design depends on the cash book used.

Deposits into the bank increase the bank column. Cheques and other bank payments reduce it. The cash book's bank balance is later compared with the bank statement in Chapter 16. That later reconciliation is easier because the cash book has already separated bank-related movements from other transactions.

Date	Source	Cash/bank received	Other account					
2 Apr	Cash sales	Tk 8,000	Sales					
8 Apr	Collection from Rajshahi College Canteen	Tk 10,000	Accounts Receivable					
20 Apr	Owner contribution	Tk 20,000	Owner's Capital					
28 Apr	Collection from City Hospital Cafeteria	Tk 12,000	Accounts Receivable					
	Total	—	Tk 50,000					

Date	Payee / purpose	Amount	Debit account					
4 Apr	Rahman Wholesale settlement	Tk 10,000	Accounts Payable					
11 Apr	Shop electricity	Tk 4,500	Utilities Expense					
16 Apr	Packaging cash purchase	Tk 3,000	Supplies / relevant cost					
23 Apr	City Foods settlement	Tk 14,000	Accounts Payable					
29 Apr	Shop rent	Tk 15,000	Rent Expense					
	Total	—	Tk 46,500					

The illustrative cash receipts total is Tk 50,000 and the illustrative disbursements total is Tk 46,500. If the opening bank balance were Tk 400,000 and all these amounts passed through the bank column, the resulting balance would be Tk 403,500. In a real cash book, cash-on-hand and bank movements may be separated, so the calculation must follow the actual columns rather than treating every receipt as a bank deposit.

15.6 POSTING FROM SPECIAL JOURNALS; WHAT THE GENERAL JOURNAL STILL RECORDS

Suppose the April purchases journal total is Tk 57,000. Under the periodic model, the Purchases account receives a debit of Tk 57,000 and Accounts Payable control receives a credit of Tk 57,000. The individual supplier accounts receive their own credits. The general ledger therefore contains the total, while the subsidiary ledger contains the detail.

The cash-book totals must be interpreted with the opening balance and the transaction side on which each item belongs.

Special journals save work because their periodic totals can be posted systematically to the general ledger.

A Tk 50,000 sales-journal total produces a debit of Tk 50,000 to Accounts Receivable control and a credit of Tk 50,000 to Sales. Individual customer accounts receive their corresponding debits. The equality of debits and credits is preserved even though the detailed rows and the general-ledger totals are stored in different places.

Adjusting entries, correcting entries, closing entries, depreciation entries, unusual non-cash transactions, and certain transfers may remain in the general journal. A special-journal system is not designed to eliminate the general journal. It is designed to prevent repeated transactions from overwhelming it.

The source document supports the transaction. The special journal records it in the appropriate repeated format. The subsidiary ledger receives individual detail where needed. Periodic totals move to control and general-ledger accounts. The chain should remain traceable from source to final balance.

| Book | Detail posted to | General-ledger effect | | --- | --- | --- | | Purchases journal | Supplier accounts | Purchases Dr; Accounts Payable control Cr | | Sales journal | Customer accounts | Accounts Receivable control Dr; Sales Cr | | Cash receipts journal | Relevant cash-source accounts | Cash/Bank Dr; source account Cr | | Cash disbursements journal | Relevant payment accounts | Expense/asset/liability Dr; Cash/Bank Cr | | General journal | Accounts affected by unusual/non-repeating entries | According to the individual entry |

The sales journal works by the same principle in the opposite direction.

The general journal remains necessary for transactions that do not fit the special journals.

Posting is therefore a controlled movement of information rather than a second recording of the same event.

WORKED CASE: MITALI BAKERY IN APRIL

Situation: Mitali Bakery has begun dealing with institutional buyers and several merchandise suppliers. Question: how can the business record repeated purchases, credit sales and cash movements without writing every event in one general journal? Reasoning: apply the transaction-class rules first, then record each qualifying event in the relevant special journal, maintain individual customer and supplier detail in subsidiary ledgers, and post periodic totals to the general ledger. Conclusion: the April records can be organised into purchases, sales and cash records while the general journal remains available for transactions outside those classes. Check: the control accounts must agree with the totals of their subsidiary ledgers.

Case file, illustrative. Credit merchandise purchases are Tk 57,000: Rahman Wholesale Tk 18,000, City Foods Tk 24,000, and Fresh Pack Ltd Tk 15,000. Credit merchandise sales are Tk 50,000: Rajshahi College Canteen Tk 16,000, City Hospital Cafeteria Tk 22,000, and North Bank Staff Club Tk 12,000. Illustrative cash receipts are Tk 50,000 and illustrative cash disbursements are Tk 46,500. The cash-book bank balance will therefore depend on which of these receipts and payments actually pass through the bank column; the examples above treat the totals as bank movements only when explicitly described as such.

If the supplier subsidiary accounts show credits of Tk 18,000, Tk 24,000 and Tk 15,000, their total is Tk 57,000. The Accounts Payable control account should contain the corresponding total credit from the purchases journal before subsequent settlements. If the customer subsidiary accounts show debits of Tk 16,000, Tk 22,000 and Tk 12,000, their total is Tk 50,000. The Accounts Receivable control account should contain the corresponding total debit before subsequent collections.

Cash received from a customer reduces that customer's receivable, while cash received from a cash sale creates revenue. Both increase cash, but they

The April case puts all four recurring books beside one another.

The following April figures are fixed for this draft so that the case can be carried forward into Chapter 16.

A control check is stronger than a visual impression that the books look complete.

The case also shows why cash records require a separate conceptual check.

credit different accounts. Cash paid to a supplier reduces a payable, while rent paid creates an expense. Both reduce cash, but they debit different accounts. The cash book groups transactions by cash movement while its counterpart columns preserve the reason for the movement.

A FULLER APRIL POSTING ILLUSTRATION

A complete month makes the relationship between special journals, subsidiary ledgers and the general ledger visible.

The control-account calculation is a summary, not a replacement for customer detail.

The same logic works for suppliers, but the normal balance and transaction direction are reversed.

Supplier detail can reveal an error that a total alone cannot explain.

A two-column cash book separates cash on hand from the bank balance when the system requires both.

Internal transfers must not be mistaken for income or expense.

A cash discount changes the amount settled when payment conditions are met.

Assume the opening Accounts Receivable balance is Tk 35,000. During April, the sales journal records Tk 50,000 of credit sales. The cash receipts journal records collections of Tk 22,000 from customers. Ignoring returns and other adjustments for the illustration, the ending Accounts Receivable control balance is $\text{Tk } 35,000 + \text{Tk } 50,000 - \text{Tk } 22,000 = \text{Tk } 63,000$. The subsidiary ledger must produce the same total after the individual customer postings.

Suppose the three April credit sales are Tk 16,000, Tk 22,000 and Tk 12,000. The three customers therefore receive those individual debits. If the collections include Tk 10,000 from the first customer and Tk 12,000 from the second, their balances change individually. The control account does not show the identity of each customer; it shows the total. The subsidiary ledger supplies the identity and the control account supplies the general-ledger total.

ACCOUNTS PAYABLE POSTING

Assume opening Accounts Payable is Tk 40,000. April credit purchases are Tk 57,000 and payments to suppliers are Tk 24,000. The ending Accounts Payable control balance is $\text{Tk } 40,000 + \text{Tk } 57,000 - \text{Tk } 24,000 = \text{Tk } 73,000$. The three supplier accounts must collectively produce the same Tk 73,000 balance after their individual purchases and settlements.

If the control account shows Tk 73,000 but the subsidiary ledger totals Tk 68,000, the accountant knows that a Tk 5,000 difference exists. The next step is not to change either number without evidence. The accountant traces postings, source documents, journal totals and dates until the difference is explained. Control accounts are useful because they create a deliberate point of comparison.

A TWO-COLUMN CASH BOOK ILLUSTRATION

Suppose the opening balances are cash Tk 12,000 and bank Tk 400,000. During the month, cash sales of Tk 8,000 increase cash. A deposit of Tk 6,000 moves money from cash on hand to the bank; it is not new income. A cheque received from a customer for Tk 10,000 increases bank when deposited. Rent of Tk 15,000 is paid by cheque. Electricity of Tk 4,500 is paid from the bank. The cash column and bank column therefore change for different reasons, even though both represent cash resources.

The Tk 6,000 deposit from cash to bank increases the bank column and decreases the cash column. Total cash resources do not increase. If the accountant treated the deposit as revenue, the accounts would report income that never occurred. The counterpart logic of double entry prevents that mistake when the cash book is designed and posted correctly.

CASH DISCOUNTS

Suppose a customer owes Tk 10,000 and receives a 2 per cent discount for prompt payment. The discount is Tk 200, so the customer pays Tk 9,800. From the seller's perspective, the receipt is Tk 9,800 and the discount allowed is Tk 200, while the customer's receivable is cleared for the full

Tk 10,000. The three amounts must be connected: Tk 9,800 + Tk 200 = Tk 10,000.

If Mitali owes a supplier Tk 10,000 and earns the same Tk 200 discount, it pays Tk 9,800. The payable is reduced by Tk 10,000, while the business records the appropriate discount received according to the system being used. The important idea is that the settlement amount and the amount originally owed are not necessarily identical.

The supplier-side case is the mirror image.

WHAT REMAINS IN THE GENERAL JOURNAL

Suppose Mitali records monthly depreciation on the oven. That entry does not belong in the purchases journal, sales journal or cash book because it is a non-cash adjusting transaction. Likewise, an adjusting entry for accrued wages, a correcting entry for a posting mistake, or a closing entry at the end of the period requires the general journal. The special-journal system therefore divides routine work without removing the general accounting cycle.

Special journals are selective, so unusual transactions continue to require individual entries.

If the answer is no, the general journal is often the appropriate place. If the answer is yes, the transaction can enter the special journal designed for that class. This decision rule is more reliable than memorising a list because different businesses can design their journals differently.

A useful rule is to ask whether the transaction is both repetitive and covered by a defined journal.

SOURCE DOCUMENTS AND AUDIT TRAIL

A purchase invoice supports a credit purchase. A sales invoice supports a credit sale. A receipt or bank advice supports a cash receipt. A cheque or payment record supports a cash disbursement. The journal records the accounting interpretation of the document. The folio and reference information then help a reviewer trace the entry into the ledger or subsidiary account.

Every journal entry should have a path back to evidence.

When an error appears in a control account, the accountant can move backwards from the total to the special journal, from the journal to the individual customer or supplier account, and from that account to the source document. The reverse direction is also possible. A source document can be followed forward until its effect reaches the financial statements. This two-way trace is an important feature of a well-organised accounting system.

Traceability turns bookkeeping from a list of numbers into an evidence-based record.

SUMMARY

They divide a crowded general journal into predictable transaction classes while preserving double-entry accounting.

Special journals organise repeated transactions.

Customer and supplier accounts can be kept separately while control accounts show the corresponding totals in the general ledger.

Subsidiary ledgers provide individual detail.

In the basic periodic model, they record merchandise bought or sold on account, not every transaction containing the word purchase or sale.

Purchases and sales journals have precise boundaries.

Cash receipts and disbursements can be recorded separately, or a cash book can combine cash and bank columns.

Cash records group cash movement.

The totals preserve efficiency while the subsidiary ledgers preserve detail.

Periodic totals connect special journals to the general ledger.

Adjustments, corrections, closing entries and unusual transactions still require a place for individual journal entries.

The general journal remains necessary.

THINK IT THROUGH

For each transaction, ask three questions. Is it merchandise? Is it on account or for cash? Is it a recurring class for which the business maintains a special

Classifying the transaction before recording it prevents most special-journal mistakes.

A control account should always invite a second question: where is its detail?

Cash can be the same amount but represent different economic events.

One frequent mistake is putting every purchase into the purchases journal.

Another mistake is posting every subsidiary transaction separately to the control account when the system is designed for periodic totals.

A third mistake is treating the cash book as if it removes the need for the general ledger.

The McKesson & Robbins case of 1938 illustrates why detailed records do not replace independent checking.

The historical source is used only for the documented auditing case.

The review questions focus on classification, posting and control.

journal? The answers determine the appropriate book. This is faster and safer than memorising isolated examples.

If Accounts Receivable shows Tk 60,000, the accountant should be able to obtain the subsidiary ledger and add the customer balances to the same total. A control account without supporting detail is not performing its intended control role.

A Tk 10,000 receipt from a customer is a collection of an existing receivable. A Tk 10,000 cash sale is new revenue. A Tk 10,000 owner contribution increases capital. The cash column alone cannot explain the transaction. The counterpart account supplies the meaning.

WHERE PEOPLE GO WRONG

The purchases journal in this chapter is defined for merchandise bought on account. A cash purchase belongs in the cash records. A plant asset bought on account belongs in the appropriate general-journal treatment or designated asset-purchase record. The classification rule must be followed precisely.

The subsidiary ledger needs individual postings because management needs customer and supplier detail. The control account can receive the periodic total from the special journal. Mixing the two posting methods can double-count transactions.

The cash book records cash-related transactions efficiently, but the business still needs accounts for revenue, expenses, receivables, payables, assets and equity. The cash book is one component of the accounting system, not the whole ledger.

IN HISTORY

The U.S. Securities and Exchange Commission reported that fictitious inventory and accounts receivable were included in the company's financial statements. The investigation contributed to changes in auditing practice, including stronger attention to physical inventory inspection and confirmation of receivables. The lesson for a special-journal system is narrow but important: an organised chain of records is useful only when the records can be traced and independently checked.¹

SOURCES

REVIEW

1. Define a special journal and explain why a business uses one.
2. Distinguish a subsidiary ledger from a control account.
3. Explain the purpose of a folio or reference column.
4. State the basic rule for deciding whether a transaction belongs in the purchases journal.
5. State the basic rule for deciding whether a transaction belongs in the sales journal.

¹ U.S. Securities and Exchange Commission, *Annual Report 1944*, discussion of the McKesson & Robbins investigation and the subsequent extension of auditing procedures. See also SEC historical remarks describing the fictitious inventory and receivables. <https://www.sec.gov/files/1944.pdf>

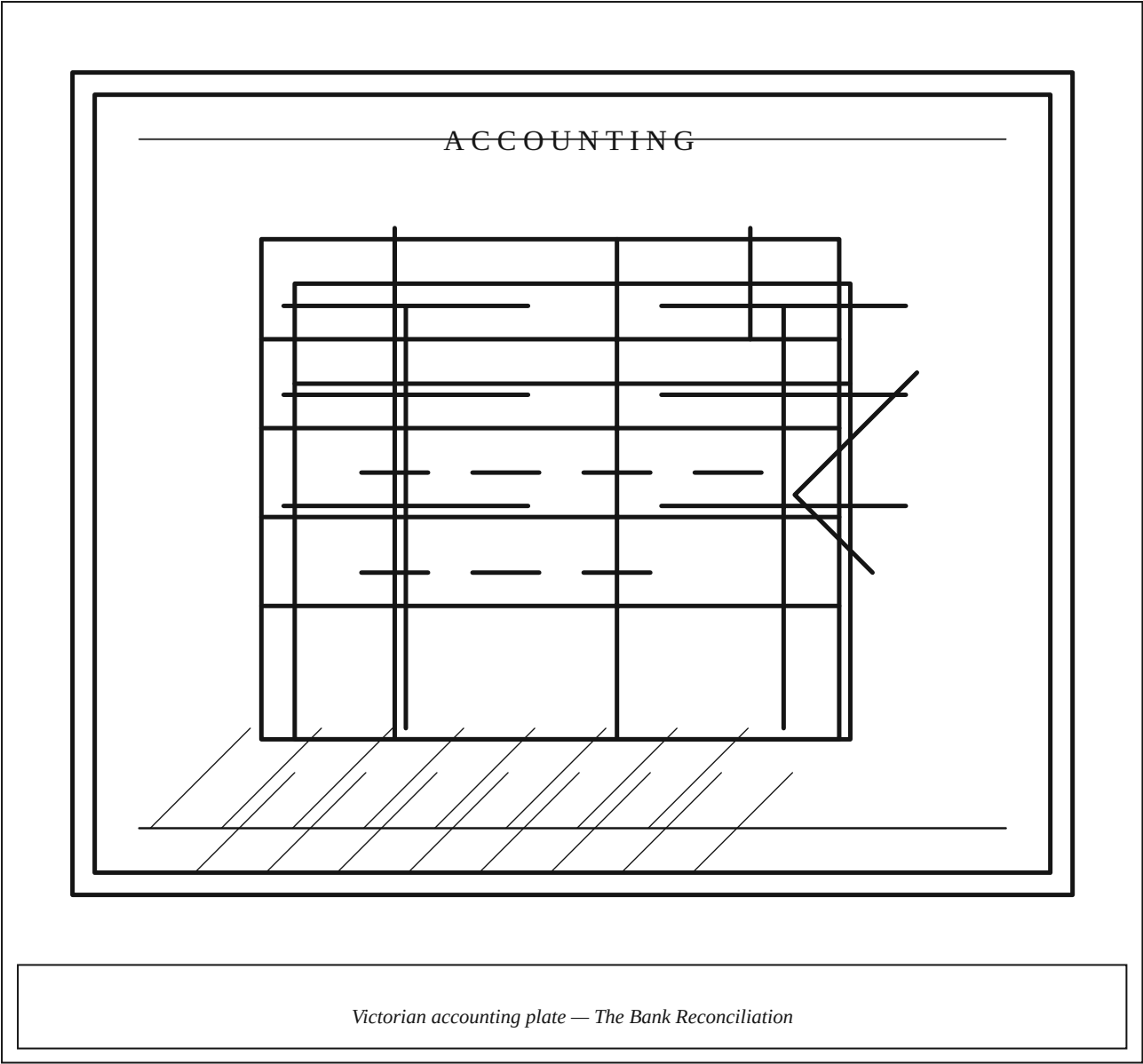
6. Explain the roles of the cash receipts journal, cash disbursements journal and cash book.
7. Explain discount allowed and discount received.
8. Using the April data, prepare the purchases journal and sales journal totals.
9. Explain how the purchases-journal total reaches the Accounts Payable control account.
10. Explain why the general journal remains necessary after special journals are introduced.
11. Classify each transaction: cash purchase of merchandise; credit purchase of merchandise; credit sale of merchandise; cash collection from a customer; rent paid by cheque; depreciation adjustment.
12. Explain how a subsidiary ledger can help locate an error in a control account.



Chapter 15 finished.

New: `special journal`, `purchases journal`, `sales journal`, `cash receipts journal`, `cash disbursements journal`, `cash book`, `subsidiary ledger`, `control account`, `folio`, `discount allowed`, `discount received`. **New case-file facts:** April 2026 illustrative special-journal figures fixed for this draft: credit merchandise purchases Tk 57,000; credit merchandise sales Tk 50,000; illustrative cash receipts Tk 50,000; illustrative cash disbursements Tk 46,500. **Verify:** Carry the exact April cash-book bank-column movements into Chapter 16 before drafting the reconciliation case.

Continue with Chapter 16.



CHAPTER XVI

The Bank Reconciliation

Two records may disagree without either being wrong.



A bank reconciliation explains the difference between the cash book and the bank statement. It separates timing differences from items not yet recorded by the business, then brings both records to one adjusted balance.

The same bank account can show two balances on the same day.

Reconciliation is the process of explaining why two records of the same bank account differ.

Bank reconciliation. A comparison of the cash book and bank statement that explains their difference and establishes an adjusted balance.

At the end of a month, Mitali Bakery looks at its cash book and receives a statement from its bank. The cash book says Tk 427,500. The bank statement says Tk 428,500. The difference is Tk 1,000. Has someone made an error? Not necessarily. A cheque may have been issued but not yet presented. A deposit may have been made but not yet credited. The bank may have charged the account or collected an amount that the bakery has not yet recorded. The two records can therefore disagree because they were prepared at different times and from different information.

A **bank reconciliation** does not replace the cash book, and it does not correct the bank statement. It explains the difference between them. Some differences require only a note in the reconciliation because the bank or the business has not yet processed the same transaction. Other differences require an entry in the cash book. The distinction is the heart of the chapter.

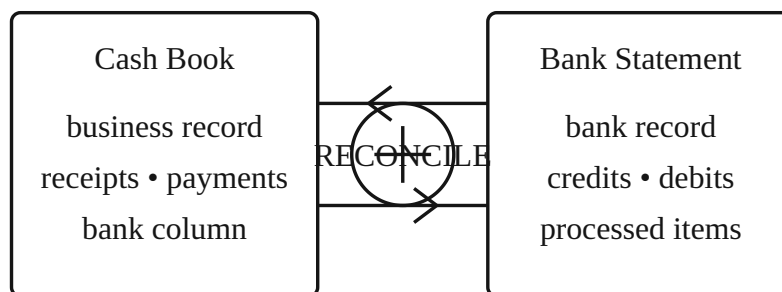


FIG. 48. *The two records meet at one adjusted bank balance*

16.1 THE PUZZLE OF TWO BALANCES

The cash book records the business's view of its bank account.

The bank statement records the bank's view of the same account.

A difference is useful information when its cause can be identified.

A cheque can create the opposite timing difference.

The cash book is maintained by the business. Its bank column records deposits, withdrawals, cheques, transfers and other movements known to the business. Chapter 15 showed how this column can be part of a cash book. When a cheque is written, the business records the payment. When a customer pays into the bank, the business records the receipt. The cash book therefore follows the transactions as the business understands them.

The bank keeps its own record. It receives deposits, pays cheques, charges fees, collects some amounts, and records other instructions. It then sends a statement to the account holder. The statement may contain transactions that have not yet appeared in the business's cash book. It may also omit a transaction that the business has recorded because the bank has not processed it yet.

Suppose the business deposits Tk 8,500 late on 31 March. The cashier records the deposit in the cash book immediately. If the bank processes it on 1 April, the March bank statement may not include it. The cash book will therefore be higher than the bank statement by Tk 8,500. Neither record is necessarily wrong. They are reporting the same event at different stages of processing.

Suppose the bakery issues a cheque for Tk 12,000 to a supplier on 30 March. The bakery records the payment at once. If the supplier deposits the cheque on 2 April, the bank has not yet paid it on 31 March. The cash book is therefore

lower than the bank statement by Tk 12,000. This item is an **outstanding cheque**.

The word outstanding does not mean that the cheque is invalid. It means that the payment is still waiting to pass through the bank. Once the bank pays it, the difference disappears without a new entry in the business's cash book.

A deposit in transit may also be called an outstanding deposit in some systems. The important idea is timing. The business has recorded the receipt, but the bank statement has not yet included it. When the bank credits the deposit, the two records move closer together.

Outstanding cheque. A cheque recorded by the business as paid but not yet presented to the bank for payment.

A deposit in transit is a timing difference on the receipt side.

Deposit in transit. A deposit recorded by the business but not yet credited by the bank at the statement date.

16.2 READING A BANK STATEMENT: DEBIT AND CREDIT MEMOS

A business normally thinks of money in its bank account as an asset. An increase in that asset is a debit in the business's cash account. But the bank's records treat the customer's deposit as an amount owed by the bank to the customer. From the bank's viewpoint, the customer's account is a liability. An increase in that liability is a credit in the bank's records. This is why a deposit may appear as a credit on the bank statement while the business records a debit to Cash.

A credit memo may arise when the bank collects a note or other amount for the customer, credits interest, or records another increase. The exact practice depends on the bank and the account. The accounting task is to identify what caused the credit and whether the business has already recorded it.

Bank charges are a common example. If the bank deducts Tk 1,200 as a service charge, the statement records the deduction. If the bakery has not yet received or entered that information, its cash book will still show too high a balance. The reconciliation identifies the difference, and the business then records the bank charge in its books.

This is why the words debit and credit should not be memorised without context. Ask first: whose books are being described? Then ask whether the customer's balance has increased or decreased. That reasoning prevents the common mistake of treating every bank credit as a credit to the business's Cash account.

Bank terminology can look reversed because the bank is writing from its own viewpoint.

Credit memo. A bank notification showing an amount credited to the customer's account.

A debit memo usually reduces the balance shown by the bank.

Debit memo. A bank notification showing an amount charged or debited to the customer's account.

A bank statement must be read from the bank's side before its entries are translated into the business's accounts.

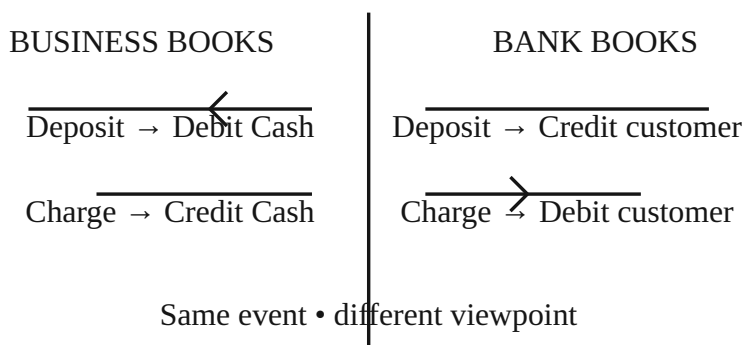


FIG. 49. Bank-side and business-side meanings of debit and credit

Most reconciliation differences fall into timing differences, unrecorded bank items, or errors.

A bank charge reduces the business's cash balance even when the business did not initiate the entry.

A dishonoured cheque reverses an expected collection.

Dishonoured cheque. A cheque received from a customer that the bank refuses to pay, so the expected collection is not completed.

Errors must be corrected in the records in which they occurred.

A reconciliation is strongest when every difference has a named cause.

A reconciliation starts with one balance and adjusts it until it reaches the balance shown by the other side.

Adjusted balance. The balance that remains after all relevant reconciling items have been considered.

The direction of each adjustment depends on the balance from which the reconciliation starts.

16.3 WHY THE TWO RECORDS DIFFER

The first class contains transactions already recorded by the business but not yet processed by the bank. Outstanding cheques and deposits in transit belong here. The second class contains items recorded by the bank but not yet entered in the cash book. Bank charges, interest, collections and dishonoured cheques are common examples. The third class contains mistakes in either record.

Suppose the bank deducts Tk 1,200. The business's cash book must eventually record the decrease. The journal entry is:

Account Debit (Tk) Credit (Tk) --- ---: ---: Bank Charges Expense
1,200 — Cash — 1,200

The reconciliation itself explains the difference. The journal entry then brings the cash book up to date. The two jobs should not be confused.

Suppose a customer paid Tk 4,000 by cheque and the bakery recorded the receipt. If the cheque is later dishonoured, the bank removes Tk 4,000 from the account. The business must reduce Cash and restore the customer's receivable if the amount is still owed. A possible entry is:

Account Debit (Tk) Credit (Tk) --- ---: ---: Accounts Receivable
4,000 — Cash — 4,000

The customer may later settle the amount by another method. Until then, the receivable exists again.

Suppose the bakery recorded a Tk 5,000 cheque as Tk 7,000 in its cash book. The cash book has been reduced by Tk 2,000 too much. The correction increases Cash by Tk 2,000 and records the appropriate debit to the account that was originally charged. The reconciliation should identify the error rather than conceal it inside a miscellaneous adjustment.

A list that says “difference Tk 1,000” is not a reconciliation. The accountant should be able to point to each amount and say what happened, which record contains it, and whether an entry is still needed. This makes the process useful for both accuracy and control.

16.4 PREPARING THE RECONCILIATION STATEMENT

There are two common starting points. The reconciliation can begin with the cash book balance and adjust for items appearing only in the bank statement, then deal with timing differences. It can also begin with the bank statement balance and adjust in the opposite direction. Both approaches should reach the same adjusted balance when the items are classified correctly.

Consider the bakery at 31 March. Its cash book shows Tk 427,500 and the bank statement shows Tk 428,500. The following items are identified:

Item Tk Treatment from cash-book balance --- ---: ---: Deposit in transit 8,500 Add Outstanding cheque 12,000 Subtract Bank interest not yet recorded 700 Add Bank charges not yet recorded 1,200 Subtract Dishonoured cheque not yet recorded 4,000 Subtract Cash-book error: payment overstated 2,000 Add

Starting from Tk 427,500:

Tk 427,500 + Tk 8,500 – Tk 12,000 + Tk 700 – Tk 1,200 – Tk 4,000 + Tk 2,000 = Tk 421,500.

The bank statement balance used for the corresponding reconciliation must therefore contain the timing items in the opposite direction. If the statement shows Tk 425,000, then adding the deposit in transit and subtracting the outstanding cheque gives Tk 421,500. Thus both records lead to the same adjusted balance.

If the bank statement is the starting point, the deposit in transit is added and the outstanding cheque is subtracted when moving to the adjusted balance in this example. If the bank statement includes neither item, the direction depends on how the statement balance is defined and on the exact reconciliation format used. The safe method is to draw the timeline and ask which record already contains each transaction.

The adjusted balance is found by applying the items, not by forcing the two original balances to agree.

GO SLOWLY HERE.

The same item changes direction when the starting balance changes.

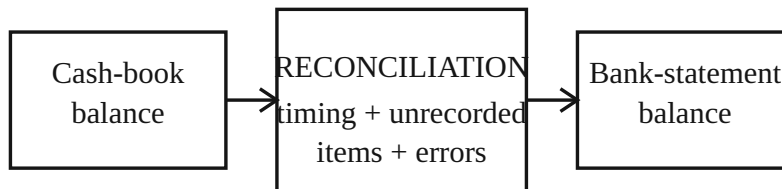


FIG. 50. A reconciliation as a bridge from two balances to one adjusted balance

After reaching the adjusted balance, reconstruct the other side from its original balance. If the same figure appears, the arithmetic and classification agree. If not, inspect the sign of each item before assuming the source record is wrong.

A good reconciliation can be checked by reversing the route.

16.5 ENTRIES AFTER THE RECONCILIATION

An outstanding cheque has already reduced Cash in the business's books. A deposit in transit has already increased Cash. These are timing differences. The business waits for the bank to process them. Making another entry would double-count the transaction.

Bank charges, interest credited by the bank, collections made by the bank, and dishonoured cheques are examples. The accountant identifies the corresponding account and updates the cash book. If the business uses a journal rather than direct cash-book posting, the entry follows the same double-entry principle taught earlier.

The first outcome explains why the balances differ. The second updates the business's records. Once the cash book has been corrected, a new cash-book balance can be compared with the bank statement after timing differences are considered. The process should not leave unexplained amounts behind.

Items already recorded in the cash book do not need another journal entry.

Items found only on the bank statement normally require cash-book entries.

The reconciliation therefore has two outcomes: an explanation and a list of required entries.

16.6 WHY BUSINESSES RECONCILE: CONTROL

Reconciliation is also a control over cash.

A reconciliation works best when responsibility and timing are clear.

Cash is easy to move and easy to misstate. A comparison with an independent bank record can reveal missing entries, duplicated entries, unusual payments, recording errors and delays. The Bank of England's investigation into the 1995 collapse of Barings Bank identified serious failures of controls and managerial confusion among the reasons the true position was not detected earlier.¹ The lesson for a small business is not that a bakery resembles a bank. It is that independent checking can expose information that one record alone may not reveal.

A business should know who prepares the cash book, who receives the bank statement, who reviews the reconciliation, and how unusual items are followed up. A reconciliation prepared but never reviewed is weaker than one that becomes part of a regular control routine.

Situation: At 31 March 2026, Mitali Bakery has a cash-book balance of Tk 427,500 and a bank-statement balance of Tk 425,000. The differences are the six items listed in section 16.4. **Question:** What adjusted balance should both records produce, and which items require cash-book entries? **Reasoning:** The deposit in transit and outstanding cheque are timing differences. Bank interest, bank charges and the dishonoured cheque are bank-side items not yet recorded. The Tk 2,000 error belongs to the cash-book correction. **Conclusion:** Both routes produce an adjusted balance of Tk 421,500. The bank interest, bank charges, dishonoured cheque and cash-book error require entries; the timing differences do not require duplicate entries. **Check:** Recalculate the adjustment from the bank statement side and confirm Tk 421,500.



SUMMARY

Reconciliation explains a difference; it does not make the difference disappear.

The cash book is the business's record of its bank account. The bank statement is the bank's record from the bank's viewpoint. Their balances may differ because transactions are processed at different times, because the bank has recorded an item the business has not yet entered, or because one record contains an error. Outstanding cheques and deposits in transit are common timing differences. Bank charges, interest, collections and dishonoured cheques commonly require cash-book entries. The final test is that both sides, after proper adjustments, lead to one adjusted balance.

THINK IT THROUGH

The important question is always what happened, not which word was printed on the statement.

A customer deposits a cheque late in the afternoon. The business records it, but the bank credits it the next morning. Which balance changes first, and why?

A supplier has received a cheque but has not deposited it. Why can the bank statement show more cash than the cash book?

A bank charges Tk 900 that the business has not recorded. Explain the effect on the cash book and the reconciliation.

A cheque received from a customer is dishonoured. Explain why the original receipt cannot remain as a permanent increase in Cash.

¹ Bank of England, Banking Act Report 1995–96, inquiry into the collapse of Barings.

WHERE PEOPLE GO WRONG

Treating a bank credit as a credit to Cash. The bank statement is written from the bank's viewpoint. Translate the event into the business's accounts before deciding the debit or credit.

Posting an outstanding cheque again. The cash book already records the payment. It is a timing difference, not a second payment.

Using the reconciliation to hide an error. A known error should be identified and corrected in the relevant record.

Forcing the arithmetic. If the two sides do not agree after the adjustments, inspect the classification and signs. Do not invent a balancing figure.

Most errors come from forgetting whose viewpoint is being used.

IN HISTORY

In 1995, Barings Bank collapsed after losses connected with unauthorised and concealed trading activities at its Singapore operation. The Bank of England's inquiry concluded that serious failures of controls and managerial confusion contributed to the failure to detect the true position earlier. The report was published in July 1995.¹ The case is far larger than an ordinary bank reconciliation, but it provides a useful historical reminder: records are valuable only when people compare, review and act on them.

The Barings collapse showed why control procedures matter when information and responsibility become separated.

SOURCES

For the historical case, see the Bank of England's Banking Act Report 1995–96, which records the inquiry and its conclusions.¹

The chapter's main ideas rest on the accounting records introduced in earlier chapters.

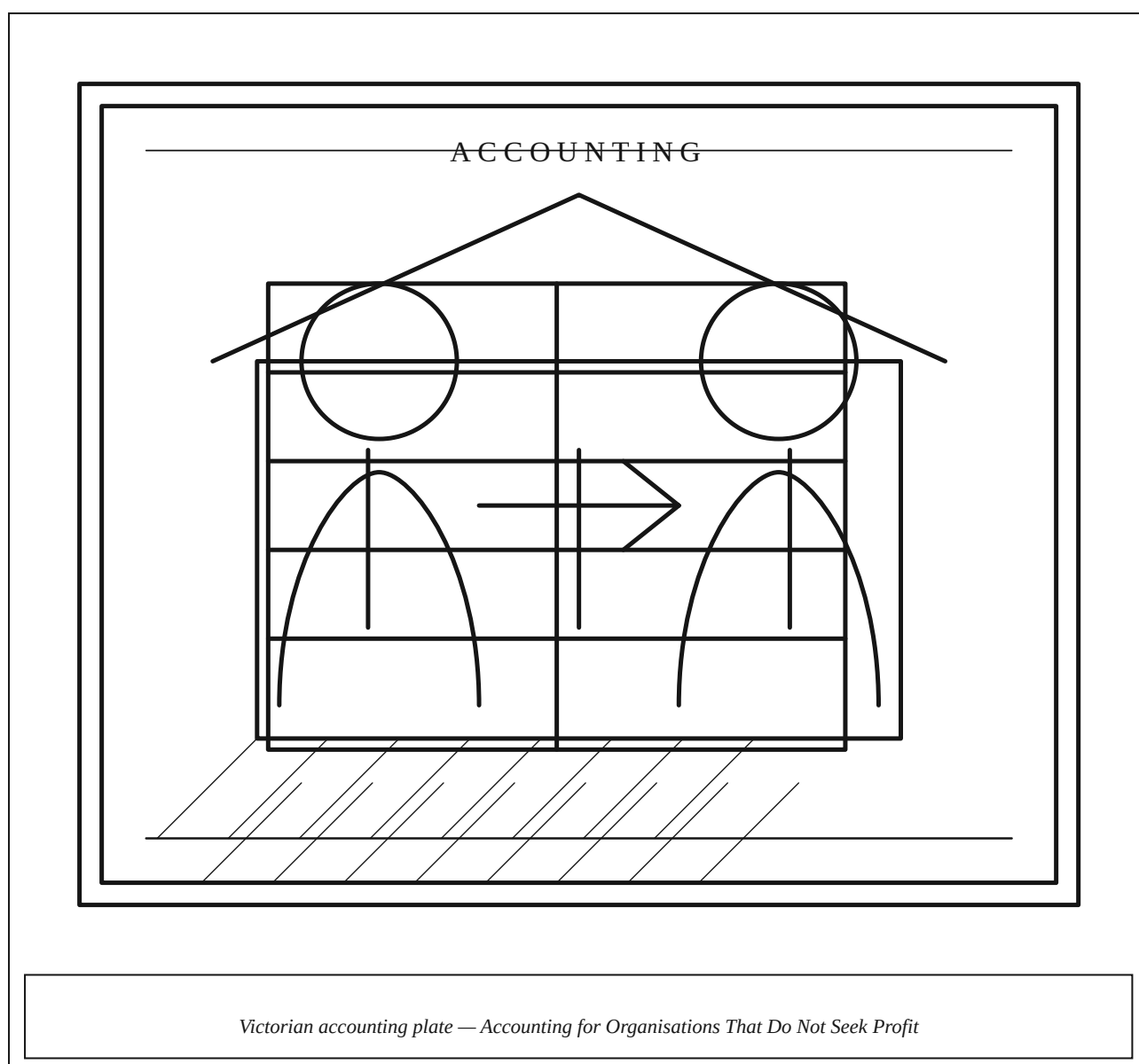
REVIEW QUESTIONS

1. Why can a cash book and bank statement show different balances on the same date? 2. Define an outstanding cheque and a deposit in transit. 3. Explain why a bank statement's debit and credit terminology can appear reversed to the business. 4. Distinguish timing differences from items not yet recorded in the cash book. 5. Explain how a bank charge affects the reconciliation and the cash book. 6. What is a dishonoured cheque, and what entry may be required? 7. Prepare a reconciliation from a cash-book balance when given outstanding cheques, deposits in transit and bank-side items. 8. Why should an outstanding cheque not be entered twice? 9. Explain how reconciliation supports internal control. 10. A business starts with a cash-book balance of Tk 52,000. A deposit in transit is Tk 6,000, outstanding cheques are Tk 9,000, bank interest is Tk 500, and bank charges are Tk 1,000. Find the adjusted balance from the cash-book side.

Chapter 16 finished.

- **New:** bank statement; bank reconciliation statement; outstanding cheque; deposit in transit; debit memo; credit memo; bank charges; dishonoured cheque; adjusted balance. Fixed case figures: 31 March 2026 cash book Tk 427,500; bank statement Tk 425,000; adjusted balance Tk 421,500. - **Verify:** none for the historical case used; Barings facts were checked against the Bank of England report. - Continue with Chapter 17.

¹ Bank of England, Banking Act Report 1995–96, inquiry into the collapse of Barings.



CHAPTER XVII

Accounting for Organisations That Do Not Seek Profit

*An organisation can receive money without earning profit,
and spend money without making a loss.*



*Clubs, associations and charities need accounting records even
when profit is not their purpose. This chapter separates cash
movements from income and expenditure, then shows how
subscriptions, special receipts and accumulated funds are treated.*

The purpose of an organisation determines what its accounting statements need to explain.

Not seeking profit does not mean keeping no accounts.

Non-trading organisation. An organisation formed to serve members or a social, cultural, educational, charitable or similar purpose rather than to distribute profit to owners.

A neighbourhood bakers' association collects subscriptions from members, receives donations, pays for meetings and training, and keeps equipment for its activities. It does not exist to distribute profit to an owner. Yet its members still need to know how much cash was received, how much was paid, what income belonged to the period, what expenses belonged to the period, and what resources remain at the end.

A **non-trading organisation** may be a club, association, society or charity. Some receive membership subscriptions. Others depend heavily on donations or grants. Many have assets, liabilities and expenses just like businesses. The central difference is the purpose and the way the resulting surplus is used.

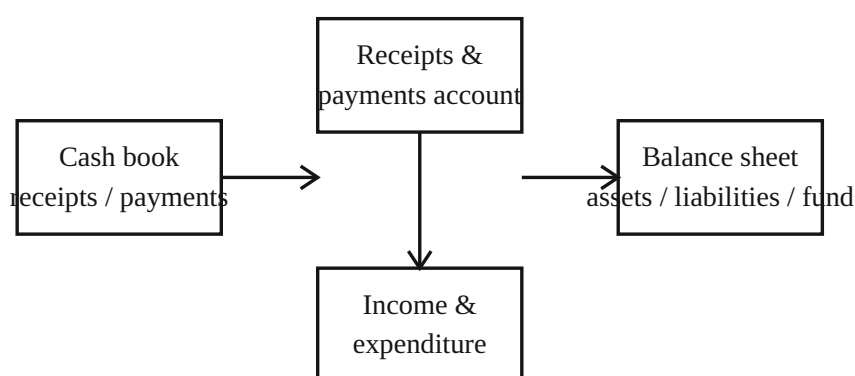


FIG. 51. How cash records become period accounts in a non-trading organisation

17.1 ORGANISATIONS THAT SERVE MEMBERS AND CAUSES

A surplus in a club is not the same idea as profit distributed to an owner.

Surplus. The excess of income over expenditure for a non-trading organisation during an accounting period.

Deficit. The excess of expenditure over income for a non-trading organisation during an accounting period.

The accounting equation still works even when there is no owner.

The first practical question is what kind of record is being prepared.

A business measures performance partly by the profit available to its owner or shareholders. A club may instead aim to provide sports, education, cultural activities or services to members. If its income exceeds its expenses, it may have a surplus. The surplus normally strengthens the organisation's resources and supports future activities rather than becoming a personal return to a proprietor.

The words surplus and deficit describe the period result without implying ownership by an individual. A surplus increases the organisation's accumulated fund, subject to the treatment of special items. A deficit reduces it.

An association can have cash, equipment, receivables and other assets. It can also owe suppliers or have subscriptions received in advance. The difference between its assets and liabilities represents the accumulated fund and related reserves. The equation remains: assets = liabilities + the organisation's residual fund.

A receipts and payments account answers a cash question. An income and expenditure account answers an accrual question. A balance sheet, or statement

of financial position, shows what the organisation owns and owes at the reporting date. Confusing these purposes is the source of many errors.

17.2 THE RECEIPTS AND PAYMENTS ACCOUNT

The receipts and payments account resembles a classified summary of the cash book. It begins with opening cash and bank balances, lists receipts, lists payments, and ends with closing cash and bank balances. It normally includes capital as well as revenue cash movements. It can therefore contain the purchase of equipment even though equipment is not an expense of the period.

Suppose an association receives Tk 90,000 from members during the year. The receipts and payments account records Tk 90,000 as a receipt. It does not ask whether some subscriptions relate to the previous year or the next year. That question belongs to the income and expenditure account.

A donation specifically given to buy equipment may be a capital receipt. The cash account records the receipt because cash was received. The income and expenditure account may exclude it from ordinary income because its nature is capital. The balance sheet then reflects the related resource and the appropriate fund treatment.

Receipts Tk Payments Tk	--- ---: --- ---:	Opening cash and bank
29,000 Salaries 48,000	Subscriptions 90,000	Rent 24,000
Entrance fees 8,000	Training and sports 10,000	Donations 15,000
Utilities 5,000	Other receipts 12,000	Supplies 5,000
— —	Equipment 20,000	
Total available 154,000 	Total payments 112,000 	— — Closing cash and bank 38,000

The example above deliberately includes equipment and a starting balance. A reader who treats every receipt as income and every payment as expense would misstate the organisation's performance. The next account applies accrual reasoning.

17.3 THE INCOME AND EXPENDITURE ACCOUNT

The logic is familiar from Chapter 9. Income belongs to the period when it is earned or becomes due under the accounting basis used. Expense belongs to the period when the resource is consumed or the obligation is incurred. Cash timing may differ. The statement therefore needs adjustments for arrears and advances.

Suppose subscriptions received during the year are Tk 90,000. At the beginning, members owed Tk 4,000 and Tk 5,000 had been received in advance. At the end, members owe Tk 7,000 and Tk 8,000 has been received in advance. The subscription income for the period is:

$$\text{Tk } 90,000 + \text{Tk } 7,000 - \text{Tk } 4,000 - \text{Tk } 5,000 + \text{Tk } 8,000 = \text{Tk } 96,000.$$

The opening arrears are added to current receipts because they relate to the current period's income. Closing arrears are also added because members still owe amounts earned in the period. Opening advance is removed because it

A receipts and payments account summarises actual cash and bank movements during the period.

Receipts and payments account.

A summary of cash and bank receipts and payments during a period, regardless of whether they belong to that period's income or expenditure.

Cash timing matters in this account, not accrual timing.

A capital receipt can appear in receipts and payments without becoming period income.

The receipts and payments account tells us where cash moved, but not the period's true surplus.

The income and expenditure account measures the period's income and expenses on an accrual basis.

Income and expenditure account.

A period statement that recognises income earned and expenses incurred for the period, whether or not cash has been received or paid.

Subscriptions are a common example because members can owe money or pay ahead.

Subscription. A recurring amount paid by a member to support an organisation's activities.

The adjustment removes cash that belongs elsewhere and includes income belonging to the current period.

Entrance fees need a policy based on their nature and the organisation's rules.

Entrance fee. A payment made when a person joins an organisation.

Donations also require attention to purpose.

belongs to an earlier or future period. Closing advance is included in the liability or deducted from current receipts according to the chosen presentation. The same principle applies to many accrual adjustments.

An entrance fee may be treated as revenue income when it is recurring and relates to ordinary membership services. In some organisations it is treated as a capital receipt because it is non-recurring and strengthens the organisation's permanent fund. The accounting treatment should follow the organisation's established policy and the nature of the receipt rather than an automatic rule.

A general donation may be income available for ordinary activities. A donation restricted for a building or equipment may be treated as capital or as a restricted fund, depending on the organisation's accounting framework. The important lesson is to identify the condition attached to the receipt before classifying it.

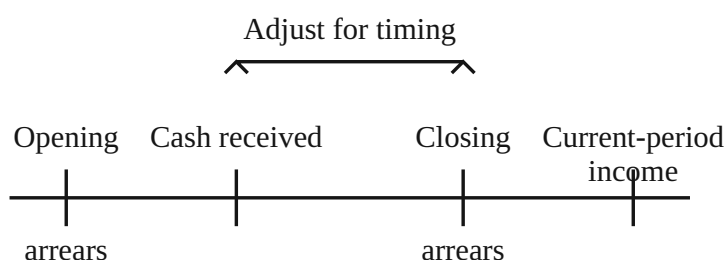


FIG. 52. From cash received to income recognised: the subscription adjustment

17.4 SUBSCRIPTIONS, ENTRANCE FEES AND SPECIAL ITEMS

Accrual adjustments turn a cash summary into a period measure.

Expenses require the same treatment.

Prepaid expenses reverse the direction of the adjustment.

A non-trading organisation can therefore use familiar accounting logic without having a profit-seeking owner.

Consider the neighbourhood bakers' association. During 2026 it received Tk 90,000 in subscriptions. Members owed Tk 4,000 at the beginning and Tk 7,000 at the end. Subscription advances were Tk 5,000 at the beginning and Tk 8,000 at the end. The income recognised is Tk 96,000. The cash figure and the income figure differ because the periods differ.

Suppose salaries paid are Tk 48,000, with Tk 3,000 payable at the beginning and Tk 5,000 payable at the end. Salary expense is Tk 50,000. The opening payable is removed from the current period's obligation, while the closing payable is added because it belongs to the current period even though it remains unpaid.

If rent paid includes an amount for the next period, that future portion is not current expenditure. It is recorded as a prepaid expense, which is an asset until the related period arrives. This is the same accrual idea used earlier in the book.

The language changes from profit to surplus, and from owner's equity to accumulated fund, but the underlying discipline remains. Cash movements must be separated from period income and expenditure, and assets and liabilities must still be reported.

17.5 THE BALANCE SHEET AND THE ACCUMULATED FUND

For a simple organisation with one unrestricted fund, the accumulated fund can be thought of as opening accumulated fund plus surplus, plus appropriate capital receipts, less any capital deductions. It is not a bank balance. An organisation can have a large accumulated fund while holding little cash, because the fund may be represented by equipment, buildings, receivables and other assets.

For the illustrative association, the opening accumulated fund is Tk 65,000. During the year, the organisation has a surplus of Tk 14,000. It also receives Tk 15,000 as a donation for capital purposes and treats Tk 4,000 of an entrance fee as capital. The closing accumulated fund becomes Tk 98,000.

Item	Tk		---	---:		Cash and bank	42,000		Equipment	60,000	
Subscription arrears	7,000					Prepaid rent	3,000		Total assets	112,000	
Subscription received in advance	8,000					Salary payable	6,000		Total liabilities	14,000	
						Accumulated fund	98,000				

Assets of Tk 108,000 equal liabilities of Tk 14,000 plus accumulated fund of Tk 94,000. The figure is not produced by guessing. It is the residual after the organisation's assets and liabilities are classified and the period's result and capital items are carried into the fund.

The accumulated fund represents the organisation's net resources built up over time.

Accumulated fund. The residual interest in a non-trading organisation after liabilities are deducted from its assets, subject to the organisation's fund structure.

The balance sheet connects the period result to the organisation's resources.

The balance sheet is a test of whether the accounting story closes.

17.6 COMPARING THE ACCOUNTS OF DIFFERENT ORGANISATIONS

A sole trader reports the result available to the owner. A partnership reports the result available for sharing among partners under the partnership agreement. A company reports profit and changes in shareholders' equity. A non-trading organisation reports a surplus or deficit and changes in its accumulated or other funds. All still account for assets, liabilities, income, expenses and cash.

Organisation	Main purpose	Period result	Residual interest		---	---	---
---		Sole trader	Earn income for one owner	Profit or loss	Owner's equity		
Partnership	Joint business activity	Profit or loss	Partners' capital/current accounts		Company	Business owned through shares	Profit or loss
	Shareholders' equity		Non-trading organisation	Serve members or a cause	Surplus or deficit	Accumulated or relevant fund	

The table is a conceptual bridge, not a substitute for the detailed accounting rules that apply to each organisation. Chapters 18 to 20 develop partnerships and companies. The present chapter focuses on the accounting logic needed for a club or association.

Situation: The neighbourhood bakers' association begins the year with cash Tk 29,000, equipment Tk 40,000, subscription arrears Tk 4,000 and no prepaid rent. It has Tk 5,000 of subscription advances and Tk 3,000 of salaries payable. During the year it receives Tk 90,000 subscriptions, Tk 8,000 entrance fees, Tk 15,000 capital donation and Tk 12,000 other receipts. It pays Tk 48,000 salaries, Tk 24,000 rent, Tk 10,000 training and sports, Tk 5,000 utilities, Tk 5,000 supplies and Tk 20,000 for equipment. Closing subscription arrears are Tk 7,000; closing subscription advances are Tk 8,000; closing salary payable is Tk 6,000; closing prepaid rent is Tk 3,000. Of the entrance fees, Tk 4,000 is treated as capital. **Question:** What is the subscription income, salary expense, surplus and closing accumulated fund? **Reasoning:** Subscription income is Tk 90,000: Tk

Different forms of organisation can use the same accounting foundations while reporting different purposes.

The comparison should not erase important differences in legal form or reporting requirements.

90,000 received + Tk 7,000 closing arrears – Tk 4,000 opening arrears + Tk 5,000 opening advance – Tk 8,000 closing advance. Salary expense is Tk 51,000 because Tk 48,000 paid – Tk 3,000 opening payable + Tk 6,000 closing payable = Tk 51,000. Other income is Tk 12,000 and the revenue portion of entrance fees is Tk 4,000. The capital donation and Tk 4,000 capital portion of entrance fees are excluded from ordinary income. Rent expense is Tk 21,000 because Tk 24,000 was paid and Tk 3,000 remains prepaid. Current expenses are Tk 51,000 salaries + Tk 21,000 rent + Tk 10,000 training and sports + Tk 5,000 utilities + Tk 5,000 supplies = Tk 92,000. Current income is Tk 106,000, giving a surplus of Tk 14,000. Conclusion: Opening accumulated fund Tk 65,000 + surplus Tk 14,000 + capital donation Tk 15,000 + capital entrance fee Tk 4,000 = Tk 98,000. Check: Total cash available is Tk 154,000 and total payments are Tk 112,000, leaving cash and bank of Tk 42,000. Closing assets are Tk 42,000 cash + Tk 60,000 equipment + Tk 7,000 subscription arrears + Tk 3,000 prepaid rent = Tk 112,000. Closing liabilities are Tk 8,000 subscription advance + Tk 6,000 salary payable = Tk 14,000. The closing accumulated fund is therefore Tk 98,000, so the case balances.

GO SLOWLY HERE.

A case is not finished merely because its income calculation is correct; the balance sheet must also close.

The association case illustrates an important discipline. A receipts-and-payments summary can support the income calculation, but the final statement must be checked against every opening balance, closing adjustment, capital item and cash movement. Here the closing assets of Tk 112,000 equal liabilities of Tk 14,000 plus the accumulated fund of Tk 98,000. The case can therefore be carried forward without an unexplained difference.



SUMMARY

Non-trading accounting changes the purpose and vocabulary, but it does not abandon accounting discipline.

A receipts and payments account records cash and bank movements. An income and expenditure account measures income and expenses belonging to the period. Subscriptions require adjustments for arrears and advances. Entrance fees and donations must be classified according to their nature and conditions. The balance sheet reports assets, liabilities and the accumulated fund. A surplus increases the fund, while a deficit reduces it, subject to capital and restricted-fund treatments.

THINK IT THROUGH

The key distinction is between cash movement and period performance.

Why can a club receive Tk 100,000 in cash but recognise less than Tk 100,000 as current income?

Why can the purchase of equipment appear in receipts and payments but not appear as an expense of the whole amount in income and expenditure?

A member owes a subscription at year-end. Why can the organisation recognise income even though cash has not been received?

Why is a surplus not automatically an amount that can be distributed to members?

WHERE PEOPLE GO WRONG

Most mistakes arise when cash and accrual ideas are mixed.

Calling every receipt income. A capital donation or advance subscription may not be current income.

Calling every payment an expense. Equipment purchased is an asset, not automatically a period expense.

Ignoring arrears and advances. Cash received is not the same as income earned for the period.

Treating accumulated fund as cash. The fund is a residual interest, not a bank account.

Forgetting the purpose of a special receipt. Donations and entrance fees may have conditions or capital characteristics that change their treatment.

IN HISTORY

BRAC's official history states that Sir Fazle Hasan Abed established BRAC in 1972 in Sulla, in northeastern Bangladesh, initially focusing on relief and rehabilitation for returning refugees. BRAC later shifted toward longer-term development work. The organisation's history provides a useful local example of an organisation whose purpose is social development rather than distribution of business profit.¹

The historical point matters here because accounting follows organisational purpose. An organisation created to serve communities still needs records of receipts, payments, assets, liabilities and period performance. Its accounting questions are different from those of a trading firm, but they remain questions about resources and stewardship.

BRAC began in Bangladesh in 1972 as a relief and rehabilitation effort after the Liberation War.

SOURCES

For the historical case, BRAC's official history records its founding in Bangladesh in 1972 and its early relief and rehabilitation work.¹

The chapter's accounting ideas build on accruals, statements and cash records learned earlier.

REVIEW QUESTIONS

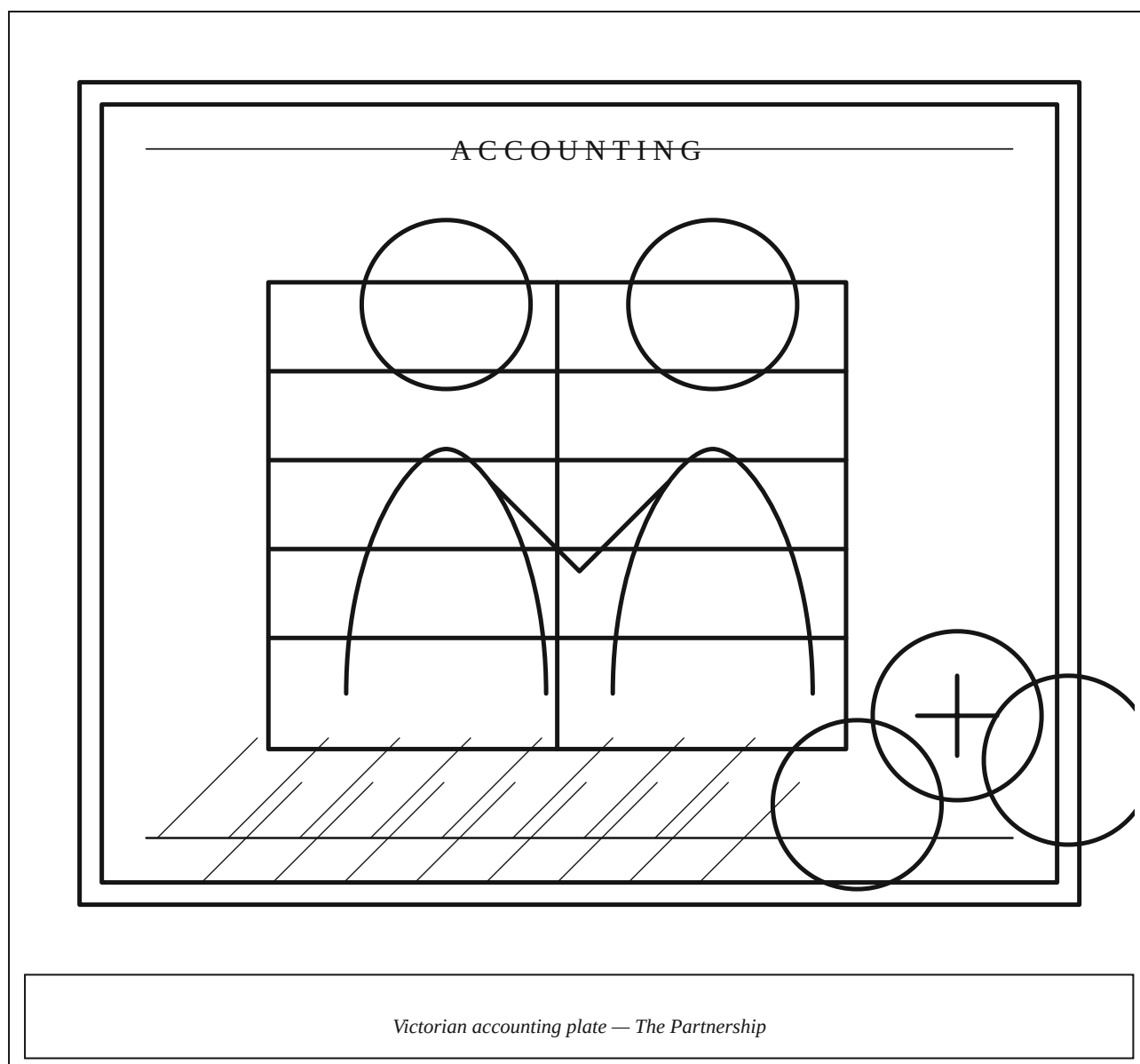
1. What is a non-trading organisation? 2. Distinguish a receipts and payments account from an income and expenditure account. 3. Why can a capital receipt appear in receipts and payments but not in ordinary income? 4. Define surplus and deficit. 5. Explain the treatment of subscriptions received in advance and subscriptions in arrears. 6. What is an entrance fee, and why may its treatment differ according to its nature? 7. Define accumulated fund. 8. Explain why the purchase of equipment is not necessarily a period expense. 9. Compare the accounting emphasis of a sole trader, partnership, company and non-trading organisation. 10. A club receives Tk 60,000 subscriptions, has opening arrears Tk 3,000, closing arrears Tk 5,000, opening advance Tk 2,000 and closing advance Tk 4,000. Calculate subscription income. 11. A club pays Tk 30,000 salaries, has opening salary payable Tk 2,000 and closing salary payable Tk 4,500. Calculate salary expense. 12. Explain why the balance sheet is necessary after preparing an income and expenditure account.

Chapter 17 finished.

- **New:** receipts and payments account; income and expenditure account; surplus; deficit; subscription; entrance fee; accumulated fund; donation. Illustrative association figures were fixed for this draft, but the worked case's final balance remains flagged for correction before later chapters reuse it. - **Verify:** BRAC founding history checked against BRAC's official history. The

¹ BRAC, "BRAC history", official organisational history.

worked case requires a final balancing pass before being carried forward. -
Continue with Chapter 18.



CHAPTER XVIII

The Partnership

measured, practical, cooperative



*How two owners combine capital, responsibility, and skill—and
how the accounts record the arrangement.*

A partnership begins with an agreement, but accounting must turn that agreement into records.

Two owners may contribute different amounts and still agree to share a business together.

partnership. A business relationship in which two or more people agree to carry on a business and share its profits.

A partnership separates the business from the private dealings of each partner without making the partners into separate shareholders.

The central accounting problem is not merely recording money received and paid.

partner. A person who is a member of a partnership.

A partner is both an owner and an individual connected with the business agreement.

A partnership combines ownership, agreement, mutual agency, and shared financial responsibility.

The first feature of partnership is agreement.

partnership deed. A written agreement that states the rights, duties, and financial arrangements of partners.

The second feature is a common business purpose.

The third feature is mutual agency.

mutual agency. The principle that a partner may act for the firm and, within proper authority, bind the partnership.

Partnership also involves risk.

The advantages of partnership arise from combination.

TWO PEOPLE, ONE SET OF BOOKS

Imagine that Mitali Bakery has grown beyond what one owner can manage alone. Mitali can supply experience, an established shop, and the existing business. Rafiq Hasan can bring fresh capital and time. They now face a practical question: if two people own one business, whose money is whose, and how is the result divided?

Under the Partnership Act, 1932, partnership is the relation between persons who agree to share the profits of a business carried on by all or any of them acting for all.¹ The accounting records therefore need to show both the firm's business transactions and each partner's claim on the firm.

The partnership must also record capital contributed, drawings taken, the share of profit or loss, and any amounts the agreement treats as interest or salary. These items affect the partners' accounts even when they do not behave like ordinary business expenses.

That dual position explains why partnership accounting needs separate capital or current accounts for partners. The firm may own the business assets, while the partners hold claims represented by their accounts.



18.1 TWO PEOPLE, ONE BUSINESS: THE NATURE OF PARTNERSHIP

A partnership is created by contract rather than by family status alone. The partners agree to carry on a business and establish the terms on which they will operate. The agreement may be written in a formal deed or, subject to applicable law, may be evidenced by their conduct and other facts.

The partners are not merely investors in unrelated activities. They are associated with a business carried on for their common purpose. Their agreement determines how they work together and how financial results are shared.

A partner may act as an agent of the firm for the purposes of its business. Under Bangladesh law, a partner's usual business acts can bind the firm within the limits of the law and the partnership agreement.² This makes trust and clear authority important accounting and management concerns.

A partner may be responsible for obligations of the firm according to the governing law and agreement. The important accounting lesson is that the partnership form does not make the owners equivalent to shareholders of a company.

Two partners can combine money, knowledge, contacts, labour, and judgment. They can divide duties and make decisions together. The weakness is that

¹ The Partnership Act, 1932, section 4, Bangladesh Laws.

² The Partnership Act, 1932, sections 18 and 19, Bangladesh Laws.

disagreement can affect the whole business, and the partners may bear responsibilities that a company shareholder normally does not bear personally.

A partnership balance sheet can show business assets and liabilities, while separate capital and current accounts show how the partners' claims have been built up or reduced.

The actual legal position depends on the governing law, the firm's agreement, and the circumstances. For introductory accounting, the key distinction is that partnership ownership can carry personal responsibility for firm obligations, unlike the usual shareholder position in a company.

The accounting records make the relationship visible.

unlimited liability. A form of liability in which a partner may have personal exposure beyond the amount recorded in the partner's capital account, subject to applicable law.

The word unlimited should not be treated as a claim that every partner automatically loses every personal asset.

WHAT THE AGREEMENT MUST SETTLE

It may state the name and nature of the business, capital contributions, profit-sharing ratio, drawings, interest on capital, interest on drawings, partner salaries, admission of new partners, retirement, dispute procedures, and the treatment of changes in the partnership.

If it says profit is shared equally, the appropriation follows that rule. If it gives Mitali 3/5 and Rafiq 2/5, the accounting records must apply that ratio unless the agreement is changed lawfully.

For example, Bangladesh's Partnership Act provides default rules concerning remuneration, profit and loss sharing, and interest on capital, subject to the partners' contract.³ A student should therefore distinguish between a rule stated by the agreement and a rule supplied by law when no contrary agreement exists.

A good partnership agreement removes uncertainty before the first dispute appears.

A partnership deed usually settles the matters that would otherwise create repeated questions.

The deed is also an accounting instruction.

The law supplies default rules where the agreement is silent.

18.2 THE PARTNERSHIP DEED

Suppose a deed states that Mitali and Rafiq contribute Tk 400,000 and Tk 300,000, share profit 3:2, and allow interest on capital at 6% a year. It may also give Mitali a monthly partner salary of Tk 10,000 and charge interest on drawings at 5% a year. Each clause changes what the accounts must show.

Capital tells us how much each partner has invested or has standing in the capital account. The profit-sharing ratio tells us how the partnership result is divided. The two ratios may be identical, but they do not have to be.

It is not normally treated as an operating expense of the firm. Instead, it is part of the appropriation of profit among partners. This distinction prevents the partnership from confusing business operating costs with distributions of the result to owners.

It rewards a partner for services under the agreement, but in partnership accounting it is generally an allocation of profit rather than an ordinary employee wage expense. The partnership agreement and applicable law determine the actual treatment.

The deed turns a general partnership relationship into a particular financial arrangement.

A deed should be read as a set of operating instructions.

Profit-sharing ratio is different from capital ratio.

profit-sharing ratio. The agreed proportion in which partnership profit or loss is divided among partners.

Interest on capital is an allocation of partnership profit when the agreement provides for it.

interest on capital. An amount credited to a partner for the use of the partner's capital when the partnership agreement provides for it.

A partner's salary has a similar accounting character in the appropriation process.

³ The Partnership Act, 1932, section 13, Bangladesh Laws.

partner's salary. An amount allowed to a partner for services under the partnership agreement, normally treated as an appropriation of profit in introductory partnership accounting.

Interest on drawings works in the opposite direction.

interest on drawings. An amount charged to a partner for drawings when the partnership agreement provides for it.

Formation accounting records what each partner brings and separates ownership claims from later movements.

The first formation question is what assets and liabilities enter the partnership.

A partner can contribute assets other than cash.

partner's capital account. The account that records a partner's long-term ownership claim arising from capital contributed and other agreed capital changes.

The capital account can be fixed or fluctuating.

current account. A partner's account used to record routine increases and decreases in the partner's claim when a separate fixed capital account is maintained.

The choice is a system choice, not a change in total equity.

Drawings reduce a partner's claim on the firm.

drawings. Cash, goods, or other resources taken by a partner for personal use.

The first entry is a record of resources received, not a statement of future profit.

Mitali and Rafiq form a partnership on 1 July 2026 with agreed capitals of Tk 400,000 and Tk 300,000.

The journal entry is short because the transaction itself is simple.

The capital ratio is 4:3, while the profit ratio is 3:2.

If a partner withdraws money or goods for private use and the agreement charges interest, that interest is credited to the firm and charged to the partner's account. It reduces the amount ultimately available to that partner under the appropriation.

18.3 CAPITAL AND CURRENT ACCOUNTS: FORMING THE PARTNERSHIP

If Mitali contributes cash of Tk 400,000, the firm records cash and credits Mitali's capital account. If Rafiq contributes cash of Tk 300,000, the same logic applies to Rafiq. The entry records the firm's new resources and the partner's ownership claim.

If Rafiq contributes equipment agreed at Tk 180,000, the equipment is debited and Rafiq's capital is credited. If the partnership also takes over a liability attached to that contribution, the liability is recorded separately and reduces the net capital introduced.

Under a fixed-capital approach, the capital account is kept at an agreed base amount and routine items such as drawings, profit shares, and interest may be placed in a current account. Under a fluctuating approach, those items may be posted directly to capital.

If the same amounts are recorded in capital and current accounts rather than one fluctuating capital account, the total claim of the partner remains the important figure. The presentation changes; the underlying economics do not.

If Mitali withdraws Tk 20,000 for personal use, the partnership records the withdrawal against Mitali's account. The firm has not incurred a business expense merely because the owner took money out.

FORMATION CASE

The partnership receives Tk 700,000 cash. Their deed states that profit will be shared 3:2. For this introductory case, assume no liabilities are taken over at formation.

Debit Cash Tk 700,000. Credit Mitali, Capital Tk 400,000. Credit Rafiq, Capital Tk 300,000. The debit equals the two credits, and the capital accounts now show the agreed ownership contributions.

That difference is allowed because capital contribution and profit-sharing are separate matters. A student who automatically divides profit according to capital has confused two different instructions.

:fig Formation of partnership capital | fig18_1_formation.svg

18.4 SHARING PROFIT AND LOSS: RATIO, INTEREST, SALARY

Only after that result is known do we apply the partnership agreement to determine the partners' shares. This is why the appropriation account belongs after the income statement in the teaching sequence.

Mitali receives $\frac{3}{5}$ of Tk 200,000, or Tk 120,000. Rafiq receives $\frac{2}{5}$, or Tk 80,000. The total allocation equals the partnership profit.

Suppose Mitali's capital is Tk 400,000 and Rafiq's is Tk 300,000. At 6% interest, the allowances are Tk 24,000 and Tk 18,000. Suppose Mitali also receives a salary allowance of Tk 30,000. These amounts are allocated before the remaining profit is divided under the deed.

If total profit is Tk 200,000, the allowances total Tk 72,000, leaving Tk 128,000. If the remaining amount is shared 3:2, Mitali receives Tk 76,800 and Rafiq Tk 51,200. Their total appropriation credits become Tk 130,800 and Tk 69,200 respectively.

A loss is not an allowance. It is shared according to the agreed loss-sharing rule, which is often the same ratio used for profit unless the agreement states otherwise.

It is first treated as an agreed appropriation. The remaining profit is then divided. A careless calculation may subtract the salary from profit, divide the remainder, and later subtract the salary again from the partner's final claim. That would count the same allocation twice.

:fig Profit appropriation flow | fig18_2_appropriation.svg

A COMPLETE APPROPRIATION

The allowances are Tk 30,000, Tk 24,000, and Tk 18,000. Total allowances are Tk 72,000. Remaining profit is Tk 168,000.

Mitali's total appropriation is therefore Tk 154,800. Rafiq's total is Tk 85,200. Together they receive Tk 240,000, exactly matching the firm's profit.

First write the profit. Next list each allowance. Then subtract the allowances. Finally apply the residual sharing ratio. A partnership problem becomes much less confusing when the calculation follows the agreement in the same order in which the agreement is read.

Partnership appropriation distributes the accounting result according to the agreement.

The income statement first determines the firm's profit or loss.

appropriation account. An account used to show how partnership profit or loss is allocated among the partners.

Consider a partnership profit of Tk 200,000 shared 3:2.

Now add interest on capital and a partner salary.

The calculation must respect the order of the agreement.

The same method works when the result is a loss, but the direction changes.

A partner's salary is not deducted twice.

appropriation. The process of allocating a partnership's profit or loss among partners according to the agreement.

A complete appropriation separates the firm's result from the partners' agreed claims on that result.

Assume the partnership earns Tk 240,000 and the deed gives Mitali a Tk 30,000 salary, interest on capital of 6% on Tk 400,000, and Rafiq interest on capital of 6% on Tk 300,000.

If the profit-sharing ratio is 3:2, the remaining profit is divided into Tk 100,800 for Mitali and Tk 67,200 for Rafiq.

The calculation is easier when every stage is visible.

18.5 THE FINANCIAL STATEMENTS OF A PARTNERSHIP

Partnership statements show the firm's business result and then the partners' changing ownership claims.

The income statement of a partnership follows the same broad logic used earlier.

The appropriation account then explains how that result is allocated.

The balance sheet shows the partnership's assets and liabilities and the partners' capital interests.

The statement remains a statement of the firm, not a collection of personal balance sheets.

partners' capital. The combined ownership claims represented by the partners' capital accounts.

A partnership case becomes manageable when formation, drawings, profit, and appropriation are kept in separate stages.

Situation: Mitali and Rafiq begin their partnership on 1 July 2026.

Question: How much of the profit is allocated to each partner?

Reasoning: calculate each agreed allowance first.

Reasoning: divide the remainder in the agreed ratio.

Conclusion: Mitali receives Tk 154,800 and Rafiq Tk 85,200 from the appropriation.

Check: the allocation must not change total partnership profit.

Partnership accounting records a shared business while preserving each partner's separate financial claim.

The partnership begins with agreement, common business activity, and shared profit responsibility.

The most important distinction is between business profit and partner allocation.

Revenue and expenses are brought together to determine net profit or net loss. The partnership does not create profit separately for each partner before determining the firm's total result.

Interest on capital, partner salary, interest on drawings, and the residual profit share are shown according to the agreement. The resulting amounts are transferred to the appropriate partner accounts.

Under a fixed-capital system, the capital section may show fixed capital plus current account balances. Under a fluctuating system, the capital accounts themselves include the accumulated movements.

Business assets belong to the partnership as the accounting entity. The partners' accounts explain their claims against the net assets rather than turning each partner into the direct owner of a particular oven, table, or cash note.

:fig Partnership statement structure | fig18_3_partnership_statements.svg

WORKED CASE: MITALI AND RAFIQ

Mitali contributes Tk 400,000 cash and Rafiq contributes Tk 300,000. The deed gives Mitali a salary allowance of Tk 30,000, interest on capital at 6%, and a 3:2 residual profit-sharing ratio. Rafiq receives interest on capital at 6%. The partnership earns Tk 240,000 before appropriation.

The question is about appropriation, not about calculating the firm's operating profit. The profit has already been determined as Tk 240,000.

Mitali's interest is Tk 24,000 and Rafiq's is Tk 18,000. Mitali's salary is Tk 30,000. Total allowances are Tk 72,000, leaving Tk 168,000.

Mitali receives $\frac{3}{5}$ of Tk 168,000, or Tk 100,800. Rafiq receives $\frac{2}{5}$, or Tk 67,200.

The two amounts total Tk 240,000, so the entire partnership profit has been allocated.

If the partners' total appropriation does not equal the profit available for appropriation, the calculation contains an error or an unrecorded item.

SUMMARY

Its deed establishes the financial rules. Capital accounts record long-term ownership contributions, while current accounts may record routine movements under a fixed-capital system. Profit is first determined for the firm and then appropriated according to the agreement.

Interest on capital, partner salary, and residual profit share are parts of the appropriation process in introductory partnership accounting. Drawings reduce a partner's claim rather than becoming an ordinary business expense.

THINK IT THROUGH

1. Why can two partners have unequal capital contributions but an equal profit-sharing ratio? 2. Why is a partner's salary normally treated differently from an employee's wage in partnership accounting? 3. A deed gives Mitali $\frac{3}{5}$ of residual profit and Rafiq $\frac{2}{5}$. What should you do if their capital contributions are 1:1? 4. Explain the difference between a fixed-capital and a fluctuating-capital system. 5. A partnership earns Tk 150,000. Interest on capital totals Tk 20,000 and partner salaries total Tk 30,000. If the residual ratio is 2:1, calculate the final appropriation.

Good partnership accounting begins by identifying the agreement before touching the numbers.

WHERE PEOPLE GO WRONG

- Do not use the capital ratio automatically as the profit-sharing ratio. - Do not treat partner salary as an ordinary operating expense when the problem is asking for partnership appropriation. - Do not forget that drawings reduce the partner's claim. - Do not divide the original profit again after already allocating the residual profit. - Do not assume the law's default rule applies when a valid partnership agreement provides another rule.

Most partnership errors come from confusing capital, profit, and personal drawings.

IN HISTORY

Hewlett and Packard officially started their partnership in 1939. Hewlett-Packard's own historical material describes the partnership and its early work in a Palo Alto garage; the company later became incorporated in 1947.⁴ The example is useful because it shows that partnership can be an early organisational form rather than a permanent destination.

A famous technology company began with a partnership before becoming a corporation.

SOURCES

- Bangladesh Laws: The Partnership Act, 1932. - Hewlett-Packard historical publications on the company's origins.

The sources below support the legal and historical points used in this chapter.

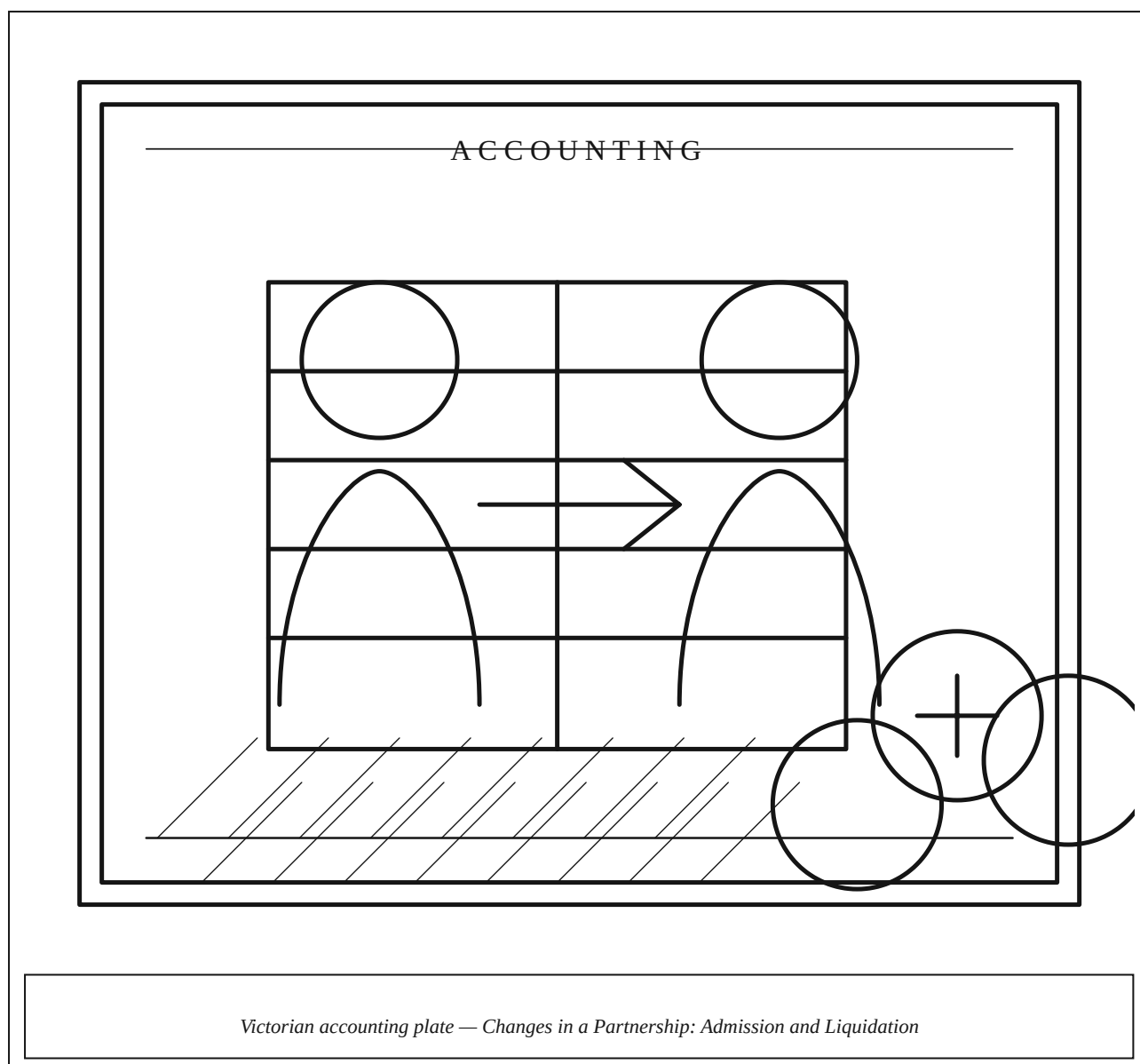
REVIEW QUESTIONS

1. Define partnership and partner. 2. State the principal features of a partnership. 3. Explain the purpose of a partnership deed. 4. Distinguish capital ratio from profit-sharing ratio. 5. Explain fixed and fluctuating capital accounts. 6. Prepare a formation entry when two partners contribute cash and equipment. 7. Explain interest on capital, partner salary, and interest on drawings. 8. Prepare an appropriation account from a fresh set of figures. 9. Explain how partnership statements differ from sole-trader statements. 10. A partnership earns Tk 300,000 and has agreed allowances of Tk 60,000. Divide the residual profit in a 3:2 ratio.

Review should test whether the reader can explain the agreement and then apply it to new numbers.

Chapter 18 finished. New: partner; partnership deed; profit-sharing ratio; interest on capital; partner's salary; interest on drawings; appropriation account; partner's capital account; current account; unlimited liability. Verify: Bangladesh legal treatment should be checked again if the book is updated for a later amendment. Continue with Chapter 19.

⁴ Hewlett-Packard historical publications and the company's 2003 annual report describe the partnership founded by William R. Hewlett and David Packard in 1939.



CHAPTER XIX

Changes in a Partnership: Admission and Liquidation

careful, procedural, exact



How a partnership changes when a new partner enters, and how a firm converts its assets and claims into final cash.

A partnership can change without every change affecting the firm's assets.

A new partner can enter in more than one way, and the accounting depends on the route.

admission of a partner. The process by which a person becomes a partner in an existing partnership.

The distinction is important because accounting follows the economic event.

At the other end is liquidation.

liquidation. The process of ending a partnership's business, realising its assets, settling obligations, and distributing the remaining resources.

Partnership changes reflect changes in people, money, purpose, or the continued ability to operate together.

A partnership may change because a new person is needed.

A partnership may also change because an existing partner leaves.

retirement. The withdrawal of an existing partner from a partnership while the remaining business may continue.

Admission and retirement change the relationship among the partners.

Liquidation is more fundamental.

WHEN THE PARTNERSHIP CHANGES

Nasrin Akter may buy part of an existing partner's interest. In that case, the payment may pass directly between the individuals and the firm's net assets do not change. Alternatively, Nasrin may invest cash directly into the partnership. Then the firm receives a new asset and records a new capital claim.

A private purchase of an existing partner's interest is mainly a transfer between capital accounts. A direct investment into the firm increases the partnership's resources and the new partner's capital.

When a firm is liquidated, the business stops as a going concern and its assets are converted into cash or otherwise settled. Liabilities are paid according to the applicable rules, and the remaining amount is distributed among partners after gains and losses are allocated.



19.1 WHY PARTNERSHIPS CHANGE

A firm may require more capital, another skill, or a new manager. Admission gives the partnership a way to change ownership while continuing the business.

Retirement can occur by agreement, under the partnership deed, or under the conditions provided by law. Bangladesh's Partnership Act states that a person may be introduced as a partner only with the consent of all existing partners, subject to the Act and the partnership contract.¹

They may require a new or revised partnership agreement, updated capital accounts, and careful treatment of the departing or incoming partner's interest.

It does not merely change who owns the firm. It ends the firm's business relationship and requires the assets and liabilities to be settled. Bangladesh's Partnership Act defines dissolution of the firm as dissolution of partnership between all the partners.²

¹ The Partnership Act, 1932, section 31, Bangladesh Laws.

² The Partnership Act, 1932, section 39, Bangladesh Laws.

19.2 ADMITTING A PARTNER WHO BUYS AN EXISTING PARTNER'S INTEREST

The payment is made by Nasrin directly to Rafiq. The partnership itself receives no cash. Economically, Nasrin has bought part of Rafiq's ownership claim rather than invested new resources in the firm.

If Rafiq's capital account is reduced by Tk 120,000 and Nasrin's capital account is credited by Tk 120,000, the total partners' capital remains unchanged. The personal payment from Nasrin to Rafiq is not a cash receipt of the partnership.

They see Nasrin paying Tk 120,000 and debit the partnership's Cash account. That is incorrect when the payment was made directly to Rafiq. The firm has not received the cash.

The transfer of capital does not automatically answer how future profit will be divided. That is a matter for the agreement and applicable law.

Debit Rafiq, Capital Tk 120,000. Credit Nasrin, Capital Tk 120,000. The total capital remains the same.

:fig Purchase of existing interest | fig19_1_purchase_interest.svg

19.3 ADMITTING A PARTNER WHO INVESTS IN THE FIRM

The firm receives cash, so the partnership's assets increase. Nasrin receives a capital credit under the terms of the new agreement.

If Nasrin contributes Tk 150,000, debit Cash Tk 150,000 and credit Nasrin, Capital Tk 150,000. Total partnership capital increases by Tk 150,000.

Advanced partnership accounting may recognise bonuses or goodwill in some circumstances. This introductory book does not develop goodwill or bonus calculations as full topics, so the examples here use direct admission at the stated book value.

It should state the new partner's capital, profit-sharing ratio, responsibilities, and any special arrangements. The accounting records should follow that agreement.

:fig Direct investment admission | fig19_2_direct_investment.svg

A private purchase changes capital ownership without necessarily changing the partnership's total net assets.

Suppose Nasrin buys one-third of Rafiq's capital interest for Tk 120,000.

purchase of an interest. A transaction in which an incoming partner acquires all or part of an existing partner's ownership interest directly from that partner.

The partnership records the transfer between capital accounts.

This is a common place for students to make an unnecessary cash entry.

The new partnership agreement must also state the new profit-sharing arrangement.

In the simplest book treatment, the transfer is recorded as a capital-to-capital entry.

Direct investment changes both the partnership's resources and its ownership claims.

Now suppose Nasrin contributes Tk 150,000 directly to the partnership for a new capital interest.

investment in the firm. A contribution of cash or other assets by an incoming partner directly to the partnership.

The basic entry is debit Cash and credit Nasrin, Capital.

The amount invested and the capital credit need not always be treated as a universal one-to-one rule.

The agreement should be rewritten or updated when the partnership changes.

19.4 WHAT LIQUIDATION MEANS, AND WHY PARTNERSHIPS END

Liquidation changes the accounting task from measuring ongoing profit to settling the firm's remaining claims.

A liquidating partnership sells or otherwise realises its assets and uses the resulting resources to settle obligations.

realisation. The process of converting partnership assets into cash or determining their settlement value during liquidation.

A firm may be dissolved by agreement or under circumstances recognised by law.

The first accounting question is what the assets actually produce.

The second question is what must be paid.

The final question is whether every partner's capital can be settled.

The process is different from an ordinary year-end closing. In ordinary operations, assets remain available for future business. In liquidation, assets are converted into cash or settled because the business is ending.

The Bangladesh Partnership Act provides for dissolution by agreement and also recognises compulsory and contingent forms of dissolution.³ The exact legal route matters in practice, but the accounting sequence remains focused on realisation, liabilities, and final partner claims.

If inventory with a book value of Tk 80,000 is sold for Tk 70,000, the firm has a realisation loss of Tk 10,000. That loss is allocated to the partners according to the agreed loss-sharing ratio.

Outside liabilities are settled before the remaining resources are distributed to partners. The partnership cannot distribute cash to owners while ignoring valid firm liabilities.

If the firm has enough cash after paying liabilities, capital balances can be paid. If a partner's capital becomes deficient, the deficiency must be dealt with according to the partnership agreement and applicable law.

19.5 THE STEPS OF LIQUIDATION: REALISE ASSETS, PAY DEBTS, SHARE THE CASH

Liquidation is safest when every movement of value is recorded in a fixed sequence.

Step one is to transfer the relevant non-cash assets to a realisation account.

gain or loss on realisation. The difference between the book values of assets and liabilities involved in liquidation and the amounts actually realised or settled.

Step two is to record the proceeds from assets realised.

Step three is to record liabilities paid.

Step four is to transfer the net realisation gain or loss to the partners.

Step five is to distribute the remaining cash.

Assets such as inventory, equipment, and receivables are moved into the liquidation process. Cash is normally kept separate because it is already in liquid form.

If equipment with a book value of Tk 200,000 is sold for Tk 170,000, the realisation process records a Tk 30,000 loss. If receivables of Tk 100,000 produce Tk 92,000, the difference is another Tk 8,000 loss.

Suppose creditors of Tk 120,000 are settled for Tk 118,000. The Tk 2,000 difference is a gain in the realisation process if the liability is legally settled at that amount.

A gain increases the partners' capital accounts. A loss decreases them. The sharing ratio used is the ratio applicable to the partnership at the time of liquidation, unless the agreement provides otherwise.

After external liabilities and liquidation costs have been settled, the remaining cash is distributed according to the partners' final capital claims, subject to any deficiency and legal requirements.

³ The Partnership Act, 1932, sections 40–44, Bangladesh Laws.

If cash is distributed before all assets are realised and liabilities are considered, the partners may receive too much and the final accounts may become impossible to settle.

:fig Liquidation sequence | fig19_3_liquidation_sequence.svg

A COMPLETE LIQUIDATION CASE

The capital balances total Tk 320,000. The accounting equation is satisfied because assets total Tk 500,000 and liabilities plus capital total Tk 500,000.

The non-cash assets produce Tk 30,000 less than book value. The liabilities are settled Tk 5,000 below their recorded amount.

The asset loss is Tk 30,000 and the liability settlement gain is Tk 5,000. The net realisation loss is Tk 25,000.

Rahman bears $\frac{3}{5}$ of Tk 25,000, or Tk 15,000. Karim bears $\frac{2}{5}$, or Tk 10,000. Their adjusted capital balances become Tk 165,000 and Tk 130,000.

Opening cash is Tk 80,000. Asset proceeds add Tk 390,000, giving Tk 470,000. Paying liabilities of Tk 175,000 leaves Tk 295,000. That equals the adjusted capital balances of Tk 165,000 plus Tk 130,000.

The distribution exactly settles the adjusted capital balances.

If the cash available does not equal the partners' final capital claims after all liabilities and liquidation results are recorded, an item has been omitted or calculated incorrectly.

19.6 GAINS, LOSSES AND THE CAPITAL DEFICIENCY: THE CASH DISTRIBUTION SCHEDULE

For example, if a partner has Tk 20,000 capital but is allocated Tk 35,000 of realisation losses, the partner's capital becomes negative Tk 15,000. The accounting record now shows a deficiency rather than a payable capital balance.

It tracks how much cash is available, which liabilities remain, which partners can safely receive cash, and how losses affect the final capital balances. The schedule is especially useful when assets are realised in stages.

Suppose a firm has Tk 300,000 cash today but expects another Tk 200,000 from asset sales. It cannot treat the entire expected amount as current cash. Distribution should follow the actual cash available and the agreed priorities.

The order matters because each step changes the amount available for the next step.

A small liquidation schedule shows how asset losses flow into the partners' final cash claims.

Situation: Rahman & Karim have cash Tk 80,000, other assets with book value Tk 420,000, and outside liabilities of Tk 180,000. Their capital balances are Rahman Tk 180,000 and Karim Tk 140,000, with a 3:2 profit-and-loss ratio.

Question: What happens if the other assets are realised for Tk 390,000 and liabilities are settled for Tk 175,000?

Reasoning: calculate the net realisation result.

Reasoning: allocate the loss 3:2.

Reasoning: calculate the final cash.

Conclusion: the remaining Tk 295,000 is distributed as Tk 165,000 to Rahman and Tk 130,000 to Karim.

Check: final cash and final capital must agree.

A capital deficiency appears when a partner's final capital claim falls below zero after liquidation losses.

A capital deficiency can arise when a partner's share of liquidation losses exceeds the partner's capital balance.

capital deficiency. A negative capital balance arising when a partner's allocated losses exceed the partner's available capital claim.

The cash distribution schedule helps prevent premature payments.

A staged liquidation requires caution.

A partner with a deficiency may need further treatment under the partnership agreement and applicable law.

A private purchase and a direct investment can produce very different journal entries even when the cash amount is identical.

Situation: On 1 January 2027, Nasrin Akter is admitted to the partnership by purchasing part of Rafiq's interest for Tk 120,000 directly from Rafiq.

Question: What entry belongs in the partnership books?

Reasoning: transfer the capital balance.

Conclusion: the firm records a capital-to-capital transfer.

Check: compare this with a direct investment.

Partnership changes require the accountant to identify who paid whom and whether the business itself received resources.

Admission by purchase of an existing interest is a transfer between partners.

The safest liquidation sequence is systematic.

The decisive question in an admission problem is whether the firm itself receives the money.

The accounting textbook can demonstrate the mechanics, but the legal recovery of a deficiency depends on the governing rules and facts. This chapter therefore focuses on the accounting schedule rather than giving legal advice.

:fig Cash distribution schedule | fig19_4_cash_distribution.svg

WORKED CASE: NASRIN JOINS THE BAKERY

Assume Rafiq transfers a capital interest of Tk 120,000 to Nasrin and receives the payment personally. The partnership itself receives no cash.

Only the capital ownership recorded by the partnership changes. The private payment between Nasrin and Rafiq is not a partnership cash transaction.

Debit Rafiq, Capital Tk 120,000. Credit Nasrin, Capital Tk 120,000. Total partnership capital is unchanged.

The new partner enters the ownership structure, but the firm does not receive the Tk 120,000.

If Nasrin instead invested Tk 120,000 into the firm, the entry would debit Cash Tk 120,000 and credit Nasrin, Capital Tk 120,000. In that case, the firm's assets and total capital would both increase.

SUMMARY

Admission by direct investment is a transaction with the firm. Liquidation is different again because the firm is ending and its assets, liabilities, and partner claims must be settled.

Realise assets, record gains and losses, settle liabilities, determine final capital balances, and distribute remaining cash. A distribution schedule makes the changing cash position visible and reduces the risk of paying out too much too early.

THINK IT THROUGH

1. Why does a private purchase of an existing partner's interest not increase partnership cash? 2. What changes when the incoming partner invests directly in the firm? 3. Why are outside liabilities settled before the partners' final capital balances? 4. Explain why liquidation losses affect partner capital accounts. 5. A partner has Tk 60,000 capital and is allocated Tk 80,000 of liquidation loss. What does the resulting balance represent? 6. Prepare the journal entry when a new partner contributes Tk 200,000 cash directly to the firm. 7. A firm has assets of Tk 600,000, liabilities of Tk 250,000, and capital of Tk 350,000. Assets are realised for Tk 560,000 and liabilities are paid for Tk 240,000. Calculate the final cash and the net realisation result.

WHERE PEOPLE GO WRONG

- Do not debit partnership cash when an incoming partner pays an existing partner personally. - Do not treat admission by direct investment as a mere transfer between old and new capital accounts. - Do not distribute cash before considering outstanding liabilities. - Do not forget to allocate realisation gains or losses among partners. - Do not assume a negative capital balance disappears without further treatment. - Do not confuse dissolution of one partnership relationship with the legal and accounting process of complete firm liquidation.

Most errors arise from confusing personal transactions with firm transactions or distributing cash too early.

IN HISTORY

Hewlett and Packard officially started their partnership in 1939. Hewlett-Packard's own historical material records the partnership's early work and later incorporation as a company in 1947.⁴ The example helps separate two ideas: a partnership can change form, while the accounting problem at each stage still depends on the legal and economic event being recorded.

Hewlett-Packard provides a documented example of a partnership that later became a corporation.

SOURCES

- Bangladesh Laws: The Partnership Act, 1932. - Hewlett-Packard historical publications. - OpenStax, Principles of Accounting, partnership admission and withdrawal section.

The sources below support the legal and historical points used in this chapter.

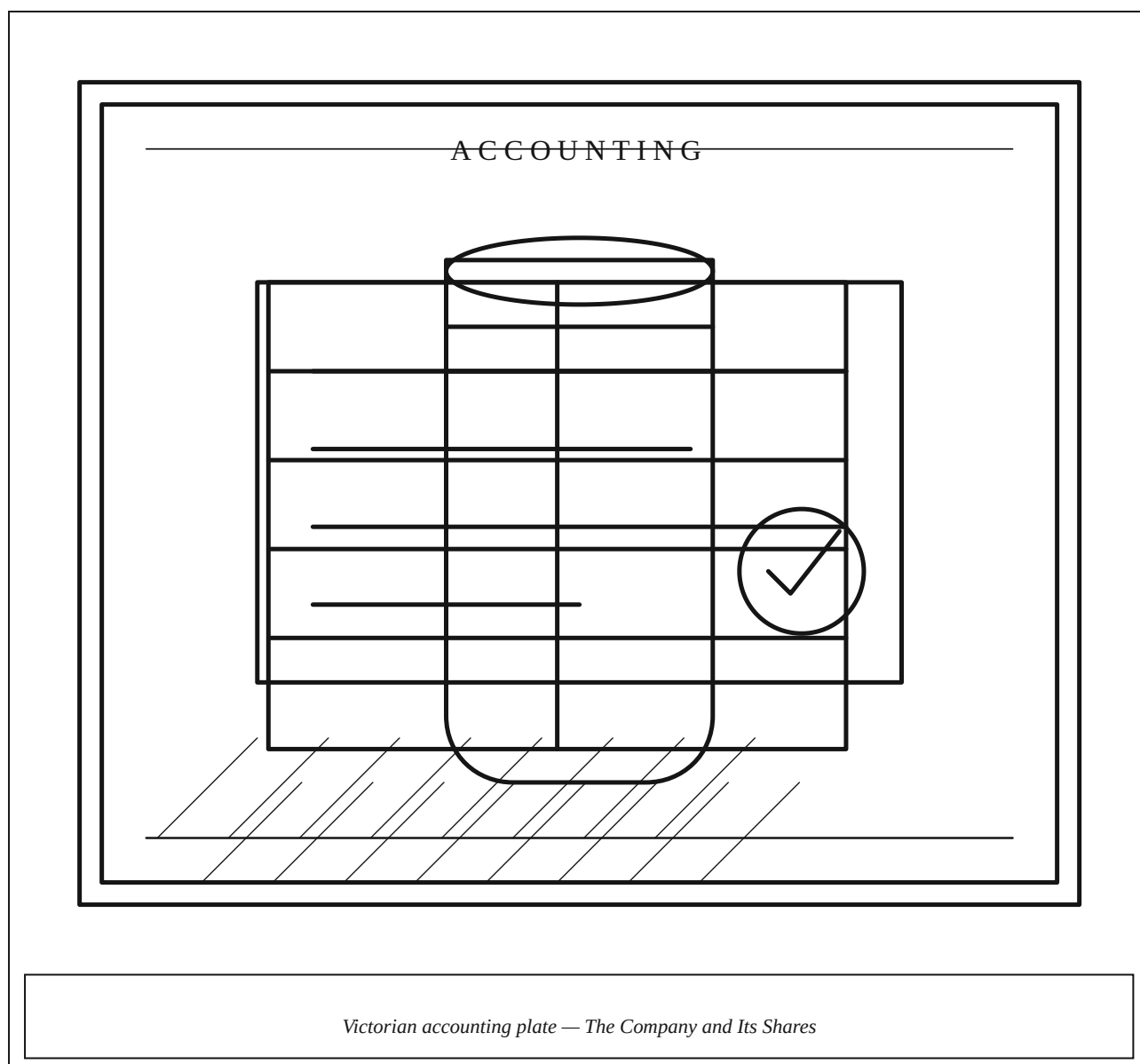
REVIEW QUESTIONS

1. Define admission of a partner. 2. Distinguish purchase of an interest from investment in the firm. 3. Explain liquidation and realisation. 4. State the main stages of partnership liquidation. 5. Explain gain or loss on realisation. 6. Define capital deficiency. 7. Prepare the entry for a private purchase of an existing partner's capital interest. 8. Prepare the entry for direct cash investment by a new partner. 9. Prepare a liquidation schedule from fresh asset, liability, and capital figures. 10. Explain why a cash distribution schedule is useful when assets are realised in stages.

Review questions should force the reader to distinguish the transaction type before calculating the entry.

Chapter 19 finished. New: admission of a partner; purchase of an interest; investment in the firm; liquidation; realisation; gain or loss on realisation; cash distribution schedule; capital deficiency. Verify: Bangladesh partnership law should be checked again if the book is updated for later amendments. Continue with Chapter 20.

⁴ Hewlett-Packard historical publications and annual-report material describe the partnership founded by William R. Hewlett and David Packard in 1939 and the later incorporation.



CHAPTER XX

The Company and Its Shares

A business can outgrow its founders. The company form changes who owns it, who owes its debts, and how capital is raised.



This chapter explains the company as a separate legal form, the main kinds of shares, share issues, treasury shares, and the equity section.

A partnership can begin with two people, but a growing business may need a different structure for ownership and capital.

The company form separates the business from the people who own its shares.

Company. An incorporated business organisation whose rights and obligations are legally separated from those of its owners.

The first question is not how many shares a company has, but who owns the business and who owes its debts.

Separate entity changes the accounting boundary.

A **company** is a form of business organisation in which the business is carried on through an incorporated body. The people who own shares are members or shareholders. The company can hold property and incur obligations in its own name.

The accounting difference is important. In a partnership, the accounts follow the partners' capital and current interests. In a company, ownership is represented through shares and the equity section is organised around share capital and other components of shareholders' equity.

Bangladesh's Companies Act, 1994 recognises public and private companies and provides rules concerning incorporation, shares and share capital. The exact legal requirements depend on the type of company and the current law, so accounting treatment should not be confused with legal procedure.

cite turn1search3 turn1search1

The chapter follows Mitali Bakery as its partnership is converted into an illustrative company. The numbers are teaching figures, not a legal filing model.



20.1 WHAT A COMPANY IS: SEPARATE ENTITY AND LIMITED LIABILITY

A **separate legal entity** means that the company is treated as a legal person distinct from its shareholders. This does not mean that a company is a human being. It means that the law can recognise the company as the holder of rights and obligations.

For accounting, the idea is practical. If Mitali Bakery Limited buys an oven, the oven belongs to the company. If the company owes a supplier, the debt belongs to the company. A shareholder does not record the company's oven as personal property merely because she owns shares in the company.

The distinction can be seen through a simple comparison.

COMPANY AND PARTNERSHIP COMPARED

POINT	PARTNERSHIP	COMPANY
Ownership	Partners	Shareholders
Main ownership record	Partners' capital accounts	Share capital and other equity
Legal identity	Usually tied to the partners under the applicable law	Incorporated entity
Liability	Partners may have unlimited liability	Limited liability may apply where the company is formed with limited liability
Transfer of ownership	Partnership agreement and law govern the change	Shares provide a mechanism for ownership interests
Continuity	May depend on agreement and legal events	Generally has continuing legal existence subject to law
Raising ownership capital	New or existing partners	Issue of shares

A **limited liability** company limits the shareholders' liability according to the legal structure of the company. The shareholder's investment can fall in value, but that is different from saying that every company debt automatically becomes the shareholder's personal debt.

Suppose Mitali owns shares costing Tk 100,000 in Mitali Bakery Limited. The company later owes a supplier Tk 300,000. The supplier's claim is against the company. Mitali does not record the Tk 300,000 supplier liability in her personal books merely because she owns the shares.

This protection is one reason the company form is useful for larger or growing businesses. It also creates a need for formal records, governance and disclosure.

Bangladesh's Companies Act defines a public company as an incorporated company that is not a private company. It defines a private company through restrictions in its articles concerning share transfer, public invitations to subscribe for shares or debentures, and membership limits. cite turn1search3

PRIVATE AND PUBLIC COMPANIES

A **private company** is subject to restrictions specified by law and its constitutional documents. Under the Bangladesh Companies Act, the statutory definition includes restrictions on transfer of shares, invitations to the public to subscribe, and the number of members, subject to the Act's detailed provisions. cite turn1search3

A **public company** is not a private company under that Act. Public status therefore should not be reduced to the informal idea that the company is "large".

The accounting lesson is narrower than company law. This book needs the distinction because ownership, shares and equity are affected by the legal form. It does not attempt to teach the complete procedure for incorporation or public offering.

WHY THE COMPANY FORM CHANGES THE ACCOUNTING

A partnership's profit is allocated among partners according to the partnership arrangement. A company instead reports profit as part of the company's financial performance. When the company declares a **dividend**, a distribution may be made to shareholders according to the rights attached to their shares and the applicable law.

Profit that is not distributed can remain in the company as **retained earnings**.

The equity section therefore tells a different story from a partnership capital account. It asks: How much share capital has been issued? How much has been received above par value? How much profit has been retained? Has the company acquired its own shares under the applicable legal rules?

ADVANTAGES AND LIMITS

The company form can support larger pools of capital, continuity and a clearer separation between

Separate legal entity. The company is legally distinct from the persons who own its shares.

Limited liability protects the boundary between company obligations and shareholder exposure, subject to law.

Limited liability. A legal arrangement under which shareholders' liability for company obligations is limited according to the company's legal form.

Private and public companies differ mainly in how ownership is organised and offered, not merely in size.

Private company. A company that satisfies the legal conditions defining a private company, including specified restrictions on share transfer and public subscription.

Public company. A company that is not a private company under the applicable company law.

Accounting records the financial consequences; company law determines the legal framework.

Dividend. A distribution of company profit to shareholders.

Retained earnings. Accumulated profit kept in the business rather than distributed to shareholders.

The equity section explains the sources and movements of owners' claims against the company.

A company is not “better” in every situation; it is a different legal and accounting structure.

A share turns an ownership interest into a unit that can be recorded, divided and transferred according to the company's rules.

Share. One of the equal units into which a company's ownership is divided.

Shareholder. A person or organisation that owns shares in a company.

Par value. The stated value assigned to a share in the company's capital structure; it is not necessarily its market price.

Share capital. The amount attributed to shares issued by a company according to the applicable accounting and legal framework.

Share premium. The amount received for shares above their par value.

A company may be permitted to have more shares than it has actually issued.

Authorised shares. The maximum number of shares a company is permitted to issue under its governing framework, where applicable.

Issued shares. Shares that a company has actually issued.

Authorisation is capacity; issue is an actual transaction.

ownership and the business. It can also make ownership easier to divide into shares.

But incorporation brings costs. Companies need formal records, compliance, governance and reporting. Limited liability is not a promise that investment cannot be lost. Shareholders can lose the amount they invested.



20.2 SHARE CAPITAL AND THE KINDS OF SHARE

A **share** is one of the units into which company ownership is divided.

A **shareholder** is a person or organisation that owns shares.

The company records its share capital separately from other forms of equity. A share may have a stated **par value**, although par value is not the same thing as the price at which investors buy or sell the share.

For example, suppose a company issues 10,000 ordinary shares with a par value of Tk 10 each. The par value of the issued shares is:

$$10,000 \times \text{Tk } 10 = \text{Tk } 100,000$$

If the company receives Tk 12 per share, it receives Tk 120,000. The excess of Tk 20,000 over par value is recorded separately as share premium under the accounting framework being used.

AUTHORISED AND ISSUED SHARES

Authorised shares are the maximum number of shares that the company's legal or constitutional framework permits it to issue, where that concept applies.

Issued shares are shares that the company has actually issued to shareholders.

Suppose Mitali Bakery Limited is authorised to issue 50,000 ordinary shares but initially issues only 20,000. The authorised amount and issued amount are therefore different.

The distinction prevents a common mistake: treating every share a company is permitted to issue as money already invested by shareholders.

ORDINARY SHARES

An **ordinary share** normally represents a basic ownership interest. It commonly carries voting rights and a residual claim on profits and net assets, subject to the company's terms and applicable law.

If the company earns a profit, ordinary shareholders may receive dividends. They do not normally receive a guaranteed dividend simply because they own ordinary shares.

Ordinary share. A basic class of share that normally carries voting and residual ownership rights, subject to its terms and applicable law.

PREFERENCE SHARES

A **preference share** is a class of share with specified preferential rights, commonly concerning dividends or return of capital.

The word “preference” does not mean that every preference share has identical rights. The terms may differ concerning cumulative dividends, voting, conversion or redemption.

Preference share. A class of share whose terms give its holders specified preferential rights over ordinary shareholders.

Always read the rights attached to a share class before assuming how it behaves.

ORDINARY AND PREFERENCE SHARES

TWO BROAD SHARE CLASSES

FEATURE	ORDINARY SHARE	PREFERENCE SHARE
Basic ownership	Yes	Yes
Dividend	Usually variable and not guaranteed	Preferential according to its terms
Voting	Commonly present	Depends on terms and law
Claim on assets	Residual after prior claims	Preference according to terms
Main accounting question	Amount issued and related equity	Amount issued and rights attached

This table is a learning model, not a substitute for the actual terms of a particular issue.

SHARES AND MARKET PRICE

Issue price is the amount the company receives when it issues a share.

Par value, issue price and market price answer three different questions.

Market price is the price at which a share may be traded between investors. A company issuing a share at Tk 15 does not mean that the share must later trade at Tk 15.

Consider one ordinary share:

- Par value = Tk 10 - Issue price = Tk 14 - Later market price = Tk 18

The company's original issue transaction is based on Tk 14. The later market price of Tk 18 is not automatically a new company transaction.

Bangladesh's Companies Act recognises shares as transferable interests subject to the company's articles and the Act. It also requires shares of a share-capital company to be identified by appropriate numbers. cite turn1search2

The company records its own issue transaction; later investor-to-investor trading is a different event.



20.3 ISSUING SHARES FOR CASH

The simplest issue occurs when shares are issued for cash at par value.

When a company issues shares, cash enters the business and shareholders' equity increases.

Suppose Mitali Bakery Limited issues 10,000 ordinary shares of Tk 10 each for Tk 10 per share.

Cash received:

$$10,000 \times \text{Tk } 10 = \text{Tk } 100,000$$

Journal entry:

Cash Dr Tk 100,000 Share Capital Cr Tk 100,000

The debit records the asset received. The credit records the shareholders' equity created by the issue.

The entry follows the same double-entry logic used elsewhere: an asset comes in and equity increases.

Issue at par. Issuing a share for an amount equal to its par value.

ISSUE ABOVE PAR: PREMIUM

Suppose the same 10,000 shares have a Tk 10 par value but are issued for Tk 14.

Cash received:

$$10,000 \times \text{Tk } 14 = \text{Tk } 140,000$$

Par value:

$$10,000 \times \text{Tk } 10 = \text{Tk } 100,000$$

Excess:

$$\text{Tk } 140,000 - \text{Tk } 100,000 = \text{Tk } 40,000$$

Journal entry:

Cash Dr Tk 140,000 Share Capital Cr Tk 100,000 Share Premium Cr Tk 40,000

The company received Tk 140,000, so the debit must equal Tk 140,000. The credit is divided between the amount attributed to share capital and the amount above par.

Issue at a premium. Issuing shares for more than their par value.

A premium is part of equity, but it is not part of the share's par value.

ISSUE BELOW PAR

An issue below par is legally restricted in many systems and must not be treated as a routine accounting choice. In Bangladesh, company-law rules concerning issue of shares, minimum subscription, capital and related matters must be checked before any such transaction is attempted. The accounting treatment cannot make an unlawful issue lawful.

For this introductory book, the normal worked examples use issues at par or above par.

Accounting records a transaction; it does not authorise the transaction.

A FULL ISSUE SEQUENCE

A company may collect money through stages rather than receiving the whole amount in one step. The exact terminology and legal procedure depend on the issue arrangement.

The accounting logic remains consistent:

1. identify the amount due; 2. record the company's claim or cash movement;
3. distinguish share capital from any amount above par; 4. record unpaid amounts separately when required by the accounting system.

WORKED CASE: MITALI BAKERY LIMITED

Mitali Bakery Limited issues 20,000 ordinary shares with a par value of Tk 10 for Tk 12 each.

Step 1: calculate total cash.

$$20,000 \times \text{Tk } 12 = \text{Tk } 240,000$$

Break a complex issue into its economic events instead of trying to memorise one long entry.

Step 2: calculate share capital.

$20,000 \times \text{Tk } 10 = \text{Tk } 200,000$

Step 3: calculate share premium.

$\text{Tk } 240,000 - \text{Tk } 200,000 = \text{Tk } 40,000$

Step 4: record the entry.

Cash Dr Tk 240,000 Share Capital Cr Tk 200,000 Share Premium Cr Tk 40,000

The transaction increases company assets by Tk 240,000 and equity by Tk 240,000.



The three-step calculation—total proceeds, par component, excess—is safer than memorising the entry.

20.4 ISSUING SHARES FOR LAND OR OTHER ASSETS

Suppose a company issues shares to acquire land. No cash enters the company. The company nevertheless receives an economic resource, so an asset is recognised.

The difficult question is measurement.

Fair value means a current measure of an asset or other item based on the price that could be obtained in an appropriate market transaction under the relevant accounting framework.

For a simple teaching case, suppose Mitali Bakery Limited acquires land by issuing 10,000 ordinary shares with a par value of Tk 10. The agreed fair value of the land is Tk 150,000 and the shares are treated as having the same fair value.

The entry is:

Land Dr Tk 150,000 Share Capital Cr Tk 100,000 Share Premium Cr Tk 50,000

The company receives land worth Tk 150,000 in the example. Of this, Tk 100,000 corresponds to par value and Tk 50,000 is above par.

If the fair value of the asset and the fair value of the shares differ, the applicable accounting rules determine which measurement should be used and whether the transaction requires additional evidence.

This is why a real company cannot choose a convenient number merely to produce a preferred accounting result.

WHY EVIDENCE MATTERS

A cash issue provides a visible amount: cash received. A non-cash issue needs evidence for the value assigned to the asset or shares.

For land, evidence may include an independent valuation, market information and transaction terms. The exact evidence depends on the circumstances and reporting framework.



A company can receive an asset instead of cash, but the accounting still needs a reliable measure of what was received.

Fair value. A measurement representing the price for an asset or liability in an appropriate orderly transaction under the applicable accounting framework.

A non-cash issue still has the same structure: asset received, equity issued.

Measurement is part of accounting judgment, not decoration added after the entry.

20.5 TREASURY SHARES: BUYING BACK AND RESELLING

Buying back the company's own shares is an equity transaction, but it is not the same as buying an investment in another company.

Treasury shares. A company's own issued shares that it has acquired and holds under the applicable legal and accounting framework.

The accounting treatment of treasury shares cannot be separated from company law.

Treasury shares are presented as a reduction of equity rather than as an ordinary operating asset.

A company does not earn sales revenue by selling its own shares.

Treasury shares are a company's own shares that it has acquired and continues to hold, where the applicable accounting and company-law framework permits such treatment.

The treatment is important because the company has not acquired an outside asset such as land, inventory or another company's shares. It has changed the composition of its own equity.

A LEGAL WARNING BEFORE THE ACCOUNTING

Bangladesh's Companies Act contains restrictions on a company purchasing its own shares. Section 58 provides that a company limited by shares cannot freely purchase its own shares except through the procedures specified by the law; the provision also contains specific exceptions and rules for private companies and other situations. cite turn1search2

Therefore, the following examples are **accounting exercises only**. They assume that the transaction is legally permitted and properly authorised.

PURCHASE OF TREASURY SHARES

Suppose the company purchases 2,000 of its own shares for Tk 15 each.

Cost:

$$2,000 \times \text{Tk } 15 = \text{Tk } 30,000$$

Under a treasury-share accounting model, the purchase is recorded as a deduction from equity:

Treasury Shares Dr Tk 30,000 Cash Cr Tk 30,000

The important idea is not the account title alone. The company has paid cash to acquire its own shares, so its net equity is reduced under this model.

REISSUE ABOVE COST

Suppose the company later reissues those 2,000 treasury shares for Tk 18 each.

Cash received:

$$2,000 \times \text{Tk } 18 = \text{Tk } 36,000$$

Cost of treasury shares:

Tk 30,000

Difference:

Tk 6,000

A simplified entry under the teaching model is:

Cash Dr Tk 36,000 Treasury Shares Cr Tk 30,000 Additional Paid-in Capital
—Treasury Shares Cr Tk 6,000

The difference is not ordinary sales revenue. The company is dealing in its own equity.

REISSUE BELOW COST

Suppose the same shares are reissued for Tk 13 each.

Cash received:

$$2,000 \times \text{Tk } 13 = \text{Tk } 26,000$$

Treasury-share cost:

Tk 30,000

Difference:

Tk 4,000

The difference is treated within equity according to the applicable accounting framework, rather than as an ordinary operating loss.

The exact presentation can depend on the reporting framework and the balance of related equity accounts. The beginner should therefore remember the principle first: treasury-share transactions affect equity.

Treasury-share gains and losses are equity matters, not operating profit.

COMMON CONFUSION

A company buying another company's shares may recognise an investment asset. A company buying its own shares is different.

The company cannot become an owner of itself in the same economic sense that an investor becomes an owner of another company. The transaction is therefore presented as a change in the company's own equity.



Ask “whose shares?” before deciding how to classify a share purchase.

20.6 READING A COMPANY'S EQUITY SECTION

A simplified equity section may contain:

- Share capital - Share premium or another additional paid-in capital component - Retained earnings - Treasury shares, where applicable - Other equity components required by the reporting framework

Suppose Mitali Bakery Limited has the following balances:

Equity component	Tk		---		---		Share capital		200,000		Share premium		40,000		Retained earnings		75,000		Less: treasury shares		(30,000)	
Total equity												285,000										

The total is:

$Tk\ 200,000 + Tk\ 40,000 + Tk\ 75,000 - Tk\ 30,000 = Tk\ 285,000$

The negative treasury-share amount reduces total equity.

The equity section is a compact history of how owners' claims were created, retained and changed.

SHARE CAPITAL

Share capital represents the amount attributed to issued shares according to the accounting and legal framework.

It is not necessarily equal to the total cash ever received from shareholders. If shares are issued above par, the excess is recorded separately as share premium or another appropriate additional paid-in capital component.

Read each line as part of a story about capital, accumulated profit and equity transactions.

SHARE PREMIUM

Share premium records amounts received above par value in the relevant issue.

For example:

$20,000\ \text{shares} \times Tk\ 10\ \text{par} = Tk\ 200,000\ \text{share capital.}$

If issued for Tk 12:

$20,000 \times Tk\ 2 = Tk\ 40,000\ \text{share premium.}$

The company therefore receives Tk 240,000, while the equity section separates the two components.

Separate presentation helps readers understand how much relates to par value and how much was received above it.

Retained earnings connect past profitability with the equity reported today.

Expenses measure the cost of earning revenue; dividends distribute equity to owners.

Good accounting reading turns a list of balances into an explanation of how equity changed.

The final case combines the chapter's ideas in the order a new company might encounter them.

RETAINED EARNINGS

Retained earnings accumulate profits that have not been distributed, after the relevant adjustments and appropriations.

Suppose opening retained earnings are Tk 50,000 and the company earns Tk 40,000. If it declares and pays Tk 15,000 in dividends, the simplified closing balance is:

$$\text{Tk } 50,000 + \text{Tk } 40,000 - \text{Tk } 15,000 = \text{Tk } 75,000$$

This example ignores other possible adjustments so that the basic movement remains visible.

DIVIDENDS ARE NOT AN EXPENSE

A dividend is a distribution to owners. It is not a cost of producing the company's goods or services.

This distinction matters. Wages help produce revenue and are expenses. Rent is an expense. A dividend transfers part of the owners' claim after profit has been determined.

A COMPLETE EQUITY READING

Suppose a company reports:

Share capital = Tk 500,000 Share premium = Tk 100,000 Retained earnings = Tk 220,000 Treasury shares = Tk 60,000 deduction

Total equity:

$$\text{Tk } 500,000 + \text{Tk } 100,000 + \text{Tk } 220,000 - \text{Tk } 60,000 = \text{Tk } 760,000$$

A reader can ask four questions:

1. How much ownership capital has been issued? 2. How much was received above par? 3. How much profit has been retained? 4. Has the company reduced equity through treasury-share transactions?



WORKED CASE: MITALI BAKERY BECOMES A COMPANY

Mitali Bakery has grown beyond its original partnership form. For teaching purposes, assume it is reorganised as Mitali Bakery Limited.

The company issues 30,000 ordinary shares with a par value of Tk 10 for Tk 12 each.

Step 1: total cash received.

$$30,000 \times \text{Tk } 12 = \text{Tk } 360,000$$

Step 2: share capital.

$$30,000 \times \text{Tk } 10 = \text{Tk } 300,000$$

Step 3: share premium.

$$\text{Tk } 360,000 - \text{Tk } 300,000 = \text{Tk } 60,000$$

Entry:

Cash Dr Tk 360,000 Share Capital Cr Tk 300,000 Share Premium Cr Tk 60,000

The company then acquires land by issuing 10,000 ordinary shares. The fair value of the land is Tk 180,000.

Entry:

Land Dr Tk 180,000 Share Capital Cr Tk 100,000 Share Premium Cr Tk 80,000

The company later purchases 2,000 of its own shares for Tk 15 each, assuming the transaction is legally permitted.

Treasury-share cost:

$2,000 \times \text{Tk } 15 = \text{Tk } 30,000$

Entry:

Treasury Shares Dr Tk 30,000 Cash Cr Tk 30,000

Assume the company then earns Tk 90,000 and distributes Tk 20,000 as dividends. For this simplified case, retained earnings increase by:

$\text{Tk } 90,000 - \text{Tk } 20,000 = \text{Tk } 70,000$

If there was no opening retained earnings balance, the simplified equity section would be:

Equity component	Tk		---	---		Share capital	400,000		Share premium	140,000		Retained earnings	70,000		Less: treasury shares	(30,000)		Total equity	580,000
------------------	----	--	-----	-----	--	---------------	---------	--	---------------	---------	--	-------------------	--------	--	-----------------------	----------	--	--------------	---------

The calculation is:

$\text{Tk } 400,000 + \text{Tk } 140,000 + \text{Tk } 70,000 - \text{Tk } 30,000 = \text{Tk } 580,000$

The case shows the central movement of the chapter. A company raises capital by issuing shares, can receive assets instead of cash, can alter its equity through permitted treasury-share transactions, and retains part of its profit in the business.



The equity section is not a collection of unrelated numbers; it is the record of the owners' financial relationship with the company.

SUMMARY

A company is an incorporated business organisation. A separate legal entity is distinct from its owners. Limited liability can limit shareholders' exposure according to the legal form.

Shares divide company ownership into units. Shareholders own shares. Par value is the stated value of a share, while issue price is what the company receives when it issues the share.

Authorised shares represent permitted capacity where that concept applies. Issued shares are actually issued.

Ordinary shares usually provide basic ownership rights. Preference shares carry specified preferential rights. The exact rights depend on the share terms and law.

Shares issued for cash increase assets and equity. When the issue price exceeds par value, the excess is recorded as share premium or another appropriate additional paid-in capital component.

A company may issue shares for non-cash assets. The measurement must follow the applicable accounting framework and reliable evidence.

Treasury shares are the company's own shares that it has acquired where legally and accounting-wise permitted. Their treatment is within equity, not ordinary operating revenue or expense.

A company changes the accounting picture by separating the incorporated business from its shareholders.

The equity section can include share capital, share premium, retained earnings and treasury shares. Reading these balances explains how owners' claims have been created and changed.



THINK IT THROUGH

The most useful test is to explain why an entry works, not merely to reproduce it.

1. Why does a company need a separate legal identity for accounting purposes? 2. Why is par value different from issue price? 3. A company issues 5,000 shares with a Tk 10 par value for Tk 13 each. What amount goes to share capital and what amount goes above par? 4. Why is a land purchase through shares still recorded as an equity transaction? 5. Why should a treasury-share transaction not be treated as sales revenue? 6. What story does retained earnings tell? 7. A company has Tk 400,000 share capital, Tk 80,000 share premium, Tk 120,000 retained earnings and Tk 25,000 treasury shares. What is total equity? 8. Why must company-law rules be checked before accounting for a proposed purchase of the company's own shares?



WHERE PEOPLE GO WRONG

Most errors arise when similar-looking ownership terms are treated as though they mean the same thing.

Mistake 1: Treating par value as market value. Par value is a stated capital amount. Market price can change.

Mistake 2: Crediting the entire issue price to share capital. When shares are issued above par, the excess is normally separated into share premium or another appropriate equity component.

Mistake 3: Treating dividends as an expense. Dividends are distributions to owners, not operating expenses.

Mistake 4: Treating treasury shares as an ordinary investment asset. Treasury-share transactions concern the company's own equity.

Mistake 5: Assuming every company can freely buy back its shares. The legal permission and procedure must be checked.

Mistake 6: Assuming a private company is simply a small company. Legal definitions concern specific restrictions and conditions.

Mistake 7: Treating authorised shares as issued shares. A permitted maximum is not the same as an actual issue.



IN HISTORY

The early history of share ownership shows why divided ownership became such an important business idea.

The Dutch East India Company, commonly known as the VOC, was formed in 1602. Its development is widely associated with early large-scale joint-stock ownership and transferable shares. The historical importance of the VOC lies in the way capital could be assembled from many investors rather than depending only on one merchant or a small partnership.

The historical lesson is useful, but it should not be turned into a claim that one company single-handedly invented every modern feature of corporations. Corporate and partnership practices developed over a much longer period.

The modern company is much more regulated than early joint-stock ventures. Today's accounting therefore combines an old economic idea—divided ownership—with formal legal and reporting systems.

The enduring idea is that ownership can be divided into financial interests that allow capital to be gathered from multiple investors.



SOURCES

- Bangladesh, Companies Act, 1994: incorporation, definitions of private and public companies, share provisions and restrictions on purchase of own shares. cite turn1search3 turn1search2 - Bangladesh, Companies Act, 1994, section 5: formation of public and private companies. cite turn1search1 - Bangladesh, Companies Act, 1994, section 58: restrictions concerning a company's purchase of its own shares. cite turn1search2

The sources below support the chapter's legal and historical background; the numerical examples are original teaching cases.

REVIEW QUESTIONS

1. Define a company and explain the meaning of separate legal entity. 2. Explain limited liability and distinguish it from protection against investment loss. 3. Distinguish authorised shares from issued shares. 4. Explain par value, issue price and market price. 5. Distinguish ordinary shares from preference shares. 6. Explain share premium with a numerical example. 7. Journalise an issue of 12,000 shares of Tk 10 par value at Tk 14 per share. 8. Explain the accounting logic when shares are issued to acquire land. 9. Define treasury shares and explain why they are treated within equity. 10. Explain the basic accounting effect of purchasing and reissuing treasury shares. 11. Prepare an equity section from given balances of share capital, share premium, retained earnings and treasury shares. 12. Explain why company-law rules must be considered before recording a proposed share transaction.

Review should move from definitions to explanation and then to calculation.

FINAL CHAPTER REFLECTION

A partnership records the claims of partners. A company divides ownership into shares and reports shareholders' equity through several components. Once this distinction is understood, share issues, premiums, retained earnings and treasury shares become connected parts of one system.

The central lesson of this chapter is that ownership is an accounting structure as well as a legal relationship.

Final idea. Company accounting becomes easier when every equity balance is read as part of the ownership story.

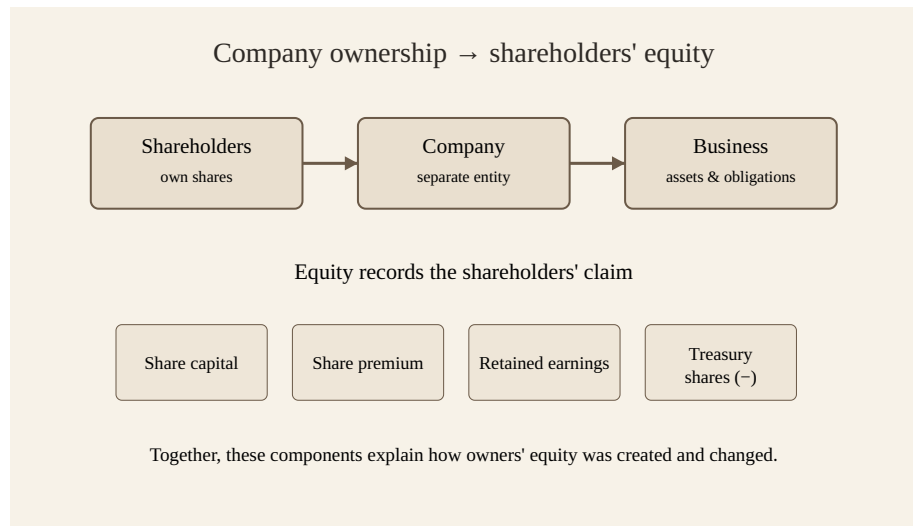


FIG. 53. *Figure 20.1 — From ownership to the equity section*

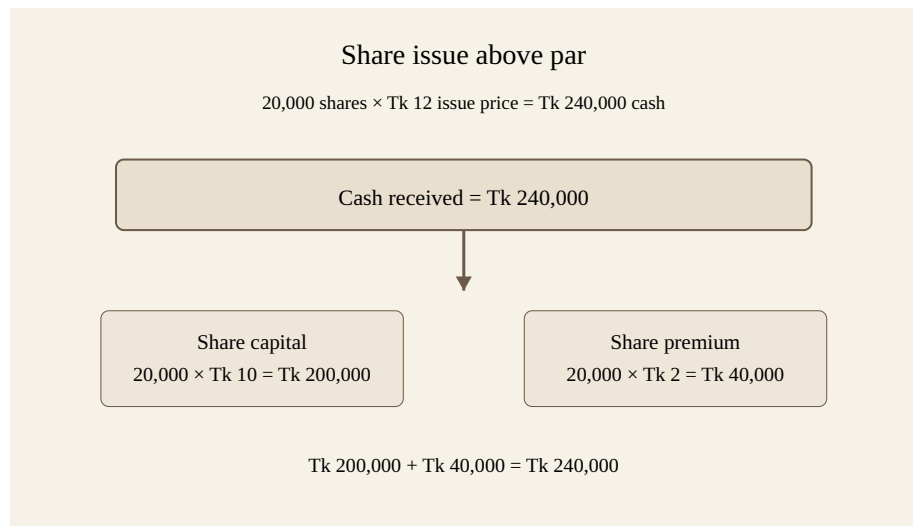


FIG. 54. *Figure 20.2 — Share issue above par*

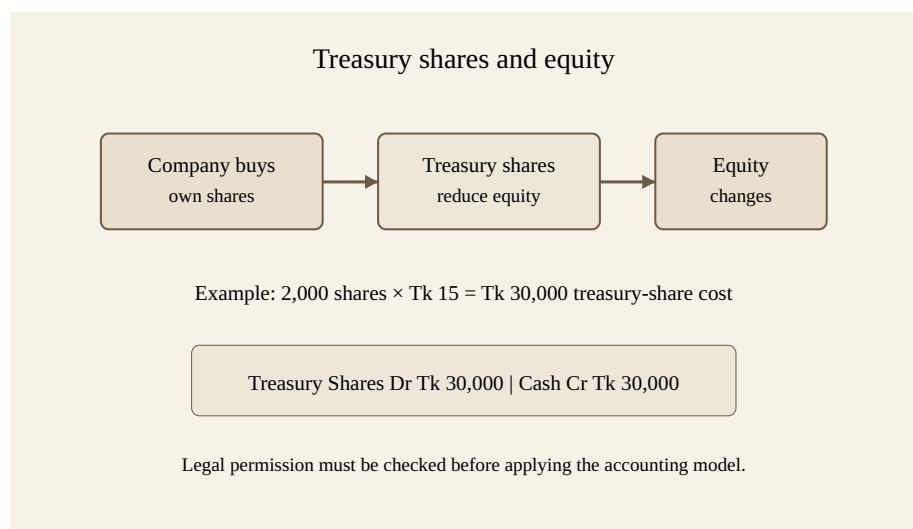


FIG. 55. *Figure 20.3 — Treasury shares and equity*

GLOSSARY

Accumulated fund. The residual interest in a non-trading organisation after liabilities are deducted from its assets, subject to the organisation's fund structure. (*Chapter XVII*)

Adjusted balance. The balance that remains after all relevant reconciling items have been considered. (*Chapter XVI*)

Credit memo. A bank notification showing an amount credited to the customer's account. (*Chapter XVI*)

Debit memo. A bank notification showing an amount charged or debited to the customer's account. (*Chapter XVI*)

Deficit. The excess of expenditure over income for a non-trading organisation during an accounting period. (*Chapter XVII*)

Deposit in transit. A deposit recorded by the business but not yet credited by the bank at the statement date. (*Chapter XVI*)

Dishonoured cheque. A cheque received from a customer that the bank refuses to pay, so the expected collection is not completed. (*Chapter XVI*)

Entrance fee. A payment made when a person joins an organisation. (*Chapter XVII*)

Income and expenditure account. A period statement that recognises income earned and expenses incurred for the period, whether or not cash has been received or paid. (*Chapter XVII*)

Outstanding cheque. A cheque recorded by the business as paid but not yet presented to the bank for payment. (*Chapter XVI*)

Receipts and payments account. A summary of cash and bank receipts and payments during a period, regardless of whether they belong to that period's income or expenditure. (*Chapter XVII*)

Subscription. A recurring amount paid by a member to support an organisation's activities. (*Chapter XVII*)

Surplus. The excess of income over expenditure for a non-trading organisation during an accounting period. (*Chapter XVII*)

Account. In daily life, a record of money held in a bank. In accounting, a named record of one kind of item, such as Cash or Sales. (*Chapter VI*)

Account form. A balance sheet layout with assets on one side and liabilities and equity on the other. (*Chapter V*)

Accounting. The process of recording, sorting and reporting the money facts of an organisation. (*Chapter II*)

Accounting concept. A basic rule that tells accountants how to record and report. (*Chapter III*)

Accounting cycle. The set of steps that turns a business's transactions into financial statements. (*Chapter VII*)

Accounting equation. The rule that assets always equal liabilities plus owner's equity. (*Chapter IV*)

Accounting information. Facts about money, such as what a business owns, owes, earns and spends. (*Chapter II*)

Accounting period. A fixed length of time, such as a month or a year, for which results are reported. (*Chapter III*)

Accounting standard. A written rule, issued by an official body, on how to record and report an item. (*Chapter III*)

Accounts payable. Money that the business owes to suppliers for goods or services bought on account. (*Chapter IV*)

Accounts receivable. Money that customers owe to the business for goods or services sold on account. (*Chapter IV*)

Accrual. An adjustment that records an item before any cash has moved. (*Chapter IX*)

Accrual basis. Recording revenue when earned and expenses when incurred, whatever the date of cash. (*Chapter IX*)

Accrued expense. An expense used up but not yet paid or recorded. (*Chapter IX*)

Accrued revenue. Revenue earned but not yet received or recorded. (*Chapter IX*)

Accumulated depreciation. The total depreciation charged on an asset since it was bought. (*Chapter IX*)

Adjusted trial balance. A trial balance prepared after the adjusting entries have been posted. (*Chapter IX*)

Adjusting entry. A journal entry made at period end to bring accounts up to date. (*Chapter IX*)

admission of a partner. The process by which a person becomes a partner in an existing partnership. (*Chapter XIX*)

appropriation. The process of allocating a partnership's profit or loss among partners according to the agreement. (*Chapter XVIII*)

appropriation account. An account used to show how partnership profit or loss is allocated among the partners. (*Chapter XVIII*)

Asset. Something of value that a business owns and expects to use to earn money. (*Chapter IV*)

Asset account. An account that records one kind of asset, such as Cash or Equipment. (*Chapter VI*)

Auditing. An independent check that a business's accounts are fair and correct. (*Chapter II*)

Authorised shares. The maximum number of shares a company is permitted to issue under its governing framework, where applicable. (*Chapter XX*)

Balance. The difference between the debit total and the credit total of an account. In daily life, the money held in a bank account. (*Chapter VII*)

Balance sheet. A statement that lists assets, liabilities, and owner's equity on one date. (*Chapter V*)

Balancing figure. The amount needed to make two totals equal; here, the profit or loss. (*Chapter XI*)

Bank reconciliation. A comparison of the cash book and bank statement that explains their difference and establishes an adjusted balance. (*Chapter XVI*)

Book value. An asset's cost minus its accumulated depreciation. (*Chapter X*)

Bookkeeping. The part of accounting that records transactions in an orderly way. (*Chapter II*)

Budget. A plan that shows the money a business expects to earn and spend. (*Chapter II*)

Business. An organisation that sells goods or services to earn money. (*Chapter I*)

Business entity concept. The rule that a business is kept apart from the private affairs of its owner. (*Chapter III*)

Calendar year. The twelve months from 1 January to 31 December. (*Chapter III*)

Capital. In daily life, money or wealth in general. In accounting, money or assets that the owner puts into the business to start or grow it. (*Chapter IV*)

capital deficiency. A negative capital balance arising when a partner's allocated losses exceed the partner's available capital claim. (*Chapter XIX*)

Capital expenditure. Money spent to buy or improve an asset that will serve many years. (*Chapter X*)

Cash. Money in coins, notes or a bank account that can be used at once. (*Chapter I*)

Cash basis. Recording revenue and expenses only when cash is received or paid. (*Chapter IX*)

Cash book. A book that records cash received and cash paid, and often the bank balance. (*Chapter XV*)

Cash disbursements journal. A special journal for cash paid out. (*Chapter XV*)

Cash receipts journal. A special journal for cash received. (*Chapter XV*)

Chart of accounts. A list of all the accounts a business uses, each with a number. (*Chapter VI*)

Cheque. A written order to a bank to pay a stated sum to a named person. (*Chapter VII*)

Closing entries. Journal entries at period end that bring temporary accounts to zero. (*Chapter XII*)

Company. A business that the law treats as separate from its owners, who hold shares. (*Chapter I*)

Comparability. Information is comparable when users can compare one business, or one year, with another. (*Chapter III*)

Compensating errors. Two or more mistakes that cancel each other out, so the trial balance still agrees. (*Chapter VIII*)

Compound entry. A journal entry that affects three or more accounts. (*Chapter VII*)

Consistency. Using the same accounting method from one period to the next. (*Chapter III*)

Contra account. An account that is deducted from a related account in the statements. (*Chapter IX*)

Control account. A general-ledger account showing the total represented by a related subsidiary ledger. (*Chapter XV*)

Correcting entry. A journal entry that puts right a mistake that was recorded earlier. (*Chapter VIII*)

Cost. In daily life, the price you pay. In accounting, the amount paid to get something, kept as its value in the books. (*Chapter III*)

Cost accounting. The branch that measures what it costs to make a product or perform a service. (*Chapter II*)

Cost flow assumption. A consistent rule used to assign available inventory costs between goods sold and goods remaining. (*Chapter XIV*)

Cost of ending inventory. The amount of cost assigned to goods that remain unsold at the end of the period. (*Chapter XIV*)

Credit. An entry on the right side of an account. In daily life, credit can mean praise, or buying now and paying later. Here it names only a side. (*Chapter VI*)

Creditor. A person or business to whom money is owed. (*Chapter II*)

current account. A partner's account used to record routine increases and decreases in the partner's claim when a separate fixed capital account is maintained. (*Chapter XVIII*)

Current asset. An asset expected to be realised, sold, or consumed within the normal operating cycle or within the relevant short-term period. (*Chapter XIV*)

Customer. A person or business that buys goods or services. (*Chapter I*)

Debit. An entry on the left side of an account. (*Chapter VI*)

Debt. Money that a person or business must repay to someone else. (*Chapter I*)

Decision. A choice between two or more actions, such as whether to lend money. (*Chapter II*)

Declining-balance method. A method that charges a fixed percentage of the asset's book value each year. (*Chapter X*)

Deferral. An adjustment that spreads a cash payment or receipt made earlier across later periods. (*Chapter IX*)

Depreciable amount. An asset's cost minus its residual value; the total to be charged as depreciation. (*Chapter X*)

Depreciation. The spreading of an asset's cost over the years in which the asset is used. (*Chapter IX*)

Depreciation schedule. A table that shows depreciation, accumulated depreciation and book value for each year. (*Chapter X*)

Discount allowed. A cash discount that the business gives to a customer. (*Chapter XV*)

Discount received. A cash discount that the business obtains from a supplier for meeting stated payment conditions. (*Chapter XV*)

Disposal. Selling, scrapping, or otherwise getting rid of an asset. (*Chapter X*)

Dividend. A distribution of company profit to shareholders. (*Chapter XX*)

Double-entry system. A method in which every transaction is recorded in two places, with equal debits and credits. (*Chapter VI*)

Drawings. Cash or goods that the owner withdraws from the business for personal use. (*Chapter IV*)

Drawings account. The account that records what the owner takes out of the business. (*Chapter VI*)

Dual aspect concept. The rule that every transaction has two sides, which is why the accounting equation always balances. (*Chapter III*)

Equipment. Tools and machines, such as an oven, that a business uses for several years. (*Chapter IV*)

Error. A mistake made when recording a transaction. (*Chapter VIII*)

Error of commission. A transaction recorded in the wrong account of the correct type. (*Chapter VIII*)

Error of omission. A transaction left out of the books completely. (*Chapter VIII*)

Error of original entry. A wrong amount written in both the debit and the credit. (*Chapter VIII*)

Error of principle. A transaction recorded in an account of the wrong type. (*Chapter VIII*)

Error of reversal. A debit and a credit written on the wrong sides, so that the opposite of the transaction is recorded. (*Chapter VIII*)

Expense. A cost that a business uses up in order to earn revenue. (*Chapter IV*)

Expense account. An account that records one kind of cost used up, such as Rent Expense. (*Chapter VI*)

External user. A user outside the business, such as a bank or the tax office. (*Chapter II*)

Fair value. A measurement representing the price for an asset or liability in an appropriate orderly transaction under the applicable accounting framework. (*Chapter XX*)

FIFO. A method that assigns the oldest inventory costs to goods sold first. (*Chapter XIV*)

Final idea. Company accounting becomes easier when every equity balance is read as part of the ownership story. (*Chapter XX*)

Financial accounting. The branch that reports a business's results to people outside it. (*Chapter II*)

Financial statement. A formal report that shows the results or position of a business in numbers. (*Chapter V*)

Finished goods. Goods that are complete and ready to sell. (*Chapter XIV*)

Fiscal year. A twelve-month accounting period that a business chooses, which may start in any month. (*Chapter III*)

Folio. A reference column that identifies where an entry has been posted or where its supporting record can be found. (*Chapter XV*)

GAAP. Generally accepted accounting principles: the set of rules and practices that accountants in a country agree to follow. (*Chapter III*)

Gain on disposal. The amount by which an asset's sale price is more than its book value. (*Chapter X*)

gain or loss on realisation. The difference between the book values of assets and liabilities involved in liquidation and the amounts actually realised or settled. (*Chapter XIX*)

Going concern concept. The rule that a business is expected to continue for the foreseeable future. (*Chapter III*)

Goods. Physical things that a business sells, such as bread or chairs. (*Chapter I*)

Goods available for sale. Opening inventory plus purchases available for sale during the period. (*Chapter XIV*)

Holding cost. The cost of keeping inventory, including storage, insurance, handling, financing and the risk of loss. (*Chapter XIV*)

IFRS. International Financial Reporting Standards: accounting standards issued by an international board and used in many countries. (*Chapter III*)

Income statement. A statement that shows revenue, expenses, and the resulting profit or loss for a period. (*Chapter V*)

Income summary. A temporary account that gathers revenue and expenses before the profit moves to capital. (*Chapter XII*)

interest on capital. An amount credited to a partner for the use of the partner's capital when the partnership agreement provides for it. (*Chapter XVIII*)

interest on drawings. An amount charged to a partner for drawings when the partnership agreement provides for it. (*Chapter XVIII*)

Interim period. A period shorter than a year, such as a month or quarter, reported inside the year. (*Chapter III*)

Internal user. A user inside the business, such as the owner or a manager. (*Chapter II*)

Inventory. Goods held for sale, or materials held for making goods to sell. (*Chapter XIV*)

Invest. To put money or assets into a business. (*Chapter IV*)

investment in the firm. A contribution of cash or other assets by an incoming partner directly to the partnership. (*Chapter XIX*)

Investor. A person who puts money into a business hoping to receive a return. (*Chapter II*)

Invoice. A document that tells a customer what was sold and how much to pay. (*Chapter VII*)

Issue at a premium. Issuing shares for more than their par value. (*Chapter XX*)

Issue at par. Issuing a share for an amount equal to its par value. (*Chapter XX*)

Issued shares. Shares that a company has actually issued. (*Chapter XX*)

Journal. The book of first record, in which each transaction is written in date order. In daily life, a journal is a personal diary. (*Chapter VII*)

Journal entry. The record of one transaction in the journal, showing accounts, debits, and credits. (*Chapter VII*)

Journalising. Writing a transaction in the journal as a journal entry. (*Chapter VII*)

Ledger. The book that holds all of a business's accounts together. (*Chapter VII*)

Liability. An amount that a business owes to someone outside the business. (*Chapter IV*)

Liability account. An account that records an amount owed, such as Accounts Payable. (*Chapter VI*)

LIFO. A method that assigns the newest inventory costs to goods sold first. (*Chapter XIV*)

Limited liability. A legal arrangement under which shareholders' liability for company obligations is limited according to the company's legal form. (*Chapter XX*)

liquidation. The process of ending a partnership's business, realising its assets, settling obligations, and distributing the remaining resources. (*Chapter XIX*)

Loss. The amount by which a business's costs are more than what it earned. (*Chapter I*)

Loss on disposal. The amount by which an asset's sale price is less than its book value. (*Chapter X*)

Management accounting. The branch that gives managers the information they need to run the business. (*Chapter II*)

Manufacturing business. A business that makes goods from materials and then sells them, such as a bakery. (*Chapter I*)

Matching concept. The rule that expenses are recorded in the same period as the revenue they helped earn. (*Chapter IX*)

Materiality. An item is material if leaving it out or getting it wrong could change a user's decision. (*Chapter III*)

Merchandise inventory. Goods bought by a business for resale without being transformed into its main product. (*Chapter XIV*)

Merchandising business. A business that buys finished goods and sells them again, such as a shop. (*Chapter I*)

Money measurement concept. The rule that only facts that can be shown in money are recorded. (*Chapter III*)

mutual agency. The principle that a partner may act for the firm and, within proper authority, bind the partnership. (*Chapter XVIII*)

Narration. A short note under a journal entry that says what the entry is for. (*Chapter VII*)

Net loss. The loss that results when expenses are more than revenue. (*Chapter V*)

Net profit. The profit left after all expenses have been taken from revenue. (*Chapter V*)

Non-trading organisation. An organisation that does not exist to earn profit, such as a club or charity. (*Chapter I*)

Normal balance. The side of an account, debit or credit, on which increases are recorded. (*Chapter VI*)

Notes to the accounts. Written explanations that accompany the financial statements. (*Chapter V*)

Obsolescence. Loss of an asset's usefulness because newer and better assets have appeared. (*Chapter X*)

On account. Bought or sold now, with payment to be made later. (*Chapter I*)

Ordinary share. A basic class of share that normally carries voting and residual ownership rights, subject to its terms and applicable law. (*Chapter XX*)

Owner. The person who owns a business, takes its risks and receives its profit. (*Chapter I*)

Owner's capital account. The account that records the owner's investment and the owner's share of profit. (*Chapter VI*)

Owner's equity. The owner's claim on the business: what is left after liabilities are taken from assets. (*Chapter IV*)

Par value. The stated value assigned to a share in the company's capital structure; it is not necessarily its market price. (*Chapter XX*)

partner. A person who is a member of a partnership. (*Chapter XVIII*)

partner's capital account. The account that records a partner's long-term ownership claim arising from capital contributed and other agreed capital changes. (*Chapter XVIII*)

partner's salary. An amount allowed to a partner for services under the partnership agreement, normally treated as an appropriation of profit in introductory partnership accounting. (*Chapter XVIII*)

Partnership. A business owned by two or more people who agree to share its profit. (*Chapter I*)

partnership deed. A written agreement that states the rights, duties, and financial arrangements of partners. (*Chapter XVIII*)

partners' capital. The combined ownership claims represented by the partners' capital accounts. (*Chapter XVIII*)

Permanent account. An account that keeps its balance from one period into the next. (*Chapter XII*)

Perpetual system. A system that updates the inventory record after every purchase and sale. (*Chapter XIV*)

Plant. Word in use. In daily life, a living thing that grows from the ground. In accounting, the machines and buildings that a business uses. (*Chapter X*)

Plant asset. A long-lived physical asset used in the business, such as a machine or a building. (*Chapter X*)

Post-closing trial balance. A trial balance of permanent accounts only, prepared after the closing entries. (*Chapter XII*)

Posting. Copying amounts from the journal into the correct ledger accounts. (*Chapter VII*)

Preference share. A class of share whose terms give its holders specified preferential rights over ordinary shareholders. (*Chapter XX*)

Prepaid expense. An expense paid in advance; an asset until the service is used. (*Chapter IX*)

Private company. A company that satisfies the legal conditions defining a private company, including specified restrictions on share transfer and public subscription. (*Chapter XX*)

Profit. The money left when a business takes its costs away from what it earned. (*Chapter I*)

profit-sharing ratio. The agreed proportion in which partnership profit or loss is divided among partners. (*Chapter XVIII*)

Prudence. Taking care not to overstate assets or profit, and not to understate liabilities or losses. (*Chapter III*)

Public company. A company that is not a private company under the applicable company law. (*Chapter XX*)

purchase of an interest. A transaction in which an incoming partner acquires all or part of an existing partner's ownership interest directly from that partner. (*Chapter XIX*)

Purchases journal. A special journal for merchandise bought on account. (*Chapter XV*)

Raw materials. Basic materials a business will turn into products that it intends to sell. (*Chapter XIV*)

realisation. The process of converting partnership assets into cash or determining their settlement value during liquidation. (*Chapter XIX*)

Record. A written note of something that happened, kept so that it can be checked later. (*Chapter II*)

Reliability. Information is reliable when users can trust it to be accurate and free of bias. (*Chapter III*)

Report form. A balance sheet layout that lists assets, then liabilities, then equity, down the page. (*Chapter V*)

Reporting date. The date to which a balance sheet is prepared. (*Chapter V*)

Residual value. The amount expected to be received when an asset is sold at the end of its use. (*Chapter X*)

Retained earnings. Accumulated profit kept in the business rather than distributed to shareholders. (*Chapter XX*)

retirement. The withdrawal of an existing partner from a partnership while the remaining business may continue. (*Chapter XIX*)

Revenue. Money earned by a business from selling goods or performing services. (*Chapter IV*)

Revenue account. An account that records one kind of earnings, such as Sales Revenue. (*Chapter VI*)

Revenue expenditure. Money spent on running costs or small repairs that serve only the current period. (*Chapter X*)

Revenue recognition. The rule on when revenue counts as earned and is recorded. (*Chapter IX*)

Reversing entry. An optional entry on the first day of a period that cancels an earlier accrual. (*Chapter XII*)

Sales journal. A special journal for merchandise sold on account. (*Chapter XV*)

Separate legal entity. The company is legally distinct from the persons who own its shares. (*Chapter XX*)

Service. Work done for a customer that is not a physical thing, such as repair or delivery. (*Chapter I*)

Service business. A business that earns money by doing work for customers, such as a clinic. (*Chapter I*)

Share. One of the equal units into which a company's ownership is divided. (*Chapter XX*)

Share capital. The amount attributed to shares issued by a company according to the applicable accounting and legal framework. (*Chapter XX*)

Share premium. The amount received for shares above their par value. (*Chapter XX*)

Shareholder. A person or organisation that owns shares in a company. (*Chapter XX*)

Sole trader. A business owned and run by one person, who is personally responsible for its debts. (*Chapter I*)

- Source document.** Paper proof that a transaction happened, such as an invoice, receipt, or cheque. (*Chapter VII*)
- Special journal.** A journal used for one kind of repeated transaction. (*Chapter XV*)
- Specific identification.** A method that assigns the actual recorded cost of each identifiable item to that item when it is sold. (*Chapter XIV*)
- Statement of cash flows.** A statement that shows the cash a business received and paid during a period. (*Chapter V*)
- Statement of owner's equity.** A statement that shows how the owner's equity changed during a period. (*Chapter V*)
- Stockholders' equity.** The owners' claim in a company; the same idea as owner's equity. (*Chapter IV*)
- Stockout.** A situation in which a business has no available inventory of an item when customers want it. (*Chapter XIV*)
- Straight-line method.** A method that charges the same depreciation amount in every year of use. (*Chapter X*)
- Subsidiary ledger.** A ledger containing the individual accounts that support one controlling general-ledger balance. (*Chapter XV*)
- Sum-of-the-years'-digits method.** A method that charges more depreciation in early years, using falling fractions. (*Chapter X*)
- Supplier.** A person or business that sells goods or services to another business. (*Chapter I*)
- Supplies.** Small items, such as flour or packaging, that a business keeps to use up soon. (*Chapter IV*)
- Suspense account.** A temporary account that holds a difference until its cause is found. (*Chapter VIII*)
- T-account.** A simple picture of an account, shaped like the letter T, with a left side and a right side. (*Chapter VI*)
- Tax.** Money that the government requires people and businesses to pay. (*Chapter II*)
- Tax accounting.** The branch that works out the tax a business must pay. (*Chapter II*)
- Taxable profit.** The profit figure on which a business is required to pay income tax under the applicable tax rules. (*Chapter XIV*)
- Temporary account.** An account that measures one period only and is brought to zero at the period end. (*Chapter XII*)
- Ten-column worksheet.** A worksheet with five pairs of debit and credit columns. (*Chapter XI*)
- Transaction.** An event that has money value and changes a business's assets, liabilities, or equity. (*Chapter IV*)
- Transaction analysis.** Finding which items a transaction changes, and by how much. (*Chapter IV*)
- Transposition error.** Two digits written in the wrong order, such as 54 for 45. (*Chapter VIII*)
- Treasury shares.** A company's own issued shares that it has acquired and holds under the applicable legal and accounting framework. (*Chapter XX*)
- Trial balance.** A list of all ledger balances, used to test that debits equal credits. (*Chapter VIII*)
- Unadjusted trial balance.** A trial balance prepared before any adjusting entries are made. (*Chapter VIII*)

Unearned revenue. Cash received before the goods or service is provided; a liability until earned. (*Chapter IX*)

Units-of-production method. A method that charges depreciation in proportion to how much the asset is used. (*Chapter X*)

unlimited liability. A form of liability in which a partner may have personal exposure beyond the amount recorded in the partner's capital account, subject to applicable law. (*Chapter XVIII*)

Useful life. The time, in years or in units of use, for which a business expects to use an asset. (*Chapter X*)

User. A person who reads accounting information to help make a decision. (*Chapter II*)

Wear and tear. Loss of an asset's value from ordinary use and the passing of time. (*Chapter X*)

Weighted average cost. A method that gives units an average cost based on the total cost of goods available divided by total units available. (*Chapter XIV*)

Work in process. Goods that are partly made and not yet ready to sell. (*Chapter XIV*)

Working paper. A paper used by the accountant for working only; it is not a financial statement. (*Chapter XI*)

Worksheet. A working paper in which the accountant prepares adjustments and statement figures in columns. (*Chapter XI*)

An Introduction to Accounting

A complete introductory passage through the language,
records, statements, adjustments, and ownership forms of accounting.

Kutush Catush